

**Composed by Faheem Saqib
MIDTERM EXAMINATION
2010, 2009 and Quizzes**

For more help

Rep at

**Faheem_saqib2003@yahoo.com
0334-6034849**



**MIDTERM EXAMINATION
Spring 2010
MGT411- Money & Banking (Session - 1)**

Time: 60 min

Marks: 44

Student Info	
StudentID:	
Center:	
ExamDate:	6/5/2010 12:00:00 AM

For Teacher's Use Only									
Q No.	1	2	3	4	5	6	7	8	Total
Marks									
Q No.	9	10	11	12	13	14	15	16	
Marks									
Q No.	17	18	19	20	21	22	23	24	
Marks									
Q No.	25	26	27	28	29	30	31	32	
Marks									

Question No: 1 (Marks: 1) - Please choose one

Which of the following statement truly represents the main difference between debit card and store value card?

► **Debit card is operated by ATM machine while Store value card doesn't**

- ▶ Debit card appearance is different from Store value card
- ▶ Debit card is not specific for user but store value card is specific
- ▶ Debit card is specific for user but store value card is not

Question No: 2 (Marks: 1) - Please choose one

The Consumer Price Index (CPI):

- ▶ Tends to overstate inflation due to substitution bias
- ▶ **Tends to understate actual inflation**
- ▶ Is more accurate than the GDP deflator
- ▶ Is based on basket of goods that changes monthly with consumer expenditures

Question No: 3 (Marks: 1) - Please choose one

Which of the following is **NOT** a financial instrument?

- ▶ A share of General Motors stock
- ▶ **A tuition bill**
- ▶ A U.S. Treasury bond
- ▶ A home insurance policy

Question No: 4 (Marks: 1) - Please choose one

A derivative instrument:

- ▶ **Gets its value and payoff from the performance of the underlying instrument**
- ▶ Is a high risk financial instrument used by highly risk averse savers
- ▶ Comes into existence after the underlying instrument is in default
- ▶ Should be purchased prior to purchasing the underlying security

Question No: 5 (Marks: 1) - Please choose one

The financial intermediary that obtains funds largely through premium payments and uses those funds to purchase corporate bonds and mortgages is:

- ▶ Credit unions
- ▶ Mutual funds
- ▶ **Life insurance companies**
- ▶ Pension funds

Question No: 6 (Marks: 1) - Please choose one

Which one of the following financial instrument is **NOT** primarily used as store of value?

- ▶ Banks loans
- ▶ Asset-backed securities
- ▶ **Insurance contracts**
- ▶ Stocks

Question No: 7 (Marks: 1) - Please choose one

Which one of the following is **NOT** an example of Centralized exchange?

- ▶ New York Stock Exchange

- ▶ NASDAQ
- ▶ **Large exchanges in London**
- ▶ Large exchanges in Tokyo

Question No: 8 (Marks: 1) - Please choose one

Which of the following market allowed networks of dealers that are connected electronically?

- ▶ New York Stock Exchange
- ▶ **NASDAQ**
- ▶ Large exchanges in London
- ▶ Large exchanges in Tokyo

Question No: 9 (Marks: 1) - Please choose one

Risk sharing is the characteristic of which one of the following?

- ▶ Checks
- ▶ Checking accounts
- ▶ Money
- ▶ **Bonds**

Question No: 10 (Marks: 1) - Please choose one

The future value of \$200 at a 5% per year interest rate at the end of one year is:

- ▶ \$195.00
- ▶ **\$210.00**
- ▶ \$197.50
- ▶ \$100

Question No: 11 (Marks: 1) - Please choose one

What will be the Future Value (FV) of \$1000 in 5 years at 5% interest rate?

- ▶ \$1300.00
- ▶ **\$1276.28**
- ▶ \$1999.99
- ▶ \$1500.52

Question No: 12 (Marks: 1) - Please choose one

If a bond sells at a premium, where price exceeds face value, then we would expect to see:

- ▶ Market interest rate the same as the coupon rate
- ▶ Market interest rates above the coupon rate
- ▶ **Market interest rates below the coupon rate**
- ▶ None of the given options

Question No: 13 (Marks: 1) - Please choose one

_____ measures the probability of worst outcome in any investment project.

- ▶ Variance

► **Standard deviation**

- Value at risk
- Hedging

Question No: 14 (Marks: 1) - Please choose one

Most of the people among us are _____.

- Risk lovers
- Risk enhancers
- **Risk averse**
- Risk tolerating

Question No: 15 (Marks: 1) - Please choose one

The risk premium for an investment:

- **Increases with risk**
- Is a fixed amount added to the risk free return
- Is negative for U.S. Treasury Securities
- Is negative for risk averse investors

Question No: 16 (Marks: 1) - Please choose one

When the auto manufacturing industry does poorly due to a recession in an economy, this is an example of:

- Idiosyncratic risk
- **Systematic risk**
- Risk premium
- Unique risk

Question No: 17 (Marks: 1) - Please choose one

If YTM is less than the coupon rate the price of the bond is _____.

- **Greater than its face value**
- Lower than its face value
- Equals to its face value
- Insufficient information is given

Question No: 18 (Marks: 1) - Please choose one

The return on the bond is equal to which of the following?

- **Coupon rate + rate of capital gains**
- Current yield + rate of capital gains
- Coupon rate - rate of capital gains
- Current yield - rate of capital gains

Question No: 19 (Marks: 1) - Please choose one

Which of the following ratings shows “Highest quality and credit worthiness”?

- **AAA**
- AA

- ▶ BB
- ▶ A

Question No: 20 (Marks: 1) - Please choose one

	Bond A	Bond B
Maturity	5 years	10 years
Default risk	5%	5%
Tax rate	30%	30%
Yield	?	?

See the above table and choose the one option which is **NOT** correct about the yield of Bond A and Bond B?

▶ Bond tax status and default rate are not the only factors that affect the yield of the two bonds

▶ **Bond A has different yield from that of Bond B because of change in maturity period**

- ▶ Yields of both the bonds are not disturbed by maturity period
- ▶ Yield of Bond B depends on what people expect to happen in years to come

Question No: 21 (Marks: 1) - Please choose one

Mr. Ali has a bond, which is issued by local government of Punjab which is ***NOT*** true for situation?

▶ **He faces tax affects on return on bond**

- ▶ His bond can also be named as municipal bond
- ▶ He receive interest on that bond throughout life period of bond
- ▶ Default risk affects its return on bond

Question No: 22 (Marks: 1) - Please choose one

An index number is a valuable tool because:

- ▶ The number by itself provides all of the useful information needed

▶ **The index provides a meaningful measurement scale to calculate percentage changes**

- ▶ The index is more stable than the data it reflects
- ▶ It does not require any calculations to compute percentage changes

Question No: 23 (Marks: 1) - Please choose one

Consider a game which involves the rolling of a fair pair of dice. The winner is the individual who calls the outcome correctly, the loser obviously called the wrong outcome. The Theory of Efficient Markets would say:

- ▶ Part of the key information is to know the outcomes of the previous tosses
- ▶ Part of the key information is to know the skill of the person you are playing against

▶ **The key information is to know the probabilities of the outcome and the expected payoff**

- ▶ All of the given options

Question No: 24 (Marks: 1) - Please choose one

When stock prices reflect fundamental values:

- ▶ All investors will experience capital gains
- ▶ All companies will have an easier task of obtaining financing for investment projects
- ▶ ***The allocation of resources will be more efficient***
- ▶ The overall level of the stock market should move higher continuously

Question No: 25 (Marks: 1) - Please choose one

The process of financial intermediation:

- ▶ Creates a net cost to an economy but is unavoidable
- ▶ Is used primarily in underdeveloped countries
- ▶ Is always used when a borrower needs to obtain funds
- ▶ **Increases the economy's ability to produce**

Question No: 26 (Marks: 1) - Please choose one

Without the ability of financial intermediaries to pool the resources of small savers:

- ▶ Borrowers needing large amounts of money would find it less costly to obtain the funds
- ▶ The economy would likely grow faster
- ▶ People would likely save more
- ▶ **The risk associated with lending would increase**

Question No: 27 (Marks: 1) - Please choose one

Financial instruments are used to transfer which of the following?

- ▶ **Both Risk and Resources**
- ▶ Risk
- ▶ Resources
- ▶ Mortgages

Question No: 28 (Marks: 1) - Please choose one

Money once consisted of Gold and silver coins which were eventually replaced by which of the following?

- ▶ Plastic money
- ▶ **Paper money**
- ▶ Commodity money
- ▶ E-money

Question No: 29 (Marks: 3)

Find out YTM of 1 year 12% coupon bond selling at \$130. (Face value of bond = \$100).
YTM=

Question No: 30 (Marks: 3)

Discuss briefly the facts about term Structure.

Ans: **Term structure facts**

- 1) long term yields tend to be higher than short term bond.
- 2) interest rates of different maturities tend to move together
- 3) yields on short term bond are more volatile than long term bonds yields

Question No: 31 (Marks: 5)

Discuss default risk of bond in detail.

Ans: **Default Risk:** It is defined as that "there is no guarantee that a bond issuer will make the payment which he promised.

When there is higher default risk the higher the probability that those who have the bond will not receive the promised payments and thus higher the yield.

The investor which are risk averse require some compensation for risk, more compensation is required for higher risk.

For example

Suppose risk free rate is 10%

ABC corp. issue one year bond at 10%

Price without risk = $(100 + 10)/1.1 = \text{Rs.}100$

Suppose, there is probability that ABC corp. goes bankrupt, get nothing than two possible payoffs: Rs.110 and Rs.0

Question No: 32 (Marks: 5)

Define stock and also discuss its important characteristics.

Ans:

Stock

This also known as common stocks or equity, are shares in a firm's ownership.

It is the key instrument for holding personal wealth as well as diversify, this also spread and reduce risk which we face. This is one of the way for companies to obtain the finance.

Stocks and stock market are the main link between financial world and real economy.

Stockholder are also entitled to vote at firm's annual meeting such as voting to elect or remove the firm's board of director.

Important characteristics.

- 1) A large number of shares are outstanding.
- 2) Price of individual shares are low.
- 3) Shareholder can replace managers who are doing bad.
- 4) Due to limited liability investor only losses do not exceed the amount they paid.
- 5) An individual share represents only small fraction of value of the company.
- 6) This allow individual to make relatively small investment.

- 7) Stockholders receive the proceeds of a firm's activities only after all other creditors are paid.

MIDTERM EXAMINATION
Spring 2010
MGT411- Money & Banking (Session - 2)

Time: 60 min

Marks: 44

Student Info	
StudentID:	
Center:	OPKST
ExamDate:	5/26/2010 12:00:00 AM

For Teacher's Use Only									
Q No.	1	2	3	4	5	6	7	8	Total
Marks									
Q No.	9	10	11	12	13	14	15	16	
Marks									
Q No.	17	18	19	20	21	22	23	24	
Marks									
Q No.	25	26	27	28	29	30	31	32	
Marks									

Question No: 1 (Marks: 1) - Please choose one

Which of the following are used to transfer resources from savers to investors and to transfer risk to those who best equipped it?

- ▶ Financial markets
- ▶ **Financial instruments**
- ▶ Financial institutions
- ▶ Banks

Refrance page num 2

2. Financial Instruments

- ☐ To transfer wealth from savers to borrowers
- ☐ To transfer risk to those best equipped to bear it.
- ☐ Once investing was an activity reserved for the wealthy
- ☐ Costly individual stock transactions through stockbrokers

- ☐ Information collection was not so easy
- ☐ Now, small investors have the opportunity to purchase shares in “mutual funds.”

Question No: 2 (Marks: 1) - Please choose one

The reason for the government to get involved in the financial system is to:

- ▶ Protect investors
- ▶ Ensure the stability of the financial system
- ▶ Protect bank customers from monopolistic exploitation
- ▶ **All of the given options**

Refrance page num 92

There are three reasons for the government to get involved in the financial system

- ☐ To protect investors
- ☐ To protect bank customers from monopolistic exploitation
- ☐ To ensure the stability of the financial system

Question No: 3 (Marks: 1) - Please choose one

A Financial Intermediary:

- ▶ Is an agency that guarantees a loan
- ▶ Is involved in direct finance
- ▶ **Would be used in indirect finance**
- ▶ None of the given options

Question No: 4 (Marks: 1) - Please choose one

A derivative instrument:

- ▶ **Gets its value and payoff from the performance of the underlying instrument**
- ▶ Is a high risk financial instrument used by highly risk averse savers
- ▶ Comes into existence after the underlying instrument is in default
- ▶ Should be purchased prior to purchasing the underlying security

Page num 16

Derivative Instruments

- ☐ **Value and payoffs are “derived from” the behavior of the underlying instruments**

Question No: 5 (Marks: 1) - Please choose one

The financial intermediary that obtains funds largely through premium payments and uses those funds to purchase corporate bonds and mortgages is:

- ▶ Credit unions
- ▶ Mutual funds
- ▶ **Life insurance companies**
- ▶ Pension funds

Ref page 21

Question No: 6 (Marks: 1) - Please choose one

Which one of the following financial instrument is **NOT** primarily used as store of value?

- ▶ Banks loans
- ▶ Asset-backed securities
- ▶ **Insurance contracts**
- ▶ Stocks

Ref page 17

Primarily Stores of Value

- ☐ **Bank Loans**
- ☐ **A borrower obtains resources from a lender immediately in exchange for a promised set of payments in the future**
- ☐ **Bonds**
- ☐ **A form of a loan, whereby in exchange for obtaining funds today a government or corporation promises to make payments in the future**
- ☐ **Home Mortgages**
- ☐ **A loan that is used to purchase real estate**
- ☐ **The real estate is collateral for the loan,**
- ☐ **It is a specific asset pledged by the borrower in order to protect the interests of the lender in the event of nonpayment.**
- ☐ **If payment is not made the lender can foreclose on the property.**
- ☐ **Stocks**
- ☐ **An owner of a share owns a piece of the firm and is entitled to part of its profits.**

Question No: 7 (Marks: 1) - Please choose one

Which one of the following represents the main purpose for which the secondary markets are made?

- ▶ **Small investors who don't have an access to new securities**
- ▶ Primary market is not enough for buying and selling of securities
- ▶ Large investors usually traded in these markets
- ▶ Prices in the secondary markets are known to investors

Question No: 8 (Marks: 1) - Please choose one

Which one of the following is **NOT** an example of Centralized exchange?

- ▶ New York Stock Exchange
- ▶ NASDAQ
- ▶ **Large exchanges in London**
- ▶ Large exchanges in Tokyo

Question No: 9 (Marks: 1) - Please choose one

What will be the effect on the present value if we double the future value of the payment?

- ▶ It will decrease the value by one-half
- ▶ It will increase the value by one-half
- ▶ **It will equally increase the value i.e. doubles the value**
- ▶ It will have no effect on the value

Question No: 10 (Marks: 1) - Please choose one

The interest rate that is involved in _____ calculation is referred to as discount rate

- ▶ **Present value**
- ▶ Future value
- ▶ Intrinsic value
- ▶ Discount value

Question No: 11 (Marks: 1) - Please choose one

A credit market instrument that pays the owner a fixed coupon payment every year until the maturity date and then repays the face value is called:

- ▶ Simple loan
- ▶ Fixed-payment loan
- ▶ **Coupon bond**
- ▶ Discount bond

Question No: 12 (Marks: 1) - Please choose one

Mary is planning on taking out a mortgage loan for her new house. She is given the choice of two different banks: Bank A has quoted annual rate of 8% compounded semi-annually and Bank B has a quoted annual rate of 7.5% compounded for a certain number of times a year. Which bank should Mary choose?

- ▶ Bank A
- ▶ Bank B
- ▶ Indifferent between Bank A and Bank B
- ▶ **Insufficient information**

Question No: 13 (Marks: 1) - Please choose one

For a \$1000 one year discount bond with a price of \$975, the yield to maturity is which of the following?

- ▶ \$975/\$1000
- ▶ $(\$1000 - \$975)/\$975$
- ▶ $(\$1000 - \$975)/(\$1000)$
- ▶ **\$1000/\$975**

Cuppon rate/ market price

Question No: 14 (Marks: 1) - Please choose one

If YTM equals the coupon rate the price of the bond is _____.

- ▶ Greater than its face value
- ▶ Lower than its face value
- ▶ **Equals to its face value**
- ▶ Insufficient information is given

Ref chapter 14 start

Question No: 15 (Marks: 1) - Please choose one

If YTM is less than the coupon rate the price of the bond is _____.

- ▶ **Greater than its face value**

- ▶ Lower than its face value
- ▶ Equals to its face value
- ▶ Insufficient information is given

Ref chapter 14 start

Page 43

Yield to Maturity: General Relationships

- ☐ General Relationships
- ☐ **If the yield to maturity equals the coupon rate, the price of the bond is the same as its face value.**
- ☐ If the yield is greater than the coupon rate, the price is lower;
- ☐ **if the yield is below the coupon rate, the price is greater**
- ☐ If you buy a bond at a price less than its face value you will receive its interest and a capital gain,
which is the difference between the price and the face value.
- ☐ As a result you have a higher return than the coupon rate
- ☐ When the price is above the face value, the bondholder incurs a capital loss and the bond's yield to maturity falls below its coupon rate

Question No: 16 (Marks: 1) - Please choose one

Current yield is equal to which of the following?

- ▶ Price paid / yearly coupon payment
- ▶ Price paid *yearly coupon payment
- ▶ Yearly coupon payment / face value of bond
- ▶ **Yearly coupon payment / price paid**

Question No: 17 (Marks: 1) - Please choose one

For a \$100 one-year zero-coupon bond, the supply will be _____ at \$95 than it will be at \$90, all other things being equal.

- ▶ **Higher than before**
- ▶ Lower than before
- ▶ Stable
- ▶ Insufficient information

For a \$100 one-year zero-coupon bond, the supply will be higher at \$95 than it will be at \$90, all other things being equal.

Question No: 18 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond supply to the _____

- ▶ **Right**
- ▶ Left
- ▶ No change
- ▶ None of the given options

An increase in expected inflation shifts bond supply to the right and bond demand to the left.

Question No: 19 (Marks: 1) - Please choose one

The default premium:

- ▶ Is positive for a U.S. Treasury bond
- ▶ Must always be less than 0 (zero)
- ▶ **Is also known as the risk spread**
- ▶ Is assigned by a bond rating agency

Question No: 20 (Marks: 1) - Please choose one

Calculate tax implication on Bond yields. Consider a one year bond face value Rs.100 (issued by Government) with coupon rate of 6%.What is the income of bond that is received at maturity? (Tax rate is 30%).

- ▶ Rs.6
- ▶ Rs.1.80
- ▶ **Rs.4.20**
- ▶ Rs.7.80

Tax-Exempt Bond Yield = (Taxable Bond Yield) x (1- Tax Rate).

Question No: 21 (Marks: 1) - Please choose one

Which of the following statement is true for the given sentence, "that tax affects the bond return"?

- ▶ **Because only interest income they receive from bond is taxable**
- ▶ Because principal amount and interest income they receive from bond is taxable
- ▶ Because bond holders are taxpayers
- ▶ Because all bond is sold with a condition that tax will be deducted from its return

The important factor that affects the return on a bond is taxes

Bondholders must pay income tax on the interest income they receive from privately issued

Question No: 22 (Marks: 1) - Please choose one

Expectation hypothesis focuses on which one of the following?

- ▶ Risk premium
- ▶ **Risk free interest rate**
- ▶ Yield to maturity
- ▶ None of the given options

Reference:

Expectations Hypothesis

The risk-free interest rate can be computed, assuming that there is no uncertainty about the future

Question No: 23 (Marks: 1) - Please choose one

According to the liquidity premium theory of the term structure, when the yield curve has its usual slope, the market expects

- ▶ Short-term interest rates to rise sharply
- ▶ **Short-term interest rates to stay near their current levels**
- ▶ Short-term interest rates to drop sharply

- ▶ Short-term interest rates does not change

Question No: 24 (Marks: 1) - Please choose one

The Theory of Efficient Markets:

- ▶ **Allows for higher than average returns if the investor takes higher risk**
- ▶ Says Insider-information makes markets less efficient
- ▶ Rules out high returns due to chance
- ▶ Assumes people have equal luck

Question No: 25 (Marks: 1) - Please choose one

If information in a financial market is asymmetric, this means:

- ▶ Borrowers and lenders have the same information
- ▶ Lenders lack any information
- ▶ Borrowers and lenders have perfect information
- ▶ **Borrowers would have more information than lenders**

Question No: 26 (Marks: 1) - Please choose one

Often a bank will require a loan officer to make personal visits on customers with loans outstanding. This is encouraged because:

- ▶ The bank worries about competitors trying to steal their customers
- ▶ The bank wants to make sure the business is still there
- ▶ The bank likely has excess funds available and hopes to make another loan to the business
- ▶ **This is an effective monitoring technique and should reduce moral hazard**

Question No: 27 (Marks: 1) - Please choose one

Financial instruments are used to transfer which of the following?

- ▶ **Both Risk and Resources**
- ▶ Risk
- ▶ Resources
- ▶ Mortgages

Question No: 28 (Marks: 1) - Please choose one

Which of the following has created an opportunity for small investors to participate in economic activity?

- ▶ **Mutual funds**
- ▶ Small corporations
- ▶ Stock brokers
- ▶ Small investors cannot take part in economic activity

Question No: 29 (Marks: 3)

Find out YTM of 1 year 12% coupon bond selling at \$130. (Face value of bond = \$100).

Question No: 30 (Marks: 3)

Why stocks are risky?

Question No: 31 (Marks: 5)

Discuss the negative consequences of information costs and also suggest their solution.

Question No: 32 (Marks: 5)

Ahmad purchases a 10 year 8% coupon bond with the face value of \$100. He wants to hold this bond for 1-year and then sells a 9-year bond after 1-year.

- (i) If interest rate does not change then what will be the rate of return?
- (ii) If interest rate falls to 6% then suppose price increases to \$109.16. What will be the capital gain after the price rise?
- (iii) After the price rise, what will be the one year holding period return?

MIDTERM EXAMINATION**Spring 2010****MGT411- Money & Banking (Session - 3)****Time: 60 min****Marks: 44**

Student Info	
StudentID:	
Center:	
ExamDate:	

For Teacher's Use Only									
Q No.	1	2	3	4	5	6	7	8	Total
Marks									
Q No.	9	10	11	12	13	14	15	16	
Marks									
Q No.	17	18	19	20	21	22	23	24	
Marks									
Q No.	25	26	27	28	29	30	31	32	
Marks									

Question No: 1 (Marks: 1) - Please choose one

Financial instruments are evolved just as _____.

- ▶ Currency
- ▶ Stock
- ▶ **Bond**
- ▶ Commodity

Question No: 2 (Marks: 1) - Please choose one

Price of 100 goods under the barter system would be _____.

- ▶ 5050
- ▶ 19800
- ▶ **4950**
- ▶ 20200

Question No: 3 (Marks: 1) - Please choose one

Wealth can be held in number of other forms but we use to hold money because of which one of the following reason?

- ▶ It is the only mode of payment
- ▶ It is an asset
- ▶ **It is most liquid**
- ▶ It is the only store of value

Question No: 4 (Marks: 1) - Please choose one

A decrease in the number of credit cards issued:

- ▶ **Has the same impact on the economy as the Federal Reserve supplying less money**
- ▶ Reduces the money supply since credit cards act like money
- ▶ Would probably lower the amount in M3 but likely not M1
- ▶ None of the given options

Question No: 5 (Marks: 1) - Please choose one

Risk sharing is the characteristic of which one of the following?

- ▶ Checks
- ▶ Checking accounts
- ▶ Money
- ▶ **Bonds**

Question No: 6 (Marks: 1) - Please choose one

_____ is the today's value of a payment that is promised to be made in the future.

- ▶ None of the given options
- ▶ Future value
- ▶ **Present value**
- ▶ Agreed value

Question No: 7 (Marks: 1) - Please choose one

Which one of the following is the procedure of finding out the Present Value (PV)?

- ▶ **Discounting**
- ▶ Compounding

- ▶ Time value of money
- ▶ Bond pricing

Question No: 8 (Marks: 1) - Please choose one

Asma deposits funds into a CD account at her bank. The CD account has an annual interest of 4.0%. If Asma leaves the funds in the CD account for entire two years she will have \$1081.60. What amount is Asma depositing?

- ▶ \$960.60
- ▶ \$900.00
- ▶ \$1005.00
- ▶ **\$1000.00**

Question No: 9 (Marks: 1) - Please choose one

You receive a check for \$500 three years from today. The discounted present value of this \$500 is _____.

- ▶ $\$500/(1+i)$
- ▶ $\$500*(1+i)$
- ▶ **$\$500/(1+i)^3$**
- ▶ $\$500*(1+i)^3$

Question No: 10 (Marks: 1) - Please choose one

What will be the effect on the present value if we double the future value of the payment?

- ▶ It will decrease the value by one-half
- ▶ It will increase the value by one-half
- ▶ **It will equally increase the value i.e. doubles the value**
- ▶ It will have no effect on the value

Question No: 11 (Marks: 1) - Please choose one

The variance is generally less useful than the standard deviation on which of the following reasons?

- ▶ Variance is easier to calculate
- ▶ Variance is a measure of risk, whereas standard deviation is a measure of return
- ▶ **Variance isn't calculated in the same units as payoffs where as standard deviation is**
- ▶ Both are equally useful

Question No: 12 (Marks: 1) - Please choose one

A risk-averse investor will:

- ▶ Always prefer an investment with a lower expected return
- ▶ **Always prefer an investment with a certain return to one with the same expected return but any amount of uncertainty**
- ▶ Always require a certain return
- ▶ Always focus exclusively on the expected return

Question No: 13 (Marks: 1) - Please choose one

The return on the bond is equal to which of the following?

- ▶ **Coupon rate + rate of capital gains**
- ▶ Current yield + rate of capital gains
- ▶ Coupon rate - rate of capital gains
- ▶ Current yield - rate of capital gains

Question No: 14 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond demand to the _____

- ▶ Right
- ▶ **Left**
- ▶ No change
- ▶ None of the given options

Question No: 15 (Marks: 1) - Please choose one

The bond rating of a security refers to which of the followings?

- ▶ The size of the coupon payment relative to the face value
- ▶ The return a holder is likely to receive
- ▶ **The likelihood the lender/borrower will be repaid by the borrower/issuer**
- ▶ The years until the bond matures

Question No: 16 (Marks: 1) - Please choose one

The _____ are an assessment of the creditworthiness of the corporate issuer.

- ▶ **Bond yield**
- ▶ Bond ratings
- ▶ Bond risk
- ▶ Bond price

Question No: 17 (Marks: 1) - Please choose one

Which of the following statement is true for the given sentence, "that tax affects the bond return"?

- ▶ Because only interest income they receive from bond is taxable
- ▶ Because principal amount and interest income they receive from bond is taxable
- ▶ **Because bond holders are taxpayers**
- ▶ Because all bond is sold with a condition that tax will be deducted from its return

Question No: 18 (Marks: 1) - Please choose one

Which one of the following is true for the relationship between the yield of taxable and tax exempt bond?

- ▶ **Higher the tax rate wider the gap between the yield of taxable and tax exempt bond**
- ▶ Taxable bond yield is always greater than tax exempt bond
- ▶ Higher the tax rate shorter the gap between yield of taxable and tax exempt bond
- ▶ Lower the tax rate wider the gap between yield of taxable and tax exempt bond

Question No: 19 (Marks: 1) - Please choose one

If the tax rate is higher than gap between yield on taxable and tax exempt bond?

- ▶ Shorter
- ▶ **Wider**
- ▶ No gap
- ▶ Any thing can be possible

Question No: 20 (Marks: 1) - Please choose one

The liquidity premium theory suggests that yield curves should usually be:

- ▶ Up-sloping
- ▶ Inverted
- ▶ **Flat**
- ▶ Up-sloping through year 1, then flat thereafter

Question No: 21 (Marks: 1) - Please choose one

A share of common stock represents _____.

- ▶ A claim from a lender to a borrower
- ▶ A share in the company's assets
- ▶ **A share of ownership of the company**
- ▶ An unlimited liability to the owner of the stock

Question No: 22 (Marks: 1) - Please choose one

You start with a \$1000 portfolio; it loses 40% over the next year, the following year it gains 50% in value; At the end of two years the worth of your portfolio will be:

- ▶ **\$900**
- ▶ \$600
- ▶ \$1000
- ▶ \$1100

Question No: 23 (Marks: 1) - Please choose one

If information in a financial market is asymmetric, this means:

- ▶ Borrowers and lenders have the same information
- ▶ Lenders lack any information
- ▶ **Borrowers and lenders have perfect information**
- ▶ Borrowers would have more information than lenders

Question No: 24 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of financial institutions?

- ▶ Bank
- ▶ Securities firm
- ▶ Stock exchange
- ▶ **Insurance company**

Question No: 25 (Marks: 1) - Please choose one

Components of M_1 **DO NOT** include which one of the following?

- ▶ Currency in the hands of public
- ▶ Demand deposits
- ▶ **Small denominations time deposit**

- ▶ Checkable deposits

Question No: 26 (Marks: 1) - Please choose one

Mr. Ghazanfar obtains a home improvement loan from Allied Bank. This loan is:

- ▶ Mr. Ghazanfar's asset and the bank's liability
- ▶ Mr. Ghazanfar's asset, but the liability belongs to the bank's depositors
- ▶ **Mr. Ghazanfar's liability and an asset for the bank**
- ▶ Both Mr. Ghazanfar's and bank's liability

Question No: 27 (Marks: 1) - Please choose one

The interest rate used in the present value calculation is often referred as:

- ▶ **Discount rate**
- ▶ Inflation rate
- ▶ Nominal rate
- ▶ Deflation rate

Question No: 28 (Marks: 1) - Please choose one

If there is a decrease in the expected future interest rate, what will be its effect on bond?

- ▶ **Bond will be less attractive**
- ▶ Bond will be more attractive
- ▶ Bond will be less expensive
- ▶ Bond will be more expensive

Question No: 29 (Marks: 3)

Find out YTM of 1 year 10% coupon bond selling at \$120. (Face value of bond = \$100).

Question No: 30 (Marks: 3)

Discuss briefly the facts about term Structure.

Question No: 31 (Marks: 5)

You are the founder of an automobile company. Describe the idiosyncratic & systematic risks that your company faces.

Question No: 32 (Marks: 5)

Discuss bubbles in your own word.

MIDTERM EXAMINATION

Spring 2010

MGT411- Money & Banking (Session - 4)

Time: 60 min

Marks: 44

Question No: 1 (Marks: 1) - Please choose one

Core principles of Money and Banking include each of the following Except?

- ▶ All people act rationally

- ▶ Time has value
- ▶ Information is the basis for decisions
- ▶ Risk requires compensation

ANS: All people act rationally

Question No: 2 (Marks: 1) - Please choose one

Debit card works in the same way as which one of the following?

- ▶ Cheque
- ▶ Credit card
- ▶ Store value card
- ▶ Pay order

ANS: Cheque

Question No: 3 (Marks: 1) - Please choose one

The one that you get from bank when you open your checking account is _____.

- ▶ Debit card
- ▶ Credit card
- ▶ Store value card
- ▶ Customer card

ANS: Debit card

Question No: 4 (Marks: 1) - Please choose one

The Consumer Price Index (CPI):

- ▶ Tends to overstate inflation due to substitution bias
- ▶ Tends to understate actual inflation
- ▶ Is more accurate than the GDP deflator
- ▶ Is based on basket of goods that changes monthly with consumer expenditures

ANS: Is based on basket of goods that changes monthly with consumer expenditures

Question No: 5 (Marks: 1) - Please choose one

The process of financial intermediation:

- ▶ Creates a net cost to an economy but is unavoidable
- ▶ Is used primarily in underdeveloped countries
- ▶ Is always used when a borrower needs to obtain funds
- ▶ Increases the economy's ability to produce

ANS: Is always used when a borrower needs to obtain funds

Question No: 6 (Marks: 1) - Please choose one

Which of the following is **NOT** a function of financial markets?

- ▶ Relaying and reacting information
- ▶ Used as a mean of payment
- ▶ Allocating resources
- ▶ Setting prices

ANS: Used as a mean of payment

Question No: 7 (Marks: 1) - Please choose one

Which of the following market allowed networks of dealers that are connected electronically?

- ▶ New York Stock Exchange
- ▶ NASDAQ
- ▶ Large exchanges in London
- ▶ Large exchanges in Tokyo

ANS: NASDAQ

Question No: 8 (Marks: 1) - Please choose one

Which of the following is the difference that lies between the options and futures?

- ▶ Options is not binding whereas future is binding
- ▶ Futures carry risks but Options didn't carry risk
- ▶ Centralized clearinghouses guarantee futures but not options contracts
- ▶ There is no difference between options and futures

ANS: Futures carry risks but Options didn't carry risk

Question No: 9 (Marks: 1) - Please choose one

The future value of \$200 at a 5% per year interest rate at the end of one year is:

- ▶ \$195.00
- ▶ \$210.00
- ▶ \$197.50
- ▶ \$100

ANS: \$210.00

Question No: 10 (Marks: 1) - Please choose one

_____ is the today's value of a payment that is promised to be made in the future.

- ▶ None of the given options
- ▶ Future value
- ▶ Present value
- ▶ Agreed value

ANS: Present value

Question No: 11 (Marks: 1) - Please choose one

You receive a check for \$500 three years from today. The discounted present value of this \$500 is _____.

- ▶ $\$500/(1+i)$
- ▶ $\$500*(1+i)$
- ▶ $\$500/(1+i)^3$

▶ $\$500 \cdot (1+i)^3$

ANS: $\$500 \cdot (1+i)^3$

Question No: 12 (Marks: 1) - Please choose one

Suppose there are two investments, A and B, investment A has low standard deviation where as investment B has high standard deviation. What would you think that most people will choose?

- ▶ Investment A
- ▶ Investment B
- ▶ Indifference between them
- ▶ Insufficient information to decide

ANS: Investment A

Question No: 13 (Marks: 1) - Please choose one

The risk premium for an investment:

- ▶ Increases with risk
- ▶ Is a fixed amount added to the risk free return
- ▶ Is negative for U.S. Treasury Securities
- ▶ Is negative for risk averse investors

ANS: Increases with risk

Question No: 14 (Marks: 1) - Please choose one

Mr. A has a Treasury bill with a maturity period of 6 months where as Mr. B has a bond with a maturity period of 1 year. Which of the following statement is **NOT** true for this situation?

- ▶ Mr. A has paid less price for his bond than Mr. B
- ▶ Mr. A and Mr. B is a holder of zero coupon bond
- ▶ Mr. A will receive payment at the end of the maturity period
- ▶ Mr. B will receive the payment at the end of the maturity period

ANS: Mr. A has paid less price for his bond than Mr. B

Question No: 15 (Marks: 1) - Please choose one

Which of the following best describes the relationship between Bond prices and yields?

- ▶ Move together directly
- ▶ Independent of each other
- ▶ Move together inversely
- ▶ Bond yields do not change since the coupon is fixed

ANS: Move together inversely

Question No: 16 (Marks: 1) - Please choose one

Treasury bonds & corporate bonds are the examples of _____ bonds.

- ▶ Zero-coupon bonds
- ▶ Coupon bonds
- ▶ Consols
- ▶ Fixed payment

ANS: Coupon bonds

Question No: 17 (Marks: 1) - Please choose one

The _____ are an assessment of the creditworthiness of the corporate issuer.

- ▶ Bond yield
- ▶ Bond ratings
- ▶ Bond risk
- ▶ Bond price

ANS: Bond ratings

Question No: 18 (Marks: 1) - Please choose one

Which of the following statement is true for the given sentence, "that tax affects the bond return"?

- ▶ Because only interest income they receive from bond is taxable
- ▶ Because principal amount and interest income they receive from bond is taxable
- ▶ Because bond holders are taxpayers
- ▶ Because all bond is sold with a condition that tax will be deducted from its return

ANS: Because only interest income they receive from bond is taxable

Question No: 19 (Marks: 1) - Please choose one

Which one of the following is true for the relationship between the yield of taxable and tax exempt bond?

- ▶ Higher the tax rate wider the gap between the yield of taxable and tax exempt bond
- ▶ Taxable bond yield is always greater than tax exempt bond
- ▶ Higher the tax rate shorter the gap between yield of taxable and tax exempt bond
- ▶ Lower the tax rate wider the gap between yield of taxable and tax exempt bond

ANS: Higher the tax rate wider the gap between the yield of taxable and tax exempt bond

Question No: 20 (Marks: 1) - Please choose one

If the tax rate is higher than gap between yield on taxable and tax exempt bond?

- ▶ Shorter
- ▶ Wider
- ▶ No gap
- ▶ Any thing can be possible

ANS: Wider

Question No: 21 (Marks: 1) - Please choose one

Which one of the following is **NOT** true for the expectation hypothesis?

- ▶ Risk free interest rate can be computed
- ▶ There is uncertainty in the future
- ▶ Identifying yield of bond today that will be available next year
- ▶ It focuses on risk free interest rate and the risk premium

ANS: There is uncertainty in the future

Question No: 22 (Marks: 1) - Please choose one

According to the liquidity premium theory of the term structure, when the yield curve has its usual slope, the market expects

- ▶ Short-term interest rates to rise sharply
- ▶ Short-term interest rates to stay near their current levels
- ▶ Short-term interest rates to drop sharply
- ▶ Short-term interest rates does not change

ANS: Short-term interest rates to stay near their current levels

Question No: 23 (Marks: 1) - Please choose one

Other things remaining equal, the liquidity premium theory is based upon the idea that _____.

- ▶ Investors prefer long-term bonds
- ▶ Investors prefer short-term bonds
- ▶ Investors are indifferent between short-term and long-term bonds
- ▶ Investors prefer intermediate-term bonds

ANS: Investors prefer short-term bonds

Question No: 24 (Marks: 1) - Please choose one

Common stocks (or corporate stocks):

- ▶ Are short term debt instruments
- ▶ Entitle the holder to contractual payments
- ▶ Were poor investments over the period 1982-1996
- ▶ Allows the holder to share in the earnings of the firm

ANS: Allows the holder to share in the earnings of the firm

Question No: 25 (Marks: 1) - Please choose one

Which of the following allows us to buy and sell financial instruments quickly and cheaply?

- ▶ Financial institution
- ▶ Financial market
- ▶ Central Bank
- ▶ Federal Reserve System

ANS: Financial market

Question No: 26 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of financial institutions?

- ▶ Bank
- ▶ Securities firm
- ▶ Stock exchange
- ▶ Insurance company

ANS: Securities firm

Question No: 27 (Marks: 1) - Please choose one

Which of the following institution takes direct deposit from customer and gives loan to customer directly?

- ▶ Zarai Tarkaytee Bank LTD
- ▶ Soneri Bank
- ▶ Khushali Bank
- ▶ Credit union

ANS: Soneri Bank

Question No: 28 (Marks: 1) - Please choose one

If there is a decrease in the expected future interest rate, what will be its affect on bond?

- ▶ Bond will be less attractive
- ▶ Bond will be more attractive
- ▶ Bond will be less expensive
- ▶ Bond will be more expensive

ANS: Bond will be more attractive

Question No: 29 (Marks: 3)

Find out YTM of 1 year 7% coupon bond selling at \$90. (Face value of bond = \$100).

ANS:

$$YTM = \$100 / \$90 - 1 = 0.11 \text{ or } 11.11\%$$

Question No: 30 (Marks: 3)

“Stock market plays a crucial role in every modern capitalist economy”. Discuss.

Question No: 31 (Marks: 5)

“People differ in their opinions of how stocks should be valued”. Discuss it.

Question No: 32 (Marks: 5)

Briefly explain the factors which shift the bond demand.

ANS: The following factors those shift the bond demand are following

- 1- Wealth
- 2- Expected inflation
- 3- Expected return on stocks and other assets
- 4- Risk relative to alternatives
- 5- Liquidity of bonds relative to alternatives

Wealth : an increase in wealth shifts the demand for bond to the right as wealthier peoples invest more. This will happen as the economy grows during an expansion. This will increase bond prices and lower yields.

Expected inflation: a fall in expected inflation shifts the bond demand curve to the right, increasing demand at each price and lowering the yield and increasing the bonds price.

MIDTERM EXAMINATION
Spring 2010
MGT411- Money & Banking (Session - 5)

Time: 60 min

Marks: 44

Question No: 1 (Marks: 1) - Please choose one

Price of 100 goods under the barter system would be _____.

- ▶ 5050
- ▶ 19800
- ▶ 4950
- ▶ 20200

Question No: 2 (Marks: 1) - Please choose one

In electronic transfer the most common method is to send money through a system maintained by Federal reserve called _____.

- ▶ Fedex
- ▶ Fedwire
- ▶ Fedtransfer
- ▶ Fedmoney

Question No: 3 (Marks: 1) - Please choose one

Which one of the following is the primary cause of inflation?

- ▶ Decreased money supply
- ▶ Increased money supply
- ▶ Decreased interest rates
- ▶ Increased purchasing power

Question No: 4 (Marks: 1) - Please choose one

Which of the following is true for direct finance?

- ▶ Individuals (or firms) borrow directly from banks
- ▶ Individuals deposit savings directly in banks
- ▶ Firms deposit savings directly in banks
- ▶ Individuals (or firms) borrow directly from the savers

Question No: 5 (Marks: 1) - Please choose one

What will be the Future Value (FV) of \$1000 in 5 years at 5% interest rate?

- ▶ \$1300.00
- ▶ \$1276.28
- ▶ \$1999.99
- ▶ \$1500.52

Question No: 6 (Marks: 1) - Please choose one

Which one of the following is the procedure of finding out the Present Value (PV)?

- ▶ Discounting
- ▶ Compounding
- ▶ Time value of money
- ▶ Bond pricing

Question No: 7 (Marks: 1) - Please choose one

You receive a check for \$100 two years from today. The discounted present value of this \$100 is:

- ▶ $\$100/(1+i)$
- ▶ $\$100 \cdot (1+i)^2$
- ▶ $\$100 \cdot (1+i)$
- ▶ $\$100/(1+i)^2$

Question No: 8 (Marks: 1) - Please choose one

Which of the following represents the Fisher's equation?

- ▶ Nominal interest rate = real interest rate + inflation
- ▶ Nominal interest rate + inflation = real interest rate
- ▶ Nominal interest rate = real interest rate - inflation
- ▶ Nominal interest rate = real interest rate / inflation

Question No: 9 (Marks: 1) - Please choose one

What will be the result of the difference of real and nominal interest rate?

- ▶ The cost of borrowing
- ▶ The effect of inflation
- ▶ The price of bonds
- ▶ The return of bonds

Question No: 10 (Marks: 1) - Please choose one

Sum of all the probabilities should be equal to which one of the following?

- ▶ Zero
- ▶ One
- ▶ Two
- ▶ Three

Question No: 11 (Marks: 1) - Please choose one

The coupon rate of bond:

- ▶ Is another term for the current yield
- ▶ Is another term for the yield to maturity
- ▶ Could not be calculated for a zero-coupon bond
- ▶ None of the given options

Question No: 12 (Marks: 1) - Please choose one

Current yield did NOT measure which of the following?

- ▶ Return arises from coupon payment
- ▶ Capital gain and loss
- ▶ Return arises from bond holding till maturity
- ▶ All of the given options

Question No: 13 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond supply to the _____

- ▶ Right
- ▶ Left
- ▶ No change
- ▶ None of the given options

Question No: 14 (Marks: 1) - Please choose one

The lowest rating for an investment grade bond assigned by Moody's is:

- ▶ BBB
- ▶ ABB
- ▶ Baa
- ▶ Aaa

Question No: 15 (Marks: 1) - Please choose one

In the long run, the yield curve tends to be which of the following?

- ▶ Upward sloping
- ▶ Downward sloping
- ▶ Nearly vertical
- ▶ Nearly horizontal

Question No: 16 (Marks: 1) - Please choose one

Common stocks (or corporate stocks):

- ▶ Are short term debt instruments
- ▶ Entitle the holder to contractual payments
- ▶ Were poor investments over the period 1982-1996
- ▶ Allows the holder to share in the earnings of the firm

Question No: 17 (Marks: 1) - Please choose one

A bank can usually offer a saver a higher return for the same risk because:

- ▶ The bank can usually purchase assets at a higher cost than any one saver
- ▶ The bank can pool the resources of larger savers and purchase lower denominated assets
- ▶ Economies of scale can be applied by the bank in its purchase of assets
- ▶ None of the given options

Question No: 18 (Marks: 1) - Please choose one

If information in a financial market is asymmetric, this means:

- ▶ Borrowers and lenders have the same information
- ▶ Lenders lack any information
- ▶ Borrowers and lenders have perfect information
- ▶ Borrowers would have more information than lenders

Question No: 19 (Marks: 1) - Please choose one

Which of the following is true of a nation's central bank?

- ▶ It makes important decisions about the nation's tax and public spending policies
- ▶ It lends only to the nation's largest and most important business firms
- ▶ It has many interactions with the nation's citizens and businesses
- ▶ It is responsible for conducting the nation's monetary policy

Question No: 20 (Marks: 1) - Please choose one

Requiring a large deductible on the part of an insured is one way insurers treat the problem of:

- ▶ Free-riding
- ▶ Moral hazard
- ▶ Adverse selection
- ▶ The Lemons market

Question No: 21 (Marks: 1) - Please choose one

Often a bank will require a loan officer to make personal visits on customers with loans outstanding. This is encouraged because:

- ▶ The bank worries about competitors trying to steal their customers
- ▶ The bank wants to make sure the business is still there
- ▶ The bank likely has excess funds available and hopes to make another loan to the business
- ▶ This is an effective monitoring technique and should reduce moral hazard

Question No: 22 (Marks: 1) - Please choose one

Which of the following represents the history of money up till the modern age?

- ▶ Gold/silver coins____ Paper Currency____ Electronic Fund Transfer
- ▶ Paper Currency____ Gold/Silver coins____ Electronic Fund Transfer
- ▶ Electronic Fund Transfer____ Paper Currency ____ Gold/silver coins
- ▶ Gold/silver coins____ Electronic Fund Transfer____ Paper currency

Question No: 23 (Marks: 1) - Please choose one

Mr. A makes payment to Mr. B in exchange of household furniture in the form of cheques. Which of the following is true for this situation?

- ▶ It is final payment made by Mr. A
- ▶ It's not a final payment
- ▶ It may not be accepted as payment
- ▶ Cheques are not form of money

Question No: 24 (Marks: 1) - Please choose one

Components of M1 DO NOT include which one of the following?

- ▶ Currency in the hands of public
- ▶ Demand deposits
- ▶ Small denominations time deposit
- ▶ Checkable deposits

Question No: 25 (Marks: 1) - Please choose one

A change in the interest rate:

- ▶ Has a larger impact on the present value of a payment to be made far into the future than one to be made sooner
- ▶ Will not have a difference on the present value of two equal payments to be made at different times
- ▶ Has a smaller impact on the present value of a payment to be made far into the future than one to be made sooner
- ▶ None of the given options

Question No: 26 (Marks: 1) - Please choose one

Which of the following statement is true about the relationship between bond ,coupon payment and interest?

- ▶ Coupon payments fall, the interest rate falls, and Bond price will rise
- ▶ Coupon payments rise, the interest rate falls, and Bond price will rise
- ▶ Coupon payments fall, the interest rate falls, and Bond price will fall
- ▶ Coupon payments rise, the interest rate falls, and Bond price will fall

Question No: 27 (Marks: 1) - Please choose one

Which of the following are without maturity dates?

- ▶ Zero coupon bonds
- ▶ Coupon securities
- ▶ Consols
- ▶ Preferred Bonds

Question No: 28 (Marks: 1) - Please choose one

Zero-Coupon Bonds are pure discount bonds since they sell at a price _____.

- ▶ Equal their face value
- ▶ Below their face value
- ▶ Above their face value

► None of the given options

Question No: 29 (Marks: 3)

Differentiate between yield to maturity and current yield.

Yield To Maturity

The most useful measure of the return on holding a bond is called the yield to maturity (YTM).

This is the yield bondholders receive if they hold the bond to its maturity when the final principal payment is made

It can be calculated from the present value formula.

The value of i that solves this equation is the yield to maturity

If the price of the bond is \$100, then the yield to maturity equals the coupon rate.

Since the price rises as the yield falls, when the price is above \$100, the yield to maturity must be below the coupon rate.

Current yield

Current yield is a commonly used, easy-to-compute measure of the proceeds the bondholder receives for making a loan.

It is the yearly coupon payment divided by the price

The current yield measures that part of the return from buying the bond that arises solely from the coupon payments

Question No: 30 (Marks: 3)

Discuss briefly the facts about term Structure.

Facts of Term Structure

Interest Rates of different maturities tend to move together

Yields on short-term bond are more volatile than yields on long-term bonds

Long-term yields tend to be higher than short-term yields.

Question No: 31 (Marks: 5)

Briefly discuss short term ratings by Pakistan Credit Rating Agency.

Pakistan Credit Rating Agency.

A1+: highest capacity for timely repayment

A1: Strong capacity for timely repayment

A2: satisfactory capacity for timely repayment may be susceptible to adverse economic

conditions

A3: an adequate capacity for timely repayment. More susceptible to adverse economic condition

B: timely repayment is susceptible to adverse changes in business, economic, or financial conditions

C: an inadequate capacity to ensure timely repayment

D: high risk of default or which are currently in default

Question No: 32 (Marks: 5)

Define stock and also discuss its important characteristics.

Stock & its importance

Stocks provide a key instrument for holding personal wealth as well as a way to diversify, spreading and reducing the risks that we face. For companies, they are one of several ways to obtain financing. Additionally, Stocks and stock markets are one of the central links between the financial world and the real economy.

Common Stock

Valuing Stock

Stocks, also known as common stock or equity, are shares in a firm's ownership. From their early days, stocks had two important characteristics that today are taken for granted:

The shares are issued in small denominations and the shares are transferable

Until recently, stockowners received a certificate from the issuing company, but now it is a computerized process where the shares are registered in the names of brokerage firms that hold them on the owner's behalf.

The ownership of common stock conveys a number of rights

A stockholder is entitled to participate in the shares of the enterprise, but this is a residual claim meaning the leftovers after all other creditors have been paid

MIDTERM EXAMINATION

Spring 2010

MGT411- Money & Banking (Session - 6)

Ref No:

Time: 60 min

Marks: 44

Student Info	
StudentID:	

Question No: 1 (Marks: 1) - Please choose one

Financial instruments are evolved just as _____.

- ▶ **Currency**
- ▶ Stock
- ▶ Bond
- ▶ Commodity

Question No: 2 (Marks: 1) - Please choose one

Core principles of Money and Banking include each of the following Except?

- ▶ **All people act rationally**
- ▶ Time has value
- ▶ Information is the basis for decisions
- ▶ Risk requires compensation

Question No: 3 (Marks: 1) - Please choose one

Which of the following is a drawback of Fiat money?

- ▶ Fewer resources are used to produce money
- ▶ The quantity of money can be determined by rational human judgment
- ▶ **A corrupt Government might issue excessive amount of money thus causing inflation**
- ▶ Fiat money doesn't have any drawback

Question No: 4 (Marks: 1) - Please choose one

Which one of the following is **NOT** true for money?

- ▶ Money is an asset
- ▶ Money is a standard mode of payment
- ▶ **Money is same as wealth**
- ▶ Money is readily spend able asset

Question No: 5 (Marks: 1) - Please choose one

A derivative instrument:

- ▶ **Gets its value and payoff from the performance of the underlying instrument**
- ▶ Is a high risk financial instrument used by highly risk averse savers
- ▶ Comes into existence after the underlying instrument is in default
- ▶ Should be purchased prior to purchasing the underlying security

Question No: 6 (Marks: 1) - Please choose one

Financial intermediaries provide small lender-savers all of the following advantages

EXCEPT:

- ▶ **Greater liquidity**
- ▶ Lower transaction cost
- ▶ Lower risk
- ▶ Higher return

Question No: 7 (Marks: 1) - Please choose one

The future value of \$100 left in a savings account earning 4.5% for two and a half years is best expressed by:

- ▶ $\$100(1.045)^{3/2}$
- ▶ $\$100(0.45)^{2.5}$
- ▶ **$\$100(1.045)^{2.5}$**
- ▶ $100 \times 2.5 \times (1.045)$

Question No: 8 (Marks: 1) - Please choose one

_____ is the today's value of a payment that is promised to be made in the future.

- ▶ None of the given options
- ▶ Future value
- ▶ **Present value**
- ▶ Agreed value

Question No: 9 (Marks: 1) - Please choose one

You receive a check for \$500 three years from today. The discounted present value of this \$500 is _____.

- ▶ $\$500/(1+i)$
- ▶ $\$500*(1+i)$
- ▶ **$\$500/(1+i)^3$**
- ▶ $\$500*(1+i)^3$

Question No: 10 (Marks: 1) - Please choose one

If the internal rate of return from an investment is less than the opportunity cost of funds:

- ▶ Firm should make the investment
- ▶ **Firm should not make the investment**
- ▶ Firm should only make the investment using retained earnings
- ▶ None of the given options

Question No: 11 (Marks: 1) - Please choose one

An investment carrying a current cost of \$130,000 is going to generate \$70,000 of revenue for each of the next three years. To calculate the internal rate of return we need to:

- ▶ Calculate the present value of each of the \$70,000 payments and multiply these and set this equal to \$130,000
- ▶ Take the present value of \$210,000 for three years from now and set this equal to \$130,000
- ▶ **Set the sum of the present value of \$70,000 for each of the next three years equal to \$130,000**
- ▶ Subtract \$130,000 from \$210,000 and set this difference equal to the interest rate

Question No: 12 (Marks: 1) - Please choose one

The real interest rate is:

- ▶ The nominal rate plus the expected inflation rate

- ▶ The nominal rate minus the expected inflation rate
- ▶ The nominal interest rate divided by the Consumer Price Index
- ▶ The product of the nominal rate and the Consumer Price Index

Question No: 13 (Marks: 1) - Please choose one

What is true about the relationship between standard deviation and risk?

- ▶ **Greater the standard deviation greater will be the risk**
- ▶ Greater the standard deviation lower will be the risk
- ▶ Greater the standard deviation risk will be remained the same
- ▶ No relation between them

Question No: 14 (Marks: 1) - Please choose one

Most of the people among us are _____.

- ▶ Risk lovers
- ▶ Risk enhancers
- ▶ **Risk averse**
- ▶ Risk tolerating

Question No: 15 (Marks: 1) - Please choose one

Mr. A has a Treasury bill with a maturity period of 6 months where as Mr. B has a bond with a maturity period of 1 year. Which of the following statement is **NOT** true for this situation?

- ▶ Mr. A has paid less price for his bond than Mr. B
- ▶ **Mr. A and Mr. B is a holder of zero coupon bond**
- ▶ Mr. A will receive payment at the end of the maturity period
- ▶ Mr. B will receive the payment at the end of the maturity period

Question No: 16 (Marks: 1) - Please choose one

For a \$1000 one year discount bond with a price of \$975, the yield to maturity is which of the following?

- ▶ $\$975/\1000
- ▶ **$(\$1000 - \$975)/\$975$**
- ▶ $(\$1000 - \$975)/(\$1000)$
- ▶ $\$1000/\975

Question No: 17 (Marks: 1) - Please choose one

Current yield is equal to which of the following?

- ▶ Price paid / yearly coupon payment
- ▶ Price paid *yearly coupon payment
- ▶ Yearly coupon payment / face value of bond
- ▶ **Yearly coupon payment / price paid**

Question No: 18 (Marks: 1) - Please choose one

The return on the bond is equal to which of the following?

- ▶ Coupon rate + rate of capital gains
- ▶ **Current yield + rate of capital gains**

- ▶ Coupon rate - rate of capital gains
- ▶ Current yield - rate of capital gains

Question No: 19 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond demand to the _____

- ▶ Right
- ▶ **Left**
- ▶ No change
- ▶ None of the given options

Question No: 20 (Marks: 1) - Please choose one

Calculate tax implication on Bond yields. Consider a one year bond face value Rs.100 (issued by Government) with coupon rate of 6%.What is the income of bond that is received at maturity? (Tax rate is 30%).

- ▶ **Rs.6**
- ▶ Rs.1.80
- ▶ Rs.4.20
- ▶ Rs.7.80

Question No: 21 (Marks: 1) - Please choose one

If the tax rate is higher than gap between yield on taxable and tax exempt bond?

- ▶ Shorter
- ▶ **Wider**
- ▶ No gap
- ▶ Any thing can be possible

Question No: 22 (Marks: 1) - Please choose one

Expectation hypothesis focuses on which one of the following?

- ▶ Risk premium
- ▶ **Risk free interest rate**
- ▶ Yield to maturity
- ▶ None of the given options

Question No: 23 (Marks: 1) - Please choose one

Stock market bubbles can lead to:

- ▶ An inefficient allocation of resources
- ▶ **Stock market crashes**
- ▶ Patterns of volatile returns from the stock market
- ▶ All of the given options

Question No: 24 (Marks: 1) - Please choose one

Without the ability of financial intermediaries to pool the resources of small savers:

- ▶ Borrowers needing large amounts of money would find it less costly to obtain the funds
- ▶ The economy would likely grow faster

- ▶ People would likely save more
- ▶ **The risk associated with lending would increase**

Question No: 25 (Marks: 1) - Please choose one

The fact that a financial intermediary can use the same contract for many customers is an example of:

- ▶ Economies of Scope
- ▶ The Law of Diminishing Marginal Returns
- ▶ The Law of Increasing Opportunity Cost
- ▶ **Economies of Scale**

Question No: 26 (Marks: 1) - Please choose one

Requiring a large deductible on the part of an insured is one way insurers treat the problem of:

- ▶ Free-riding
- ▶ **Moral hazard**
- ▶ Adverse selection
- ▶ The Lemons market

Question No: 27 (Marks: 1) - Please choose one

Financial instruments are used to transfer which of the following?

- ▶ **Both Risk and Resources**
- ▶ Risk
- ▶ Resources
- ▶ Mortgages

Question No: 28 (Marks: 1) - Please choose one

A change in the interest rate:

- ▶ **Has a larger impact on the present value of a payment to be made far into the future than one to be made sooner**
- ▶ Will not have a difference on the present value of two equal payments to be made at different times
- ▶ Has a smaller impact on the present value of a payment to be made far into the future than one to be made sooner
- ▶ None of the given options

Question No: 29 (Marks: 3)

Find out YTM of 1 year 10% coupon bond selling at \$120. (Face value of bond = \$100).

Answer:

solution:

according to the formula

YTM = yearly coupon payment / price paid

So

$$\$10 / (1 + i) + \$100 / (1 + i) =$$

$$\begin{aligned} & \$10\%/120 \\ & = 8.333 \end{aligned}$$

Question No: 30 (Marks: 3)

“Financial intermediary reduce costs”. How?

Financial intermediary is naturally an foundations that make easy the control of funds between lenders and borrowers not directly that acts as the middle man between investors and firms raising fund is called financial intermediary.

Financial intermediary will reduce transaction cost because they are specializing in the issuance of standardized securities.

Question No: 31 (Marks: 5)

Define financial intermediaries. What functions the financial intermediaries performs regarding savings?

Answer: **Financial intermediary** is naturally an foundations that make easy the control of funds between lenders and borrowers not directly that acts as the middle man between investors and firms raising fund is called financial intermediary.

Financial intermediary will reduce transaction cost because they are specializing in the issuance of standardized securities

1. Maturity transformation

Converting short-term liabilities to long term assets just like banks deal with large number of lenders and borrowers, and settle their conflicting needs

2. Risk transformation

Converting risky investments into relatively risk-free ones For example ending to multiple borrowers to spread the risk

3. Convenience

Matching small deposits with large loans and large deposits with small loans

Question No: 32 (Marks: 5)

Briefly explain the factors which shift the bond demand.

Answer: Factors that shift Bond Demand

- **Expected inflation**

If **expected inflation fall** then demand for bond increases, curve of bond demand shift to right.

- **Expected return on bonds**

If the expected return on bonds rise then people will invest money more ,as result demand for bond will rise

- **Risk relative to alternatives**

If other stocks are more risky then demand for bonds increases then shift the demand curve bond

Liquidity of bonds

If liquidity of bonds becomes more than other stocks or investments then shift the demand curve bond

- **Wealth**

As the consumer received more wealth their demands for good raise. They will invest their money in market result will be economy grows and bond prices will increase.

MIDTERM EXAMINATION

Spring 2009

MGT411- Money & Banking (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

Which of the following are without maturity dates?

- ▶ Zero coupon bonds
- ▶ Coupon securities
- ▶ **Consols**
- ▶ Preferred Bonds

Question No: 2 (Marks: 1) - Please choose one

Which of the following institution takes direct deposit from customer and gives loan to customer directly?

- ▶ Zarai Tarkaytee Bank LTD
- ▶ Soneri Bank
- ▶ Khushali Bank
- ▶ **Credit union**

Question No: 3 (Marks: 1) - Please choose one

Mr. Ghazanfar obtains a home improvement loan from Allied Bank. This loan is:

- ▶ Mr. Ghazanfar's asset and the bank's liability
- ▶ Mr. Ghazanfar 's asset, but the liability belongs to the bank's depositors
- ▶ **Mr. Ghazanfar 's liability and an asset for the bank**
- ▶ Both Mr. Ghazanfar's and bank's liability

Question No: 4 (Marks: 1) - Please choose one

Components of M₁ **DO NOT** include which one of the following?

- ▶ Currency in the hands of public
- ▶ Demand deposits
- ▶ **Small denominations time deposit**
- ▶ Checkable deposits

Question No: 5 (Marks: 1) - Please choose one

Which of the following has created an opportunity for small investors to participate in economic activity?

- ▶ **Mutual funds**
- ▶ Small corporations
- ▶ Stock brokers
- ▶ Small investors cannot take part in economic activity

Question No: 6 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of financial institutions?

- ▶ Bank
- ▶ Securities firm
- ▶ **Stock exchange**
- ▶ Insurance company

Question No: 7 (Marks: 1) - Please choose one

Requiring a large deductible on the part of an insured is one way insurers treat the problem of:

- ▶ Free-riding
- ▶ **Moral hazard**
- ▶ Adverse selection
- ▶ The Lemons market

Question No: 8 (Marks: 1) - Please choose one

In a financial market where information is symmetric:

- ▶ **The same information would be known by both parties in a transaction**
- ▶ One party to a transaction knows information the other party does not
- ▶ The ability to obtain information is available to only one party
- ▶ All of the given options

Question No: 9 (Marks: 1) - Please choose one

When stock prices reflect fundamental values:

- ▶ All investors will experience capital gains
- ▶ All companies will have an easier task of obtaining financing for investment projects
- ▶ **The allocation of resources will be more efficient**
- ▶ The overall level of the stock market should move higher continuously

Question No: 10 (Marks: 1) - Please choose one

An index number is a valuable tool because:

- ▶ The number by itself provides all of the useful information needed
- ▶ **The index provides a meaningful measurement scale to calculate percentage changes**
- ▶ The index is more stable than the data it reflects
- ▶ It does not require any calculations to compute percentage changes

Question No: 11 (Marks: 1) - Please choose one

The concept of limited liability says a **stockholder** of a corporation:

- ▶ Is liable for the corporation's liabilities, but nothing more
- ▶ Cannot receive dividends that exceed their investment
- ▶ Cannot own more than five percent of any public corporation
- ▶ **Cannot lose more than their investment**

Question No: 12 (Marks: 1) - Please choose one

Other things remaining equal, the liquidity premium theory is based upon the idea that _____.

- ▶ Investors prefer long-term bonds
- ▶ **Investors prefer short-term bonds**
- ▶ Investors are indifferent between short-term and long-term bonds
- ▶ Investors prefer intermediate-term bonds

Question No: 13 (Marks: 1) - Please choose one

Which one of the following is **NOT** true for the expectation hypothesis?

- ▶ Risk free interest rate can be computed
- ▶ There is uncertainty in the future
- ▶ Identifying yield of bond today that will be available next year
- ▶ **It focuses on risk free interest rate and the risk premium**

Question No: 14 (Marks: 1) - Please choose one

A graph of the term structure with YTM on Y-axis and time to maturity on X-axis is called:

- ▶ Demand curve
- ▶ Supply curve
- ▶ **Yield curve**
- ▶ Leffer curve

Question No: 15 (Marks: 1) - Please choose one

	Bond A	Bond B
Maturity	5 years	10 years
Default risk	5%	5%
Tax rate	30%	30%
Yield	?	?

See the above table and choose the one option which is **NOT** correct about the yield of Bond A and Bond B?

▶ **Bond tax status and default rate are not the only factors that affect the yield of the two bonds**

- ▶ Bond A has different yield from that of Bond B because of change in maturity period
- ▶ Yields of both the bonds are not disturbed by maturity period
- ▶ Yield of Bond B depends on what people expect to happen in years to come

Question No: 16 (Marks: 1) - Please choose one

The _____ are an assessment of the creditworthiness of the corporate issuer.

- ▶ Bond yield
- ▶ **Bond ratings**
- ▶ Bond risk
- ▶ Bond price

Question No: 17 (Marks: 1) - Please choose one

The bond rating of a security refers to which of the followings?

- ▶ The size of the coupon payment relative to the face value
- ▶ The return a holder is likely to receive
- ▶ **The likelihood the lender/borrower will be repaid by the borrower/issuer**
- ▶ The years until the bond matures

Question No: 18 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond demand to the _____

- ▶ **Right**
- ▶ Left
- ▶ No change
- ▶ None of the given options

Question No: 19 (Marks: 1) - Please choose one

The current yield on a \$10,000, 5% coupon bond selling for \$8,000 is:

- ▶ **6.25%**
- ▶ 7.50%
- ▶ 8.00%
- ▶ 5.00%

Question No: 20 (Marks: 1) - Please choose one

If the annual interest rate is 6% (.06); the price of a one year Treasury bill would be:

- ▶ \$94.00
- ▶ **\$94.33**
- ▶ \$95.25
- ▶ \$96.10

Question No: 21 (Marks: 1) - Please choose one

The return on holding a bond till its maturity is called:

- ▶ Coupon rate
- ▶ **Yield to maturity**
- ▶ Current yield
- ▶ Fixed return

Question No: 22 (Marks: 1) - Please choose one

Which of the following best describes the relationship between Bond prices and yields?

- ▶ Move together directly
- ▶ Independent of each other
- ▶ **Move together inversely**
- ▶ Bond yields do not change since the coupon is fixed

Question No: 23 (Marks: 1) - Please choose one

Mr. A has a Treasury bill with a maturity period of 6 months where as Mr. B has a bond

with a maturity period of 1 year. Which of the following statement is **NOT** true for this situation?

- ▶ Mr. A has paid less price for his bond than Mr. B
- ▶ **Mr. A and Mr. B is a holder of zero coupon bond**
- ▶ Mr. A will receive payment at the end of the maturity period
- ▶ Mr. B will receive the payment at the end of the maturity period

Question No: 24 (Marks: 1) - Please choose one

What is true relationship between return and risk?

- ▶ Lower the risk greater the return
- ▶ **Greater the risk greater the return**
- ▶ Greater the risk no change in return
- ▶ No relationship between them

Question No: 25 (Marks: 1) - Please choose one

Sum of all the probabilities should be equal to which one of the following?

- ▶ Zero
- ▶ **One**
- ▶ Two
- ▶ Three

Question No: 26 (Marks: 1) - Please choose one

_____ measures the probability of worst outcome in any investment project.

- ▶ Variance
- ▶ Standard deviation
- ▶ **Value at risk**
- ▶ Hedging

Question No: 27 (Marks: 1) - Please choose one

The variance is generally less useful than the standard deviation on which of the following reasons?

- ▶ Variance is easier to calculate
- ▶ Variance is a measure of risk, whereas standard deviation is a measure of return
- ▶ **Variance isn't calculated in the same units as payoffs where as standard**

deviation is

- ▶ Both are equally useful

Question No: 28 (Marks: 1) - Please choose one

A credit market instrument that pays the owner a fixed coupon payment every year until the maturity date and then repays the face value is called:

- ▶ Simple loan
- ▶ Fixed-payment loan
- ▶ **Coupon bond**
- ▶ Discount bond

Question No: 29 (Marks: 1) - Please choose one

Which of the following provides the greatest incentive to borrow?

- ▶ A high real interest rate
- ▶ **A low real interest rate**
- ▶ A high nominal interest rate
- ▶ A low nominal interest rate

Question No: 30 (Marks: 1) - Please choose one

An investment carrying a current cost of \$130,000 is going to generate \$70,000 of revenue for each of the next three years. To calculate the internal rate of return we need to:

- ▶ Calculate the present value of each of the \$70,000 payments and multiply these and set this equal to \$130,000
- ▶ Take the present value of \$210,000 for three years from now and set this equal to \$130,000
- ▶ **Set the sum of the present value of \$70,000 for each of the next three years equal to \$130,000**
- ▶ Subtract \$130,000 from \$210,000 and set this difference equal to the interest rate

Question No: 31 (Marks: 1) - Please choose one

A borrower is promised a \$100 payment (including interest) one year from today. If the lender has an 8% opportunity cost of money, he should be willing to accept what amount today?

- ▶ Rs.100.00
- ▶ Rs.108.20
- ▶ **Rs.92.59**
- ▶ Rs.96.40

Question No: 32 (Marks: 1) - Please choose one

Which one of the following is NOT an example of Centralized exchange?

- ▶ New York Stock Exchange
- ▶ NASDAQ
- ▶ **Large exchanges in London**
- ▶ Large exchanges in Tokyo

Question No: 33 (Marks: 1) - Please choose one

Financial intermediaries provide small lender-savers all of the following advantages

EXCEPT:

- ▶ **Greater liquidity**
- ▶ Lower transaction cost
- ▶ Lower risk
- ▶ Higher return

Question No: 34 (Marks: 1) - Please choose one

The shares of McDonald Corporation stock are examples of:

- ▶ **A standardized financial instrument**
- ▶ A standardized financial liability instrument

- ▶ A non-standardized financial instrument
- ▶ A means of payment

Question No: 35 (Marks: 1) - Please choose one

Which of the following statements is **NOT** correct?

- ▶ **Banks are financial intermediaries**
- ▶ Financial intermediary involves in giving loan and accepting deposit
- ▶ All financial intermediaries are insurance companies
- ▶ Financial intermediaries increase the efficiency of the economy

Question No: 36 (Marks: 1) - Please choose one

Economic research shows:

- ▶ There is a strong inverse correlation between financial market development and economic growth
- ▶ There is weak relation between financial market development and economic growth around 0.25
- ▶ **There is a relatively strong positive correlation between financial market development and economic growth**
- ▶ There isn't any correlation between financial market development and economic growth

Question No: 37 (Marks: 1) - Please choose one

Which of the following statements is correct?

- ▶ If you can buy the same goods this year as you bought last year with less money the money supply decreased.
- ▶ **To purchase the same goods today that were purchased one year ago requires more money, there must have been inflation**
- ▶ To purchase the same goods today as one year ago requires less money, the money supply must have increased
- ▶ To purchase the same goods today that were purchased one year ago requires the same amount of money, there must have been inflation

Question No: 38 (Marks: 1) - Please choose one

The one that you get from bank when you open your checking account is _____.

- ▶ **Debit card**
- ▶ Credit card
- ▶ Store value card
- ▶ Customer card

Question No: 39 (Marks: 1) - Please choose one

Wealth can be held in number of other forms but we use to hold money because of which one of the following reason?

- ▶ It is the only mode of payment
- ▶ It is an asset
- ▶ **It is most liquid**
- ▶ It is the only store of value

Question No: 40 (Marks: 1) - Please choose one

Which of the following are used to monitor and stabilize the economy?

- ▶ Stock exchanges
- ▶ Commercial Banks
- ▶ **Central Banks**
- ▶ Financial institutions

MGT411-Money & Banking

Question # 1

Wider the range of outcome wider will be the _____.

Select Correct Option:

Risk

Profit

Probability

Lose

Question # 2

The interest rate that is involved in _____ calculation is referred to as discount rate

Select Correct Option:

Present value

Future value

Intrinsic value

Discount value

Question # 3

The return on holding a bond till its maturity is called:

Select Correct Option:

Coupon rate

Yield to maturity

Current yield

Internal rate of return

Question # 4

following represents the fisher's equation?

Select Correct Option:

Nominal interest rate = real interest rate + inflation

Nominal interest rate + inflation = real interest rate

Nominal interest rate = real interest rate - inflation

Nominal interest rate = real interest rate / inflation

Question # 5

Bonds without maturity dates are which of the followings?

Select Correct Option:

Zero coupon bonds

Coupon securities

Consols

Preferred Bonds

Question # 6

A risk-averse investor will:

Select Correct Option:

Always prefer an investment with a lower expected return

Always prefer an investment with a certain return to one with the same expected return but any amount of uncertainty

Always require a certain return

Always focus exclusively on the expected return

Question # 7

GDP deflator is called

Select Correct Option:

Retailer price index

Consumer price index

Producer price index

None of above

Question # 8

What will be the effect on the present value if we double the future value of the payment?

Select Correct Option:

It will decrease the value by one-half

It will increase the value by one-half

It will equally increase the value i.e. doubles the value

It will have no effect on the value

Question # 9

Government bonds called Where as corporate bonds are called

Select Correct Option:

Zero coupon bond, coupon bond

Risky bond. Risk free bond

T bill, corporate bond

Console bond, junk bonds

Question # 10

Beside default risk which one if the following factor affects the return on bond?

Select Correct Option:

Taxes

Monetary policy

Junk bonds

Debt

Question # 11

Which of the following are used to monitor and stabilize the economy?

Select Correct Option:

Stock exchanges

Commercial Banks

Central Banks

Financial institutions

Question # 12

What will be the result of the difference of real and nominal interest rate?

Select Correct Option:

The cost of borrowing

The effect of inflation

The price of bonds

The return of bonds

Question # 13

Which of the following expresses 6.5%?

Select Correct Option:

0.0065

6.50

0.650

0.0650

Question # 14

Diversification is the principle of:

Select Correct Option:

Holding more than one risk at a time

Reducing the risks we carry to just two

Creating risk to increase returns

Eliminating investments from our portfolio that have idiosyncratic risk

Question # 15

Current accounts of commercial bank lies in which money aggregate definition?

Select Correct Option:

Currency

M1

M2

M3

Question # 16

Which of the following would be considered characteristic of money?

Select Correct Option:

It is store of value

It pays a higher return than most assets

It is in fixed supply

It is legal tender everywhere in the world

Question # 17

When the price of a bond is above face value:

Select Correct Option:

The yield to maturity will be above the coupon rate

The yield to maturity is below the coupon rate

The yield to maturity will equal zero

The yield to maturity will equal the coupon rate

Question # 19

_____ is the value today of a payment that is promised to be made in the future.

Select Correct Option:

Future value

Present value

Agreed value

None of the given options

Question # 20

Which of the following best describes default risk?

Select Correct Option:

The chance the issuer will be unable to make interest payments or repay principal

The chance the issuer will retire the debt early

The chance the issuing firm will be sold to another firm

The chance the issuer will sell more debt

Question # 21

Considering the Liquidity Premium Theory, if investors expect short term interest rates to decrease:

Select Correct Option:

The yield curve must have a positive slope

The yield curve must be inverted

The yield curve could be flat

The slope of the yield curve should actually increase

Question # 23

Which of the following would probably NOT earn an A rating from Standard & Poor's:

Select Correct Option:

30 years bond issued by the U.S. Treasury

New vegetarian fast-food chain

90 days T-Bills issued by the U.S. Treasury

Both 30 years bond and 90 days T-Bills issued by U.S. Treasury

Question # 24

If YTM is greater than the coupon rate the price of the bond is _____.

Select Correct Option:

Greater than its face value

Lower than its face value

Equals to its face value

All of the given options

Question # 25

If the annual interest rate is 6%, the price of a 1-year Treasury bill with \$100 face value would be:

Select Correct Option:

\$94.00

\$94.33

\$95.25

\$96.10

Question # 26

Time affects the value of which of the following?

Select Correct Option:

Financial Instruments

Financial Markets

Financial Institutions

Central Banks

Question # 27

A risk-averse investor will:

Select Correct Option:

Always prefer an investment with a lower expected return

Always prefer an investment with a certain return to one with the same expected return but any amount of uncertainty

Always require a certain return

Always focus exclusively on the expected return

Question # 28

Investors will hold higher compensation for the _____ investment.

Select Correct Option:

More risky

Less risky

Fixed return

Less dividend

Question # 29

An increase in the expected inflation shifts the bond demand to the _____.

Select Correct Option:

Right

Left

No change

All of the given options

Question # 30

You receive a check for \$100 two years from today. The discounted present value of this \$100 is:

Select Correct Option:

$\$100/(1+i)$

$\$100 \cdot (1+i)^2$

$\$100 \cdot (1+i)$

$\$100/(1+i)^2$

Question # 31

Which of the following is NOT an example of financial institutions?

Select Correct Option:

Banks

Securities firms

Stock exchanges

Insurance companies

Question # 32

The bond rating of a security refers to which of the followings?

Select Correct Option:

The size of the coupon payment relative to the face value

The return a holder is likely to receive

The likelihood the lender/borrower will be repaid by the borrower/issuer

The years until the bond matures

Question # 33

Yield curves show which of the followings?

Select Correct Option:

The relationship between bond interest rates (yields) and bond prices

The relationship between liquidity and bond interest rates (yields)

The relationship between risk and bond interest rates (yields)

The relationship between time to maturity and bond interest rates (yields)

Question # 34

Which of the following best expresses the proceeds a lender receives from a simple loan?

Select Correct Option:

$PV(1 + i)$

FV/i

$PV + i$

PV/i

Question # 35

When the price of a bond is above face value:

Select Correct Option:

The yield to maturity will be above the coupon rate

The yield to maturity is below the coupon rate

The yield to maturity will equal zero

The yield to maturity will equal the coupon rate

Question # 36

What will the yield curve look like if future short-term interest rates are expected to rise sharply?

Select Correct Option:

It will steeply slope upward

It will be horizontal

It will slightly slope upward

It will slope downward

Question # 37

When a bond becomes more liquid relative to its alternatives, the demand curve for bonds shifts to the:

Select Correct Option:

Right

Left

No change

None of the given options

Question # 38

Debt instruments is categorized on the basis of which one of the following?

Select Correct Option:

Loan maturity period

Interest rates

Mode of payment of interest

Amount of the debt taken

Question # 39

Expectation hypothesis focuses on which one of the following?

Select Correct Option:

Risk premium

Risk free interest rate

Yield to maturity

None of the given options

Reference:

Expectations Hypothesis

The risk-free interest rate can be computed, assuming that there is no uncertainty about the future

Question # 40

What characteristic of money is not included in securities characteristics

Select Correct Option:

Mean of payment

Unit of account

Store of value

Transfer of risk

Question # 41

Which one of the following is the narrowest definition of money?

Select Correct Option:

C

M1

M2

M3

Question # 42

Which one of the following is a component of wealth that is held in a readily spendable form?

Select Correct Option:

Money

Bonds

Stocks

Income

Question # 43

A loan that is used to purchase the real estate is known as:

Select Correct Option:

Real estate loan

Home mortgages

Fixed payment loan

Home loan

Question # 44

The default premium:

Select Correct Option:

Is positive for a U.S. Treasury bond

Must always be less than 0 (zero)

Is also known as the risk spread

Is assigned by a bond rating agency

Question # 45

A graph of the term structure with YTM on Y-axis and time to maturity on X-axis is called:

Select Correct Option:

Demand curve

Supply curve

Yield curve

Leffer curve

Question # 46

Which of the following best describes checks?

Select Correct Option:

A means of payment

Money

Not a promise of any kind

Not acceptable by the U.S. Government for payment of taxes.

Question # 47

With direct finance we mean which of the following?

Select Correct Option:

Individuals (or firms) borrow directly from the savers

Individuals (or firms) borrow directly from banks.

Individuals deposit savings directly in banks.

Firms deposit savings directly in banks.

Question # 48

Which of the following best expresses the payment a lender receives for lending their money for four years?

Select Correct Option:

$PV(1+i)^4$

$PV/(1 + i)^4$

$4PV$

$PV/(1 - i)^4$

Question # 49

Which one of the following is true for the relationship between the yield of taxable and tax exempt bond?

Select Correct Option:

Higher the tax rate wider the gap between the yield of taxable and tax exempt bond

Taxable bond yield is always greater than tax exempt bond

Higher the tax rate shorter the gap between yield of taxable and tax exempt bond

Lower the tax rate wider the gap between yield of taxable and tax exempt bond

Question # 50

In which of the following bonds we may ignore the default risk?

Select Correct Option:

Privately issued bonds

Government issued bonds

Bonds issued by Corporate

All of the given options

Question # 51

Which of the following is the least liquid of all?

Select Correct Option:

Money

Bonds & stocks

Lands & buildings

None of the given options

Question # 52

What is primary cause of inflation?

Select Correct Option:

Energy crises

Gold reserve shortage

Issue excessive currency

Rising cost of input

Question # 53

The risk premium for an investment:

Select Correct Option:

Increases with risk

Is a fixed amount added to the risk free return

Is negative for U.S. Treasury Securities

Is negative for risk averse investors

Reference:

Page 35

Question # 54

Which of the following is the measure of likelihood that an event will occur?

Select Correct Option:

Risk

Probability

Frequency

Outcom

Question # 55

Which of the following is NOT included in the definition of M1?

Select Correct Option:

Traveler's checks

Demand deposits

Currency

Gold coins issued by treasury

Question # 56

The liquidity premium theory suggests that yield curves should usually be:

Select Correct Option:

Up-sloping

Inverted

Flat

Up-sloping through year 1, then flat thereafter

Question # 57

If the tax rate is higher than gap between yield on taxable and tax exempt bond?

Select Correct Option:

Shorter

Wider

No gap

Any thing can be possible

Question # 58

The reason for the government to get involved in the financial system is to:

Select Correct Option:

Protect investors

Ensure the stability of the financial system

Protect bank customers from monopolistic exploitation

All of the given options

Reference:

Page92

Question # 59

Financial instruments are evolved just as _____.

Select Correct Option:

Currency

Stock

Bond

Commodity

Question # 60

The longer the time (n) until the payment:

Select Correct Option:

The lower the present value

The higher the present value because time is valuable

The lower must be the interest rate

Time has no effect on present value

Question # 61

Core principles of Money and Banking include each of the following except?

Select Correct Option:

People act rationally

Time has value

Information is the basis for decisions

Risk requires compensation

Question # 62

Which of the following would be included in a definition of risk?

Select Correct Option:

Risk is a not measure of uncertainty

Risk is unavoidable

Risk doesn't have a time horizon

Risk seldom involves some future payoff

Question # 63

The lowest rating for an investment grade bond assigned by Moody's is:

Select Correct Option:

BBB

ABB

Baa

Aaa

Question # 64

The concept of limited liability says a stockholder of a corporation:

Select Correct Option:

Is liable for the corporation's liabilities, but nothing more
Cannot receive dividends that exceed their investment
Cannot own more than five percent of any public corporation
Cannot lose more than their investment

Question # 65

Coupon bonds make the annual payments which are called as _____.

Select Correct Option:

Annual payments

Fixed payments

Coupon payments

Maturity payment

Question # 66

The current yield on a \$10,000, 5% coupon bond selling for \$8,000 is:

Select Correct Option:

5.00%

6.25%

7.50%

8.00%

Question # 67

Home loans and car loans are the example of which one of the following?

Select Correct Option:

Mortgage loans

Pledge

Fixed Payment Loans

Ordinary loan

Question # 68

What is difference between warrant and check?

Select Correct Option:

Check is cleared from bank but warrant is not cleared by bank

Check is not necessarily pay able on demand but warrant is payable on demand

Warrant is not necessarily pay able on demand but check is payable on demand

None of above

Question # 69

The slope of the yield curve seems to predict the performance of the economy with:

Select Correct Option:

Usually 3 months lag

Usually two years lag

Usually within few weeks

Usually one year lag

Question # 70

What is true about the relationship between standard deviation and risk?

Select Correct Option:

Greater the standard deviation greater will be the risk

Greater the standard deviation lower will be the risk

Greater the standard deviation risk remains the same

No relation between them

Question # 71

If YTM equals the coupon rate the price of the bond is _____.

Select Correct Option:

Greater than its face value

Lower than its face value

Equals to its face value

Insufficient information

Question # 72

The Financial Systems makes it easier to trade because it:

Select Correct Option:

Facilitate Payments

Channels Funds from Savers to Borrowers

Enables Risk Sharing

All of the given options

Question # 73

Spreading involves:

Select Correct Option:

Finding assets whose returns are perfectly negatively correlated

Building a portfolio of assets whose returns move together

Investing in bonds and avoiding stocks during bad times

Adding assets to a portfolio that move independently

Question # 74

_____ is the interest rate at which the present value annual revenue equals the cost of the investment.

Select Correct Option:

Fixed rate of interest

Internal rate of return

Variable rate of interest

Nominal rate of interest

Question # 75

The GDP deflator is calculated as_____.

Select Correct Option:

Nominal GDP/Real GDP *100

Real GDP/Nominal GDP

Nominal GDP – Real GDP

Real GDP – Nominal GDP

Question # 76

_____ is the strategy of reducing overall risk by making two investments with opposing risks.

Select Correct Option:

Spreading the risk

Standard deviation

Hedging the risk

Variance

Question # 77

A _____ is a promise to make a series of payments on specific future date.

Select Correct Option:

Stock

Bond

Loan

Cheque

Question # 78

Which one of the following is true for financial intermediaries?

Select Correct Option:

Channel funds from savers to borrowers

Greatly enhance economic efficiency

Have been an source of many financial innovations

All of the given options

Question # 79

There is no guarantee that a bond issuer will make the promised payments is known as which one of the following?

Select Correct Option:

Default risk

Inflation risk

Interest rate risk

Systematic risk

Question # 80

If a bond sells at a premium, where price exceeds face value, then we would expect to see:

Select Correct Option:

Market interest rate the same as the coupon rate

Market interest rates above the coupon rate

Market interest rates below the coupon rate

All of the given options

Question # 81

One of major disadvantage of fiat money is

Select Correct Option:

Only few resources are needed

It may be theft easily

Normally it is obsolete quickly

Pressure or corrupt government may print excessive money

Question # 82

The price of a coupon bond can best be described as:

Select Correct Option:

The present value of the face value

The future value of the coupon payments and the face value

The present value of the coupon payments

Both The present value of the face value and of the coupon payments

Question # 83

The Segmented Markets Theory of term structure suggests that:

Select Correct Option:

Investors have strong pReferences for bonds of a particular maturity

Investors have no **Reference** for short-term bonds over long-term bonds, or vice versa
Interest rates on long-term bonds strongly influence the demand for short-term bonds
Bonds of different maturities are perfect substitutes for each other

Question # 84

Which of the following patterns of term structure occur most frequently?

Select Correct Option:

Ascending yield curve

Descending yield curve

Flat yield curve

Humped yield curve

Question # 85

Economic development measured by

Select Correct Option:

Real GDP/population

Real GDP/ nominal GDP

Real GDP/Real GNP

None of above

Reference:

Financial Development is measured by the commonly used ratio of broadly defined money to GDP. Economic development is measured by the real GDP per capita.

Question # 86

Sum of all the probabilities should be equal to which one of the following?

Select Correct Option:

Zero

One

Two

Three

Question # 87

A financial instrument in which a borrower obtains resources from a lender immediately in exchange for a promised set of payments in the future is called as _____.

Select Correct Option:

Bond

Bank Loan

Home Mortgage

Futures Contract

Question # 88

A brilliant example of risk require compensation

Select Correct Option:

Taking a safe debt

Insurance policy

A person work in office

None of above

Question # 89

An increase in wealth shifts the demand for bonds to the _____.

Select Correct Option:

Left

Right

No change

All of the given options

Question # 90

Internal Rate of Return is _____.

Select Correct Option:

Present value of investment

Future value of its investment + Cost of investment

Cost of investment

Present value of investment + cost of investment

Question # 91

Previously financial markets are located in which of the following?

Select Correct Option:

Coffee houses or Taverns

Stock exchanges

Bazaar

Coffee houses and Stock exchanges

Question # 92

At which money aggregate definitions relation is stronger with inflation and growth

Select Correct Option:

M1

M2

M3

None of above

Question # 93

The shape of the yield curve is usually:

Select Correct Option:

Upward sloping

Downward sloping

Upward sloping for shorter maturities and downward sloping for longer maturities

Flat

Question # 94

When the auto manufacturing industry does poorly due to a recession this is an example of:

Select Correct Option:

Idiosyncratic risk

Systematic risk

Risk premium

Unique risk

Question # 95

Mr A need 1000000 to buy a car for his personal use he contact with bank that give his loan this would be called

Select Correct Option:

Direct finance

Indirect finance

Facilitate payment

All of above

Question # 96

Which one of the following is NOT true for the expectation hypothesis?

Select Correct Option:

Risk free interest rate can be computed

There is uncertainty in the future

Identifying yield of bond today that will be available next year

It focuses on risk free interest rate and the risk premium

Question # 97

Mark borrows \$8,000 and then repays \$8,600 to ABC bank. What is the amount of interest in this payment?

Select Correct Option:

\$600

\$500

\$400

\$100

Question # 98

In the long run, the yield curve tends to be which of the following?

Select Correct Option:

Upward sloping

Downward sloping

Nearly vertical

Nearly horizontal

Question # 99

Which of the following is NOT a depository financial institution?

Select Correct Option:

Credit Union

Savings and Loan

Commercial bank

Life Insurance Company

Question # 100

Which of the following best describes the relationship between Bond prices and yields?

Select Correct Option:

Move together inversely

Bond yields do not change since the coupon is fixed

Move together directly

Are independent of each other

Question # 101

According to the rule of 72 for reasonable rates of return, the time it takes to _____ the money will be $t = 72/i\%$

Select Correct Option:

Doubles

Triples

halves

$\frac{3}{4}$

Question # 102

Which one of the following agencies assesses the default risk of different issuers?

Select Correct Option:

Insurance companies

Bond issuing

Credit rating

Recruitment agencies

Question # 103

The risk premium of a bond will:

Select Correct Option:

Higher for investment-grade bonds than for high-yield bonds

Positive but small if the risk of default is zero

Decrease when the default risk rises

Increase when the risk of default rises

Question # 104

The relationship between the price and the interest rate for a zero coupon bond is best described as:

Select Correct Option:

Volatile

Stable

Non-existent

Inverse

Question # 105

Which is broadly used as money aggregate?

Select Correct Option:

M1

M2

M3

None of above

Question # 106

Which characteristic are common both in money and securities

Select Correct Option:

Transfer of risk, store of value

Unit of account, mean of payment

Mean of payment, transfer of risk

Store of value, mean of payment

Question # 107

According to the liquidity premium theory of the term structure, when the yield curve has its usual slope, the market expects

Select Correct Option:

Short-term interest rates to rise sharply

Short-term interest rates to stay near their current levels

Short-term interest rates to drop sharply

Short-term interest rates does not change

Question # 108

What is the true relationship that exists between default risk and yield?

Select Correct Option:

Higher the default risk, higher the yield

Lower the default risk, higher the yield

Higher the default risk yield will remain constant

Lower the default risk yield will remain constant

Question # 109

Which of the following financial instruments NOT used primarily as store of value?

Select Correct Option:

Options

Stocks

Home mortgage

Bonds

Question # 110

Which of the variable measured in point of time?

Select Correct Option:

Flow variable

Stock variable

Both flow variable and stock variable

None of above

Question # 111

A business cycle downturn shifts the bond supply to the:

Select Correct Option:

Right

Left

No change

None of the given options

MIDTERM EXAMINATION

Spring 2009

MGT411- Money & Banking

Question No: 1 (Marks: 1) - Please choose one

Which of the following are without maturity dates?

- ▶ Zero coupon bonds
- ▶ Coupon securities
- ▶ **Consols**
- ▶ Preferred Bonds

Question No: 2 (Marks: 1) - Please choose one

Which of the following institution takes direct deposit from customer and gives loan to customer directly?

- ▶ Zarai Tarkaytee Bank LTD
- ▶ Soneri Bank
- ▶ Khushali Bank
- ▶ **Credit union**

Question No: 3 (Marks: 1) - Please choose one

Mr. Ghazanfar obtains a home improvement loan from Allied Bank. This loan is:

- ▶ Mr. Ghazanfar's asset and the bank's liability
- ▶ Mr. Ghazanfar 's asset, but the liability belongs to the bank's depositors
- ▶ **Mr. Ghazanfar 's liability and an asset for the bank**
- ▶ Both Mr. Ghazanfar's and bank's liability

Question No: 4 (Marks: 1) - Please choose one

Components of M_1 **DO NOT** include which one of the following?

- ▶ Currency in the hands of public
- ▶ Demand deposits
- ▶ **Small denominations time deposit**
- ▶ Checkable deposits

Question No: 5 (Marks: 1) - Please choose one

Which of the following has created an opportunity for small investors to participate in economic activity?

- ▶ **Mutual funds**
- ▶ Small corporations
- ▶ Stock brokers
- ▶ Small investors cannot take part in economic activity

Question No: 6 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of financial institutions?

- ▶ Bank
- ▶ Securities firm
- ▶ **Stock exchange**
- ▶ Insurance company

Question No: 7 (Marks: 1) - Please choose one

Requiring a large deductible on the part of an insured is one way insurers treat the problem of:

- ▶ Free-riding
- ▶ **Moral hazard**
- ▶ Adverse selection
- ▶ The Lemons market

Question No: 8 (Marks: 1) - Please choose one

In a financial market where information is symmetric:

- ▶ **The same information would be known by both parties in a transaction**
- ▶ One party to a transaction knows information the other party does not
- ▶ The ability to obtain information is available to only one party
- ▶ All of the given options

Question No: 9 (Marks: 1) - Please choose one

When stock prices reflect fundamental values:

- ▶ All investors will experience capital gains

► All companies will have an easier task of obtaining financing for investment projects

► **The allocation of resources will be more efficient**

► The overall level of the stock market should move higher continuously

Question No: 10 (Marks: 1) - Please choose one

An index number is a valuable tool because:

► The number by itself provides all of the useful information needed

► **The index provides a meaningful measurement scale to calculate percentage changes**

► The index is more stable than the data it reflects

► It does not require any calculations to compute percentage changes

Question No: 11 (Marks: 1) - Please choose one

The concept of limited liability says a **stockholder** of a corporation:

► Is liable for the corporation's liabilities, but nothing more

► Cannot receive dividends that exceed their investment

► Cannot own more than five percent of any public corporation

► **Cannot lose more than their investment**

Question No: 12 (Marks: 1) - Please choose one

Other things remaining equal, the liquidity premium theory is based upon the idea that _____.

► Investors prefer long-term bonds

► **Investors prefer short-term bonds**

► Investors are indifferent between short-term and long-term bonds

► Investors prefer intermediate-term bonds

Question No: 13 (Marks: 1) - Please choose one

Which one of the following is **NOT** true for the expectation hypothesis?

► Risk free interest rate can be computed

► There is uncertainty in the future

► Identifying yield of bond today that will be available next year

► **It focuses on risk free interest rate and the risk premium**

Question No: 14 (Marks: 1) - Please choose one

A graph of the term structure with YTM on Y-axis and time to maturity on X-axis is called:

► Demand curve

► Supply curve

► **Yield curve**

► Leffer curve

Question No: 15 (Marks: 1) - Please choose one

	Bond A	Bond B
Maturity	5 years	10 years

Default risk	5%	5%
Tax rate	30%	30%
Yield	?	?

See the above table and choose the one option which is **NOT** correct about the yield of Bond A and Bond B?

► **Bond tax status and default rate are not the only factors that affect the yield of the two bonds**

► Bond A has different yield from that of Bond B because of change in maturity period

► Yields of both the bonds are not disturbed by maturity period

► Yield of Bond B depends on what people expect to happen in years to come

Question No: 16 (Marks: 1) - Please choose one

The _____ are an assessment of the creditworthiness of the corporate issuer.

► Bond yield

► **Bond ratings**

► Bond risk

► Bond price

Question No: 17 (Marks: 1) - Please choose one

The bond rating of a security refers to which of the followings?

► The size of the coupon payment relative to the face value

► The return a holder is likely to receive

► **The likelihood the lender/borrower will be repaid by the borrower/issuer**

► The years until the bond matures

Question No: 18 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond demand to the _____

► **Right**

► Left

► No change

► None of the given options

Question No: 19 (Marks: 1) - Please choose one

The current yield on a \$10,000, 5% coupon bond selling for \$8,000 is:

► **6.25%**

► 7.50%

► 8.00%

► 5.00%

Question No: 20 (Marks: 1) - Please choose one

If the annual interest rate is 6% (.06); the price of a one year Treasury bill would be:

► \$94.00

► **\$94.33**

► \$95.25

- ▶ \$96.10

Question No: 21 (Marks: 1) - Please choose one

The return on holding a bond till its maturity is called:

- ▶ Coupon rate
- ▶ **Yield to maturity**
- ▶ Current yield
- ▶ Fixed return

Question No: 22 (Marks: 1) - Please choose one

Which of the following best describes the relationship between Bond prices and yields?

- ▶ Move together directly
- ▶ Independent of each other
- ▶ **Move together inversely**
- ▶ Bond yields do not change since the coupon is fixed

Question No: 23 (Marks: 1) - Please choose one

Mr. A has a Treasury bill with a maturity period of 6 months where as Mr. B has a bond with a maturity period of 1 year. Which of the following statement is **NOT** true for this situation?

- ▶ Mr. A has paid less price for his bond than Mr. B
- ▶ **Mr. A and Mr. B is a holder of zero coupon bond**
- ▶ Mr. A will receive payment at the end of the maturity period
- ▶ Mr. B will receive the payment at the end of the maturity period

Question No: 24 (Marks: 1) - Please choose one

What is true relationship between return and risk?

- ▶ Lower the risk greater the return
- ▶ **Greater the risk greater the return**
- ▶ Greater the risk no change in return
- ▶ No relationship between them

Question No: 25 (Marks: 1) - Please choose one

Sum of all the probabilities should be equal to which one of the following?

- ▶ Zero
- ▶ **One**
- ▶ Two
- ▶ Three

Question No: 26 (Marks: 1) - Please choose one

_____ measures the probability of worst outcome in any investment project.

- ▶ Variance
- ▶ Standard deviation
- ▶ **Value at risk**
- ▶ Hedging

Question No: 27 (Marks: 1) - Please choose one

The variance is generally less useful than the standard deviation on which of the following reasons?

- ▶ Variance is easier to calculate
- ▶ Variance is a measure of risk, whereas standard deviation is a measure of return
- ▶ **Variance isn't calculated in the same units as payoffs where as standard**

deviation is

- ▶ Both are equally useful

Question No: 28 (Marks: 1) - Please choose one

A credit market instrument that pays the owner a fixed coupon payment every year until the maturity date and then repays the face value is called:

- ▶ Simple loan
- ▶ Fixed-payment loan
- ▶ **Coupon bond**
- ▶ Discount bond

Question No: 29 (Marks: 1) - Please choose one

Which of the following provides the greatest incentive to borrow?

- ▶ A high real interest rate
- ▶ **A low real interest rate**
- ▶ A high nominal interest rate
- ▶ A low nominal interest rate

Question No: 30 (Marks: 1) - Please choose one

An investment carrying a current cost of \$130,000 is going to generate \$70,000 of revenue for each of the next three years. To calculate the internal rate of return we need to:

- ▶ Calculate the present value of each of the \$70,000 payments and multiply these and set this equal to \$130,000
- ▶ Take the present value of \$210,000 for three years from now and set this equal to \$130,000
- ▶ **Set the sum of the present value of \$70,000 for each of the next three years equal to \$130,000**
- ▶ Subtract \$130,000 from \$210,000 and set this difference equal to the interest rate

Question No: 31 (Marks: 1) - Please choose one

A borrower is promised a \$100 payment (including interest) one year from today. If the lender has an 8% opportunity cost of money, he should be willing to accept what amount today?

- ▶ Rs.100.00
- ▶ Rs.108.20
- ▶ **Rs.92.59**
- ▶ Rs.96.40

Question No: 32 (Marks: 1) - Please choose one

Which one of the following is **NOT** an example of Centralized exchange?

- ▶ New York Stock Exchange
- ▶ NASDAQ
- ▶ **Large exchanges in London**
- ▶ Large exchanges in Tokyo

Question No: 33 (Marks: 1) - Please choose one

Financial intermediaries provide small lender-savers all of the following advantages

EXCEPT:

- ▶ **Greater liquidity**
- ▶ Lower transaction cost
- ▶ Lower risk
- ▶ Higher return

Question No: 34 (Marks: 1) - Please choose one

The shares of McDonald Corporation stock are examples of:

- ▶ **A standardized financial instrument**
- ▶ A standardized financial liability instrument
- ▶ A non-standardized financial instrument
- ▶ A means of payment

Question No: 35 (Marks: 1) - Please choose one

Which of the following statements is **NOT** correct?

- ▶ **Banks are financial intermediaries**
- ▶ Financial intermediary involves in giving loan and accepting deposit
- ▶ All financial intermediaries are insurance companies
- ▶ Financial intermediaries increase the efficiency of the economy

Question No: 36 (Marks: 1) - Please choose one

Economic research shows:

- ▶ There is a strong inverse correlation between financial market development and economic growth
- ▶ There is weak relation between financial market development and economic growth around 0.25
- ▶ **There is a relatively strong positive correlation between financial market development and economic growth**
- ▶ There isn't any correlation between financial market development and economic growth

Question No: 37 (Marks: 1) - Please choose one

Which of the following statements is correct?

- ▶ If you can buy the same goods this year as you bought last year with less money the money supply decreased.
- ▶ **To purchase the same goods today that were purchased one year ago requires more money, there must have been inflation**
- ▶ To purchase the same goods today as one year ago requires less money, the

money supply must have increased

► To purchase the same goods today that were purchased one year ago requires the same amount of money, there must have been inflation

Question No: 38 (Marks: 1) - Please choose one

The one that you get from bank when you open your checking account is _____.

- **Debit card**
- Credit card
- Store value card
- Customer card

Question No: 39 (Marks: 1) - Please choose one

Wealth can be held in number of other forms but we use to hold money because of which one of the following reason?

- It is the only mode of payment
- It is an asset
- **It is most liquid**
- It is the only store of value

Question No: 40 (Marks: 1) - Please choose one

Which of the following are used to monitor and stabilize the economy?

- Stock exchanges
- Commercial Banks
- **Central Banks**
- Financial institutions

Question No: 41 (Marks: 10)

“A financial instrument is a real or virtual document representing a legal agreement involving some sort of monetary value.” Discuss further on financial instruments by giving examples. Point out some of its uses and important characteristics.

ANSWER: Financial Instrument: Financial instrument is a written obligation of one party to transfer something of value to another party at a future date under certain conditions.

- By written obligation we mean that it is enforced by the government and this obligation is an important feature of a financial instrument.
- The party here can be an individual, company or a government
- Future date can be specified or when some event occurs.

Examples: Stocks, bonds, insurance etc are examples of financial instruments.

Characteristics of Financial Instruments: There are certain characteristics of financial instruments.

1. **Standardization:** It is a standardized agreement which enables reduction in costs of complexity. So because of this most financial instruments today are similar.
2. **Communicate Information:** Provide certain important information about the issuer which otherwise would have been difficult to gather for the lenders.

Value of Financial Instruments: The value of financial instruments depends on various factors.

- **Size:** Larger the promised payment more valuable is the financial instrument.
- **Timing:** The sooner the payment is made increases the value of financial instrument.
- **Risk:** A financial instrument is more valuable if there are greater possibilities that payment will be made.
- **Circumstances:** Payments made when needed the most makes the financial instrument more valuable.

Uses of Financial Instruments:

- **Store Of Value:**

Stocks: The stock holder is a part owner of the firm and receives part of its profits.

Bonds: A form of loan which promises to make repayment in future dates.

Bank loans: Borrowers obtains resources from lenders in exchange of promised payments.

- **Transfer of Risk:**

Insurance: Takes premium to assure payment under particular conditions (accident, death etc)

Future contracts: It is an agreement to exchange fixed quantity of a commodity or an asset at a fixed price. Transfer risk of price fluctuations.

Options: Gives holder the right to purchase fixed quantity of an underlying asset at predetermined price within a specific period.

Question # 1 of 15

Saving occurs normally in

Select correct option:

Early age

Middle age

Old age

None of above

Question # 2 of

What will be the result of the difference of real and nominal interest rate?

Select correct option:

The cost of borrowing

The effect of inflation

The price of bonds

The return of bonds

Question # 3 of 15

Sum of all the probabilities should be equal to which one of the following?

Select correct option:

Zero

One

Two

Three

Question # 4 of 15

Bonds that are issued by Government are called _____.

Select correct option:

Government bond

Treasury bond

Corporate bond

Callable Bonds

Question # 5 of 15

A _____ is a promise to make a series of payments on specific future date.

Select correct option:

Stock

Bond

Loan

Cheque

Question # 6 of 15

Which of the following is the measure of likelihood that an event will occur?

Select correct option:

Risk

Probability

Frequency

Outcom

Question # 7 of 15

Economic development measured by

Select correct option:

Real GDP/population

Real GDP/ nominal GDP

Real GDP/Real GNP

None of above

Question # 8 of 15

The reason for the government to get involved in the financial system is to:

Select correct option:

Protect investors

Ensure the stability of the financial system

Protect bank customers from monopolistic exploitation

All of the given options

Question # 9 of 15

The interest rate that is involved in _____ calculation is referred to as discount rate

Select correct option:

Present value

Future value

Intrinsic value

Discount value

Question # 10 of 15

The relationship between the price and the interest rate for a zero coupon bond is best described as:

Select correct option:

Volatile

Stable

Non-existent

Inverse

Question # 11 of 15

At which money aggregate definitions relation is stronger with inflation and growth

Select correct option:

M1

M2

M3

None of above

Question # 12 of 15 (Start time: 12:07:59 PM) Total Marks: 1

_____ is the interest rate at which the present value annual revenue equals the cost of the investment.

Select correct option:

Fixed rate of interest

Internal rate of return

Variable rate of interest

Nominal rate of interest

Question # 13 of 15

Which of the following is the least liquid of all?

Select correct option:

Money

Bonds & stocks

Lands & buildings

None of the given options

Question # 14 of 15

Time affects the value of which of the following?

Select correct option:

Financial Instruments

Financial Markets

Financial Institutions

Central Banks

Question # 15 of 15

The longer the time (n) until the payment:

Select correct option:

The lower the present value

The higher the present value because time is valuable

The lower must be the interest rate

Time has no effect on present value

2nd One

Question # 1 of 15

A brilliant example of risk require compensation

Select correct option:

Taking a safe debt

Insurance policy

A person work in office

None of above

Question # 2 of 15

Which of the following best describes the relationship between Bond prices and yields?

Select correct option:

Move together inversely

Bond yields do not change since the coupon is fixed

Move together directly

Are independent of each other

Question # 3 of 15

The relationship between the price and the interest rate for a zero coupon bond is best described as:

Select correct option:

Volatile

Stable

Non-existent

Inverse

Question # 4 of 15

Which of the following are used to monitor and stabilize the economy?

Select correct option:

Stock exchanges

Commercial Banks

Central Banks

Financial institutions

Question # 5 of 15

What is true relationship between return and risk?

Select correct option:

Lower the risk greater the return

Greater the risk greater the return

Greater the risk the return will remain constant

No relationship between them

Question # 6 of 15

Which of the following would be included in a definition of risk?

Select correct option:

Risk is a not measure of uncertainty

Risk is unavoidable

Risk doesn't have a time horizon

Risk seldom involves some future payoff

Question # 7 of 15

Which of the following best expresses the proceeds a lender receives from a simple loan?

Select correct option:

PV(1 + i)

FV/i

PV + i

PV/i

Question # 8 of 15

Financial development measured by

Select correct option:

M1/GDP

M2/GDP

M3/DGP

All of above

Question # 10 of 15

Financial instruments are evolved just as _____.

Select correct option:

Currency

Stock

Bond

Commodity

Question # 11 of 15

Which one of the following is true for financial intermediaries?

Select correct option:

Channel funds from savers to borrowers

Greatly enhance economic efficiency

Have been a source of many financial innovations

All of the given options

Question # 12 of 15

If YTM is less than the coupon rate the price of the bond is _____.

Select correct option:

Greater than its face value

Lower than its face value

Equals to its face value

All of the given options

Question # 14 of 15

With direct finance we mean which of the following?

Select correct option:

Individuals (or firms) borrow directly from the savers

Individuals (or firms) borrow directly from banks.

Individuals deposit savings directly in banks.

Firms deposit savings directly in banks.

Question # 15 of 15 (Start time: 12:30:33 PM) Total Marks: 1

Mr A need 1000000 to buy a car for his personal use he contact with bank that give his loan this would be called

Select correct option:

Direct finance

Indirect finance

Facilitate payment

All of above

MGT411 Solved MCQ

Question # 1 of 20

Bonds without maturity dates are which of the followings?

Select correct option:

Zero coupon bonds

Coupon securities

Consols

Preferred Bonds

Question # 4 of 20 (Start time: 08:02:08 PM)

Total Marks: 1

Which of the following represents the fisher's equation?

Select correct option:

Nominal interest rate = real interest rate + inflation

Nominal interest rate + inflation = real interest rate

Nominal interest rate = real interest rate - inflation

Nominal interest rate = real interest rate / inflation

Question # 5 of 20 (Start time: 08:03:08 PM)

Total Marks: 1

The return on holding a bond till its maturity is called:

Select correct option:

Coupon rate

Yield to maturity

Current yield

Internal rate of return

Question # 6 of 20 (Start time: 08:03:27 PM)

Total Marks: 1

Wider the range of outcome wider will be the _____.

Select correct option:

Risk

Profit

Probability

Lose

Question # 7 of 20 (Start time: 08:04:42 PM)

Total Marks: 1

The interest rate that is involved in _____ calculation is referred to as discount rate

Select correct option:

Present value

Future value

Intrinsic value
Discount value

Question # 8 of 20 (Start time: 08:06:05 PM)

Total Marks: 1

Bonds that are issued by Government are called _____.

Select correct option:

Government bond

Treasury bond

Corporate bond

Callable Bonds

Question # 13 of 20 (Start time: 08:13:26 PM)

Total Marks: 1

If a bond sells at a premium, where price exceeds face value, then we would expect to see:

Select correct option:

Market interest rate the same as the coupon rate

Market interest rates above the coupon rate

Market interest rates below the coupon rate

All of the given options

Question # 14 of 20 (Start time: 08:14:49 PM)

Total Marks: 1

With direct finance we mean which of the following?

Select correct option:

Individuals (or firms) borrow directly from the savers

Individuals (or firms) borrow directly from banks.

Individuals deposit savings directly in banks.

Firms deposit savings directly in banks.

Question # 15 of 20 (Start time: 08:16:14 PM)

Total Marks: 1

Investors will hold higher compensation for the _____ investment.

Select correct option:

More risky

Less risky

Fixed return

Less dividend

Question # 16 of 20 (Start time: 08:17:16 PM)

Total Marks: 1

Which of the following best expresses the proceeds a lender receives from a simple loan?

Select correct option:

$PV(1 + i)$

FV/i

$PV + i$

PV/i

Question # 17 of 20 (Start time: 08:18:11 PM)

Total Marks: 1

A financial instrument in which a borrower obtains resources from a lender immediately in exchange for a promised set of payments in the future is called as _____.

Select correct option:

Bond

Bank Loan

Home Mortgage

Futures Contract

Question # 18 of 20 (Start time: 08:19:18 PM)

Total Marks: 1

According to the rule of 72 for reasonable rates of return, the time it takes to _____ the money will be $t = 72/i\%$

Select correct option:

Doubles

Triples

halves

3/4

Question # 19 of 20 (Start time: 08:19:37 PM)

Total Marks: 1

The return on the bond is equal to which of the following?

Select correct option:

Coupon rate + rate of capital gains

Current yield + rate of capital gains

Coupon rate - rate of capital gains

Current yield - rate of capital gains

Question # 20 of 20 (Start time: 08:21:06 PM)

Total Marks: 1

A loan that is used to purchase the real estate is known as:

Select correct option:

Real estate loan

Home mortgages

Fixed payment loan

Home loan

Question # 2 of 20

When a bond becomes more liquid relative to its alternatives, the demand curve for bonds shifts to the:

Select correct option:

Right

Left

No change

None of the given options

Question # 4 of 20

Consumer Price Index (CPI) measures the:

Select correct option:

Changes in the quantity

Changes in the prices

Changes in the cost

Changes in the profit

Question # 5 of 20

A risk-averse investor will:

Select correct option:

Always prefer an investment with a lower expected return

Always prefer an investment with a certain return to one with the same expected return but any amount of uncertainty

Always require a certain return

Always focus exclusively on the expected return

Question # 9 of 20

Total Marks: 1

Which of the following best represent the true relationships between interest rates and bond prices?

Select correct option:

Move in the same direction

Move in opposite direction

Sometimes move in the same direction, some times in opposite direction

Have no relationship with each other (i.e. they are independent)

Question # 10 of 20

Total Marks: 1

Which one of the following is a component of wealth that is held in a readily spendable form?
Select correct option:

Money

Bonds

Stocks

Income

Question # 11 of 20

Total Marks: 1

The return on the bond is equal to which of the following?

Select correct option:

Coupon rate + rate of capital gains

Current yield + rate of capital gains

Coupon rate - rate of capital gains

Current yield - rate of capital gains

Question # 13 of 20 (Start time: 08:41:14 PM)

Time affects the value of which of the following?

Select correct option:

Financial Instruments

Financial Markets

Financial Institutions

Central Banks

Question # 14 of 20

Total Marks: 1

Which of the following statement is true about the relation ship between bond ,coupon payment and interest?

Select correct option:

Coupon payments fall, the interest rate falls, and Bond price will rise

Coupon payments rises, the interest rate falls, and Bond price will rise

Coupon payments fall, the interest rate falls, and Bond price will fall

Coupon payments rise, the interest rate falls, and Bond price will fall

Question # 15 of 20

Total Marks: 1

The current yield on a \$10,000, 5% coupon bond selling for \$8,000 is:

Select correct option:

5.00%

6.25%

7.50%

8.00%

solution = coupon payment/price (so coupon payment 5%of 10,000 = 500)
= 500/8000 = .0625 *100 = 6.25%

Question # 19 of 20

Total Marks: 1

There is no guarantee that a bond issuer will make the promised payments is known as which one of the following?

Select correct option:

Default risk

Inflation risk
Interest rate risk
Systematic risk

Question # 20 of 20

Total Marks: 1

What will be the result of the difference of real and nominal interest rate?

Select correct option:

The cost of borrowing

The effect of inflation

The price of bonds
The return of bonds

Question # 1 of 20

The Financial Systems makes it easier to trade because it:

Select correct option: Facilitate Payments

Channels Funds from Savers to Borrowers

Enables Risk Sharing

All of the given options

Question # 2 of 20

The process of financial intermediation:

Select correct option:

Creates a net cost to an economy but is unavoidable

Is used primarily in underdeveloped countries

Is always used when a borrower needs to obtain funds

Increases the economy's ability to produce

Question # 3 of 20

What is true relationship between return and risk?

Select correct option:

Lower the risk greater the return

Greater the risk greater the return

Greater the risk the return will remain constant

Question # 4 of 20

Financial instruments are evolved just as _____.

Select correct option:

Currency

Stock
Bond
Commodity

Question # 5 of 20

Beside default risk which one if the following factor affects the return on bond?

Select correct option:

Taxes

Monetary policy

Junk bonds

Debt

The second important factor that affects the return on a bond is taxes

Question # 7 of 20 (Start time: 06:31:33 PM) Total Marks: 1

Which of the following is the measure of likelihood that an event will occur?

Select correct option:

Risk

Probability

Frequency

Question # 8 of 20

According to the liquidity premium theory of the term structure, when the yield curve has its usual slope, the market expects

Select correct option:

Short-term interest rates to rise sharply

Short-term interest rates to stay near their current levels

Short-term interest rates to drop sharply

Short-term interest rates does not change

Question # 9 of 20 Home loans and car loans are the example of which one of the following?

Select correct option:

Mortgage loans

Pledge

Fixed Payment Loans

Fixed Payment Loans

They promise a fixed number of equal payments at regular intervals

Home mortgages and car loans are examples of fixed payment loans

Question # 10 of 20

Which one of the following is the procedure of finding out the Present Value (PV)?

Select correct option:

Discounting

Compounding

Time value of money

Bond pricing

Question # 12 of 20

Considering the Liquidity Premium Theory, if investors expect short term interest rates to decrease:

Select correct option:

The yield curve must have a positive slope

The yield curve must be inverted

The yield curve could be flat

The slope of the yield curve should actually increase

Question # 14 of 20

Most of the people among us are _____.

Select correct option:

Risk lovers

Risk enhancers

Risk averse

Risk tolerating

Question # 15 of 20

A risk-averse investor will:

Select correct option:

Always prefer an investment with a lower expected return

Always prefer an investment with a certain return to one with the same expected return but any amount of uncertainty

Always require a certain return

Always focus exclusively on the expected return

Question # 16 of 20

The liquidity premium theory suggests that yield curves should usually be:

Select correct option:

Up-sloping

Inverted

Flat

Up-sloping through year 1, then flat thereafter

Wider the range of outcome wider will be the _____.

Select correct option:

Risk

Profit

Probability

Measuring Risk

Most of us have an intuitive sense for risk and its measurement;

The wider the range of outcomes the greater the risk

The return on holding a bond till its maturity is called:

Coupon rate

Yield to maturity

Current yield
Fixed return

Question # 20 of 20

If information in a financial market is asymmetric, this means:

Select correct option:

Borrowers and lenders have perfect information

Borrowers would have more information than lenders

Borrowers and lenders have the same information

Lenders lack any information

According to the rule of 72 for reasonable rates of return, the time it takes to _____ the money will be $t = 72/i\%$

Select correct option:

Doubles

Triples

Halves

3/4

Stock market bubbles can lead to:

Select correct option:

An inefficient allocation of resources

Stock market crashes

Patterns of volatile returns from the stock market

All of the given options

Which one of the following is true for the relationship between the yield of taxable and tax exempt bond?

Select correct option:

Higher the tax rate wider the gap between the yield of taxable and tax exempt bond

Taxable bond yield is always greater than tax exempt bond

Higher the tax rate shorter the gap between yield of taxable and tax exempt bond

Lower the tax rate wider the gap between yield of taxable and tax exempt bond
change

The Dividend-Discount Model of stock valuation:

Select correct option:

Takes the annual dividend, adds it to the expected future selling price and divides by the number of years to get the current price

Takes the net present value of expected dividends and add it to the future sale price of the stock

Takes the net present value of the expected future price of the stock and add the annual dividend

Is an application of the net present value formula

In which of the following bonds we may ignore the default risk?

Select correct option:

Privately issued bonds

Government issued bonds

Bonds issued by Corporate

All of the given options

The slope of the yield curve seems to predict the performance of the economy with:
Select correct option:

- Usually 3 months lag
- Usually two years lag
- Usually within few weeks
- Usually one year lag**

The GDP deflator is calculated as _____.
Select correct option:

- Nominal GDP/Real GDP *100**
- Real GDP/Nominal GDP
- Nominal GDP – Real GDP
- Real GDP – Nominal GDP

What is true about the relationship between standard deviation and risk?
Select correct option:

- Greater the standard deviation greater will be the risk**
- Greater the standard deviation lower will be the risk
- Greater the standard deviation risk remains the same
- No relation between them

The concept of limited liability says a stockholder of a corporation:
Select correct option:

- Is liable for the corporation's liabilities, but nothing more
- Cannot receive dividends that exceed their investment
- Cannot own more than five percent of any public corporation
- Cannot lose more than their investment**

Which of the following best describes the relationship between Bond prices and yields?
Select correct option:

- Move together inversely**
- Bond yields do not change since the coupon is fixed
- Move together directly
- Are independent of each other

Which of the following best expresses the payment a lender receives for lending their money for four years?
Select correct option:

- $PV(1+i)^4$**
- $PV/(1+i)^4$
- $4PV$
- $PV/(1-i)^4$

If YTM is greater than the coupon rate the price of the bond is _____.
Select correct option:

- Greater than its face value
- Lower than its face value**

Equals to its face value
All of the given options

Bond Price < Face Value:
Coupon Rate < Current Yield < Yield to Maturity

Question # 1

The _____ are an assessment of the creditworthiness of the corporate issuer.
Select correct option:

Bond yield

Bond price

Bond risk

Bond ratings

Bond price

Question # 2

Which of the following statement is true for the given sentence, "that tax affects the bond return"?
Select correct option:

Because only interest income they receive from bond is taxable

Because principal amount and interest income they receive from bond is taxable

Because bond holders are taxpayers

Because all bond is sold with a condition that tax will be deducted from its return

The second important factor that affects the return on a bond is taxes
Bondholders must pay income tax on the interest income they receive from privately issued

Question # 3

The relationship between the price and the interest rate for a zero coupon bond is best described as:
Select correct option:

Volatile

Stable

Non-existent

Inverse

Question # 4

When stock prices reflect fundamental values:

Select correct option:

All investors will experience capital gains

All companies will have an easier task of obtaining financing for investment projects

The allocation of resources will be more efficient

The overall level of the stock market should move higher continuously

Question # 5

Coupon bonds make the annual payments which are called as _____.

Select correct option:

Annual payments

Fixed payments

Coupon payments

Maturity payment

Question # 6

If information in a financial market is asymmetric, this means:

Select correct option:

Borrowers and lenders have perfect information

Borrowers would have more information than lenders

Borrowers and lenders have the same information

Lenders lack any information

Question # 7

If YTM equals the coupon rate the price of the bond is _____.

Select correct option:

Greater than its face value

Lower than its face value

Equals to its face value

Insufficient information

Question # 8

The Financial Systems makes it easier to trade because it:

Select correct option:

Facilitate Payments

Channels Funds from Savers to Borrowers

Enables Risk Sharing

All of the given options

Question # 9 of

Debt instruments is categorized on the basis of which one of the following?

Select correct option:

Loan maturity period

Interest rates

Mode of payment of interest

Amount of the debt taken

Question # 10

The return on holding a bond till its maturity is called:

Select correct option:

Coupon rate

Yield to maturity

Current yield

Internal rate of return

Question # 11

Which of the following are used to monitor and stabilize the economy?

Select correct option:

Stock exchanges

Commercial Banks

Central Banks

Financial institutions

Question # 12

Previously financial markets are located in which of the following?

Select correct option:

Coffee houses or Taverns .

Stock exchanges

Bazaar

Coffee houses and Stock exchanges

Financial Markets

To buy and sell financial instruments quickly and cheaply

Evolved from coffeehouses to trading places (Stock exchanges) to electronic networks

Transactions are much more cheaper now

Markets offer a broader array of financial instruments than were available even 50 years ago

Question # 13

Requiring a large deductible on the part of an insured is one way insurers treat the problem of:

Select correct option:

Free-riding

Moral hazard

Adverse selection
The Lemons market

Question # 14

Which one of the following is the procedure of finding out the Present Value (PV)?
Select correct option:

Discounting

Compounding
Time value of money
Bond pricing

Question # 15

_____ are organized to eliminate the need of costly information gathering.
Select correct option:

Central bank
Commercial banks

Stock exchanges

Insurance companies

Question # 16

With direct finance we mean which of the following?
Select correct option:

Individuals (or firms) borrow directly from the savers

Individuals (or firms) borrow directly from banks.
Individuals deposit savings directly in banks.
Firms deposit savings directly in banks.

Question # 17

Yield curves show which of the followings?
Select correct option:

The relationship between bond interest rates (yields) and bond prices
The relationship between liquidity and bond interest rates (yields)
The relationship between risk and bond interest rates (yields)

The relationship between time to maturity and bond interest rates (yields)

Question # 18

In a financial market where information is symmetric:
Select correct option:

The same information would be known by both parties in a transaction

One party to a transaction knows information the other party does not

The ability to obtain information is available to only one party

All of the given options

Question # 19

Other things remaining equal, the liquidity premium theory is based upon the idea that

_____.

Select correct option:

Investors prefer long-term bonds

Investors prefer short-term bonds

Investors are indifferent between short-term and long-term bonds

Investors prefer intermediate-term bonds

Question # 20

Spreading involves:

Select correct option:

Finding assets whose returns are perfectly negatively correlated

Building a portfolio of assets whose returns move together

Investing in bonds and avoiding stocks during bad times

Adding assets to a portfolio that move independently

Question # 1 of 20 (Start time: 05:44:09 PM) Total Marks: 1

_____ is the strategy of reducing overall risk by making two investments with opposing risks.

Select correct option:

Spreading the risk

Standard deviation

Hedging the risk

Variance

Question # 2 of 20 (Start time: 05:44:45 PM) Total Marks: 1

The lowest rating for an investment grade bond assigned by Moody's is:

Select correct option:

BBB

ABB

Baa

Aaa

Which one of the following is the narrowest definition of money?

Select correct option:

C

M1

M2

M3

Question # 4 of 20 (Start time: 05:46:15 PM) Total Marks: 1

The price of a coupon bond can best be described as:

Select correct option:

The present value of the face value

The future value of the coupon payments and the face value

The present value of the coupon payments

Both The present value of the face value and of the coupon payments

Question # 5 of 20 (Start time: 05:46:53 PM) Total Marks: 1

We need _____ to carry out day to day transactions.

Select correct option:

Money

Bonds

Stocks

Loans

Question # 6 of 20 (Start time: 05:47:16 PM) Total Marks: 1

The process of financial intermediation:

Select correct option:

Creates a net cost to an economy but is unavoidable

Is used primarily in underdeveloped countries

Is always used when a borrower needs to obtain funds

Increases the economy's ability to produce

Question # 7 of 20 (Start time: 05:47:51 PM) Total Marks: 1

Considering the Liquidity Premium Theory, if investors expect short term interest rates to decrease:

Select correct option:

The yield curve must have a positive slope

The yield curve must be inverted

The yield curve could be flat

The slope of the yield curve should actually increase

Question # 8 of 20 (Start time: 05:48:41 PM) Total Marks: 1

Which one of the following is true for the relationship between the yield of taxable and tax exempt bond?

Select correct option:

Higher the tax rate wider the gap between the yield of taxable and tax exempt bond

Taxable bond yield is always greater than tax exempt bond

Higher the tax rate shorter the gap between yield of taxable and tax exempt bond

Lower the tax rate wider the gap between yield of taxable and tax exempt bond

Question # 9 of 20 (Start time: 05:49:13 PM) Total Marks: 1

Which of the following expresses 6.5%?

Select correct option:

0.0065

6.50

0.650

0.0650

Question # 10 of 20 (Start time: 05:50:19 PM) Total Marks: 1

What will be the result of the difference of real and nominal interest rate?

Select correct option:

The cost of borrowing

The effect of inflation

The price of bonds

The return of bonds

Question # 11 of 20 (Start time: 05:50:40 PM) Total Marks: 1

Other things remaining equal, the liquidity premium theory is based upon the idea that _____.

Select correct option:

Investors prefer long-term bonds

Investors prefer short-term bonds

Investors are indifferent between short-term and long-term bonds

Investors prefer intermediate-term bonds

Question # 12 of 20 (Start time: 05:51:25 PM) Total Marks: 1

The Segmented Markets Theory of term structure suggests that:

Select correct option:

Investors have strong preferences for bonds of a particular maturity

Investors have no preference for short-term bonds over long-term bonds, or vice versa

Interest rates on long-term bonds strongly influence the demand for short-term bonds

Bonds of different maturities are perfect substitutes for each other

Question # 13 of 20 (Start time: 05:52:23 PM) Total Marks: 1

Often a bank will require a loan officer to make personal visits on customers with loans

outstanding. This is encouraged because:

Select correct option:

The bank worries about competitors trying to steal their customers

The bank wants to make sure the business is still there

The bank likely has excess funds available and hopes to make another loan to the business

This is an effective monitoring technique and should reduce moral hazard

Question # 14 of 20 (Start time: 05:53:10 PM) Total Marks: 1

If the tax rate is higher than gap between yield on taxable and tax exempt bond?

Select correct option:

Shorter

Wider

No gap

Any thing can be possible

Question # 15 of 20 (Start time: 05:53:46 PM) Total Marks: 1

Investors will hold higher compensation for the _____ investment.

Select correct option:

More risky

Less risky

Fixed return

Less dividend

Question # 16 of 20 (Start time: 05:54:14 PM) Total Marks: 1

Which of the following are used to monitor and stabilize the economy?

Select correct option:

Stock exchanges

Commercial Banks

Central Banks

Financial institutions

Question # 17 of 20 (Start time: 05:54:38 PM) Total Marks: 1

The theory of efficient market states that prices of financial instruments reflect:

Select correct option:

All available information

Some of the information

No information

Imperfect information

Question # 18 of 20 (Start time: 05:55:37 PM) Total Marks: 1

With direct finance we mean which of the following?

Select correct option:

Individuals (or firms) borrow directly from the savers

Individuals (or firms) borrow directly from banks.

Individuals deposit savings directly in banks.

Firms deposit savings directly in banks.

Question # 19 of 20 (Start time: 05:56:08 PM) Total Marks: 1

Which of the following best describes the relationship between Bond prices and yields?

Select correct option:

Move together inversely

Bond yields do not change since the coupon is fixed

Move together directly

Are independent of each other

Question # 20 of 20 (Start time: 05:56:35 PM) Total Marks: 1

The fact that common stockholders are residual claimants means:

Select correct option:

The stockholders receive their dividends before any other residuals are paid

The stockholders receive the remains after everyone else is paid

The stockholders are paid any past due dividends before other claims are paid

The common stockholders are responsible for all corporate debts

Question # 1 of 20 (Start time: 08:59:18 PM) Total Marks: 1

Which of the following best expresses the payment a lender receives for lending their money for four years?

Select correct option:

$PV(1+i)^4$

$PV/(1+i)^4$

$4PV$

$PV/(1-i)^4$

Question # 2 of 20 (Start time: 08:59:55 PM) Total Marks: 1

Bonds that are issued by Government are called _____.

Select correct option:

Government bond

Treasury bond

Corporate bond

Callable Bonds

Question # 3 of 20 (Start time: 09:00:14 PM) Total Marks: 1

_____ is the interest rate at which the present value annual revenue equals the cost of the investment.

Select correct option:

Fixed rate of interest

Internal rate of return

Variable rate of interest

Nominal rate of interest

Question # 4 of 20 (Start time: 09:00:38 PM) Total Marks: 1

In which of the following bonds we may ignore the default risk?

Select correct option:

Privately issued bonds

Government issued bonds

Bonds issued by Corporate

All of the given options

Question # 5 of 20 (Start time: 09:00:53 PM) Total Marks: 1

Most of the people among us are _____.

Select correct option:

Risk lovers

Risk enhancers

Risk averse

Risk tolerating

Question # 7 of 20 (Start time: 09:01:26 PM) Total Marks: 1

A risk-averse investor will:

Select correct option:

Always prefer an investment with a lower expected return

Always prefer an investment with a certain return to one with the same expected return but any amount of uncertainty

Always require a certain return

Always focus exclusively on the expected return

Question # 8 of 20 (Start time: 09:01:51 PM) Total Marks: 1

Which of the following is NOT included in the definition of M1?

Select correct option:

Traveler's checks

Demand deposits

Currency

Gold coins issued by treasury

Question # 9 of 20 (Start time: 09:02:04 PM) Total Marks: 1

Which one of the following is true for financial intermediaries?

Select correct option:

Channel funds from savers to borrowers
Greatly enhance economic efficiency
Have been an source of many financial innovations

All of the given options

Question # 10 of 20 (Start time: 09:02:32 PM) Total Marks: 1

The lowest rating for an investment grade bond assigned by Moody's is:

Select correct option:

BBB

ABB

Baa

Aaa

Question # 11 of 20 (Start time: 09:03:58 PM) Total Marks: 1

If YTM is less than the coupon rate the price of the bond is _____.

Select correct option:

Greater than its face value

Lower than its face value

Equals to its face value

All of the given options

Question # 12 of 20 (Start time: 09:05:29 PM) Total Marks: 1

What will be the effect on the present value if we double the future value of the payment?

Select correct option:

It will decrease the value by one-half

It will increase the value by one-half

It will equally increase the value i.e. doubles the value

It will have no effect on the value

Question # 13 of 20 (Start time: 09:06:06 PM) Total Marks: 1

Which one of the following is the narrowest definition of money?

Select correct option:

C

M1

M2

M3

Question # 14 of 20 (Start time: 09:06:50 PM) Total Marks: 1

We need _____ to carry out day to day transactions.

Select correct option:

Money

Bonds

Stocks

Loans

Question # 15 of 20 (Start time: 09:07:01 PM) Total Marks: 1

Which one of the following is the strategy of reducing overall risk by making two investments which are totally independent of each other?

Select correct option:

Spreading the risk

Standard deviation

Hedging the risk

Variance

Question # 16 of 20 (Start time: 09:08:07 PM) Total Marks: 1

The Segmented Markets Theory of term structure suggests that:

Select correct option:

Investors have strong preferences for bonds of a particular maturity (This is correct)

Investors have no preference for short-term bonds over long-term bonds, or vice versa

Interest rates on long-term bonds strongly influence the demand for short-term bonds

Bonds of different maturities are perfect substitutes for each other

Question # 17 of 20 (Start time: 09:09:36 PM) Total Marks: 1

The process of financial intermediation:

Select correct option:

Creates a net cost to an economy but is unavoidable

Is used primarily in underdeveloped countries

Is always used when a borrower needs to obtain funds

Increases the economy's ability to produce

Question # 18 of 20 (Start time: 09:09:56 PM) Total Marks: 1

What will the yield curve look like if future short-term interest rates are expected to rise sharply?

Select correct option:

It will steeply slope upward

It will be horizontal

It will slightly slope upward

It will slope downward

Question # 19 of 20 (Start time: 09:10:37 PM) Total Marks: 1

Sum of all the probabilities should be equal to which one of the following?

Select correct option:

Zero

One

Two

Three

Spreading involves:

Select correct option:

Finding assets whose returns are perfectly negatively correlated

Building a portfolio of assets whose returns move together

Investing in bonds and avoiding stocks during bad times

Adding assets to a portfolio that move independently

Internal Rate of Return is _____.

Select correct option:

Present value of investment

Future value of its investment + Cost of investment

Cost of investment

Present value of investment + cost of investment

Which of the following best describes checks?

Select correct option:

A means of payment

Money

Not a promise of any kind

Not acceptable by the U.S. Government for payment of taxes.

A business cycle downturn shifts the bond supply to the:

Select correct option:

Right

Left

No change

None of the given options

According to the liquidity premium theory of the term structure, when the yield curve has its usual slope, the market expects

Select correct option:

Short-term interest rates to rise sharply

Short-term interest rates to stay near their current levels

Short-term interest rates to drop sharply

Short-term interest rates does not change

Which of the following represents the fisher's equation?

Select correct option:

Nominal interest rate = real interest rate + inflation

Nominal interest rate + inflation = real interest rate

Nominal interest rate = real interest rate - inflation

Nominal interest rate = real interest rate / inflation

Bonds that are issued by Government are called _____.

Select correct option:

Government bond

Treasury bond

Corporate bond

Callable Bonds

What will the yield curve look like if future short-term interest rates are expected to rise sharply?

Select correct option:

It will steeply slope upward

It will be horizontal

It will slightly slope upward
It will slope downward

The interest rate that is involved in _____ calculation is referred to as discount rate
Select correct option:

Present value
Future value
Intrinsic value
Discount value

Which one of the following is true for the relationship between the yield of taxable and tax exempt bond?
Select correct option:

Higher the tax rate wider the gap between the yield of taxable and tax exempt bond
Taxable bond yield is always greater than tax exempt bond
Higher the tax rate shorter the gap between yield of taxable and tax exempt bond
Lower the tax rate wider the gap between yield of taxable and tax exempt bond

You start with a \$1000 portfolio; it loses 40% over the next year, the following year it gains 50% in value;
At the end of two years the worth of your portfolio will be:
Select correct option:

\$900
\$600
\$1000
\$1100

first year gain = $1000 \times .40 = 400$
second year loss = $1000 \times .5 = 500$
Total gain or loss after two year = $400 - 500 = -100$
 $1000 - 100 = 900$

.
What is true relationship between return and risk?

Select correct option:
Lower the risk greater the return
Greater the risk greater the return
Greater the risk the return will remain constant
No relationship between them

Which of the following is NOT included in the definition of M1?

Select correct option:
Traveler's checks
Demand deposits
Currency
Gold coins issued by treasury

The Financial Systems makes it easier to trade because it:

Select correct option:
Facilitate Payments
Channels Funds from Savers to Borrowers
Enables Risk Sharing
All of the given options

Which one of the following agencies assesses the default risk of different issuers?

Select correct option:
Insurance companies
Bond issuing

Credit rating

Recruitment agencies

In which of the following bonds we may ignore the default risk?

Select correct option:

Privately issued bonds

Government issued bonds

Bonds issued by Corporate

All of the given options

Which of the following best describes default risk?

Select correct option:

The chance the issuer will be unable to make interest payments or repay principal

The chance the issuer will retire the debt early

The chance the issuing firm will be sold to another firm

The chance the issuer will sell more debt

Coupon bonds make the annual payments which are called as _____.

Select correct option:

Annual payments

Fixed payments

Coupon payments

Maturity payment

Q 1: Investors will hold higher compensation for the _____ investment.

Select correct option:

More risky

Less risky

Fixed return

Less dividend

Q 2: Which of the following is true of a nation's central bank?

Select correct option:

It makes important decisions about the nation's tax and public spending policies

It lends only to the nations largest and most important business firms

It has many interactions with the nation's citizens and businesses

It is responsible for conducting the nation's monetary policy

Q 3: A financial instrument in which a borrower obtains resources from a lender immediately in exchange for a promised set of payments in the future is called as _____.

Select correct option:

Bond

Bank Loan

Home Mortgage

Futures Contract

Q 4: An increase in wealth shifts the demand for bonds to the _____.

Select correct option:

Left

Right

No change

All of the given options

Q 5: The slope of the yield curve seems to predict the performance of the economy with:

Select correct option:

Usually 3 months lag

Usually two years lag

Usually within few weeks

Usually one year lag

Q 6: If YTM equals the coupon rate the price of the bond is _____.

Select correct option:

Greater than its face value

Lower than its face value

Equals to its face value

Insufficient information

Q 7: An increase in the expected inflation shifts the bond demand to the _____.

Select correct option:

Right

Left

No change

All of the given options

Q 8: Which of the following would be considered characteristic of money?

It is store of value

It pays a higher return than most assets

It is in fixed supply

It is legal tender everywhere in the world

Q 9: The interest rate that is involved in _____ calculation is referred to as discount rate

Select correct option:

Present value

Future value

Intrinsic value

Discount value

Q 10: Debt instruments are categorized on the basis of which one of the following?
Select correct option:

- Loan maturity period
- Interest rates
- Mode of payment of interest
- Amount of the debt taken**

Q 11: Which of the following is NOT an example of financial institutions? Select correct option:

- Banks
- Securities firms
- Stock exchanges**
- Insurance companies

Q 12: When stock prices reflect fundamental values:

- All investors will experience capital gains
- All companies will have an easier task of obtaining financing for investment projects
- The allocation of resources will be more efficient**
- The overall level of the stock market should move higher continuously

Q 13: If YTM is greater than the coupon rate the price of the bond is _____. Select correct option:

- Greater than its face value
- Lower than its face value**
- Equals to its face value
- All of the given options

Q 14: A _____ is a promise to make a series of payments on specific future date.
Select correct option:

- Stock
- Bond**
- Loan
- Cheque

Q 15: Without the ability of financial intermediaries to pool the resources of small savers:
Select correct option:

- Borrowers needing large amounts of money would find it less costly to obtain the funds
- The economy would likely grow faster
- People would likely save more
- The risk associated with lending would increase**

Q 16: A bank can usually offer a saver a higher return for the same risk because: Select correct option:

The bank can usually purchase assets at a higher cost than any one saver

The bank can pool the resources of larger savers and purchase lower denominated assets NOT SURE

Economies of scale can be applied by the bank in its purchase of assets None of the given options

Q 17: The fact that a financial intermediary can use the same contract for many customers is an example of: Select correct option:

Economies of Scope

The Law of Diminishing Marginal Returns

The Law of Increasing Opportunity Cost

Economies of Scale

Q 18: _____ are organized to eliminate the need of costly information gathering. Select correct option:

Central bank

Commercial banks

Stock exchanges

Insurance companies

Q 19: What will be the effect on the present value if we double the future value of the payment? Select correct option:

It will decrease the value by one-half

It will increase the value by one-half

It will equally increase the value i.e. doubles the value NOT SURE

It will have no effect on the value

Q 20: Which one of the following is the narrowest definition of money? Select correct option:

C

M1

M2

M3

MGT411 – Money & Banking

Online Quiz # 2

December 26, 2009

Question # 1 of 20 (Start time: 02:24:40 AM) Total Marks: 1

Core principles of Money and Banking include each of the following except?

Select correct option:

People act rationally

Time has value

Information is the basis for decisions

Risk requires compensation

Question # 2 of 20 (Start time: 02:25:14 AM)

Internal Rate of Return is _____.

Select correct option:

Present value of investment

Future value of its investment +Cost of investment

Cost of investment

Present value of investment + cost of investment

Question # 3 of 20 (Start time: 02:26:35 AM) Total Marks: 1

The relationship between the price and the interest rate for a zero coupon bond is best described as:

Select correct option:

Volatile

Stable

Non-existent

Inverse (see page # 43 of handouts)

Question # 4 of 20 (Start time: 02:27:03 AM) Total Marks: 1

Which one of the following is the narrowest definition of money?

Select correct option:

C

M1 (see page # 12)

M2

M3

Question # 5 of 20 (Start time: 02:27:13 AM) Total Marks: 1

Investors will hold higher compensation for the _____ investment.

Select correct option:

More risky

Less risky

Fixed return

Less dividend

Question # 6 of 20 (Start time: 02:27:47 AM) Total Marks: 1

What is the true relationship that exists between default risk and yield?

Select correct option:

Higher the default risk, higher the yield (see page # 53)

Lower the default risk, higher the yield

Higher the default risk yield will remain constant

Lower the default risk yield will remain constant

Question # 7 of 20 (Start time: 02:28:19 AM) Total Marks: 1

Without the ability of financial intermediaries to pool the resources of small savers:

Select correct option:

Borrowers needing large amounts of money would find it less costly to obtain the funds

The economy would likely grow faster

People would likely save more

The risk associated with lending would increase

Question # 8 of 20 (Start time: 02:29:10 AM) Total Marks: 1

When a bond becomes more liquid relative to its alternatives, the demand curve for bonds shifts to the:

Select correct option:

Right (see page # 49)

Left

No change

None of the given options

Question # 9 of 20 (Start time: 02:29:40 AM) Total Marks: 1

In a financial market where information is symmetric:

Select correct option:

The same information would be known by both parties in a transaction

One party to a transaction knows information the other party does not

The ability to obtain information is available to only one party

All of the given options

Question # 10 of 20 (Start time: 02:30:07 AM) Total Marks: 1

The _____ are an assessment of the creditworthiness of the corporate issuer.

Select correct option:

Bond yield

Bond ratings (see page # 54)

Bond risk

Bond price

Question # 11 of 20 (Start time: 02:30:25 AM) Total Marks: 1

An increase in the expected inflation shifts the bond demand to the _____.

Select correct option:

Right

Left

No change

All of the given options

Question # 12 of 20 (Start time: 02:31:19 AM) Total Marks: 1

Which of the following is NOT included in the definition of M1?

Select correct option:

Traveler's checks

Demand deposits

Currency

Gold coins issued by treasury (see page # 12)

Question # 13 of 20 (Start time: 02:32:21 AM) Total Marks: 1

Bonds without maturity dates are which of the followings?

Select correct option:

Zero coupon bonds

Coupon securities

Consols

Preferred Bonds

Question # 14 of 20 (Start time: 02:33:14 AM) Total Marks: 1

Debt instruments is categorized on the basis of which one of the following?

Select correct option:

Loan maturity period (See page # 20)

Interest rates

Mode of payment of interest

Amount of the debt taken

Question # 15 of 20 (Start time: 02:33:37 AM) Total Marks: 1

Which of the following institution take direct deposit from customer and give loan to

customer directly?

Select correct option:

Zarai Tarkaytee Bank LTD

Soneri Bank

Khushali Bank

Credit unions

(not sure, but i selected option # 4, kindly verify it)

Question # 16 of 20 (Start time: 02:33:53 AM) Total Marks: 1

If we ignore risk, the dividend discount model says the fundamental price of a stock is simply:

Select correct option:

The current dividend divided by the interest rate less the dividend growth rate

The annual growth rate of the dividend minus the interest rate divided by the current dividend

The current dividend divided by the interest rate plus the dividend growth rate

The current dividend divided by the dividend growth rate less the interest rate

Question # 17 of 20 (Start time: 02:34:59 AM) Total Marks: 1

Which of the following is true of a nation's central bank?

Select correct option:

It makes important decisions about the nation's tax and public spending policies

It lends only to the nation's largest and most important business firms

It has many interactions with the nation's citizens and businesses

It is responsible for conducting the nation's monetary policy (see page # 96)

Question # 18 of 20 (Start time: 02:35:56 AM) Total Marks: 1

If bond's rating is lower, what will be its price?

Select correct option:

Higher

Lower

Equal to

No change

(not 100% sure, but option # 2 "Lower" seems most appropriate)

Question # 19 of 20 (Start time: 02:36:57 AM) Total Marks: 1

The price of a coupon bond can best be described as:

Select correct option:

The present value of the face value

The future value of the coupon payments and the face value

The present value of the coupon payments

Both The present value of the face value and of the coupon payments (see page # 31 & 32)

Question # 20 of 20 (Start time: 02:37:36 AM) Total Marks: 1

Which one of the following is NOT true for the expectation hypothesis?

Select correct option:

Risk free interest rate can be computed

There is uncertainty in the future

Identifying yield of bond today that will be available next year

It focuses on risk free interest rate and the risk premium

(not 100%, but I selected option # 2, see page # 58)

Question # 1 of 20 (Start time: 12:09:02 AM) Total Marks: 1

When a bond becomes more liquid relative to its alternatives, the demand curve for bonds shifts to the:

Select correct option:

Right (page # 49)

Left

No change

None of the given options

Question # 2 of 20 (Start time: 12:09:36 AM) Total Marks: 1

According to the rule of 72 for reasonable rates of return, the time it takes to _____ the money will be $t = 72/i\%$

Select correct option:

Doubles (page # 27)

Triples

halves

3/4

Question # 3 of 20 (Start time: 12:10:22 AM) Total Marks: 1

Which one of the following is the narrowest definition of money?

Select correct option:

C

M1 (see page # 12)

M2

M3

Question # 4 of 20 (Start time: 12:11:17 AM) Total Marks: 1

An index number is a valuable tool because:

Select correct option:

The number by itself provides all of the useful information needed

The index provides a meaningful measurement scale to calculate percentage changes

The index is more stable than the data it reflects

It does not require any calculations to compute percentage changes

(not sure, but I selected option # 2, kindly verify it)

Question # 5 of 20 (Start time: 12:12:34 AM) Total Marks: 1

Yield curves show which of the followings?

Select correct option:

The relationship between bond interest rates (yields) and bond prices

The relationship between liquidity and bond interest rates (yields)

The relationship between risk and bond interest rates (yields)

The relationship between time to maturity and bond interest rates (yields) (see page # 57)

Question # 6 of 20 (Start time: 12:12:55 AM) Total Marks: 1

A zero coupon bond:

Select correct option:

Does not pay any coupon payments because the issuer is in default

Pays coupons only once a year versus the usual twice a year

Promises a single future payment (see page # 42)

Pays coupons only if the bond price is below face value

Question # 7 of 20 (Start time: 12:13:32 AM) Total Marks: 1

Home loans and car loans are the example of which one of the following?

Select correct option:

Mortgage loans

Pledge

Fixed Payment Loans (see page # 43)

Ordinary loan

Question # 8 of 20 (Start time: 12:14:45 AM) Total Marks: 1

Without the ability of financial intermediaries to pool the resources of small savers:
Select correct option:

Borrowers needing large amounts of money would find it less costly to obtain the funds

The economy would likely grow faster

People would likely save more

The risk associated with lending would increase

Question # 9 of 20 (Start time: 12:16:11 AM) Total Marks: 1

What is the true relationship that exists between default risk and yield?
Select correct option:

Higher the default risk, higher the yield (see page # 53)

Lower the default risk, higher the yield

Higher the default risk yield will remain constant

Lower the default risk yield will remain constant

Question # 10 of 20 (Start time: 12:17:28 AM) Total Marks: 1

Expectation hypothesis focuses on which one of the following?
Select correct option:

Risk premium

Risk free interest rate

Yield to maturity

None of the given options

(Not sure, but I selected option# 2)

Question # 11 of 20 (Start time: 12:18:49 AM) Total Marks: 1

Spreading involves:

Select correct option:

Finding assets whose returns are perfectly negatively correlated

Building a portfolio of assets whose returns move together

Investing in bonds and avoiding stocks during bad times

Adding assets to a portfolio that move independently

(Confused b/w option # 1 & 4, read page # 41)

Question # 12 of 20 (Start time: 12:19:20 AM) Total Marks: 1

The _____ are an assessment of the creditworthiness of the corporate issuer.

Select correct option:

Bond yield

Bond ratings

Bond risk

Bond price

Question # 13 of 20 (Start time: 12:19:36 AM) Total Marks: 1

Which one of the following is the procedure of finding out the Present Value (PV)?

Select correct option:

Discounting

Compounding

Time value of money

Bond pricing

Question # 14 of 20 (Start time: 12:20:00 AM) Total Marks: 1

Which of the following best describes the relationship between Bond prices and yields?

Select correct option:

Move together inversely

Bond yields do not change since the coupon is fixed

Move together directly

Are independent of each other

Question # 15 of 20 (Start time: 12:21:08 AM)

Which of the following institution take direct deposit from customer and give loan to customer directly?

Select correct option:

Zarai Tarkaytee Bank LTD

Soneri Bank

Khushali Bank

Credit union

(I selected "Credit Union", not 100% sure)

Question # 16 of 20 (Start time: 12:22:32 AM) Total Marks: 1

When the auto manufacturing industry does poorly due to a recession this is an example of:

Select correct option:

Idiosyncratic risk

Systematic risk

Risk premium

Unique risk

(It should be "Systematic Risk", but again not 100% sure) see page # 39.

Question # 17 of 20 (Start time: 12:23:42 AM) Total Marks: 1

A bank can usually offer a saver a higher return for the same risk because:
Select correct option:

The bank can usually purchase assets at a higher cost than any one saver

The bank can pool the resources of larger savers and purchase lower denominated assets

Economies of scale can be applied by the bank in its purchase of assets

None of the given options

Question # 18 of 20 (Start time: 12:24:51 AM) Total Marks: 1

In a financial market where information is symmetric:
Select correct option:

The same information would be known by both parties in a transaction

One party to a transaction knows information the other party does not

The ability to obtain information is available to only one party

All of the given options

Question # 19 of 20 (Start time: 12:25:29 AM) Total Marks: 1

The shape of the yield curve is usually:
Select correct option:

Upward sloping (page # 60)

Downward sloping

Upward sloping for shorter maturities and downward sloping for longer maturities

Flat

Question # 20 of 20 (Start time: 12:26:38 AM) Total Marks: 1

Which one of the following is true for financial intermediaries?

Select correct option:

Channel funds from savers to borrowers

Greatly enhance economic efficiency

Have been an source of many financial innovations

All of the given options

The fact that common stockholders are residual claimants means:
Select correct option:

The stockholders receive the remains after everyone else is paid

The stockholders are paid any past due dividends before other claims are paid
The common stockholders are responsible for all corporate debts

Which one of the following is true for financial intermediaries?
Select correct option:

Channel funds from savers to borrowers
Greatly enhance economic efficiency
Have been an source of many financial innovations
All of the given options

relationship between the price and the interest rate for a zero coupon bond is best described as:
Select correct option:

Volatile
Stable
Non-existent
Inverse

Reference: The price of a bond and the interest rate move in opposite directions

Consumer Price Index (CPI) measures the:
Select correct option:

Changes in the quantity
Changes in the prices
Changes in the cost
Changes in the profit

Reference: CPI :Measure of the overall level of prices

Core principles of Money and Banking include each of the following except?
Select correct option:

People act rationally

Time has value
Information is the basis for decisions
Risk requires compensation

The longer the time (n) until the payment:

Select correct option:

The lower the present value

The higher the present value because time is valuable

The lower must be the interest rate

Time has no effect on present value

When stock prices reflect fundamental values:

Select correct option:

All investors will experience capital gains

All companies will have an easier task of obtaining financing for investment projects

The allocation of resources will be more efficient

The overall level of the stock market should move higher continuously

Reference: So long as stock prices accurately reflect fundamental values, this resource allocation mechanism works well

What will be the result of the difference of real and nominal interest rate?

Select correct option:

The cost of borrowing

The effect of inflation

The price of bonds

The return of bonds

If the annual interest rate is 6%, the price of a 1-year Treasury bill with \$100 face value would be:

Select correct option:

\$94.00

\$94.33

\$95.25

\$96.10

Which of the following would probably NOT earn an A rating from Standard & Poor's:

Select correct option:

30 years bond issued by the U.S. Treasury

New vegetarian fast-food chain

90 days T-Bills issued by the U.S. Treasury

Both 30 years bond and 90 days T-Bills issued by U.S. Treasury

There is no guarantee that a bond issuer will make the promised payments is known as which one of the following?

Select correct option:

Default risk

Inflation risk

Interest rate risk

Systematic risk

If a bond sells at a premium, where price exceeds face value, then we would expect to see:

Select correct option:

Market interest rate the same as the coupon rate

Market interest rates above the coupon rate

Market interest rates below the coupon rate

All of the given options

Reference: So, When Market Interest Rate < Coupon Interest Rate, Market Value (or Price) of Bond > Par Value. Because when market is offering lower rate of return then the bond then the bond becomes valuable. This is known as a Premium Bond. Pg no.68 MGT201 H.outs

Which of the following is a role of a financial institution acting as a financial intermediary?

Select correct option:

Pooling the resources of small savers

Formulating oversight regulations

Sending out free calendars at the holidays

Lobbying legislators

Reference: The most straightforward economic function of a financial intermediary is to pool the resources of many small savers Pg no.71 MGT411 H.outs

Financial Systems makes it easier to trade because it:

Select correct option:

Facilitate Payments

Channels Funds from Savers to Borrowers

Enables Risk Sharing

All of the given options

Which of the following is the measure of likelihood that an event will occur?

Select correct option:

Risk

Probability

Frequency

Outcom

The concept of limited liability says a stockholder of a corporation:

Select correct option:

Is liable for the corporation's liabilities, but nothing more
Cannot receive dividends that exceed their investment
Cannot own more than five percent of any public corporation

Cannot lose more than their investment

Reference: Because of limited liability, investor's losses cannot exceed the price they paid for the stock Pg no.63 MGT411 H.outs

The risk premium for an investment:
Select correct option:

Increases with risk

Is a fixed amount added to the risk free return
Is negative for U.S. Treasury Securities
Is negative for risk averse investors

Question No: 1 (Marks: 1) - Please choose one

We need _____ to carry out day to day transactions.

- ☒ **Money**
- ☐ Bonds
- ☐ Stocks
- ☐ Loans

Question No: 2 (Marks: 1) - Please choose one

The reason for the government to get involved in the financial system is to:

- ☐ Protect investors
- ☐ Ensure the stability of the financial system
- ☐ Protect bank customers from monopolistic exploitation
- ☒ **All of the given options**

Question No: 3 (Marks: 1) - Please choose one

_____ are organized to eliminate the need of costly information gathering.

- ☐ Central banks
- ☐ Commercial banks
- ☒ **Stock exchanges**
- ☐ Insurance companies

Question No: 4 (Marks: 1) - Please choose one

All of the following are the components of M₂ EXCEPT?

- ☐ M₁
- ☐ Saving deposits
- ☒ **Travelers cheques**
- ☐ Mutual funds shares

Question No: 5 (Marks: 1) - Please choose one

A Financial Intermediary:

- ☐ Is an agency that guarantees a loan
- ☐ Is involved in direct finance
- ☒ **Would be used in indirect finance**
- ☐ None of the given options

Question No: 6 (Marks: 1) - Please choose one

Commissions paid to an insurance broker are an example of which of the following?

- ☐ Risk transfer
- ☐ Information asymmetry
- ☒ **Transaction costs**
- ☐ All of the given options

Question No: 7 (Marks: 1) - Please choose one

The financial intermediary that obtains funds largely through premium payments and uses those funds to purchase corporate bonds and mortgages is:

- ☐ Credit unions
- ☐ Mutual funds
- ☒ **Life insurance companies**
- ☐ Pension funds

Question No: 8 (Marks: 1) - Please choose one

Risk sharing is the characteristic of which one of the following?

- ☐ Checks
- ☐ Checking accounts
- ☐ Money
- ☒ **Bonds**

Question No: 9 (Marks: 1) - Please choose one

Bonds that are issued by Government are called _____.

- ☐ Government bonds
- ☒ **Treasury bonds**
- ☐ Corporate bonds
- ☐ Callable bonds

Question No: 10 (Marks: 1) - Please choose one

Which of the following is the difference that lies between the options and futures?

- ☐ Options is not binding whereas future is binding
- ☒ **Futures carry risks but Options didn't carry risk**
- ☐ Centralized clearinghouses guarantee futures but not options contracts
- ☐ There is no difference between options and futures

Question No: 11 (Marks: 1) - Please choose one

Which of the following describes the general formula for the calculation of the compound interest?

- ☐ $FV = PV/(1+i)^n$
- ☐ $FV = PV/(1-i)^n$
- ☒ **$FV = PV*(1+i)^n$**
- ☐ $FV = PV*(1-i)^n$

Question No: 12 (Marks: 1) - Please choose one

If you put \$1,000 per year into bank at 4% interest, how much would you have saved after 40 years?

- ☒ **\$90,000**
- ☐ \$98,826
- ☐ \$82,286
- ☐ \$85,880

right option could (\$95,025.52)

Question No: 13 (Marks: 1) - Please choose one

Which one of the following is the procedure of finding out the Present Value (PV)?

- ☒ **Discounting**
- ☐ Compounding
- ☐ Time value of money
- ☐ Bond pricing

Question No: 14 (Marks: 1) - Please choose one

What is true about the relationship between standard deviation and risk?

- ☒ **Greater the standard deviation greater will be the risk**
- ☐ Greater the standard deviation lower will be the risk
- ☐ Greater the standard deviation risk will be remained the same
- ☐ No relation between them

Question No: 15 (Marks: 1) - Please choose one

Most of the people among us are _____.

- ☐ Risk lovers
- ☐ Risk enhancers
- ☒ **Risk averse**
- ☐ Risk tolerating

Question No: 16 (Marks: 1) - Please choose one

_____ is the strategy of reducing overall risk by making two investments with opposing risks.

- ☐ Spreading the risk
- ☐ Standard deviation
- ☒ **Hedging the risk**
- ☐ Variance

Question No: 17 (Marks: 1) - Please choose one

If ABC Inc. and XYZ Inc. have returns that are perfectly negatively correlated:

- ☒ **Adding XYZ Inc. to a portfolio that consists of only ABC Inc. will reduce risk**
- ☐ Adding ABC Inc. to a portfolio that includes only XYZ Inc. will increase risk
- ☐ Adding XYZ Inc. to a portfolio that consists of only ABC Inc. will neither increase nor decrease the risk of the portfolio
- ☐ Adding XYZ Inc. to a portfolio that consists of only ABC Inc. will lower systematic risk

Question No: 18 (Marks: 1) - Please choose one

Mr. A has a Treasury bill with a maturity period of 6 months where as Mr. B has a bond with a maturity period of 1 year. Which of the following statement is NOT true for this situation?

- ☐ Mr. A has paid less price for his bond than Mr. B
- ☒ **Mr. A and Mr. B is a holder of zero coupon bond**
- ☐ Mr. A will receive payment at the end of the maturity period
- ☐ Mr. B will receive the payment at the end of the maturity period

Question No: 19 (Marks: 1) - Please choose one

Which of the following statement is true for amortized loan?

- ☐ Payment includes interest and full amount of principal
- ☐ Payment includes only the interest
- ☒ **Payment includes both interest and some portion of the principal**
- ☐ Principal amount is paid fully in the periodic payments

Question No: 20 (Marks: 1) - Please choose one

Which of the following best describes the relationship between Bond prices and yields?

- ☐ Move together directly
- ☐ Independent of each other
- ☒ **Move together inversely**
- ☐ Bond yields do not change since the coupon is fixed

Question No: 21 (Marks: 1) - Please choose one

The relationship between the price and the interest rate for a zero coupon bond is best described as _____.

- ☐ Volatile
- ☐ Stable
- ☒ **Inverse**
- ☐ No relationship

Question No: 22 (Marks: 1) - Please choose one

The price of a 6-month Treasury Bill is _____ the price of a 1-year Treasury Bill.

- ☒ **Lower than**
- ☐ Higher than
- ☐ Equal to
- ☐ None of the given options

Question No: 23 (Marks: 1) - Please choose one

If YTM is greater than the coupon rate the price of the bond is _____.

- ☐ Greater than its face value
- ☒ **Lower than its face value**
- ☐ Equals to its face value
- ☐ Insufficient information is given

Question No: 24 (Marks: 1) - Please choose one

Current yield is equal to which of the following?

- ☐ Price paid / yearly coupon payment
- ☐ Price paid *yearly coupon payment
- ☐ Yearly coupon payment / face value of bond
- ☒ **Yearly coupon payment / price paid**

Question No: 25 (Marks: 1) - Please choose one

The _____ are an assessment of the creditworthiness of the corporate issuer.

- ☐ Bond yield
- ☒ **Bond ratings**
- ☐ Bond risk
- ☐ Bond price

Question No: 26 (Marks: 1) - Please choose one

Which of the following statement is true for the given sentence, "that tax affects the bond return"?

- ☒ **Because only interest income they receive from bond is taxable**
- ☐ Because principal amount and interest income they receive from bond is taxable
- ☐ Because bond holders are taxpayers
- ☐ Because all bond is sold with a condition that tax will be deducted from its return

Question No: 27 (Marks: 1) - Please choose one

Which one of the following is true for the relationship between the yield of taxable and tax exempt bond?

☒ **Higher the tax rate wider the gap between the yield of taxable and tax exempt bond**

- ☐ Taxable bond yield is always greater than tax exempt bond
- ☐ Higher the tax rate shorter the gap between yield of taxable and tax exempt bond
- ☐ Lower the tax rate wider the gap between yield of taxable and tax exempt bond

Question No: 28 (Marks: 1) - Please choose one

If the tax rate is higher than gap between yield on taxable and tax exempt bond?

- ☐ Shorter
- ☒ **Wider**
- ☐ No gap
- ☐ Any thing can be possible

Question No: 29 (Marks: 1) - Please choose one

Which of the following statement is correct about the yield curve?

- ☐ Yield on short term bonds are not more volatile than yield on long term bond
- ☒ **Long term yields tend to be higher than short term yield**
- ☐ Interest rate of different maturities don't tend to move together
- ☐ None of the given options

Question No: 30 (Marks: 1) - Please choose one

Which one of the following is NOT true for the expectation hypothesis?

- ☒ **Risk free interest rate can be computed**
- ☐ There is uncertainty in the future
- ☐ Identifying yield of bond today that will be available next year
- ☐ It focuses on risk free interest rate and the risk premium

Question No: 31 (Marks: 1) - Please choose one

The slope of the yield curve seems to predict the performance of the economy with:

- ☐ Usually 3 months lag
- ☐ Usually two years lag
- ☐ Usually within few weeks
- ☒ **Usually one year lag**

Question No: 32 (Marks: 1) - Please choose one

The liquidity premium theory suggests that yield curves should usually be:

- ☐ **Up-sloping**
- ☐ Inverted
- ☐ Flat
- ☐ Up-sloping through year 1, then flat thereafter

Question No: 33 (Marks: 1) - Please choose one

If we ignore risk, the dividend discount model says the fundamental price of a stock is simply:

- ☐ **The current dividend divided by the interest rate less the dividend growth rate**
- ☐ The annual growth rate of the dividend minus the interest rate divided by the current dividend
- ☐ The current dividend divided by the interest rate plus the dividend growth rate
- ☐ The current dividend divided by the dividend growth rate less the interest rate

Question No: 34 (Marks: 1) - Please choose one

The theory of efficient market states that prices of financial instruments reflect:

- ☐ **All available information**
- ☐ Some of the information
- ☐ No information
- ☐ Imperfect information

Question No: 35 (Marks: 1) - Please choose one

Without the ability of financial intermediaries to pool the resources of small savers:

- ☐ Borrowers needing large amounts of money would find it less costly to obtain the funds
- ☐ The economy would likely grow faster
- ☐ People would likely save more
- ☐ **The risk associated with lending would increase**

Question No: 36 (Marks: 1) - Please choose one

If information in a financial market is asymmetric, this means:

- ☐ Borrowers and lenders have the same information
- ☐ Lenders lack any information
- ☐ Borrowers and lenders have perfect information
- ☐ **Borrowers would have more information than lenders**

Question No: 37 (Marks: 1) - Please choose one

Previously financial markets were located in which one of the following?

- ☐ **Coffee houses or Taverns**
- ☐ Stock exchanges
- ☐ Bazaar
- ☐ Both Coffee houses and Stock exchanges

Question No: 38 (Marks: 1) - Please choose one

Zero-Coupon Bonds are pure discount bonds since they sell at a price _____.

- ☐ Equal their face value
- ☒ **Below their face value**
- ☐ Above their face value
- ☐ None of the given options

Zero coupon bonds are bonds that do not pay interest during the life of the bonds.

Instead, investors buy zero coupon bonds at a deep discount from their face value, which is the amount a bond will be worth when it "matures" or comes due. When a zero coupon bond matures, the investor will receive one lump sum equal to the initial investment plus the imputed interest, which is discussed below.

Question No: 39 (Marks: 3)

How Financial System promotes economic efficiency? List down points.ple.

1. They provide the channel for transfer of funds between saver and borrowers
2. provide risk sharing like insurance
3. provide payments like bank accounts
4. Help those people which do not have enough capital to use profitable opportunity.

Question No: 40 (Marks: 3)

Briefly discuss different types of speculative grades of Long term ratings be PACRA.

Sepulative grade means there are possibility of credit risk.

Pacra has B class rating for them

BB shows that there is a possibility of credit risk in making.

B Highly speculative in nature. 'B' it shows that that significant credit risk is there, but a limited

margin of safety remains.

CCC, C,CC High default risk. Chances of default is a real possibility.

Question No: 41 (Marks: 5)

Suppose that over the past 20 years, the average annual return on investments has been 12%. For each dollar invested at the beginning of the period,How much money would investors have at the end of 20 years?

$N = 20$

$I = 12\% \text{ or } .12$

$AMT = 1 \$$

$FV = ?$

$FV = amt * FVIF = [(1+i)^n - 1] / i$

$FVIF = [(1.12)^{20} - 1] / .12 = 72.05$

$FV = 1 * 72.05 = 72.05$

BR>

Question No: 1 (Marks: 1) - Please choose one

Which of the following are used to transfer resources from savers to investors and to transfer risk to those who best equipped it?

- ☐ Financial markets
- ☒ **Financial instruments**
- ☐ Financial institutions

☐ Banks

Reference by Stephen G Cecchetti

two ideas are emphasized: that financial instruments transfer resources from savers to investors, and that in doing so, they transfer risk to those best equipped to bear it

Question No: 2 (Marks: 1) - Please choose one

Which of the following are used to monitor and stabilize the economy?

☐ Stock exchanges

☐ Commercial Banks

☐ **Central Banks**

☐ Financial institutions

Question No: 3 (Marks: 1) - Please choose one

The reason for the government to get involved in the financial system is to:

☐ Protect investors

☐ Ensure the stability of the financial system

☐ Protect bank customers from monopolistic exploitation

☐ **All of the given options**

Question No: 4 (Marks: 1) - Please choose one

The one that you get from bank when you open your checking account is _____.

☐ **Debit card**

☐ Credit card

☐ Store value card

☐ Customer card

Question No: 5 (Marks: 1) - Please choose one

Money is really a form of which one of the following?

☐ Paper money

☐ Fiat money

☐ Government money

☐ **Private money**

Question No: 6 (Marks: 1) - Please choose one

All of the following are the components of M₂ EXCEPT?

- ☐ M₁
- ☐ Saving deposits
- ☒ **Travelers cheques**
- ☐ Mutual funds shares

M₂: Equals M₁ + savings deposits, time deposits less than \$100,000 and money market deposit accounts for individuals.

Travelers cheques are example of M₁

Question No: 7 (Marks: 1) - Please choose one

The Consumer Price Index (CPI):

- ☒ **Tends to overstate inflation due to substitution bias**
- ☐ Tends to understate actual inflation
- ☐ Is more accurate than the GDP deflator
- ☐ Is based on basket of goods that changes monthly with consumer expenditures

Question No: 8 (Marks: 1) - Please choose one

Considering the value of a financial instrument, the longer the time until the promised payment is made:

- ☒ **The less valuable is the promise to make it since time is valuable**
- ☐ The greater the risk, therefore the promise has greater value
- ☐ The more valuable is the promise to make it
- ☐ It has no effect on the value of instrument

Question No: 9 (Marks: 1) - Please choose one

Commissions paid to an insurance broker are an example of which of the following?

- ☐ Risk transfer
- ☐ Information asymmetry
- ☒ **Transaction costs**
- ☐ All of the given options

Question No: 10 (Marks: 1) - Please choose one

_____ are the economies central nervous system.

- ☐ Financial Instruments
- ☒ **Financial Markets**
- ☐ Financial Institutions
- ☐ Financial Companies

Financial markets are like the "central nervous system" of the economy, says Cecchetti's textbook.

Question No: 11 (Marks: 1) - Please choose one

Which one of the following is NOT an example of Centralized exchange?

- ☐ New York Stock Exchange
- ☐ NASDAQ
- ☒ **Large exchanges in London**
- ☐ Large exchanges in Tokyo

Question No: 12 (Marks: 1) - Please choose one

Which of the following market allowed networks of dealers that are connected electronically?

- ☐ New York Stock Exchange
- ☒ **NASDAQ**
- ☐ Large exchanges in London
- ☐ Large exchanges in Tokyo

Question No: 13 (Marks: 1) - Please choose one

Bonds that are issued by Government are called _____.

- ☐ Government bonds
- ☒ **Treasury bonds**
- ☐ Corporate bonds
- ☐ Callable bonds

Question No: 14 (Marks: 1) - Please choose one

What is relationship between interest rate and future value?

- ☐ Lower the interest rate higher will be the future value
- ☒ **Higher the interest rate higher will be the future value**
- ☐ Higher the interest rate lower will be the future value
- ☐ Interest rate has no effect on future value

Question No: 15 (Marks: 1) - Please choose one

The future value of \$100 left in a savings account earning 4.5% for two and a half years is best expressed by:

- ☐ $\$100(1.045)^{3/2}$
- ☐ $\$100(0.45)^{2.5}$
- ☒ **$\$100(1.045)^{2.5}$**
- ☐ $100 \times 2.5 \times (1.045)$

Question No: 16 (Marks: 1) - Please choose one

If the factor time (n) is longer then:

- ☒ **Present value will be lower**
- ☐ Present value will be higher
- ☐ Interest rate will be lower
- ☐ Time has no effect on present value

Reference: As we calculate PV through dividing the future value by the discount factor which is $(1+i)^n$ so if we increase the value of 'n' It will surely increase the discount factor which is the denominator and the greater the denominator the smaller will be the value of the fraction.

Question No: 17 (Marks: 1) - Please choose one

If at 5% interest rate, \$100 payment has a PV of \$90.70. Then what will be the PV value of

\$200 payment? (Without applying formula).

- ☐ \$45.35
- ☐ \$272.1
- ☒ **\$181.4**
- ☐ \$362.8

Lets see the given is that 5% interest rate, $FV = \$100$, $PV = \$90.70$

Now calculate for 'n' that is no of years. As mentioned is that k without using formula so

do not use the compounding formula. Use the simple one

$$FV = PV * i * n$$

$$n = FV / PV * i$$

$$n = 100 / 90.7 * 0.05$$

$$n = 22$$

We are asked to calculate PV if FV=200

$$PV = FV / i * n$$

$$PV = 200 / 1.1$$

$$PV = \$181.4$$

Question No: 18 (Marks: 1) - Please choose one

Which of the following provides the greatest incentive to borrow?

☐ A high real interest rate

☒ **A low real interest rate**

☐ A high nominal interest rate

☐ A low nominal interest rate

Question No: 19 (Marks: 1) - Please choose one

Which of the following represents the fisher's equation?

☒ **Nominal interest rate = real interest rate + inflation**

☐ Nominal interest rate + inflation = real interest rate

☐ Nominal interest rate = real interest rate - inflation

☐ Nominal interest rate = real interest rate / inflation

Question No: 20 (Marks: 1) - Please choose one

What will be the result of the difference of real and nominal interest rate?

☐ The cost of borrowing

☒ **The effect of inflation**

☐ The price of bonds

☐ The return of bonds

nominal interest rate is equal to the real interest rate plus the expected rate of inflation

Question No: 21 (Marks: 1) - Please choose one

Which of the following statement is true for amortized loan?

☐ Payment includes interest and full amount of principal

☐ Payment includes only the interest

☒ **Payment includes both interest and some portion of the principal**

☐ Principal amount is paid fully in the periodic payments

These loans are amortized, meaning that the borrower pays off the principal along with the interest over the life of the loan. Each payment includes both interest and some portion of the principal.

Question No: 22 (Marks: 1) - Please choose one

A zero coupon bond:

- ☐ Does not pay any coupon payments because the issuer is in default
- ☐ Pays coupons only once a year versus the usual twice a year
- ☒ **Promises a single future payment**
- ☐ Pays coupons only if the bond price is below face value

Question No: 23 (Marks: 1) - Please choose one

Which of the following best expresses the formula for determining the price of a U.S. Treasury bill per \$100 of face value?

- ☐ $\$100(1 + i)$
- ☒ **$\$100 / (1 + i)^n$**
- ☐ $\$100 / (1 + i)$
- ☐ $1 + \$100 / (1 + i)^n$

Question No: 24 (Marks: 1) - Please choose one

If YTM equals the coupon rate the price of the bond is _____.

- ☐ Greater than its face value
- ☐ Lower than its face value
- ☒ **Equals to its face value**
- ☐ Insufficient information is given

Question No: 25 (Marks: 1) - Please choose one

The return on the bond is equal to which of the following?

- ☐ Coupon rate + rate of capital gains
- ☒ **Current yield + rate of capital gains**
- ☐ Coupon rate - rate of capital gains
- ☐ Current yield - rate of capital gains

Question No: 26 (Marks: 1) - Please choose one

A business cycle downturn shifts the bond supply to the:

- ☐ Right
- ☒ **Left**
- ☐ No change
- ☐ None of the given options

A business-cycle downturn shifts the bond supply to the left and the bond demand to the left. In this case the bond price can rise or fall, depending on which shift is greater. But interest rates tend to fall in recessions, so bond prices are likely to increase

Question No: 27 (Marks: 1) - Please choose one

In the long run, the yield curve tends to be which of the following?

- ☒ **Upward sloping**
- ☐ Downward sloping
- ☐ Nearly vertical
- ☐ Nearly horizontal

The yield curve's upward slope is due to long-term bonds being riskier than shortterm bonds

Question No: 28 (Marks: 1) - Please choose one

Yield curves show which of the followings?

- ☐ The relationship between bond interest rates (yields) and bond prices
- ☐ The relationship between liquidity and bond interest rates (yields)
- ☐ The relationship between risk and bond interest rates (yields)
- ☒ **The relationship between time to maturity and bond interest rates (yields)**

Question No: 29 (Marks: 1) - Please choose one

Mr. Ghazanfar wants to invest Rs.2,000 in a bond. If this bond is expected to receive a return of Rs.100 per month and a tax of Rs.3 will be deducted on this return. Then Mr. Ghazanfar made his decision by considering which of the following fact?

- ☐ He is attracted by Rs.100 return per month
- ☒ **He considers Rs.100 less deduction for tax i.e.Rs.97**
- ☐ He takes into consideration only the portion of tax which is deducted
- ☐ His decision will not be affected by any of the given factors

Question No: 30 (Marks: 1) - Please choose one

Mr. Ali has a bond, which is issued by local government of Punjab which is NOT true for situation?

- ☒ **He faces tax affects on return on bond**
- ☐ His bond can also be named as municipal bond
- ☐ He receive interest on that bond throughout life period of bond
- ☐ Default risk affects its return on bond

One of the primary reasons municipal bonds are considered separately from other types of bonds is their special ability to provide tax-exempt income. Interest paid by the issuer to bond holders is often exempt from all federal taxes, as well as state or local taxes depending on the state in which the issuer is located

Question No: 31 (Marks: 1) - Please choose one

Which of the following statement is true for the given sentence, "that tax affects the bond return"?

- ☒ **Because only interest income they receive from bond is taxable**
- ☐ Because principal amount and interest income they receive from bond is taxable
- ☐ Because bond holders are taxpayers
- ☐ Because all bond is sold with a condition that tax will be deducted from its return

Question No: 32 (Marks: 1) - Please choose one

The expectations theory of the term structure assumes:

- ☒ **Buyers of bonds consider bonds of different maturities to be perfect substitutes**
- ☐ Markets for different maturity bonds are completely separate
- ☐ Buyers of bonds prefer bonds with shorter maturities
- ☐ Buyers of bonds prefer bonds with longer maturities

Question No: 33 (Marks: 1) - Please choose one

The fact that common stockholders are residual claimants means:

- ☐ The stockholders receive their dividends before any other residuals are paid
- ☒ **The stockholders receive the remains after everyone else is paid**
- ☐ The stockholders are paid any past due dividends before other claims are paid
- ☐ The common stockholders are responsible for all corporate debts

Question No: 34 (Marks: 1) - Please choose one

An index number is a valuable tool because:

- ☐ The number by itself provides all of the useful information needed
- ☒ **The index provides a meaningful measurement scale to calculate percentage changes**
- ☐ The index is more stable than the data it reflects
- ☐ It does not require any calculations to compute percentage changes

Question No: 35 (Marks: 1) - Please choose one

The Theory of Efficient Markets:

- ☒ **Allows for higher than average returns if the investor takes higher risk**
- ☐ Says Insider-information makes markets less efficient
- ☐ Rules out high returns due to chance
- ☐ Assumes people have equal luck

Question No: 36 (Marks: 1) - Please choose one

In a financial market where information is symmetric:

- ☒ **The same information would be known by both parties in a transaction**
- ☐ One party to a transaction knows information the other party does not
- ☐ The ability to obtain information is available to only one party
- ☐ All of the given options

Question No: 37 (Marks: 1) - Please choose one

Which of the following has created an opportunity for small investors to participate in economic activity?

- ☒ **Mutual funds**
- ☐ Small corporations
- ☐ Stock brokers
- ☐ Small investors cannot take part in economic activity

Question No: 38 (Marks: 1) - Please choose one

Money once consisted of Gold and silver coins which were eventually replaced by which of the following?

- ☐ Plastic money
- ☒ **Paper money**
- ☐ Commodity money
- ☐ E-money

Question No: 39 (Marks: 3)

Briefly discuss different types of investment grades of Long term ratings be PACRA.

Answer : PACRA is the Pakistan Credit rating agency which rates different companies in Pakistan who offer bonds or stocks to investors. They rate companies independently to protect investors from companies who might default and not pay the investors. Based on their ratings given to different companies people who want to invest will know which companies to go for investment and which to avoid. The different types of investment

grades given of long term ratings given by them are:

AAA : This is highest credit quality and has lowest expectation of risk

AA : Very high credit quality and very low expectation of risk

A: High credit quality and low expectation of risk

BB : Good credit quality and as of now there is low expectation of credit risk.

Question No: 40 (Marks: 3)

Money is accepted in economic exchange. Discuss.

Question No: 41 (Marks: 5)

“People differ in their opinions of how stocks should be valued”. Discuss it.

Question No: 1 (Marks: 1) - Please choose one

Which of the following statement is true about the relationship between bond ,coupon payment and interest?

- ☐ Coupon payments fall, the interest rate falls, and Bond price will rise
- ☒ **Coupon payments rise, the interest rate falls, and Bond price will rise**
- ☐ Coupon payments fall, the interest rate falls, and Bond price will fall
- ☐ Coupon payments rise, the interest rate falls, and Bond price will fall

The value of the coupon bond rises when the yearly coupon payments rise and when the interest rate falls

- ☐ Lower interest rates mean higher bond prices and vice versa.

Question No: 2 (Marks: 1) - Please choose one

Which of the following institution takes direct deposit from customer and gives loan to customer directly?

- ☐ Zarai Tarkaytee Bank LTD
- ☐ Soneri Bank
- ☐ Khushali Bank
- ☒ **Credit union**

Question No: 3 (Marks: 1) - Please choose one

Which of the following is NOT true for financial institutions?

- ☐ It reduces the transaction cost
- ☐ It reduces the information cost
- ☐ It reduces the asymmetric information
- ☒ **It doesn't make long term loans**

Question No: 4 (Marks: 1) - Please choose one

Often a bank will require a loan officer to make personal visits on customers with loans outstanding. This is encouraged because:

- ☐ The bank worries about competitors trying to steal their customers
- ☐ The bank wants to make sure the business is still there
- ☐ The bank likely has excess funds available and hopes to make another loan to the business
- ☒ **This is an effective monitoring technique and should reduce moral hazard**

Question No: 5 (Marks: 1) - Please choose one

Della's Donut Shop goes out of business due to decreasing sales resulting from the dramatic increase in people on low carbohydrate diets. The decrease in business also results in Della's defaulting on the loan they have with the bank. This is an example of:

- ☐ Asymmetric information in financial markets
- ☒ **Lack of perfect information in financial markets**
- ☐ Moral hazard in financial markets
- ☐ Adverse selection

Question No: 6 (Marks: 1) - Please choose one

A bank can usually offer a saver a higher return for the same risk because:

- ☐ The bank can usually purchase assets at a higher cost than any one saver
- ☐ The bank can pool the resources of larger savers and purchase lower denominated assets
- ☒ **Economies of scale can be applied by the bank in its purchase of assets**
- ☐ None of the given options

Question No: 7 (Marks: 1) - Please choose one

Without the ability of financial intermediaries to pool the resources of small savers:

- ☐ Borrowers needing large amounts of money would find it less costly to obtain the funds
- ☐ The economy would likely grow faster
- ☐ People would likely save more
- ☒ **The risk associated with lending would increase**

Question No: 8 (Marks: 1) - Please choose one

The process of financial intermediation:

- ☐ Creates a net cost to an economy but is unavoidable
- ☐ Is used primarily in underdeveloped countries
- ☐ Is always used when a borrower needs to obtain funds
- ☒ **Increases the economy's ability to produce**

Question No: 9 (Marks: 1) - Please choose one

The Theory of Efficient Markets:

- ☐ Allows for higher than average returns if the investor takes higher risk
- ☐ Says Insider-information makes markets less efficient
- ☐ Rules out high returns due to chance
- ☐ Assumes people have equal luck

Question No: 10 (Marks: 1) - Please choose one

If we ignore risk, the dividend discount model says the fundamental price of a stock is simply:

- ☒ **The current dividend divided by the interest rate less the dividend growth rate**
- ☐ The annual growth rate of the dividend minus the interest rate divided by the current dividend
- ☐ The current dividend divided by the interest rate plus the dividend growth rate
- ☐ The current dividend divided by the dividend growth rate less the interest rate

Question No: 11 (Marks: 1) - Please choose one

Which statement shows the major difference between stocks and bonds?

- ☐ Bonds pay their owners dividends while stocks pay interest
- ☒ **Bonds pay their owners interest while stocks pay dividends**
- ☐ Interest on a bond is not guaranteed while dividends on stock are legally required
- ☐ Bonds represent ownership while stock represents debt

Question No: 12 (Marks: 1) - Please choose one

The concept of limited liability says a stockholder of a corporation:

- ☐ Is liable for the corporation's liabilities, but nothing more
- ☐ Cannot receive dividends that exceed their investment
- ☐ Cannot own more than five percent of any public corporation
- ☒ **Cannot lose more than their investment**

Question No: 13 (Marks: 1) - Please choose one

The liquidity premium theory suggests that yield curves should usually be:

- ☒ **Up-sloping**
- ☐ Inverted
- ☐ Flat
- ☐ Up-sloping through year 1, then flat thereafter

Question No: 14 (Marks: 1) - Please choose one

Which of the following statement is true about two bonds having same default rate and tax status but different maturity dates?

- ☐ It creates no effect on yield of bonds
- ☐ Both of them have different yield
- ☐ Liquidity risk factor should be taken into consideration
- ☐ It is impossible that default risk and tax status of two bonds are same

Question No: 15 (Marks: 1) - Please choose one

A business cycle downturn shifts the bond supply to the:

- ☐ Right
- ☒ **Left**
- ☐ No change
- ☐ None of the given options

A business-cycle downturn shifts the bond supply to the left and the bond demand to the left. In this case the bond price can rise or fall, depending on which shift is greater. But interest rates tend to fall in recessions, so bond prices are likely to increase.

Question No: 16 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond demand to the _____

- ☒ **Right**
- ☐ Left
- ☐ No change
- ☐ None of the given options

Question No: 17 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond supply to the _____

- ☒ **Right**
- ☐ Left
- ☐ No change
- ☐ None of the given options

Question No: 18 (Marks: 1) - Please choose one

Current yield did NOT measure which of the following?

- ☐ Return arises from coupon payment
- ☒ **Capital gain and loss**
- ☐ Return arises from bond holding till maturity
- ☐ All of the given options

Question No: 19 (Marks: 1) - Please choose one

Current yield is equal to which of the following?

- ☐ Price paid / yearly coupon payment
- ☐ Price paid *yearly coupon payment
- ☐ Yearly coupon payment / face value of bond
- ☒ **Yearly coupon payment / price paid**

Question No: 20 (Marks: 1) - Please choose one

The relationship between the price and the interest rate for a zero coupon bond is best described as _____.

- ☐ Volatile
- ☐ Stable
- ☒ **Inverse**
- ☐ No relationship

Question No: 21 (Marks: 1) - Please choose one

Which of the following statement is NOT true for consols?

- ☐ Consol offers only periodic interest payments
- ☐ Borrower never repays the principal
- ☒ **There are Government and as well as private consols**
- ☐ Price of a consol is the present value of all the future interest payments

There are no privately issued consols because only governments can credibly promise to make payments forever

Question No: 22 (Marks: 1) - Please choose one

_____ is the strategy of reducing overall risk by making two investments with opposing risks.

- ☐ Spreading the risk
- ☐ Standard deviation
- ☒ **Hedging the risk**
- ☐ Variance

Hedging is the strategy of reducing overall risk by making two investments with opposing risks so that when one does poorly the other does well and vice versa.

Question No: 23 (Marks: 1) - Please choose one

The variance is generally less useful than the standard deviation on which of the following reasons?

- ☐ Variance is easier to calculate
- ☐ Variance is a measure of risk, whereas standard deviation is a measure of return
- ☒ **Variance isn't calculated in the same units as payoffs whereas standard deviation is**
- ☐ Both are equally useful

Question No: 24 (Marks: 1) - Please choose one

Suppose a \$1000 investment has a fixed return of 5% per annum, which one of the following statement is NOT true for this investment?

- ☐ Its return can be calculated
- ☒ **It's a risky investment**
- ☐ It will give return annually
- ☐ Its future value is known

Question No: 25 (Marks: 1) - Please choose one

If a bond sells at a premium, where price exceeds face value, then we would expect to see:

- ☐ Market interest rate the same as the coupon rate
- ☐ Market interest rates above the coupon rate
- ☒ **Market interest rates below the coupon rate**
- ☐ None of the given options

Question No: 26 (Marks: 1) - Please choose one

The rule of 72 says that at 12% interest \$100 should become \$200 in about _____.

- ☒ **72 months**
- ☐ 100 months
- ☐ 12 years
- ☐ 8.2 years

Question No: 27 (Marks: 1) - Please choose one

A borrower is promised a \$100 payment (including interest) one year from today. If the lender has an 8% opportunity cost of money, he should be willing to accept what amount today?

- ☐ Rs.100.00
- ☐ Rs.108.20
- ☒ **Rs.92.59**
- ☐ Rs.96.40

Question No: 28 (Marks: 1) - Please choose one

_____ is the today's value of a payment that is promised to be made in the future.

- ☐ None of the given options
- ☐ Future value
- ☒ **Present value**
- ☐ Agreed value

The present value is the value today of a payment that is promised to be made in the future. It is the amount that must be invested today in order to realize a specific amount on a given future date

Question No: 29 (Marks: 1) - Please choose one

The future value of \$100 left in a savings account earning 4.5% for two and a half years is best expressed by:

- ☐ $\$100(1.045)^{3/2}$
- ☐ $\$100(0.45)^{2.5}$
- ☒ **$\$100(1.045)^{2.5}$**
- ☐ $100 \times 2.5 \times (1.045)$

Question No: 30 (Marks: 1) - Please choose one

What is relationship between interest rate and future value?

- ☐ Lower the interest rate higher will be the future value
- ☒ **Higher the interest rate higher will be the future value**
- ☐ Higher the interest rate lower will be the future value
- ☐ Interest rate has no effect on future value

Question No: 31 (Marks: 1) - Please choose one

Which of the following is a financial market in which a borrower obtains funds from a lender by selling newly issued securities?

- ☐ Secondary market
- ☒ **Primary market**
- ☐ Over the counter market
- ☐ Centralized market

In a primary market a borrower obtains funds from a lender by selling newly issued securities. Most of the action in primary markets goes on out of public view. Most companies use an investment bank, which will determine a price and then purchase the company's securities in preparation for resale to clients; this is called underwriting. We hear more about the secondary markets where people can buy and sell existing securities.

Question No: 32 (Marks: 1) - Please choose one

Repurchase agreements are:

- ☐ The most liquid of all money market instruments
- ☐ In use for hundreds of years
- ☐ Loans of deposits at the Federal Reserve
- ☒ **Short term loans with Treasury bills as collateral**

Question No: 33 (Marks: 1) - Please choose one

Considering the value of a financial instrument, the longer the time until the promised payment is made:

- ☒ **The less valuable is the promise to make it since time is valuable**
- ☐ The greater the risk, therefore the promise has greater value
- ☐ The more valuable is the promise to make it
- ☐ It has no effect on the value of instrument

Question No: 34 (Marks: 1) - Please choose one

A Financial Intermediary:

- ☐ Is an agency that guarantees a loan
- ☐ Is involved in direct finance
- ☒ **Would be used in indirect finance**
- ☐ None of the given options

Question No: 35 (Marks: 1) - Please choose one

The Consumer Price Index (CPI):

- ☒ **Tends to overstate inflation due to substitution bias**
- ☐ Tends to understate actual inflation
- ☐ Is more accurate than the GDP deflator
- ☐ Is based on basket of goods that changes monthly with consumer expenditures

Question No: 36 (Marks: 1) - Please choose one

All of the following are the components of M₂ EXCEPT?

- ☐ M₁
- ☐ Saving deposits
- ☒ **Travelers cheques**
- ☐ Mutual funds shares

Question No: 37 (Marks: 1) - Please choose one

Which of the following statement truly represents the main difference between debit card and store value card?

- ☒ **Debit card is operated by ATM machine while Store value card doesn't**
- ☐ Debit card appearance is different from Store value card
- ☐ Debit card is not specific for user but store value card is specific
- ☐ Debit card is specific for user but store value card is not

Question No: 38 (Marks: 1) - Please choose one

In electronic transfer the most common method is to send money through a system maintained by Federal reserve called _____.

- ☐ Fedex
- ☒ **Fedwire**
- ☐ Fedtransfer
- ☐ Fedmoney

One wire transfer system used generally to transfer large dollar amounts instantaneously and which is provided by the US Federal Reserve System

Question No: 39 (Marks: 1) - Please choose one

The one that you get from bank when you open your checking account is _____.

- ☒ **Debit card**
- ☐ Credit card
- ☐ Store value card
- ☐ Customer card

Question No: 40 (Marks: 1) - Please choose one

Mr. Ghazanfar has assets which when converted to cash, yield more currency than he needs to pay his debt. Which of the following statement best suits Mr. Ghazanfar?

- ☐ Mr. Ghazanfar earns good income
- ☐ Mr. Ghazanfar is a wealthy person
- ☐ All of the given options
- ☐ Mr. Ghazanfar has a lot of money at point in time

Question No: 41 (Marks: 10)

What are five core principles of financial system? Discuss it in detail.

Answer:

Financial System:

In finance, the financial system is the system that allows the transfer of money between savers and borrowers.

Five Core Principles of the Financial System & Details:

According to Mr. Brown, five core principles of Financial System, as outlined below:

1) First, transparency means bringing the so-called 'shadow banking system' into the regulatory system, not operating parallel to it. And across the world, financial institutions need to be supervised not on what name they give

themselves - be it banks, hedge funds or investment funds - but on what they do. We also need to ensure that all jurisdictions - such as offshore havens - and all important markets are covered by global supervision.

2) Second accountability means boardroom integrity, where boards of directors must understand and be held responsible for the risks they undertake. And credit rating agencies need to be free of conflicts of interest and be properly licensed.

3) Third, responsible risk taking means an end to the excesses from shorttermism; instead rewarding people for long term success not short term deals. But to be most effective it has to be done internationally. A race to the bottom is in no one's interest. So we should agree a new international approach to pay and bonus structures.

4) The fourth principle of prudential regulation means taking into account the effect of a bank's capital, liquidity, solvency and conduct on the whole financial system.

5) Finally, he stated: "Lastly, international co-operation lies at the heart of all our changes - recognizing that financial institutions that work across borders need to be under cross border supervision too and regulators in one country must cooperate far more closely with regulators in other countries to create a global network of regulation that captures the risks to us all.

Other Principles of Financial are below:

- a. Facilitate Payments
- b. Channel Funds from Savers to Borrowers
- c. Enable Risk Sharing

Question No: 1 (Marks: 1) - Please choose one

Which of the following are without maturity dates?

- ☐ Zero coupon bonds
- ☐ Coupon securities
- ☒ **Consols**
- ☐ Preferred Bonds

Question No: 2 (Marks: 1) - Please choose one

Which of the following institution takes direct deposit from customer and gives loan to customer directly?

- ☐ ZaraiTarkaytee Bank LTD
- ☐ Soneri Bank
- ☐ Khushali Bank
- ☒ **Credit union**

Question No: 3 (Marks: 1) - Please choose one

Mr. Ghazanfar obtains a home improvement loan from Allied Bank. This loan is:

- ☐ Mr. Ghazanfar's asset and the bank's liability
- ☐ Mr. Ghazanfar 's asset, but the liability belongs to the bank's depositors
- ☒ **Mr. Ghazanfar 's liability and an asset for the bank**
- ☐ Both Mr. Ghazanfar's and bank's liability

Question No: 4 (Marks: 1) - Please choose one

Components of M1 DO NOT include which one of the following?

- ☐ Currency in the hands of public
- ☐ Demand deposits
- ☒ **Small denominations time deposit**
- ☐ Checkable deposits

Question No: 5 (Marks: 1) - Please choose one

Which of the following has created an opportunity for small investors to participate in economic activity?

- ☒ **Mutual funds**
- ☐ Small corporations
- ☐ Stock brokers
- ☐ Small investors cannot take part in economic activity

Question No: 6 (Marks: 1) - Please choose one

Which of the following is NOT an example of financial institutions?

- ☐ Bank
- ☐ Securities firm
- ☒ **Stock exchange**
- ☐ Insurance company

Question No: 7 (Marks: 1) - Please choose one

Requiring a large deductible on the part of an insured is one way insurers treat the problem of:

- ☐ Free-riding
- ☒ **Moral hazard**
- ☐ Adverse selection
- ☐ The Lemons market

Question No: 8 (Marks: 1) - Please choose one

In a financial market where information is symmetric:

☐ **The same information would be known by both parties in a transaction**

☐ One party to a transaction knows information the other party does not

☐ The ability to obtain information is available to only one party

☐ All of the given options

Question No: 9 (Marks: 1) - Please choose one

When stock prices reflect fundamental values:

☐ All investors will experience capital gains

☐ All companies will have an easier task of obtaining financing for investment projects

☐ **The allocation of resources will be more efficient**

☐ The overall level of the stock market should move higher continuously

Question No: 10 (Marks: 1) - Please choose one

An index number is a valuable tool because:

☐ The number by itself provides all of the useful information needed

☐ **The index provides a meaningful measurement scale to calculate percentage changes**

☐ The index is more stable than the data it reflects

☐ It does not require any calculations to compute percentage changes

Question No: 11 (Marks: 1) - Please choose one

The concept of limited liability says a stockholder of a corporation:

☐ Is liable for the corporation's liabilities, but nothing more

☐ Cannot receive dividends that exceed their investment

☐ Cannot own more than five percent of any public corporation

☐ **Cannot lose more than their investment**

Question No: 12 (Marks: 1) - Please choose one

Other things remaining equal, the liquidity premium theory is based upon the idea that _____.

☐ Investors prefer long-term bonds

☐ **Investors prefer short-term bonds**

☐ Investors are indifferent between short-term and long-term bonds

☐ Investors prefer intermediate-term bonds

Question No: 13 (Marks: 1) - Please choose one

Which one of the following is NOT true for the expectation hypothesis?

☐ Risk free interest rate can be computed

☐ There is uncertainty in the future

☐ Identifying yield of bond today that will be available next year

☐ **It focuses on risk free interest rate and the risk premium**

Question No: 14 (Marks: 1) - Please choose one

A graph of the term structure with YTM on Y-axis and time to maturity on X-axis is called:

☐ Demand curve

☐ Supply curve

☐ **Yield curve**

☐ Leffer curve

Question No: 16 (Marks: 1) - Please choose one

The _____ are an assessment of the creditworthiness of the corporate issuer.

- ☐ Bond yield
- ☒ **Bond ratings**
- ☐ Bond risk
- ☐ Bond price

Question No: 17 (Marks: 1) - Please choose one

The bond rating of a security refers to which of the followings?

- ☐ The size of the coupon payment relative to the face value
- ☐ The return a holder is likely to receive
- ☒ **The likelihood the lender/borrower will be repaid by the borrower/issuer**
- ☐ The years until the bond matures

Question No: 18 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond demand to the _____

- ☒ **Right**
- ☐ Left
- ☐ No change
- ☐ None of the given options

Question No: 19 (Marks: 1) - Please choose one

The current yield on a \$10,000, 5% coupon bond selling for \$8,000 is:

- ☒ **6.25%**
- ☐ 7.50%
- ☐ 8.00%
- ☐ 5.00%

Question No: 20 (Marks: 1) - Please choose one

If the annual interest rate is 6% (.06); the price of a one year Treasury bill would be:

- ☐ \$94.00
- ☒ **\$94.33**
- ☐ \$95.25
- ☐ \$96.10

Question No: 21 (Marks: 1) - Please choose one

The return on holding a bond till its maturity is called:

- ☐ Coupon rate
- ☒ **Yield to maturity**
- ☐ Current yield
- ☐ Fixed return

Question No: 22 (Marks: 1) - Please choose one

Which of the following best describes the relationship between Bond prices and yields?

- ☐ Move together directly
- ☐ Independent of each other
- ☒ **Move together inversely**
- ☐ Bond yields do not change since the coupon is fixed

Question No: 23 (Marks: 1) - Please choose one

Mr. A has a Treasury bill with a maturity period of 6 months where as Mr. B has a bond with a maturity period of 1 year. Which of the following statement is NOT true for this situation?

- ☐ Mr. A has paid less price for his bond than Mr. B
- ☒ **Mr. A and Mr. B is a holder of zero coupon bond**
- ☐ Mr. A will receive payment at the end of the maturity period
- ☐ Mr. B will receive the payment at the end of the maturity period

Question No: 24 (Marks: 1) - Please choose one

What is true relationship between return and risk?

- ☐ Lower the risk greater the return
- ☒ **Greater the risk greater the return**
- ☐ Greater the risk no change in return
- ☐ No relationship between them

Question No: 25 (Marks: 1) - Please choose one

Sum of all the probabilities should be equal to which one of the following?

- ☐ Zero
- ☒ **One**
- ☐ Two
- ☐ Three

Question No: 26 (Marks: 1) - Please choose one

_____ measures the probability of worst outcome in any investment project.

- ☐ Variance
- ☐ Standard deviation
- ☒ **Value at risk**
- ☐ Hedging

Question No: 27 (Marks: 1) - Please choose one

The variance is generally less useful than the standard deviation on which of the following reasons?

- ☐ Variance is easier to calculate
- ☐ Variance is a measure of risk, whereas standard deviation is a measure of return
- ☒ **Variance isn't calculated in the same units as payoffs where as standard deviation is**
- ☐ Both are equally useful

Question No: 28 (Marks: 1) - Please choose one

A credit market instrument that pays the owner a fixed coupon payment every year until the maturity date and then repays the face value is called:

- ☐ Simple loan
- ☐ Fixed-payment loan
- ☒ **Coupon bond**
- ☐ Discount bond

Question No: 29 (Marks: 1) - Please choose one

Which of the following provides the greatest incentive to borrow?

☐ A high real interest rate

☒ **A low real interest rate**

☐ A high nominal interest rate

☐ A low nominal interest rate

Question No: 30 (Marks: 1) - Please choose one

An investment carrying a current cost of \$130,000 is going to generate \$70,000 of revenue for each of the next three years. To calculate the internal rate of return we need to:

☐ Calculate the present value of each of the \$70,000 payments and multiply these and set this equal to \$130,000

☐ Take the present value of \$210,000 for three years from now and set this equal to \$130,000

☒ **Set the sum of the present value of \$70,000 for each of the next three years equal to \$130,000**

☐ Subtract \$130,000 from \$210,000 and set this difference equal to the interest rate

Question No: 31 (Marks: 1) - Please choose one

A borrower is promised a \$100 payment (including interest) one year from today. If the lender has an 8% opportunity cost of money, he should be willing to accept what amount today?

☐ Rs.100.00

☐ Rs.108.20

☒ **Rs.92.59**

☐ Rs.96.40

Question No: 32 (Marks: 1) - Please choose one

Which one of the following is NOT an example of Centralized exchange?

☐ New York Stock Exchange

☐ NASDAQ

☒ **Large exchanges in London**

☐ Large exchanges in Tokyo

Question No: 33 (Marks: 1) - Please choose one

Financial intermediaries provide small lender-savers all of the following advantages EXCEPT:

☒ **Greater liquidity**

☐ Lower transaction cost

☐ Lower risk

☐ Higher return

Question No: 34 (Marks: 1) - Please choose one

The shares of McDonald Corporation stock are examples of:

☒ **A standardized financial instrument**

☐ A standardized financial liability instrument

☐ A non-standardized financial instrument

☐ A means of payment

Question No: 35 (Marks: 1) - Please choose one

Which of the following statements is NOT correct?

_ Banks are financial intermediaries

_ Financial intermediary involves in giving loan and accepting deposit

_ All financial intermediaries are insurance companies

_ Financial intermediaries increase the efficiency of the economy

Question No: 36 (Marks: 1) - Please choose one

Economic research shows:

_ There is a strong inverse correlation between financial market development and economic growth

_ There is weak relation between financial market development and economic growth around 0.25

_ There is a relatively strong positive correlation between financial market development and economic growth

_ There isn't any correlation between financial market development and economic growth

Question No: 37 (Marks: 1) - Please choose one

Which of the following statements is correct?

_ If you can buy the same goods this year as you bought last year with less money the money supply decreased.

_ To purchase the same goods today that were purchased one year ago requires more money, there must have been inflation

_ To purchase the same goods today as one year ago requires less money, the money supply must have increased

_ To purchase the same goods today that were purchased one year ago requires the same amount of money, there must have been inflation

Question No: 38 (Marks: 1) - Please choose one

The one that you get from bank when you open your checking account is _____.

_ Debit card

_ Credit card

_ Store value card

_ Customer card

Question No: 39 (Marks: 1) - Please choose one

Wealth can be held in number of other forms but we use to hold money because of which one of the following reason?

_ It is the only mode of payment

_ It is an asset

_ It is most liquid

_ It is the only store of value

Question No: 40 (Marks: 1) - Please choose one

Which of the following are used to monitor and stabilize the economy?

_ Stock exchanges

_ Commercial Banks

_ Central Banks

_ Financial institutions

Quiz Start Time: 11:34 PM Time Left 86
sec(s)

Question # 14 of 15 (Start time: 11:40:53 PM) Total Marks: 1
Which one of the following is true for financial intermediaries?
Select correct option:

- Channel funds from savers to borrowers
- Greatly enhance economic efficiency
- Have been an source of many financial innovations
- All of the given options

Answer=1

Question # 15 of 15 (Start time: 11:41:27 PM) Total Marks: 1
The Financial Systems makes it easier to trade because it:
Select correct option:

- Facilitate Payments
- Channels Funds from Savers to Borrowers
- Enables Risk Sharing
- All of the given options

Answer=4

Question # 1 of 15 (Start time: 11:46:56 PM) Total Marks: 1
The return on holding a bond till its maturity is called:
Select correct option:

- Coupon rate
- Yield to maturity
- Current yield
- Internal rate of return

Answer=2

Question # 2 of 15 (Start time: 11:47:50 PM) Total Marks: 1

Which of the following statement is true about the relation ship between bond ,coupon payment and interest?

Select correct option:

- Coupon payments fall, the interest rate falls, and Bond price will rise
- Coupon payments rises, the interest rate falls, and Bond price will rise
- Coupon payments fall, the interest rate falls, and Bond price will fall
- Coupon payments rise, the interest rate falls, and Bond price will fall

Answer=2

Question # 3 of 15 (Start time: 11:48:54 PM) Total Marks: 1

GDP deflator is called

Select correct option:

- Retailer price index
- Consumer price index
- Producer price index
- None of above

Answer=4

Question # 4 of 15 (Start time: 11:49:26 PM) Total Marks: 1

Debt instruments is categorized on the basis of which one of the following?

Select correct option:

- Loan maturity period
- Interest rates
- Mode of payment of interest
- Amount of the debt taken

Answer=1

Question # 5 of 15 (Start time: 11:50:01 PM) Total Marks: 1

Which characteristic are common both in money and securities

Select correct option:

- Transfer of risk, store of value
- Unit of account, mean of payment
- Mean of payment, transfer of risk
- Store of value, mean of payment

Answer=4

Question # 6 of 15 (Start time: 11:50:50 PM) Total Marks: 1

Spreading involves:

Select correct option:

Finding assets whose returns are perfectly negatively correlated

Building a portfolio of assets whose returns move together

Investing in bonds and avoiding stocks during bad times

Adding assets to a portfolio that move independently

Answer=4

Question # 7 of 15 (Start time: 11:51:35 PM) Total Marks: 1

Saving occurs normally in

Select correct option:

Early age

Middle age

Old age

None of above

Answer=2

Quiz Start Time: 11:46 PM Time Left 85
sec(s)

Question # 8 of 15 (Start time: 11:52:01 PM) Total Marks: 1

Consumer Price Index (CPI) measures the:

Select correct option:

Changes in the quantity

Changes in the prices

Changes in the cost

Changes in the profit

Answer=2

Question # 9 of 15 (Start time: 11:53:13 PM) Total Marks: 1

Stock exchange is an example of:

Select correct option:

Financial company

Financial institution

Financial market

Bank

Answer=3

Question # 10 of 15 (Start time: 11:53:55 PM) Total Marks: 1
Which of the following would be considered characteristic of money?
Select correct option:

- It is store of value
- It pays a higher return than most assets
- It is in fixed supply
- It is legal tender everywhere in the world

Answer=1

Question # 11 of 15 (Start time: 11:54:31 PM) Total Marks: 1
Which one of the following is the strategy of reducing overall risk by making two investments which are totally independent of each other?
Select correct option:

- Spreading the risk
- Standard deviation
- Hedging the risk
- Variance

Answer=3

Question # 12 of 15 (Start time: 11:55:12 PM) Total Marks: 1
Which one of the following is a component of wealth that is held in a readily spendable form?
Select correct option:

- Money
- Bonds
- Stocks
- Income

Answer=2

Question # 13 of 15 (Start time: 11:55:38 PM) Total Marks: 1
If YTM is greater than the coupon rate the price of the bond is _____.
Select correct option:

- Greater than its face value
- Lower than its face value

Equals to its face value
All of the given options

Answer=2

Question # 14 of 15 (Start time: 11:56:33 PM) Total Marks: 1

Which is broadly used as money aggregate?

Select correct option:

M1
M2
M3
None of above

Answer=2

Question # 15 of 15 (Start time: 11:57:04 PM) Total Marks: 1

_____ is the value today of a payment that is promised to be made in the future.

Select correct option:

Future value
Present value
Agreed value
None of the given options

Answer=1

Question # 1 of 15 (Start time: 12:07:09 AM) Total Marks: 1

Investors will hold higher compensation for the _____ investment.

Select correct option:

More risky
Less risky
Fixed return
Less dividend

Answer=1

2 of 15 (Start time: 12:08:01 AM) Total Marks: 1

The risk premium for an investment:

Select correct option:

Increases with risk
Is a fixed amount added to the risk free return
Is negative for U.S. Treasury Securities
Is negative for risk averse investors

Answer=3

Question # 3 of 15 (Start time: 12:08:46 AM) Total Marks: 1

Stock exchange is an example of:

Select correct option:

Financial company

Financial institution

Financial market

Bank

Answer=3

Question # 4 of 15 (Start time: 12:09:48 AM) Total Marks: 1

We need _____ to carry out day to day transactions.

Select correct option:

Money

Bonds

Stocks

Loans

Answer=1

Question # 5 of 15 (Start time: 12:10:18 AM) Total Marks: 1

Which of the following would be included in a definition of risk?

Select correct option:

Risk is a not measure of uncertainty

Risk is unavoidable

Risk doesn't have a time horizon

Risk seldom involves some future payoff

Answer=1

Question # 6 of 15 (Start time: 12:11:38 AM) Total Marks: 1

Which one of the following is the strategy of reducing overall risk by making two investments which are totally independent of each other?

Select correct option:

Spreading the risk

Standard deviation

Hedging the risk

Variance

Answer=3

Question # 7 of 15 (Start time: 12:13:02 AM) Total Marks: 1

Coupon bonds make the annual payments which are called as _____.

Select correct option:

Annual payments

Fixed payments

Coupon payments

Maturity payment

Answer=3

Question # 8 of 15 (Start time: 12:14:11 AM) Total Marks: 1

Which of the following is the least liquid of all?

Select correct option:

Money

Bonds & stocks

Lands & buildings

None of the given options

Answer=3

Question # 9 of 15 (Start time: 12:14:37 AM) Total Marks: 1

The current yield on a \$10,000, 5% coupon bond selling for \$8,000 is:

Select correct option:

5.00%

6.25%

7.50%

8.00%

Answer=2

Question # 10 of 15 (Start time: 12:16:09 AM) Total Marks: 1

With direct finance we mean which of the following?

Select correct option:

Individuals (or firms) borrow directly from the savers

Individuals (or firms) borrow directly from banks.

Individuals deposit savings directly in banks.

Firms deposit savings directly in banks.

Answer=1

Question # 11 of 15 (Start time: 12:16:39 AM) Total Marks: 1

Diversification is the principle of:

Select correct option:

Holding more than one risk at a time

Reducing the risks we carry to just two

Creating risk to increase returns

Eliminating investments from our portfolio that have idiosyncratic risk

Answer=1

Question # 12 of 15 (Start time: 12:17:22 AM) Total Marks: 1

Internal Rate of Return is _____.

Select correct option:

Present value of investment

Future value of its investment +Cost of investment

Cost of investment

Present value of investment + cost of investment

Answer=4

Question # 13 of 15 (Start time: 12:19:14 AM) Total Marks: 1

If YTM equals the coupon rate the price of the bond is _____.

Select correct option:

Greater than its face value

Lower than its face value

Equals to its face value

Insufficient information

Answer=3

Question # 14 of 15 (Start time: 12:20:49 AM) Total Marks: 1

Which of the following best expresses the proceeds a lender receives from a simple loan?

Select correct option:

$PV(1 + i)$

FV/i

$PV + i$

PV/i

Answer=1

Question # 15 of 15 (Start time: 12:21:18 AM) Total Marks: 1

Mark borrows \$8,000 and then repays \$8,600 to ABC bank. What is the amount of interest in this payment?

Select correct option:

\$600

\$500

\$400

\$100

Answer=1

of the following best expresses the payment a lender receives for lending their money for four years?

Select correct option:

- PV(1+i)⁴
- PV/(1 + i)⁴
- 4PV
- PV/(1 - i)⁴

Answer=1

If YTM is greater than the coupon rate the price of the bond is _____.

Select correct option:

- Greater than its face value
- Lower than its face value
- Equals to its face value
- All of the given options

Answer=2

Which of the following best describes checks?

Select correct option:

- A means of payment
- Money
- Not a promise of any kind
- Not acceptable by the U.S. Government for payment of taxes.

Answer=1

longer the time (n) until the payment:

Select correct option:

- The lower the present value
- The higher the present value because time is valuable
- The lower must be the interest rate
- Time has no effect on present value

Answer=2

Which of the following expresses 6.5%?

Select correct option:

- 0.0065
- 6.50
- 0.650
- 0.0650

Answer=2

The price of a coupon bond can best be described as:

Select correct option:

- The present value of the face value
- The future value of the coupon payments and the face value
- The present value of the coupon payments
- Both The present value of the face value and of the coupon payments

Answer=4

Spreading involves:

Select correct option:

- Finding assets whose returns are perfectly negatively correlated
- Building a portfolio of assets whose returns move together
- Investing in bonds and avoiding stocks during bad times
- Adding assets to a portfolio that move independently

Answer=4

Which of the following best expresses the proceeds a lender receives from a simple loan?

Select correct option:

- $PV(1 + i)$
- FV/i
- $PV + i$

PV/i

Answer=1

The return on the bond is equal to which of the following?
Select correct option:

Coupon rate + rate of capital gains
Current yield + rate of capital gains
Coupon rate - rate of capital gains
Current yield - rate of capital gains

Answer=2

10 of 15 (Start time: 12:39:09 AM) Total Marks: 1
If the annual interest rate is 6%, the price of a 1-year Treasury bill with \$100 face value would be:
Select correct option:

\$94.00
\$94.33
\$95.25
\$96.10

Answer=2

Which one of the following is a component of wealth that is held in a readily spendable form?
Select correct option:

Money
Bonds
Stocks
Income

Answer=2

The risk premium for an investment:
Select correct option:

Increases with risk

Is a fixed amount added to the risk free return
Is negative for U.S. Treasury Securities
Is negative for risk averse investors

Answer=1

When the price of a bond is above face value:
Select correct option:

The yield to maturity will be above the coupon rate
The yield to maturity is below the coupon rate
The yield to maturity will equal zero
The yield to maturity will equal the coupon rate

Answer=2

With direct finance we mean which of the following?
Select correct option:

Individuals (or firms) borrow directly from the savers
Individuals (or firms) borrow directly from banks.
Individuals deposit savings directly in banks.
Firms deposit savings directly in banks.

Answer=1

Question # 15 of 15 (Start time: 12:44:12 AM) Total Marks: 1
Which of the following financial instruments used primarily as store of value?
Select correct option:

Options
Stocks
Home mortgage
Bonds

Answer=4

Question # 15 of 15 (Start time: 12:45:33 AM) Total Marks: 1
_____ is the interest rate at which the present value annual revenue equals the cost of the investment.
Select correct option:
Fixed rate of interest
Internal rate of return
Variable rate of interest
Nominal rate of interest

Answer=2

Which of the following financial instruments used primarily as store of value?
Select correct option:

Options
Stocks
Home mortgage
Bonds

Answer=4

Question # 3 of 15 (Start time: 12:49:28 AM) Total Marks: 1
Which of the following best represent the true relationships between interest rates and bond prices?
Select correct option:

Move in the same direction
Move in opposite direction

Answer=2

Question # 6 of 15 (Start time: 12:52:07 AM) Total Marks: 1
Which one of the following is the strategy of reducing overall risk by making two investments which are totally independent of each other?
Select correct option:

Spreading the risk
Standard deviation
Hedging the risk
Variance

Answer=3

Question # 7 of 15 (Start time: 12:52:36 AM) Total Marks: 1
The relationship between the price and the interest rate for a zero coupon bond is best described as:
Select correct option:

Volatile

Stable
Non-existent
Inverse

Answer=4

Question # 8 of 15 (Start time: 12:52:51 AM) Total Marks: 1
Coupon bonds make the annual payments which are called as _____.
Select correct option:

Annual payments
Fixed payments
Coupon payments
Maturity payment

Answer=3

Question # 9 of 15 (Start time: 12:53:11 AM) Total Marks: 1
What characteristic of money is not included in securities characteristics
Select correct option:

Mean of payment
Unit of account
Store of value
Transfer of risk

Answer=1

Question # 10 of 15 (Start time: 12:53:32 AM) Total Marks: 1
Which of the following financial instruments used primarily as store of value?
Select correct option:

Options
Stocks
Home mortgage
Bonds

Answer=4

Question # 11 of 15 (Start time: 12:53:57 AM) Total Marks: 1

A _____ is a promise to make a series of payments on specific future date.

Select correct option:

- Stock
- Bond
- Loan
- Cheque

Answer=2

Question # 12 of 15 (Start time: 12:54:21 AM) Total Marks: 1

If the annual interest rate is 6%, the price of a 1-year Treasury bill with \$100 face value would be:

Select correct option:

- \$94.00
- \$94.33
- \$95.25
- \$96.10

Answer=2

Question # 13 of 15 (Start time: 12:54:38 AM) Total Marks: 1

Which of the following is the measure of likelihood that an event will occur?

Select correct option:

- Risk
- Probability
- Frequency
- Outcom

Answer=2

Question # 14 of 15 (Start time: 12:55:44 AM) Total Marks: 1

GDP deflator is called

Select correct option:

Retailer price index
Consumer price index
Producer price index
None of above

Answer=4

Question # 15 of 15 (Start time: 12:56:17 AM) Total Marks: 1
Which of the following are used to monitor and stabilize the economy?
Select correct option:

Stock exchanges
Commercial Banks
Central Banks
Financial institutions

Answer=3

Question # 1 of 15 (Start time: 12:58:32 AM) Total Marks: 1
What is primary cause of inflation?
Select correct option:

Energy crises
Gold reserve shortage
Issue excessive currency
Rising cost of input

Answer=3

Question # 2 of 15 (Start time: 12:59:02 AM) Total Marks: 1
With direct finance we mean which of the following?
Select correct option:

Individuals (or firms) borrow directly from the savers
Individuals (or firms) borrow directly from banks.
Individuals deposit savings directly in banks.
Firms deposit savings directly in banks.

Answer=1

Question # 3 of 15 (Start time: 12:59:33 AM) Total Marks: 1

A loan that is used to purchase the real estate is known as:

Select correct option:

Real estate loan

Home mortgages

Fixed payment loan

Home loan

Answer=3

Question # 4 of 15 (Start time: 01:00:04 AM) Total Marks: 1

If the annual interest rate is 6%, the price of a 1-year Treasury bill with \$100 face value would be:

Select correct option:

Answer=2

Question # 5 of 15 (Start time: 01:00:22 AM) Total Marks: 1

Which of the following expresses 6.5%?

Select correct option:

0.0065

6.50

0.650

0.0650

Answer=4

Question # 6 of 15 (Start time: 01:00:55 AM) Total Marks: 1

If YTM is greater than the coupon rate the price of the bond is _____.

Select correct option:

Greater than its face value

Lower than its face value

Equals to its face value

All of the given options

Answer=2

Question # 7 of 15 (Start time: 01:01:56 AM) Total Marks: 1

The return on holding a bond till its maturity is called:

Select correct option:

Coupon rate

Yield to maturity

Current yield

Internal rate of return

Answer=2

Question # 8 of 15 (Start time: 01:02:24 AM) Total Marks: 1

When the price of a bond is above face value:

Select correct option:

The yield to maturity will be above the coupon rate

The yield to maturity is below the coupon rate

The yield to maturity will equal zero

The yield to maturity will equal the coupon rate

Answer=2

Question # 9 of 15 (Start time: 01:03:05 AM) Total Marks: 1

The Financial Systems makes it easier to trade because it:

Select correct option:

Facilitate Payments

Channels Funds from Savers to Borrowers

Enables Risk Sharing

All of the given options

Answer=4

Question # 10 of 15 (Start time: 01:04:04 AM) Total Marks: 1

Which one of the following is a component of wealth that is held in a readily spendable form?

Select correct option:

Money
Bonds
Stocks
Income

Answer=2

Question # 11 of 15 (Start time: 01:04:34 AM) Total Marks: 1

A zero coupon bond:

Select correct option:

Does not pay any coupon payments because the issuer is in default
Pays coupons only once a year versus the usual twice a year
Promises a single future payment
Pays coupons only if the bond price is below face value

Answer=3

Question # 13 of 15 (Start time: 01:05:49 AM) Total Marks: 1

When the auto manufacturing industry does poorly due to a recession this is an example of:

Select correct option:

Idiosyncratic risk
Systematic risk
Risk premium
Unique risk

Answer=1

Question # 14 of 15 (Start time: 01:06:25 AM) Total Marks: 1

Diversification is the principle of:

Select correct option:

Holding more than one risk at a time
Reducing the risks we carry to just two
Creating risk to increase returns
Eliminating investments from our portfolio that have idiosyncratic risk

Answer=1

Question # 15 of 15 (Start time: 01:06:54 AM) Total Marks: 1

Which of the following is NOT an example of financial institutions?

Select correct option:

- Banks
- Securities firms
- Stock exchanges
- Insurance companies

Answer=3

Question # 2 of 15 (Start time: 01:08:38 AM) Total Marks: 1

_____ is the interest rate at which the present value annual revenue equals the cost of the investment.

Select correct option:

- Fixed rate of interest
- Internal rate of return
- Variable rate of interest
- Nominal rate of interest

Answer=2

Question # 3 of 15 (Start time: 01:09:21 AM) Total Marks: 1

A zero coupon bond:

Select correct option:

- Does not pay any coupon payments because the issuer is in default
- Pays coupons only once a year versus the usual twice a year
- Promises a single future payment
- Pays coupons only if the bond price is below face value

Answer=3

Question # 4 of 15 (Start time: 01:09:56 AM) Total Marks: 1

Which of the following represents the Fisher's equation?

Select correct option:

- Nominal interest rate = real interest rate + inflation
- Nominal interest rate + inflation = real interest rate
- Nominal interest rate = real interest rate - inflation

Nominal interest rate = real interest rate / inflation

Answer=1

Question # 5 of 15 (Start time: 01:10:34 AM) Total Marks: 1

The risk premium for an investment:

Select correct option:

Increases with risk

Is a fixed amount added to the risk free return

Is negative for U.S. Treasury Securities

Is negative for risk averse investors

Answer=1

Question # 6 of 15 (Start time: 01:11:11 AM) Total Marks: 1

Which of the variable measured in point of time?

Select correct option:

Flow variable

Stock variable

Both flow variable and stock variable

None of above

Answer=3

Question # 7 of 15 (Start time: 01:11:50 AM) Total Marks: 1

Time affects the value of which of the following?

Select correct option:

Financial Instruments

Financial Markets

Financial Institutions

Central Banks

Answer=1

Question # 8 of 15 (Start time: 01:12:26 AM) Total Marks: 1

Which one of the following is the strategy of reducing overall risk by making two investments which are totally independent of each other?

Select correct option:

Spreading the risk

Standard deviation

Hedging the risk

Variance

Answer=3

Question # 9 of 15 (Start time: 01:13:06 AM) Total Marks: 1

Sum of all the probabilities should be equal to which one of the following?

Select correct option:

Zero

One

Two

Three

Answer=2

Question # 10 of 15 (Start time: 01:13:30 AM) Total Marks: 1

A _____ is a promise to make a series of payments on specific future date.

Select correct option:

Stock

Bond

Loan

Cheque

Answer=2

Question # 11 of 15 (Start time: 01:13:54 AM) Total Marks: 1

Mr A need 1000000 to buy a car for his personal use he contact with bank that give his loan this would be called

Select correct option:

Direct finance

Indirect finance

Facilitate payment

All of above

Answer=1

Question # 12 of 15 (Start time: 01:14:24 AM) Total Marks: 1

Which of the following best expresses the proceeds a lender receives from a simple loan?

Select correct option:

$PV(1 + i)$

FV/i

$PV + i$

PV/i

Answer=1

Question # 13 of 15 (Start time: 01:15:02 AM) Total Marks: 1

What will be the result of the difference of real and nominal interest rate?

Select correct option:

The cost of borrowing

The effect of inflation

The price of bonds

The return of bonds

Answer=2

Question # 14 of 15 (Start time: 01:15:43 AM) Total Marks: 1

Which of the following institution take direct deposit from customer and give loan to customer directly?

Select correct option:

Zarai Tarkaytee Bank LTD

Soneri Bank

Khushali Bank

Credit union

Answer=4

Quiz Start Time: 01:07 AM

Time Left 88

sec(s)

Question # 15 of 15 (Start time: 01:16:33 AM) Total Marks: 1

Economic development measured by

Select correct option:

Real GDP/population

Real GDP/ nominal GDP

Real GDP/Real GNP

None of above

Answer=4

Question # 1 of 15 (Start time: 01:17:45 AM) Total Marks: 1

A loan that is used to purchase the real estate is known as:

Select correct option:

Real estate loan

Home mortgages

Fixed payment loan

Home loan

Answer=3

Question # 2 of 15 (Start time: 01:18:28 AM) Total Marks: 1

Which one of the following is the procedure of finding out the Present Value (PV)?

Select correct option:

- Discounting
- Compounding
- Time value of money
- Bond pricing

Answer=1

Question # 3 of 15 (Start time: 01:18:57 AM) Total Marks: 1

The GDP deflator is calculated as_____.

Select correct option:

- Nominal GDP/Real GDP *100
- Real GDP/Nominal GDP
- Nominal GDP – Real GDP
- Real GDP – Nominal GDP

Answer=1

Question # 4 of 15 (Start time: 01:19:17 AM) Total Marks: 1

When the auto manufacturing industry does poorly due to a recession this is an example of:

Select correct option:

- Idiosyncratic risk
- Systematic risk
- Risk premium
- Unique risk

Answer=1

Question # 5 of 15 (Start time: 01:19:49 AM) Total Marks: 1

What is difference between warrant and check?

Select correct option:

- Check is cleared from bank but warrant is not cleared by bank
- Check is not necessarily pay able on demand but warrant is payable on demand
- Warrant is not necessarily pay able on demand but check is payable on demand
- None of above

Answer=3

Question # 6 of 15 (Start time: 01:20:22 AM) Total Marks: 1

A _____ is a promise to make a series of payments on specific future date.

Select correct option:

- Stock
- Bond
- Loan
- Cheque

Answer=2

Question # 7 of 15 (Start time: 01:20:42 AM) Total Marks: 1

Which of the following represents the fisher's equation?

Select correct option:

- Nominal interest rate = real interest rate + inflation
- Nominal interest rate + inflation = real interest rate
- Nominal interest rate = real interest rate - inflation
- Nominal interest rate = real interest rate / inflation

Answer=1

Question # 8 of 15 (Start time: 01:21:03 AM) Total Marks: 1

Consumer Price Index (CPI) measures the:

Select correct option:

- Changes in the quantity
- Changes in the prices
- Changes in the cost
- Changes in the profit

Answer=2

Question # 9 of 15 (Start time: 01:21:23 AM) Total Marks: 1

Which is broadly used as money aggregate?

Select correct option:

- M1
- M2
- M3
- None of above

Answer=2

Question # 10 of 15 (Start time: 01:21:47 AM) Total Marks: 1

What is primary cause of inflation?

Select correct option:

Energy crises

Gold reserve shortage

Issue excessive currency

Rising cost of input

Answer=3

Question # 11 of 15 (Start time: 01:22:04 AM) Total Marks: 1

Bonds without maturity dates are which of the followings?

Select correct option:

Zero coupon bonds

Coupon securities

Consols

Preferred Bonds

Answer=3

Question # 12 of 15 (Start time: 01:22:26 AM) Total Marks: 1

A risk-averse investor will:

Select correct option:

Always prefer an investment with a lower expected return

Always prefer an investment with a certain return to one with the same expected return but any amount of uncertainty

Always require a certain return

Always focus exclusively on the expected return

Answer=2

Question # 13 of 15 (Start time: 01:22:48 AM) Total Marks: 1

When the price of a bond is above face value:

Select correct option:

The yield to maturity will be above the coupon rate
The yield to maturity is below the coupon rate
The yield to maturity will equal zero
The yield to maturity will equal the coupon rate

Answer=2

Question # 14 of 15 (Start time: 01:23:13 AM) Total Marks: 1

Saving occurs normally in

Select correct option:

Early age
Middle age
Old age
None of above

Answer=2

Question # 15 of 15 (Start time: 01:23:49 AM) Total Marks: 1

Which of the following best describes the relationship between Bond prices and yields?

Select correct option:

Move together inversely
Bond yields do not change since the coupon is fixed
Move together directly
Are independent of each other

Answer=1

Question # 1 of 15 (Start time: 01:24:40 AM) Total Marks: 1

Saving occurs normally in

Select correct option:

Early age
Middle age
Old age
None of above

Answer=2

Question # 2 of 15 (Start time: 01:24:54 AM) Total Marks: 1

Core principles of Money and Banking include each of the following except?

Select correct option:

People act rationally

Time has value

Information is the basis for decisions

Risk requires compensation

Answer=2

Question # 3 of 15 (Start time: 01:25:13 AM) Total Marks: 1

One of major disadvantage of fiat money is

Select correct option:

Only few resources are needed

It may be theft easily

Normally it is obsolete quickly

Pressure or corrupt government may print excessive money

Answer=4

Question # 4 of 15 (Start time: 01:25:53 AM) Total Marks: 1

Mr A need 1000000 to buy a car for his personal use he contact with bank that give his loan this would be called

Select correct option:

Direct finance

Indirect finance

Facilitate payment

All of above

Answer=1

Question # 5 of 15 (Start time: 01:26:13 AM) Total Marks: 1

Government bonds called Where as corporate bonds are called

Select correct option:

Zero coupon bond, coupon bond

Risky bond. Risk free bond

T bill, corporate bond

Console bond, junk bonds

Answer=1

Question # 6 of 15 (Start time: 01:26:27 AM) Total Marks: 1

Which of the following best describes the relationship between Bond prices and yields?

Select correct option:

Move together inversely

Bond yields do not change since the coupon is fixed

Move together directly

Are independent of each other

Answer=1

Question # 7 of 15 (Start time: 01:26:57 AM) Total Marks: 1

Which characteristic are common both in money and securities

Select correct option:

Transfer of risk, store of value

Unit of account, mean of payment

Mean of payment, transfer of risk

Store of value, mean of payment

Answer=4

Question # 8 of 15 (Start time: 01:27:35 AM) Total Marks: 1

Which one of the following is the narrowest definition of money?

Select correct option:

C

M1

M2

M3

Answer=2

Question # 9 of 15 (Start time: 01:27:52 AM) Total Marks: 1

At which money aggregate definitions relation is stronger with inflation and growth

Select correct option:

M1

M2

M3

None of above

Answer=2

Question # 10 of 15 (Start time: 01:28:16 AM) Total Marks: 1

A financial instrument in which a borrower obtains resources from a lender

immediately in exchange for a promised set of payments in the future is called as _____.

Select correct option:

- Bond
- Bank Loan
- Home Mortgage
- Futures Contract

Answer=2

Question # 11 of 15 (Start time: 01:28:34 AM) Total Marks: 1

Internal Rate of Return is _____.

Select correct option:

- Present value of investment
- Future value of its investment +Cost of investment
- Cost of investment
- Present value of investment + cost of investment

Answer=4

Question # 12 of 15 (Start time: 01:28:53 AM) Total Marks: 1

Which of the following financial instruments used primarily as store of value?

Select correct option:

- Options
- Stocks
- Home mortgage
- Bonds

Answer=2

Question # 13 of 15 (Start time: 01:29:11 AM) Total Marks: 1

What will be the effect on the present value if we double the future value of the payment?

Select correct option:

- It will decrease the value by one-half
- It will increase the value by one-half
- It will equally increase the value i.e. doubles the value
- It will have no effect on the value

Answer=3

Question # 14 of 15 (Start time: 01:30:03 AM) Total Marks: 1

Which one of the following is the procedure of finding out the Present Value (PV)?

Select correct option:

Discounting

Compounding

Time value of money

Bond pricing

Answer=1

Question # 15 of 15 (Start time: 01:30:20 AM) Total Marks: 1

A loan that is used to purchase the real estate is known as:

Select correct option:

Real estate loan

Home mortgages

Fixed payment loan

Home loan

Answer=3

Question # 2 of 15 (Start time: 01:38:29 AM) Total Marks: 1

Which characteristic are common both in money and securities

Select correct option:

Transfer of risk, store of value

Unit of account, mean of payment

Mean of payment, transfer of risk

Store of value, mean of payment

Answer=4

TODAY QUIZEZ

MGT411 (07.05.10)

Question # 1 of 15

Saving occurs normally in

Select correct option:

Early age

Middle age

Old age

None of above

Question # 2 of

What will be the result of the difference of real and nominal interest rate?

Select correct option:

The cost of borrowing

The effect of inflation

The price of bonds

The return of bonds

Question # 3 of 15

Sum of all the probabilities should be equal to which one of the following?

Select correct option:

Zero

One

Two

Three

Question # 4 of 15

Bonds that are issued by Government are called _____.

Select correct option:

Government bond

Treasury bond

Corporate bond

Callable Bonds

Question # 5 of 15

A _____ is a promise to make a series of payments on specific future date.

Select correct option:

Stock

Bond

Loan

Cheque

Question # 6 of 15

Which of the following is the measure of likelihood that an event will occur?

Select correct option:

Risk

Probability

Frequency

Outcom

Question # 7 of 15

Economic development measured by

Select correct option:

Real GDP/population

Real GDP/ nominal GDP

Real GDP/Real GNP

None of above

Question # 8 of 15

The reason for the government to get involved in the financial system is to:

Select correct option:

Protect investors

Ensure the stability of the financial system

Protect bank customers from monopolistic exploitation

All of the given options

Question # 9 of 15

The interest rate that is involved in _____ calculation is referred to as discount rate

Select correct option:

Present value

Future value

Intrinsic value

Discount value

Question # 10 of 15

The relationship between the price and the interest rate for a zero coupon bond is best described as:

Select correct option:

Volatile

Stable

Non-existent

Inverse

Question # 11 of 15

At which money aggregate definitions relation is stronger with inflation and growth

Select correct option:

M1

M2

M3

None of above

Question # 12 of 15 (Start time: 12:07:59 PM) Total Marks: 1

_____ is the interest rate at which the present value annual revenue equals the cost of the investment.

Select correct option:

Fixed rate of interest

Internal rate of return

Variable rate of interest

Nominal rate of interest

Question # 13 of 15

Which of the following is the least liquid of all?

Select correct option:

Money

Bonds & stocks

Lands & buildings

None of the given options

Question # 14 of 15

Time affects the value of which of the following?

Select correct option:

Financial Instruments

Financial Markets

Financial Institutions

Central Banks

Question # 15 of 15

The longer the time (n) until the payment:

Select correct option:

The lower the present value

The higher the present value because time is valuable

The lower must be the interest rate

Time has no effect on present value

2nd One

Question # 1 of 15

A brilliant example of risk require compensation

Select correct option:

Taking a safe debt

Insurance policy

A person work in office

None of above

Question # 2 of 15

Which of the following best describes the relationship between Bond prices and yields?

Select correct option:

Move together inversely

Bond yields do not change since the coupon is fixed

Move together directly

Are independent of each other

Question # 3 of 15

The relationship between the price and the interest rate for a zero coupon bond is best described as:

Select correct option:

Volatile

Stable

Non-existent

Inverse

Question # 4 of 15

Which of the following are used to monitor and stabilize the economy?

Select correct option:

Stock exchanges

Commercial Banks

Central Banks

Financial institutions

Question # 5 of 15

What is true relationship between return and risk?

Select correct option:

Lower the risk greater the return

Greater the risk greater the return

Greater the risk the return will remain constant

No relationship between them

Question # 6 of 15

Which of the following would be included in a definition of risk?

Select correct option:

Risk is a not measure of uncertainty

Risk is unavoidable

Risk doesn't have a time horizon

Risk seldom involves some future payoff

Question # 7 of 15

Which of the following best expresses the proceeds a lender receives from a simple loan?

Select correct option:

$PV(1 + i)$

FV/i

$PV + i$

PV/i

Question # 8 of 15

Financial development measured by

Select correct option:

$M1/GDP$

$M2/GDP$

$M3/DGP$

All of above

Question # 10 of 15

Financial instruments are evolved just as _____.

Select correct option:

Currency

Stock

Bond

Commodity

Question # 11 of 15

Which one of the following is true for financial intermediaries?

Select correct option:

Channel funds from savers to borrowers

Greatly enhance economic efficiency

Have been a source of many financial innovations

All of the given options

Question # 12 of 15

If YTM is less than the coupon rate the price of the bond is _____.

Select correct option:

Greater than its face value

Lower than its face value

Equals to its face value

All of the given options

Question # 14 of 15

With direct finance we mean which of the following?

Select correct option:

Individuals (or firms) borrow directly from the savers

Individuals (or firms) borrow directly from banks.

Individuals deposit savings directly in banks.

Firms deposit savings directly in banks.

Question # 15 of 15 (Start time: 12:30:33 PM) Total Marks: 1

Mr A need 1000000 to buy a car for his personal use he contact with bank that give his loan this would be called

Select correct option:

Direct finance

Indirect finance

Facilitate payment
All of above

Question No: 1 (Marks: 1) - Please choose one

Financial instruments are evolved just as _____.

- ▶ Currency
- ▶ Stock
- ▶ Bond
- ▶ Commodity

Question No: 2 (Marks: 1) - Please choose one

Price of 100 goods under the barter system would be _____.

- ▶ 5050
- ▶ 19800
- ▶ 4950
- ▶ 20200

Reference:

$$\begin{aligned} &= n(n-1)/2 \\ &= 100(100-1)/2 \\ &= 100(99)/2 \\ &= 9900/2 \\ &= 4950 \end{aligned}$$

Question No: 3 (Marks: 1) - Please choose one

Wealth can be held in number of other forms but we use to hold money because of which one of the following reason?

- ▶ It is the only mode of payment
- ▶ It is an asset
- ▶ It is most liquid
- ▶ It is the only store of value

Question No: 4 (Marks: 1) - Please choose one

A decrease in the number of credit cards issued:

- ▶ Has the same impact on the economy as the Federal Reserve supplying less money
- ▶ Reduces the money supply since credit cards act like money
- ▶ Would probably lower the amount in M3 but likely not M1
- ▶ None of the given options

Question No: 5 (Marks: 1) - Please choose one

Risk sharing is the characteristic of which one of the following?

- ▶ Checks
- ▶ Checking accounts
- ▶ Money

► Bonds

Question No: 6 (Marks: 1) - Please choose one

_____ is the today's value of a payment that is promised to be made in the future.

- None of the given options
- Future value
- Present value
- Agreed value

Question No: 7 (Marks: 1) - Please choose one

Which one of the following is the procedure of finding out the Present Value (PV)?

- Discounting
- Compounding
- Time value of money
- Bond pricing

Question No: 8 (Marks: 1) - Please choose one

Asma deposits funds into a CD account at her bank. The CD account has an annual interest of 4.0%. If Asma leaves the funds in the CD account for entire two years she will have \$1081.60. What amount is Asma depositing?

- \$960.60
- \$900.00
- \$1005.00
- \$1000.00

Question No: 9 (Marks: 1) - Please choose one

You receive a check for \$500 three years from today. The discounted present value of this \$500 is _____.

- $\$500/(1+i)$
- $\$500*(1+i)$
- $\$500/(1+i)^3$
- $\$500*(1+i)^3$

Question No: 10 (Marks: 1) - Please choose one

What will be the effect on the present value if we double the future value of the payment?

- It will decrease the value by one-half
- It will increase the value by one-half
- It will equally increase the value i.e. doubles the value
- It will have no effect on the value

Question No: 11 (Marks: 1) - Please choose one

The variance is generally less useful than the standard deviation on which of the following reasons?

- Variance is easier to calculate
- Variance is a measure of risk, whereas standard deviation is a measure of return

- is
- ▶ Variance isn't calculated in the same units as payoffs where as standard deviation
 - ▶ Both are equally useful

Question No: 12 (Marks: 1) - Please choose one

A risk-averse investor will:

- ▶ Always prefer an investment with a lower expected return
- ▶ Always prefer an investment with a certain return to one with the same expected return but any amount of uncertainty
- ▶ Always require a certain return
- ▶ Always focus exclusively on the expected return

Question No: 13 (Marks: 1) - Please choose one

The return on the bond is equal to which of the following?

- ▶ Coupon rate + rate of capital gains
- ▶ Current yield + rate of capital gains
- ▶ Coupon rate - rate of capital gains
- ▶ Current yield - rate of capital gains

Question No: 14 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond demand to the _____

- ▶ Right
- ▶ Left
- ▶ No change
- ▶ None of the given options

Question No: 15 (Marks: 1) - Please choose one

The bond rating of a security refers to which of the followings?

- ▶ The size of the coupon payment relative to the face value
- ▶ The return a holder is likely to receive
- ▶ The likelihood the lender/borrower will be repaid by the borrower/issuer
- ▶ The years until the bond matures

Question No: 16 (Marks: 1) - Please choose one

The _____ are an assessment of the creditworthiness of the corporate issuer.

- ▶ Bond yield
- ▶ Bond ratings
- ▶ Bond risk
- ▶ Bond price

Question No: 17 (Marks: 1) - Please choose one

Which of the following statement is true for the given sentence, "that tax affects the bond return"?

- ▶ Because only interest income they receive from bond is taxable
- ▶ Because principal amount and interest income they receive from bond is taxable
- ▶ Because bond holders are taxpayers

- ▶ Because all bond is sold with a condition that tax will be deducted from its return

Question No: 18 (Marks: 1) - Please choose one

Which one of the following is true for the relationship between the yield of taxable and tax exempt bond?

- ▶ Higher the tax rate wider the gap between the yield of taxable and tax exempt bond
- ▶ Taxable bond yield is always greater than tax exempt bond
- ▶ Higher the tax rate shorter the gap between yield of taxable and tax exempt bond
- ▶ Lower the tax rate wider the gap between yield of taxable and tax exempt bond

Question No: 19 (Marks: 1) - Please choose one

If the tax rate is higher than gap between yield on taxable and tax exempt bond?

- ▶ Shorter
- ▶ Wider
- ▶ No gap
- ▶ Any thing can be possible

Question No: 20 (Marks: 1) - Please choose one

The liquidity premium theory suggests that yield curves should usually be:

- ▶ Up-sloping
- ▶ Inverted
- ▶ Flat
- ▶ Up-sloping through year 1, then flat thereafter

Question No: 21 (Marks: 1) - Please choose one

A share of common stock represents _____.

- ▶ A claim from a lender to a borrower
- ▶ A share in the company's assets
- ▶ A share of ownership of the company
- ▶ An unlimited liability to the owner of the stock

Question No: 22 (Marks: 1) - Please choose one

You start with a \$1000 portfolio; it loses 40% over the next year, the following year it gains 50% in value; At the end of two years the worth of your portfolio will be:

- ▶ \$900
- ▶ \$600
- ▶ \$1000
- ▶ \$1100

Question No: 23 (Marks: 1) - Please choose one

If information in a financial market is asymmetric, this means:

- ▶ Borrowers and lenders have the same information
- ▶ Lenders lack any information
- ▶ Borrowers and lenders have perfect information
- ▶ Borrowers would have more information than lenders

Question No: 24 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of financial institutions?

- ▶ Bank
- ▶ Securities firm
- ▶ **Stock exchange**
- ▶ Insurance company

Question No: 25 (Marks: 1) - Please choose one

Components of M_1 **DO NOT** include which one of the following?

- ▶ Currency in the hands of public
- ▶ Demand deposits
- ▶ **Small denominations time deposit**
- ▶ Checkable deposits

Question No: 26 (Marks: 1) - Please choose one

Mr. Ghazanfar obtains a home improvement loan from Allied Bank. This loan is:

- ▶ Mr. Ghazanfar's asset and the bank's liability
- ▶ **Mr. Ghazanfar 's asset, but the liability belongs to the bank's depositors**
- ▶ Mr. Ghazanfar 's liability and an asset for the bank
- ▶ Both Mr. Ghazanfar's and bank's liability

Question No: 27 (Marks: 1) - Please choose one

The interest rate used in the present value calculation is often referred as:

- ▶ **Discount rate**
- ▶ Inflation rate
- ▶ Nominal rate
- ▶ Deflation rate

Question No: 28 (Marks: 1) - Please choose one

If there is a decrease in the expected future interest rate, what will be its affect on bond?

- ▶ Bond will be less attractive
- ▶ **Bond will be more attractive**
- ▶ Bond will be less expensive
- ▶ Bond will be more expensive

Question No: 1 (Marks: 1) - Please choose one

Financial instruments are evolved just as _____.

- ▶ Currency
- ▶ Stock
- ▶ **Bond**
- ▶ Commodity

Question No: 2 (Marks: 1) - Please choose one

Price of 100 goods under the barter system would be _____.

- ▶ 5050

- ▶ 19800
- ▶ **4950**
- ▶ 20200

Question No: 3 (Marks: 1) - Please choose one

Wealth can be held in number of other forms but we use to hold money because of which one of the following reason?

- ▶ It is the only mode of payment
- ▶ It is an asset
- ▶ **It is most liquid**
- ▶ It is the only store of value

Question No: 4 (Marks: 1) - Please choose one

A decrease in the number of credit cards issued:

- ▶ **Has the same impact on the economy as the Federal Reserve supplying less money**
- ▶ Reduces the money supply since credit cards act like money
- ▶ Would probably lower the amount in M3 but likely not M1
- ▶ None of the given options

Question No: 5 (Marks: 1) - Please choose one

Risk sharing is the characteristic of which one of the following?

- ▶ Checks
- ▶ Checking accounts
- ▶ Money
- ▶ **Bonds**

Question No: 6 (Marks: 1) - Please choose one

_____ is the today's value of a payment that is promised to be made in the future.

- ▶ None of the given options
- ▶ Future value
- ▶ **Present value**
- ▶ Agreed value

Question No: 7 (Marks: 1) - Please choose one

Which one of the following is the procedure of finding out the Present Value (PV)?

- ▶ **Discounting**
- ▶ Compounding
- ▶ Time value of money
- ▶ Bond pricing

Question No: 8 (Marks: 1) - Please choose one

Asma deposits funds into a CD account at her bank. The CD account has an annual interest of 4.0%. If Asma leaves the funds in the CD account for entire two years she will have \$1081.60. What amount is Asma depositing?

- ▶ **\$960.60**

- ▶ \$900.00
- ▶ \$1005.00
- ▶ **\$1000.00**

Question No: 9 (Marks: 1) - Please choose one

You receive a check for \$500 three years from today. The discounted present value of this \$500 is _____.

- ▶ $\$500/(1+i)$
- ▶ $\$500*(1+i)$
- ▶ **$\$500/(1+i)^3$**
- ▶ $\$500*(1+i)^3$

Question No: 10 (Marks: 1) - Please choose one

What will be the effect on the present value if we double the future value of the payment?

- ▶ It will decrease the value by one-half
- ▶ It will increase the value by one-half
- ▶ **It will equally increase the value i.e. doubles the value**
- ▶ It will have no effect on the value

Question No: 11 (Marks: 1) - Please choose one

The variance is generally less useful than the standard deviation on which of the following reasons?

- ▶ Variance is easier to calculate
- ▶ Variance is a measure of risk, whereas standard deviation is a measure of return
- ▶ **Variance isn't calculated in the same units as payoffs where as standard deviation is**
- ▶ Both are equally useful

Question No: 12 (Marks: 1) - Please choose one

A risk-averse investor will:

- ▶ Always prefer an investment with a lower expected return
- ▶ **Always prefer an investment with a certain return to one with the same expected return but any amount of uncertainty**
- ▶ Always require a certain return
- ▶ Always focus exclusively on the expected return

Question No: 13 (Marks: 1) - Please choose one

The return on the bond is equal to which of the following?

- ▶ **Coupon rate + rate of capital gains**
- ▶ Current yield + rate of capital gains
- ▶ Coupon rate - rate of capital gains
- ▶ Current yield - rate of capital gains

Question No: 14 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond demand to the _____

- ▶ Right
- ▶ **Left**
- ▶ No change
- ▶ None of the given options

Question No: 15 (Marks: 1) - Please choose one

The bond rating of a security refers to which of the followings?

- ▶ The size of the coupon payment relative to the face value
- ▶ The return a holder is likely to receive
- ▶ **The likelihood the lender/borrower will be repaid by the borrower/issuer**
- ▶ The years until the bond matures

Question No: 16 (Marks: 1) - Please choose one

The _____ are an assessment of the creditworthiness of the corporate issuer.

- ▶ **Bond yield**
- ▶ Bond ratings
- ▶ Bond risk
- ▶ Bond price

Question No: 17 (Marks: 1) - Please choose one

Which of the following statement is true for the given sentence, "that tax affects the bond return"?

- ▶ Because only interest income they receive from bond is taxable
- ▶ Because principal amount and interest income they receive from bond is taxable
- ▶ **Because bond holders are taxpayers**
- ▶ Because all bond is sold with a condition that tax will be deducted from its return

Question No: 18 (Marks: 1) - Please choose one

Which one of the following is true for the relationship between the yield of taxable and tax exempt bond?

- ▶ **Higher the tax rate wider the gap between the yield of taxable and tax exempt bond**
- ▶ Taxable bond yield is always greater than tax exempt bond
- ▶ Higher the tax rate shorter the gap between yield of taxable and tax exempt bond
- ▶ Lower the tax rate wider the gap between yield of taxable and tax exempt bond

Question No: 19 (Marks: 1) - Please choose one

If the tax rate is higher than gap between yield on taxable and tax exempt bond?

- ▶ Shorter
- ▶ **Wider**
- ▶ No gap
- ▶ Any thing can be possible

Question No: 20 (Marks: 1) - Please choose one

The liquidity premium theory suggests that yield curves should usually be:

- ▶ Up-sloping

- ▶ Inverted
- ▶ **Flat**
- ▶ Up-sloping through year 1, then flat thereafter

Question No: 21 (Marks: 1) - Please choose one

A share of common stock represents _____.

- ▶ A claim from a lender to a borrower
- ▶ A share in the company's assets
- ▶ **A share of ownership of the company**
- ▶ An unlimited liability to the owner of the stock

Question No: 22 (Marks: 1) - Please choose one

You start with a \$1000 portfolio; it loses 40% over the next year, the following year it gains 50% in value; At the end of two years the worth of your portfolio will be:

- ▶ **\$900**
- ▶ \$600
- ▶ \$1000
- ▶ \$1100

Question No: 23 (Marks: 1) - Please choose one

If information in a financial market is asymmetric, this means:

- ▶ Borrowers and lenders have the same information
- ▶ Lenders lack any information
- ▶ **Borrowers and lenders have perfect information**
- ▶ Borrowers would have more information than lenders

Question No: 24 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of financial institutions?

- ▶ Bank
- ▶ Securities firm
- ▶ Stock exchange
- ▶ **Insurance company**

Question No: 25 (Marks: 1) - Please choose one

Components of M_1 **DO NOT** include which one of the following?

- ▶ Currency in the hands of public
- ▶ Demand deposits
- ▶ **Small denominations time deposit**
- ▶ Checkable deposits

Question No: 26 (Marks: 1) - Please choose one

Mr. Ghazanfar obtains a home improvement loan from Allied Bank. This loan is:

- ▶ Mr. Ghazanfar's asset and the bank's liability
- ▶ Mr. Ghazanfar's asset, but the liability belongs to the bank's depositors
- ▶ **Mr. Ghazanfar's liability and an asset for the bank**
- ▶ Both Mr. Ghazanfar's and bank's liability

Question No: 27 (Marks: 1) - Please choose one

The interest rate used in the present value calculation is often referred as:

- ▶ **Discount rate**
- ▶ Inflation rate
- ▶ Nominal rate
- ▶ Deflation rate

Question No: 28 (Marks: 1) - Please choose one

If there is a decrease in the expected future interest rate, what will be its affect on bond?

- ▶ **Bond will be less attractive**
- ▶ Bond will be more attractive
- ▶ Bond will be less expensive
- ▶ Bond will be more expensive

MIDTERM EXAMINATION

Spring 2010

MGT411- Money & Banking (Session - 4)

Time: 60 min

Marks: 44

Question No: 1 (Marks: 1) - Please choose one

Core principles of Money and Banking include each of the following Except?

- ▶ All people act rationally
- ▶ Time has value
- ▶ Information is the basis for decisions
- ▶ Risk requires compensation

ANS: All people act rationally

Question No: 2 (Marks: 1) - Please choose one

Debit card works in the same way as which one of the following?

- ▶ Cheque
- ▶ Credit card
- ▶ Store value card
- ▶ Pay order

ANS: Cheque

Question No: 3 (Marks: 1) - Please choose one

The one that you get from bank when you open your checking account is _____.

- ▶ Debit card
- ▶ Credit card
- ▶ Store value card

- ▶ Customer card

ANS: Debit card

Question No: 4 (Marks: 1) - Please choose one

The Consumer Price Index (CPI):

- ▶ Tends to overstate inflation due to substitution bias
- ▶ Tends to understate actual inflation
- ▶ Is more accurate than the GDP deflator
- ▶ Is based on basket of goods that changes monthly with consumer expenditures

ANS: Is based on basket of goods that changes monthly with consumer expenditures

Question No: 5 (Marks: 1) - Please choose one

The process of financial intermediation:

- ▶ Creates a net cost to an economy but is unavoidable
- ▶ Is used primarily in underdeveloped countries
- ▶ Is always used when a borrower needs to obtain funds
- ▶ Increases the economy's ability to produce

ANS: Is always used when a borrower needs to obtain funds

Question No: 6 (Marks: 1) - Please choose one

Which of the following is **NOT** a function of financial markets?

- ▶ Relaying and reacting information
- ▶ Used as a mean of payment
- ▶ Allocating resources
- ▶ Setting prices

ANS: Used as a mean of payment

Question No: 7 (Marks: 1) - Please choose one

Which of the following market allowed networks of dealers that are connected electronically?

- ▶ New York Stock Exchange
- ▶ NASDAQ
- ▶ Large exchanges in London
- ▶ Large exchanges in Tokyo

ANS: NASDAQ

Question No: 8 (Marks: 1) - Please choose one

Which of the following is the difference that lies between the options and futures?

- ▶ Options is not binding whereas future is binding
- ▶ Futures carry risks but Options didn't carry risk
- ▶ Centralized clearinghouses guarantee futures but not options contracts
- ▶ There is no difference between options and futures

ANS: Futures carry risks but Options didn't carry risk

Question No: 9 (Marks: 1) - Please choose one

The future value of \$200 at a 5% per year interest rate at the end of one year is:

- ▶ \$195.00
- ▶ \$210.00
- ▶ \$197.50
- ▶ \$100

ANS: \$210.00

Question No: 10 (Marks: 1) - Please choose one

_____ is the today's value of a payment that is promised to be made in the future.

- ▶ None of the given options
- ▶ Future value
- ▶ Present value
- ▶ Agreed value

ANS: Present value

Question No: 11 (Marks: 1) - Please choose one

You receive a check for \$500 three years from today. The discounted present value of this \$500 is _____.

- ▶ $\$500/(1+i)$
- ▶ $\$500*(1+i)$
- ▶ $\$500/(1+i)^3$
- ▶ $\$500*(1+i)^3$

ANS: $\$500*(1+i)^3$

Question No: 12 (Marks: 1) - Please choose one

Suppose there are two investments, A and B, investment A has low standard deviation where as investment B has high standard deviation. What would you think that most people will choose?

- ▶ Investment A
- ▶ Investment B
- ▶ Indifference between them
- ▶ Insufficient information to decide

ANS: Investment A

Question No: 13 (Marks: 1) - Please choose one

The risk premium for an investment:

- ▶ Increases with risk
- ▶ Is a fixed amount added to the risk free return
- ▶ Is negative for U.S. Treasury Securities
- ▶ Is negative for risk averse investors

ANS: Increases with risk

Question No: 14 (Marks: 1) - Please choose one

Mr. A has a Treasury bill with a maturity period of 6 months where as Mr. B has a bond with a maturity period of 1 year. Which of the following statement is **NOT** true for this situation?

- ▶ Mr. A has paid less price for his bond than Mr. B
- ▶ Mr. A and Mr. B is a holder of zero coupon bond
- ▶ Mr. A will receive payment at the end of the maturity period
- ▶ Mr. B will receive the payment at the end of the maturity period

ANS: Mr. A has paid less price for his bond than Mr. B

Question No: 15 (Marks: 1) - Please choose one

Which of the following best describes the relationship between Bond prices and yields?

- ▶ Move together directly
- ▶ Independent of each other
- ▶ Move together inversely
- ▶ Bond yields do not change since the coupon is fixed

ANS: Move together inversely

Question No: 16 (Marks: 1) - Please choose one

Treasury bonds & corporate bonds are the examples of _____ bonds.

- ▶ Zero-coupon bonds
- ▶ Coupon bonds
- ▶ Consols
- ▶ Fixed payment

ANS: Coupon bonds

Question No: 17 (Marks: 1) - Please choose one

The _____ are an assessment of the creditworthiness of the corporate issuer.

- ▶ Bond yield
- ▶ Bond ratings
- ▶ Bond risk
- ▶ Bond price

ANS: Bond ratings

Question No: 18 (Marks: 1) - Please choose one

Which of the following statement is true for the given sentence, "that tax affects the bond return"?

- ▶ Because only interest income they receive from bond is taxable
- ▶ Because principal amount and interest income they receive from bond is taxable

- ▶ Because bond holders are taxpayers
- ▶ Because all bond is sold with a condition that tax will be deducted from its return

ANS: Because only interest income they receive from bond is taxable

Question No: 19 (Marks: 1) - Please choose one

Which one of the following is true for the relationship between the yield of taxable and tax exempt bond?

- ▶ Higher the tax rate wider the gap between the yield of taxable and tax exempt bond
- ▶ Taxable bond yield is always greater than tax exempt bond
- ▶ Higher the tax rate shorter the gap between yield of taxable and tax exempt bond
- ▶ Lower the tax rate wider the gap between yield of taxable and tax exempt bond

ANS: Higher the tax rate wider the gap between the yield of taxable and tax exempt bond

Question No: 20 (Marks: 1) - Please choose one

If the tax rate is higher than gap between yield on taxable and tax exempt bond?

- ▶ Shorter
- ▶ Wider
- ▶ No gap
- ▶ Any thing can be possible

ANS: Wider

Question No: 21 (Marks: 1) - Please choose one

Which one of the following is NOT true for the expectation hypothesis?

- ▶ Risk free interest rate can be computed
- ▶ There is uncertainty in the future
- ▶ Identifying yield of bond today that will be available next year
- ▶ It focuses on risk free interest rate and the risk premium

ANS: There is uncertainty in the future

Question No: 22 (Marks: 1) - Please choose one

According to the liquidity premium theory of the term structure, when the yield curve has its usual slope, the market expects

- ▶ Short-term interest rates to rise sharply
- ▶ Short-term interest rates to stay near their current levels
- ▶ Short-term interest rates to drop sharply
- ▶ Short-term interest rates does not change

ANS: Short-term interest rates to stay near their current levels

Question No: 23 (Marks: 1) - Please choose one

Other things remaining equal, the liquidity premium theory is based upon the idea that _____.

- ▶ Investors prefer long-term bonds
- ▶ Investors prefer short-term bonds
- ▶ Investors are indifferent between short-term and long-term bonds
- ▶ Investors prefer intermediate-term bonds

ANS: Investors prefer short-term bonds

Question No: 24 (Marks: 1) - Please choose one

Common stocks (or corporate stocks):

- ▶ Are short term debt instruments
- ▶ Entitle the holder to contractual payments
- ▶ Were poor investments over the period 1982-1996
- ▶ Allows the holder to share in the earnings of the firm

ANS: Allows the holder to share in the earnings of the firm

Question No: 25 (Marks: 1) - Please choose one

Which of the following allows us to buy and sell financial instruments quickly and cheaply?

- ▶ Financial institution
- ▶ Financial market
- ▶ Central Bank
- ▶ Federal Reserve System

ANS: Financial market

Question No: 26 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of financial institutions?

- ▶ Bank
- ▶ Securities firm
- ▶ Stock exchange
- ▶ Insurance company

ANS: Securities firm

Question No: 27 (Marks: 1) - Please choose one

Which of the following institution takes direct deposit from customer and gives loan to customer directly?

- ▶ Zarai Tarkaytee Bank LTD
- ▶ Soneri Bank
- ▶ Khushali Bank
- ▶ Credit union

ANS: Soneri Bank

Question No: 28 (Marks: 1) - Please choose one

If there is a decrease in the expected future interest rate, what will be its affect on bond?

- ▶ Bond will be less attractive
- ▶ Bond will be more attractive
- ▶ Bond will be less expensive
- ▶ Bond will be more expensive

ANS: Bond will be more attractive

Question No: 29 (Marks: 3)

Find out YTM of 1 year 7% coupon bond selling at \$90. (Face value of bond = \$100).

ANS:

$$\text{YTM} = \$100 / \$90 - 1 = 0.11 \text{ or } 11.11\%$$

Question No: 30 (Marks: 3)

“Stock market plays a crucial role in every modern capitalist economy”. Discuss.

Question No: 31 (Marks: 5)

“People differ in their opinions of how stocks should be valued”. Discuss it.

Question No: 32 (Marks: 5)

Briefly explain the factors which shift the bond demand.

ANS: The following factors those shift the bond demand are following

- 6- Wealth
- 7- Expected inflation
- 8- Expected return on stocks and other assets
- 9- Risk relative to alternatives
- 10- Liquidity of bonds relative to alternatives

Wealth : an increase in wealth shifts the demand for bond to the right as wealthier peoples invest more. This will happen as the economy grows during an expansion. This will increase bond prices and lower yields.

Expected inflation: a fall in expected inflation shifts the bond demand curve to the right, increasing demand at each price and lowering the yield and increasing the bonds price.

MGT411- Money & Banking (Session - 6)

Time: 60 min

Marks: 44

Question No: 1 (Marks: 1) - Please choose one

Price of 100 goods under the barter system would be _____.

- ▶ 5050
- ▶ 19800
- ▶ 4950
- ▶ 20200

Question No: 2 (Marks: 1) - Please choose one

In electronic transfer the most common method is to send money through a system maintained by Federal reserve called _____.

- ▶ Fedex
- ▶ Fedwire
- ▶ Fedtransfer
- ▶ Fedmoney

Question No: 3 (Marks: 1) - Please choose one

Which one of the following is the primary cause of inflation?

- ▶ Decreased money supply
- ▶ Increased money supply
- ▶ Decreased interest rates
- ▶ Increased purchasing power

Question No: 4 (Marks: 1) - Please choose one

Which of the following is true for direct finance?

- ▶ Individuals (or firms) borrow directly from banks
- ▶ Individuals deposit savings directly in banks
- ▶ Firms deposit savings directly in banks
- ▶ Individuals (or firms) borrow directly from the savers

Question No: 5 (Marks: 1) - Please choose one

What will be the Future Value (FV) of \$1000 in 5 years at 5% interest rate?

- ▶ \$1300.00
- ▶ \$1276.28
- ▶ \$1999.99
- ▶ \$1500.52

Question No: 6 (Marks: 1) - Please choose one

Which one of the following is the procedure of finding out the Present Value (PV)?

- ▶ Discounting
- ▶ Compounding
- ▶ Time value of money
- ▶ Bond pricing

Question No: 7 (Marks: 1) - Please choose one

You receive a check for \$100 two years from today. The discounted present value of this \$100 is:

- ▶ $\$100/(1+i)$
- ▶ $\$100*(1+i)^2$
- ▶ $\$100*(1+i)$
- ▶ $\$100/(1+i)^2$

Question No: 8 (Marks: 1) - Please choose one

Which of the following represents the fisher's equation?

- ▶ Nominal interest rate = real interest rate + inflation
- ▶ Nominal interest rate + inflation = real interest rate
- ▶ Nominal interest rate = real interest rate - inflation
- ▶ Nominal interest rate = real interest rate / inflation

Question No: 9 (Marks: 1) - Please choose one

What will be the result of the difference of real and nominal interest rate?

- ▶ The cost of borrowing
- ▶ The effect of inflation
- ▶ The price of bonds
- ▶ The return of bonds

Question No: 10 (Marks: 1) - Please choose one

Sum of all the probabilities should be equal to which one of the following?

- ▶ Zero
- ▶ One
- ▶ Two
- ▶ Three

Question No: 11 (Marks: 1) - Please choose one

The coupon rate of bond:

- ▶ Is another term for the current yield
- ▶ Is another term for the yield to maturity
- ▶ Could not be calculated for a zero-coupon bond
- ▶ None of the given options

Question No: 12 (Marks: 1) - Please choose one

Current yield did NOT measure which of the following?

- ▶ Return arises from coupon payment
- ▶ Capital gain and loss
- ▶ Return arises from bond holding till maturity
- ▶ All of the given options

Question No: 13 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond supply to the _____

- ▶ Right

- ▶ Left
- ▶ No change
- ▶ None of the given options

Question No: 14 (Marks: 1) - Please choose one

The lowest rating for an investment grade bond assigned by Moody's is:

- ▶ BBB
- ▶ ABB
- ▶ Baa
- ▶ Aaa

Question No: 15 (Marks: 1) - Please choose one

In the long run, the yield curve tends to be which of the following?

- ▶ Upward sloping
- ▶ Downward sloping
- ▶ Nearly vertical
- ▶ Nearly horizontal

Question No: 16 (Marks: 1) - Please choose one

Common stocks (or corporate stocks):

- ▶ Are short term debt instruments
- ▶ Entitle the holder to contractual payments
- ▶ Were poor investments over the period 1982-1996
- ▶ Allows the holder to share in the earnings of the firm

Question No: 17 (Marks: 1) - Please choose one

A bank can usually offer a saver a higher return for the same risk because:

- ▶ The bank can usually purchase assets at a higher cost than any one saver
- ▶ The bank can pool the resources of larger savers and purchase lower denominated assets
- ▶ Economies of scale can be applied by the bank in its purchase of assets
- ▶ None of the given options

Question No: 18 (Marks: 1) - Please choose one

If information in a financial market is asymmetric, this means:

- ▶ Borrowers and lenders have the same information
- ▶ Lenders lack any information
- ▶ Borrowers and lenders have perfect information
- ▶ Borrowers would have more information than lenders

Question No: 19 (Marks: 1) - Please choose one

Which of the following is true of a nation's central bank?

- ▶ It makes important decisions about the nation's tax and public spending policies
- ▶ It lends only to the nation's largest and most important business firms
- ▶ It has many interactions with the nation's citizens and businesses

► It is responsible for conducting the nation's monetary policy

Question No: 20 (Marks: 1) - Please choose one

Requiring a large deductible on the part of an insured is one way insurers treat the problem of:

- Free-riding
- Moral hazard
- Adverse selection
- The Lemons market

Question No: 21 (Marks: 1) - Please choose one

Often a bank will require a loan officer to make personal visits on customers with loans outstanding. This is encouraged because:

- The bank worries about competitors trying to steal their customers
- The bank wants to make sure the business is still there
- The bank likely has excess funds available and hopes to make another loan to the business

► This is an effective monitoring technique and should reduce moral hazard

Question No: 22 (Marks: 1) - Please choose one

Which of the following represents the history of money uptill the modern age?

- Gold/silver coins____ Paper Currency____ Electronic Fund Transfer
- Paper Currency____ Gold/Silver coins____ Electronic Fund Transfer
- Electronic Fund Transfer____ Paper Currency ____ Gold/silver coins
- Gold/silver coins____ Electronic Fund Transfer____ Paper currency

Question No: 23 (Marks: 1) - Please choose one

Mr. A makes payment to Mr. B in exchange of household furniture in the form of cheques. Which of the following is true for this situation?

- It is final payment made by Mr. A
- It's not a final payment
- It may not be accepted as payment
- Cheques are not form of money

Question No: 24 (Marks: 1) - Please choose one

Components of M1 DO NOT include which one of the following?

- Currency in the hands of public
- Demand deposits
- Small denominations time deposit
- Checkable deposits

Question No: 25 (Marks: 1) - Please choose one

A change in the interest rate:

► Has a larger impact on the present value of a payment to be made far into the future than one to be made sooner

- ▶ Will not have a difference on the present value of two equal payments to be made at different times
- ▶ Has a smaller impact on the present value of a payment to be made far into the future than one to be made sooner
- ▶ None of the given options

Question No: 26 (Marks: 1) - Please choose one

Which of the following statement is true about the relationship between bond ,coupon payment and interest?

- ▶ Coupon payments fall, the interest rate falls, and Bond price will rise
- ▶ Coupon payments rise, the interest rate falls, and Bond price will rise
- ▶ Coupon payments fall, the interest rate falls, and Bond price will fall
- ▶ Coupon payments rise, the interest rate falls, and Bond price will fall

Question No: 27 (Marks: 1) - Please choose one

Which of the following are without maturity dates?

- ▶ Zero coupon bonds
- ▶ Coupon securities
- ▶ Consols
- ▶ Preferred Bonds

Question No: 28 (Marks: 1) - Please choose one

Zero-Coupon Bonds are pure discount bonds since they sell at a price _____.

- ▶ Equal their face value
- ▶ Below their face value
- ▶ Above their face value
- ▶ None of the given options

Question No: 29 (Marks: 3)

Differentiate between yield to maturity and current yield.

Yield To Maturity

The most useful measure of the return on holding a bond is called the yield to maturity (YTM).

This is the yield bondholders receive if they hold the bond to its maturity when the final principal payment is made

It can be calculated from the present value formula.

The value of i that solves this equation is the yield to maturity

If the price of the bond is \$100, then the yield to maturity equals the coupon rate.

Since the price rises as the yield falls, when the price is above \$100, the yield to maturity must be below the coupon rate.

Current yield

Current yield is a commonly used, easy-to-compute measure of the proceeds the bondholder receives for making a loan.

It is the yearly coupon payment divided by the price

The current yield measures that part of the return from buying the bond that arises solely from the coupon payments

Question No: 30 (Marks: 3)

Discuss briefly the facts about term Structure.

Facts of Term Structure

Interest Rates of different maturities tend to move together

Yields on short-term bond are more volatile than yields on long-term bonds

Long-term yields tend to be higher than short-term yields.

Question No: 31 (Marks: 5)

Briefly discuss short term ratings by Pakistan Credit Rating Agency.

Pakistan Credit Rating Agency.

A1+: highest capacity for timely repayment

A1: Strong capacity for timely repayment

A2: satisfactory capacity for timely repayment may be susceptible to adverse economic conditions

A3: an adequate capacity for timely repayment. More susceptible to adverse economic condition

B: timely repayment is susceptible to adverse changes in business, economic, or financial conditions

C: an inadequate capacity to ensure timely repayment

D: high risk of default or which are currently in default

Question No: 32 (Marks: 5)

Define stock and also discuss its important characteristics.

Stock & its importance

Stocks provide a key instrument for holding personal wealth as well as a way to diversify, spreading and reducing the risks that we face. For companies, they are one of several

ways to obtain financing. Additionally, Stocks and stock markets are one of the central links between the financial world and the real economy.

Common Stock

Valuing Stock

Stocks, also known as common stock or equity, are shares in a firm's ownership. From their early days, stocks had two important characteristics that today are taken for granted:

The shares are issued in small denominations and the shares are transferable.

Until recently, stockowners received a certificate from the issuing company, but now it is a computerized process where the shares are registered in the names of brokerage firms that hold them on the owner's behalf.

The ownership of common stock conveys a number of rights.

A stockholder is entitled to participate in the shares of the enterprise, but this is a residual claim meaning the leftovers after all other creditors have been paid.

Question No: 1 (Marks: 1) - Please choose one

Financial instruments are evolved just as _____.

- ▶ **Currency**
- ▶ Stock
- ▶ Bond
- ▶ Commodity

Question No: 2 (Marks: 1) - Please choose one

Core principles of Money and Banking include each of the following Except?

- ▶ **All people act rationally**
- ▶ Time has value
- ▶ Information is the basis for decisions
- ▶ Risk requires compensation

Question No: 3 (Marks: 1) - Please choose one

Which of the following is a drawback of Fiat money?

- ▶ Fewer resources are used to produce money
- ▶ The quantity of money can be determined by rational human judgment
- ▶ **A corrupt Government might issue excessive amount of money thus causing inflation**
- ▶ Fiat money doesn't have any drawback

Question No: 4 (Marks: 1) - Please choose one

Which one of the following is **NOT** true for money?

- ▶ Money is an asset
- ▶ Money is a standard mode of payment
- ▶ **Money is same as wealth**
- ▶ Money is readily spend able asset

Question No: 5 (Marks: 1) - Please choose one

A derivative instrument:

- ▶ **Gets its value and payoff from the performance of the underlying instrument**
- ▶ Is a high risk financial instrument used by highly risk averse savers
- ▶ Comes into existence after the underlying instrument is in default
- ▶ Should be purchased prior to purchasing the underlying security

Question No: 6 (Marks: 1) - Please choose one

Financial intermediaries provide small lender-savers all of the following advantages

EXCEPT:

- ▶ **Greater liquidity**
- ▶ Lower transaction cost
- ▶ Lower risk
- ▶ Higher return

Question No: 7 (Marks: 1) - Please choose one

The future value of \$100 left in a savings account earning 4.5% for two and a half years is best expressed by:

- ▶ $\$100(1.045)^{3/2}$
- ▶ $\$100(0.45)^{2.5}$
- ▶ **$\$100(1.045)^{2.5}$**
- ▶ $100 \times 2.5 \times (1.045)$

Question No: 8 (Marks: 1) - Please choose one

_____ is the today's value of a payment that is promised to be made in the future.

- ▶ None of the given options
- ▶ Future value
- ▶ **Present value**
- ▶ Agreed value

Question No: 9 (Marks: 1) - Please choose one

You receive a check for \$500 three years from today. The discounted present value of this \$500 is _____.

- ▶ $\$500/(1+i)$
- ▶ $\$500*(1+i)$
- ▶ **$\$500/(1+i)^3$**
- ▶ $\$500*(1+i)^3$

Question No: 10 (Marks: 1) - Please choose one

If the internal rate of return from an investment is less than the opportunity cost of funds:

- ▶ Firm should make the investment
- ▶ **Firm should not make the investment**
- ▶ Firm should only make the investment using retained earnings
- ▶ None of the given options

Question No: 11 (Marks: 1) - Please choose one

An investment carrying a current cost of \$130,000 is going to generate \$70,000 of revenue for each of the next three years. To calculate the internal rate of return we need to:

- ▶ Calculate the present value of each of the \$70,000 payments and multiply these and set this equal to \$130,000
- ▶ Take the present value of \$210,000 for three years from now and set this equal to \$130,000
- ▶ **Set the sum of the present value of \$70,000 for each of the next three years equal to \$130,000**
- ▶ Subtract \$130,000 from \$210,000 and set this difference equal to the interest rate

Question No: 12 (Marks: 1) - Please choose one

The real interest rate is:

- ▶ The nominal rate plus the expected inflation rate

- ▶ The nominal rate minus the expected inflation rate
- ▶ The nominal interest rate divided by the Consumer Price Index
- ▶ The product of the nominal rate and the Consumer Price Index

Question No: 13 (Marks: 1) - Please choose one

What is true about the relationship between standard deviation and risk?

- ▶ **Greater the standard deviation greater will be the risk**
- ▶ Greater the standard deviation lower will be the risk
- ▶ Greater the standard deviation risk will be remained the same
- ▶ No relation between them

Question No: 14 (Marks: 1) - Please choose one

Most of the people among us are _____.

- ▶ Risk lovers
- ▶ Risk enhancers
- ▶ **Risk averse**
- ▶ Risk tolerating

Question No: 15 (Marks: 1) - Please choose one

Mr. A has a Treasury bill with a maturity period of 6 months where as Mr. B has a bond with a maturity period of 1 year. Which of the following statement is **NOT** true for this situation?

- ▶ Mr. A has paid less price for his bond than Mr. B
- ▶ **Mr. A and Mr. B is a holder of zero coupon bond**
- ▶ Mr. A will receive payment at the end of the maturity period
- ▶ Mr. B will receive the payment at the end of the maturity period

Question No: 16 (Marks: 1) - Please choose one

For a \$1000 one year discount bond with a price of \$975, the yield to maturity is which of the following?

- ▶ $\$975/\1000
- ▶ **$(\$1000 - \$975)/\$975$**
- ▶ $(\$1000 - \$975)/(\$1000)$
- ▶ $\$1000/\975

Question No: 17 (Marks: 1) - Please choose one

Current yield is equal to which of the following?

- ▶ Price paid / yearly coupon payment
- ▶ Price paid *yearly coupon payment
- ▶ Yearly coupon payment / face value of bond
- ▶ **Yearly coupon payment / price paid**

Question No: 18 (Marks: 1) - Please choose one

The return on the bond is equal to which of the following?

- ▶ Coupon rate + rate of capital gains
- ▶ **Current yield + rate of capital gains**

- ▶ Coupon rate - rate of capital gains
- ▶ Current yield - rate of capital gains

Question No: 19 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond demand to the _____

- ▶ Right
- ▶ **Left**
- ▶ No change
- ▶ None of the given options

Question No: 20 (Marks: 1) - Please choose one

Calculate tax implication on Bond yields. Consider a one year bond face value Rs.100 (issued by Government) with coupon rate of 6%.What is the income of bond that is received at maturity? (Tax rate is 30%).

- ▶ **Rs.6**
- ▶ Rs.1.80
- ▶ Rs.4.20
- ▶ Rs.7.80

Question No: 21 (Marks: 1) - Please choose one

If the tax rate is higher than gap between yield on taxable and tax exempt bond?

- ▶ Shorter
- ▶ **Wider**
- ▶ No gap
- ▶ Any thing can be possible

Question No: 22 (Marks: 1) - Please choose one

Expectation hypothesis focuses on which one of the following?

- ▶ Risk premium
- ▶ **Risk free interest rate**
- ▶ Yield to maturity
- ▶ None of the given options

Question No: 23 (Marks: 1) - Please choose one

Stock market bubbles can lead to:

- ▶ An inefficient allocation of resources
- ▶ **Stock market crashes**
- ▶ Patterns of volatile returns from the stock market
- ▶ All of the given options

Question No: 24 (Marks: 1) - Please choose one

Without the ability of financial intermediaries to pool the resources of small savers:

- ▶ Borrowers needing large amounts of money would find it less costly to obtain the funds
- ▶ The economy would likely grow faster

- ▶ People would likely save more
- ▶ **The risk associated with lending would increase**

Question No: 25 (Marks: 1) - Please choose one

The fact that a financial intermediary can use the same contract for many customers is an example of:

- ▶ Economies of Scope
- ▶ The Law of Diminishing Marginal Returns
- ▶ The Law of Increasing Opportunity Cost
- ▶ **Economies of Scale**

Question No: 26 (Marks: 1) - Please choose one

Requiring a large deductible on the part of an insured is one way insurers treat the problem of:

- ▶ Free-riding
- ▶ **Moral hazard**
- ▶ Adverse selection
- ▶ The Lemons market

Question No: 27 (Marks: 1) - Please choose one

Financial instruments are used to transfer which of the following?

- ▶ **Both Risk and Resources**
- ▶ Risk
- ▶ Resources
- ▶ Mortgages

Question No: 28 (Marks: 1) - Please choose one

A change in the interest rate:

- ▶ **Has a larger impact on the present value of a payment to be made far into the future than one to be made sooner**
- ▶ Will not have a difference on the present value of two equal payments to be made at different times
- ▶ Has a smaller impact on the present value of a payment to be made far into the future than one to be made sooner
- ▶ None of the given options

Question No: 29 (Marks: 3)

Find out YTM of 1 year 10% coupon bond selling at \$120. (Face value of bond = \$100).

Answer:

solution:

according to the formula

YTM = yearly coupon payment / price paid

So

$$\$10 / (1 + i) + \$100 / (1 + i) =$$

$$\begin{aligned} & \$10\%/120 \\ & = 8.333 \end{aligned}$$

Question No: 30 (Marks: 3)

“Financial intermediary reduce costs”. How?

Financial intermediary is naturally an foundations that make easy the control of funds between lenders and borrowers not directly that acts as the middle man between investors and firms raising fund is called financial intermediary.

Financial intermediary will reduce transaction cost because they are specializing in the issuance of standardized securities.

Question No: 31 (Marks: 5)

Define financial intermediaries. What functions the financial intermediaries performs regarding savings?

Answer: Financial intermediary is naturally an foundations that make easy the control of funds between lenders and borrowers not directly that acts as the middle man between investors and firms raising fund is called financial intermediary.

Financial intermediary will reduce transaction cost because they are specializing in the issuance of standardized securities

1. Maturity transformation

Converting short-term liabilities to long term assets just like banks deal with large number of lenders and borrowers, and settle their conflicting needs

2. Risk transformation

Converting risky investments into relatively risk-free ones For example ending to multiple borrowers to spread the risk

3. Convenience

Matching small deposits with large loans and large deposits with small loans

Question No: 32 (Marks: 5)

Briefly explain the factors which shift the bond demand.

Answer: Factors that shift Bond Demand

- **Expected inflation**

If **expected inflation fall** then demand for bond increases, curve of bond demand shift to right.

- **Expected return on bonds**

If the expected return on bonds rise then people will invest money more ,as result demand for bond will rise

- **Risk relative to alternatives**

If other stocks are more risky then demand for bonds increases then shift the demand curve bond

Liquidity of bonds

If liquidity of bonds becomes more than other stocks or investments then shift the demand curve bond

- **Wealth**

As the consumer received more wealth their demands for good raise. They will invest their money in market result will be economy grows and bond prices will increase.

Question No: 1 (Marks: 1) - Please choose one

Which of the following are used to transfer resources from savers to investors and to transfer risk to those who best equipped it?

- ▶ Financial markets
- ▶ **Financial instruments**
- ▶ Financial institutions
- ▶ Banks

Refrance page num 2

2. Financial Instruments

- ☐ To transfer wealth from savers to borrowers
- ☐ To transfer risk to those best equipped to bear it.
- ☐ Once investing was an activity reserved for the wealthy
- ☐ Costly individual stock transactions through stockbrokers
- ☐ Information collection was not so easy
- ☐ Now, small investors have the opportunity to purchase shares in “mutual funds.”

Question No: 2 (Marks: 1) - Please choose one

The reason for the government to get involved in the financial system is to:

- ▶ Protect investors
- ▶ Ensure the stability of the financial system
- ▶ Protect bank customers from monopolistic exploitation
- ▶ **All of the given options**

Refrance page num 92

There are three reasons for the government to get involved in the financial system

- ☐ To protect investors
- ☐ To protect bank customers from monopolistic exploitation
- ☐ To ensure the stability of the financial system

Question No: 3 (Marks: 1) - Please choose one

A Financial Intermediary:

- ▶ Is an agency that guarantees a loan
- ▶ Is involved in direct finance
- ▶ **Would be used in indirect finance**
- ▶ None of the given options

Question No: 4 (Marks: 1) - Please choose one

A derivative instrument:

- ▶ **Gets its value and payoff from the performance of the underlying instrument**
- ▶ Is a high risk financial instrument used by highly risk averse savers
- ▶ Comes into existence after the underlying instrument is in default
- ▶ Should be purchased prior to purchasing the underlying security

Page num 16

Derivative Instruments

☐ Value and payoffs are “derived from” the behavior of the underlying instruments

Question No: 5 (Marks: 1) - Please choose one

The financial intermediary that obtains funds largely through premium payments and uses those funds to purchase corporate bonds and mortgages is:

- ▶ Credit unions
- ▶ Mutual funds
- ▶ **Life insurance companies**
- ▶ Pension funds

Ref page 21

Question No: 6 (Marks: 1) - Please choose one

Which one of the following financial instrument is NOT primarily used as store of value?

- ▶ Banks loans
- ▶ Asset-backed securities
- ▶ **Insurance contracts**
- ▶ Stocks

Ref page 17

Primarily Stores of Value

- ☐ Bank Loans
- ☐ A borrower obtains resources from a lender immediately in exchange for a promised set of payments in the future
- ☐ Bonds
- ☐ A form of a loan, whereby in exchange for obtaining funds today a government or corporation promises to make payments in the future
- ☐ Home Mortgages
- ☐ A loan that is used to purchase real estate
- ☐ The real estate is collateral for the loan,
- ☐ It is a specific asset pledged by the borrower in order to protect the interests of the lender in the event of nonpayment.
- ☐ If payment is not made the lender can foreclose on the property.
- ☐ Stocks
- ☐ An owner of a share owns a piece of the firm and is entitled to part of its profits.

Question No: 7 (Marks: 1) - Please choose one

Which one of the following represents the main purpose for which the secondary markets are made?

- ▶ **Small investors who don't have an access to new securities**

- ▶ Primary market is not enough for buying and selling of securities
- ▶ Large investors usually traded in these markets
- ▶ Prices in the secondary markets are known to investors

Question No: 8 (Marks: 1) - Please choose one

Which one of the following is NOT an example of Centralized exchange?

- ▶ New York Stock Exchange
- ▶ NASDAQ
- ▶ **Large exchanges in London**
- ▶ Large exchanges in Tokyo

Question No: 9 (Marks: 1) - Please choose one

What will be the effect on the present value if we double the future value of the payment?

- ▶ It will decrease the value by one-half
- ▶ It will increase the value by one-half
- ▶ **It will equally increase the value i.e. doubles the value**
- ▶ It will have no effect on the value

Question No: 10 (Marks: 1) - Please choose one

The interest rate that is involved in _____ calculation is referred to as discount rate

- ▶ **Present value**
- ▶ Future value
- ▶ Intrinsic value
- ▶ Discount value

Question No: 11 (Marks: 1) - Please choose one

A credit market instrument that pays the owner a fixed coupon payment every year until the maturity date and then repays the face value is called:

- ▶ Simple loan
- ▶ Fixed-payment loan
- ▶ **Coupon bond**
- ▶ Discount bond

Question No: 12 (Marks: 1) - Please choose one

Mary is planning on taking out a mortgage loan for her new house. She is given the choice of two different banks: Bank A has quoted annual rate of 8% compounded semi-annually and Bank B has a quoted annual rate of 7.5% compounded for a certain number of times a year. Which bank should Mary choose?

- ▶ Bank A
- ▶ Bank B
- ▶ Indifferent between Bank A and Bank B
- ▶ **Insufficient information**

Question No: 13 (Marks: 1) - Please choose one

For a \$1000 one year discount bond with a price of \$975, the yield to maturity is which of the following?

- ▶ $\$975/\1000
- ▶ $(\$1000 - \$975)/\$975$
- ▶ $(\$1000 - \$975)/(\$1000)$
- ▶ **$\$1000/\975**

Coupon rate/ market price

Question No: 14 (Marks: 1) - Please choose one

If YTM equals the coupon rate the price of the bond is _____.

- ▶ Greater than its face value
- ▶ Lower than its face value
- ▶ **Equals to its face value**
- ▶ Insufficient information is given

Ref chapter 14 start

Question No: 15 (Marks: 1) - Please choose one

If YTM is less than the coupon rate the price of the bond is _____.

- ▶ **Greater than its face value**
- ▶ Lower than its face value
- ▶ Equals to its face value
- ▶ Insufficient information is given

Ref chapter 14 start

Page 43

Yield to Maturity: General Relationships

- ☐ General Relationships
- ☐ **If the yield to maturity equals the coupon rate, the price of the bond is the same as its face value.**
- ☐ If the yield is greater than the coupon rate, the price is lower;
- ☐ **if the yield is below the coupon rate, the price is greater**
- ☐ If you buy a bond at a price less than its face value you will receive its interest and a capital gain,
which is the difference between the price and the face value.
- ☐ As a result you have a higher return than the coupon rate
- ☐ When the price is above the face value, the bondholder incurs a capital loss and the bond's yield to maturity falls below its coupon rate

Question No: 16 (Marks: 1) - Please choose one

Current yield is equal to which of the following?

- ▶ Price paid / yearly coupon payment
- ▶ Price paid *yearly coupon payment
- ▶ Yearly coupon payment / face value of bond
- ▶ **Yearly coupon payment / price paid**

Question No: 17 (Marks: 1) - Please choose one

For a \$100 one-year zero-coupon bond, the supply will be _____ at \$95 than it will be at \$90, all other things being equal.

- ▶ **Higher than before**
- ▶ Lower than before
- ▶ Stable
- ▶ Insufficient information

For a \$100 one-year zero-coupon bond, the supply will be higher at \$95 than it will be at \$90, all other things being equal.

Question No: 18 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond supply to the _____

- ▶ **Right**
- ▶ Left
- ▶ No change
- ▶ None of the given options

An increase in expected inflation shifts bond supply to the right and bond demand to the left.

Question No: 19 (Marks: 1) - Please choose one

The default premium:

- ▶ Is positive for a U.S. Treasury bond
- ▶ Must always be less than 0 (zero)
- ▶ **Is also known as the risk spread**
- ▶ Is assigned by a bond rating agency

Question No: 20 (Marks: 1) - Please choose one

Calculate tax implication on Bond yields. Consider a one year bond face value Rs.100 (issued by Government) with coupon rate of 6%.What is the income of bond that is received at maturity? (Tax rate is 30%).

- ▶ Rs.6
- ▶ Rs.1.80
- ▶ **Rs.4.20**
- ▶ Rs.7.80

$\text{Tax-Exempt Bond Yield} = (\text{Taxable Bond Yield}) \times (1 - \text{Tax Rate}).$

Question No: 21 (Marks: 1) - Please choose one

Which of the following statement is true for the given sentence, "that tax affects the bond return"?

- ▶ **Because only interest income they receive from bond is taxable**
- ▶ Because principal amount and interest income they receive from bond is taxable
- ▶ Because bond holders are taxpayers
- ▶ Because all bond is sold with a condition that tax will be deducted from its return

**The important factor that affects the return on a bond is taxes
Bondholders must pay income tax on the interest income they receive from privately**

issued

Question No: 22 (Marks: 1) - Please choose one

Expectation hypothesis focuses on which one of the following?

- ▶ Risk premium
- ▶ **Risk free interest rate**
- ▶ Yield to maturity
- ▶ None of the given options

Reference:

Expectations Hypothesis

The risk-free interest rate can be computed, assuming that there is no uncertainty about the future

Question No: 23 (Marks: 1) - Please choose one

According to the liquidity premium theory of the term structure, when the yield curve has its usual slope, the market expects

- ▶ Short-term interest rates to rise sharply
- ▶ **Short-term interest rates to stay near their current levels**
- ▶ Short-term interest rates to drop sharply
- ▶ Short-term interest rates does not change

Question No: 24 (Marks: 1) - Please choose one

The Theory of Efficient Markets:

- ▶ **Allows for higher than average returns if the investor takes higher risk**
- ▶ Says Insider-information makes markets less efficient
- ▶ Rules out high returns due to chance
- ▶ Assumes people have equal luck

Question No: 25 (Marks: 1) - Please choose one

If information in a financial market is asymmetric, this means:

- ▶ Borrowers and lenders have the same information
- ▶ Lenders lack any information
- ▶ Borrowers and lenders have perfect information
- ▶ **Borrowers would have more information than lenders**

Question No: 26 (Marks: 1) - Please choose one

Often a bank will require a loan officer to make personal visits on customers with loans outstanding. This is encouraged because:

- ▶ The bank worries about competitors trying to steal their customers
- ▶ The bank wants to make sure the business is still there
- ▶ The bank likely has excess funds available and hopes to make another loan to the business
- ▶ **This is an effective monitoring technique and should reduce moral hazard**

Question No: 27 (Marks: 1) - Please choose one

Financial instruments are used to transfer which of the following?

▶ **Both Risk and Resources**

- ▶ Risk
- ▶ Resources
- ▶ Mortgages

Question No: 28 (Marks: 1) - Please choose one

Which of the following has created an opportunity for small investors to participate in economic activity?

▶ **Mutual funds**

- ▶ Small corporations
- ▶ Stock brokers
- ▶ Small investors cannot take part in economic activity

Question No: 29 (Marks: 3)

Find out YTM of 1 year 12% coupon bond selling at \$130. (Face value of bond = \$100).

Question No: 30 (Marks: 3)

Why stocks are risky?

Question No: 31 (Marks: 5)

Discuss the negative consequences of information costs and also suggest their solution.

Question No: 32 (Marks: 5)

Ahmad purchases a 10 year 8% coupon bond with the face value of \$100. He wants to hold this bond for 1-year and then sells a 9-year bond after 1-year.

- (i) If interest rate does not change then what will be the rate of return?
- (ii) If interest rate falls to 6% then suppose price increases to \$109.16. What will be the capital gain after the price rise?
- (iii) After the price rise, what will be the one year holding period return?

Question No: 1 (Marks: 1) - Please choose one

Which of the following are used to transfer resources from savers to investors and to transfer risk to those who best equipped it?

- ▶ Financial markets
- ▶ Financial instruments
- ▶ **Financial institutions**
- ▶ Banks

Question No: 2 (Marks: 1) - Please choose one

The reason for the government to get involved in the financial system is to:

- ▶ Protect investors

- ▶ Ensure the stability of the financial system
- ▶ Protect bank customers from monopolistic exploitation
- ▶ All of the given options

Question No: 3 (Marks: 1) - Please choose one

A Financial Intermediary:

- ▶ Is an agency that guarantees a loan
- ▶ Is involved in direct finance
- ▶ Would be used in indirect finance
- ▶ None of the given options

Question No: 4 (Marks: 1) - Please choose one

A derivative instrument:

- ▶ Gets its value and payoff from the performance of the underlying instrument
- ▶ Is a high risk financial instrument used by highly risk averse savers
- ▶ Comes into existence after the underlying instrument is in default
- ▶ Should be purchased prior to purchasing the underlying security

Question No: 5 (Marks: 1) - Please choose one

The financial intermediary that obtains funds largely through premium payments and uses those funds to purchase corporate bonds and mortgages is:

- ▶ Credit unions
- ▶ Mutual funds
- ▶ Life insurance companies
- ▶ Pension funds

Question No: 6 (Marks: 1) - Please choose one

Which one of the following financial instrument is NOT primarily used as store of value?

- ▶ Banks loans
- ▶ Asset-backed securities
- ▶ Insurance contracts
- ▶ Stocks

Question No: 7 (Marks: 1) - Please choose one

Which one of the following represents the main purpose for which the secondary markets are made?

- ▶ Small investors who don't have an access to new securities
- ▶ Primary market is not enough for buying and selling of securities
- ▶ Large investors usually traded in these markets
- ▶ Prices in the secondary markets are known to investors

Question No: 8 (Marks: 1) - Please choose one

Which one of the following is NOT an example of Centralized exchange?

- ▶ New York Stock Exchange
- ▶ NASDAQ

- ▶ Large exchanges in London
- ▶ Large exchanges in Tokyo

Question No: 9 (Marks: 1) - Please choose one

What will be the effect on the present value if we double the future value of the payment?

- ▶ It will decrease the value by one-half
- ▶ It will increase the value by one-half
- ▶ It will equally increase the value i.e. doubles the value
- ▶ It will have no effect on the value

Question No: 10 (Marks: 1) - Please choose one

The interest rate that is involved in _____ calculation is referred to as discount rate

- ▶ Present value
- ▶ Future value
- ▶ Intrinsic value
- ▶ Discount value

Question No: 11 (Marks: 1) - Please choose one

A credit market instrument that pays the owner a fixed coupon payment every year until the maturity date and then repays the face value is called:

- ▶ Simple loan
- ▶ Fixed-payment loan
- ▶ Coupon bond
- ▶ Discount bond

Question No: 12 (Marks: 1) - Please choose one

Mary is planning on taking out a mortgage loan for her new house. She is given the choice of two different banks: Bank A has quoted annual rate of 8% compounded semi-annually and Bank B has a quoted annual rate of 7.5% compounded for a certain number of times a year. Which bank should Mary choose?

- ▶ Bank A
- ▶ Bank B
- ▶ Indifferent between Bank A and Bank B
- ▶ Insufficient information

Question No: 13 (Marks: 1) - Please choose one

For a \$1000 one year discount bond with a price of \$975, the yield to maturity is which of the following?

- ▶ $\$975/\1000
- ▶ $(\$1000 - \$975)/\$975$
- ▶ $(\$1000 - \$975)/(\$1000)$
- ▶ $\$1000/\975

Question No: 14 (Marks: 1) - Please choose one

If YTM equals the coupon rate the price of the bond is _____.

- ▶ Greater than its face value
- ▶ Lower than its face value
- ▶ **Equals to its face value**
- ▶ Insufficient information is given

Question No: 15 (Marks: 1) - Please choose one

If YTM is less than the coupon rate the price of the bond is _____.

- ▶ **Greater than its face value**
- ▶ Lower than its face value
- ▶ Equals to its face value
- ▶ Insufficient information is given

Question No: 16 (Marks: 1) - Please choose one

Current yield is equal to which of the following?

- ▶ Price paid / yearly coupon payment
- ▶ Price paid *yearly coupon payment
- ▶ Yearly coupon payment / face value of bond
- ▶ **Yearly coupon payment / price paid**

Question No: 17 (Marks: 1) - Please choose one

For a \$100 one-year zero-coupon bond, the supply will be _____ at \$95 than it will be at \$90, all other things being equal.

- ▶ Higher than before
- ▶ **Lower than before**
- ▶ Stable
- ▶ Insufficient information

Question No: 18 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond supply to the _____

- ▶ **Right**
- ▶ Left
- ▶ No change
- ▶ None of the given options

Question No: 19 (Marks: 1) - Please choose one

The default premium:

- ▶ Is positive for a U.S. Treasury bond
- ▶ Must always be less than 0 (zero)
- ▶ **Is also known as the risk spread**
- ▶ Is assigned by a bond rating agency

Question No: 20 (Marks: 1) - Please choose one

Calculate tax implication on Bond yields. Consider a one year bond face value Rs.100 (issued by Government) with coupon rate of 6%.What is the income of bond that is received at maturity? (Tax rate is 30%).

- ▶ Rs.6
- ▶ Rs.1.80
- ▶ Rs.4.20
- ▶ Rs.7.80

Question No: 21 (Marks: 1) - Please choose one

Which of the following statement is true for the given sentence, "that tax affects the bond return"?

- ▶ Because only interest income they receive from bond is taxable
- ▶ Because principal amount and interest income they receive from bond is taxable
- ▶ Because bond holders are taxpayers
- ▶ Because all bond is sold with a condition that tax will be deducted from its return

Question No: 22 (Marks: 1) - Please choose one

Expectation hypothesis focuses on which one of the following?

- ▶ Risk premium
- ▶ Risk free interest rate
- ▶ Yield to maturity
- ▶ None of the given options

Question No: 23 (Marks: 1) - Please choose one

According to the liquidity premium theory of the term structure, when the yield curve has its usual slope, the market expects

- ▶ Short-term interest rates to rise sharply
- ▶ Short-term interest rates to stay near their current levels
- ▶ Short-term interest rates to drop sharply
- ▶ Short-term interest rates does not change

Question No: 24 (Marks: 1) - Please choose one

The Theory of Efficient Markets:

- ▶ Allows for higher than average returns if the investor takes higher risk
- ▶ Says Insider-information makes markets less efficient
- ▶ Rules out high returns due to chance
- ▶ Assumes people have equal luck

Question No: 25 (Marks: 1) - Please choose one

If information in a financial market is asymmetric, this means:

- ▶ Borrowers and lenders have the same information
- ▶ Lenders lack any information
- ▶ Borrowers and lenders have perfect information
- ▶ Borrowers would have more information than lenders

Question No: 26 (Marks: 1) - Please choose one

Often a bank will require a loan officer to make personal visits on customers with loans outstanding. This is encouraged because:

- ▶ The bank worries about competitors trying to steal their customers
- ▶ The bank wants to make sure the business is still there
- ▶ The bank likely has excess funds available and hopes to make another loan to the business

▶ This is an effective monitoring technique and should reduce moral hazard

Question No: 27 (Marks: 1) - Please choose one

Financial instruments are used to transfer which of the following?

- ▶ Both Risk and Resources
- ▶ Risk
- ▶ Resources
- ▶ Mortgages

Question No: 28 (Marks: 1) - Please choose one

Which of the following has created an opportunity for small investors to participate in economic activity?

- ▶ Mutual funds
- ▶ Small corporations
- ▶ Stock brokers
- ▶ Small investors cannot take part in economic activity

Question No: 29 (Marks: 3)

Find out YTM of 1 year 12% coupon bond selling at \$130. (Face value of bond = \$100).

Question No: 30 (Marks: 3)

Why stocks are risky?

Question No: 31 (Marks: 5)

Discuss the negative consequences of information costs and also suggest their solution.

Question No: 32 (Marks: 5)

Ahmad purchases a 10 year 8% coupon bond with the face value of \$100. He wants to hold this bond for 1-year and then sells a 9-year bond after 1-year.

- (i) If interest rate does not change then what will be the rate of return?
- (ii) If interest rate falls to 6% then suppose price increases to \$109.16. What will be the capital gain after the price rise?
- (iii) After the price rise, what will be the one year holding period return?

Time: 60 min

Marks: 44

Question No: 1 (Marks: 1) - Please choose one

Which of the following are used to transfer resources from savers to investors and to transfer risk to those who best equipped it?

- ▶ Financial markets
- ▶ **Financial instruments**
- ▶ Financial institutions
- ▶ Banks

Refrance page num 2

2. Financial Instruments

To transfer wealth from savers to borrowers

To transfer risk to those best equipped to bear it.

Once investing was an activity reserved for the wealthy

Costly individual stock transactions through stockbrokers

Information collection was not so easy

Now, small investors have the opportunity to purchase shares in "mutual funds."

Question No: 2 (Marks: 1) - Please choose one

The reason for the government to get involved in the financial system is to:

- ▶ Protect investors
- ▶ Ensure the stability of the financial system
- ▶ Protect bank customers from monopolistic exploitation
- ▶ **All of the given options**

Refrance page num 92

There are three reasons for the government to get involved in the financial system

- ♣ To protect investors
- ♣ To protect bank customers from monopolistic exploitation
- ♣ To ensure the stability of the financial system

Question No: 3 (Marks: 1) - Please choose one

A Financial Intermediary:

- ▶ Is an agency that guarantees a loan
- ▶ Is involved in direct finance
- ▶ **Would be used in indirect finance**
- ▶ None of the given options

Question No: 4 (Marks: 1) - Please choose one

A derivative instrument:

- ▶ **Gets its value and payoff from the performance of the underlying instrument**
- ▶ Is a high risk financial instrument used by highly risk averse savers
- ▶ Comes into existence after the underlying instrument is in default
- ▶ Should be purchased prior to purchasing the underlying security

Page num 16

Derivative Instruments

- ♣ Value and payoffs are "derived from" the behavior of the underlying instruments

Question No: 5 (Marks: 1) - Please choose one

The financial intermediary that obtains funds largely through premium payments and uses those funds to

purchase corporate bonds and mortgages is:

- ▶ Credit unions
- ▶ Mutual funds
- ▶ Life insurance companies
- ▶ Pension funds

Ref page 21

Question No: 6 (Marks: 1) - Please choose one

Which one of the following financial instrument is NOT primarily used as store of value?

- ▶ Banks loans
- ▶ Asset-backed securities
- ▶ Insurance contracts
- ▶ Stocks

Ref page 17

Primarily Stores of Value

- ♣ Bank Loans
- ♣ A borrower obtains resources from a lender immediately in exchange for a promised set of payments in the future
- ♣ Bonds
- ♣ A form of a loan, whereby in exchange for obtaining funds today a government or corporation promises to make payments in the future
- ♣ Home Mortgages
- ♣ A loan that is used to purchase real estate
- ♣ The real estate is collateral for the loan,
- ♣ It is a specific asset pledged by the borrower in order to protect the interests of the lender in the event of nonpayment.
- ♣ If payment is not made the lender can foreclose on the property.
- ♣ Stocks
- ♣ An owner of a share owns a piece of the firm and is entitled to part of its profits.

Question No: 7 (Marks: 1) - Please choose one

Which one of the following represents the main purpose for which the secondary markets are made?

- ▶ Small investors who don't have an access to new securities
- ▶ Primary market is not enough for buying and selling of securities
- ▶ Large investors usually traded in these markets
- ▶ Prices in the secondary markets are known to investors

Question No: 8 (Marks: 1) - Please choose one

Which one of the following is NOT an example of Centralized exchange?

- ▶ New York Stock Exchange
- ▶ NASDAQ
- ▶ Large exchanges in London
- ▶ Large exchanges in Tokyo

Question No: 9 (Marks: 1) - Please choose one

What will be the effect on the present value if we double the future value of the payment?

- ▶ It will decrease the value by one-half
- ▶ It will increase the value by one-half
- ▶ It will equally increase the value i.e. doubles the value
- ▶ It will have no effect on the value

Question No: 10 (Marks: 1) - Please choose one

The interest rate that is involved in _____ calculation is referred to as discount rate

- ▶ Present value
- ▶ Future value
- ▶ Intrinsic value
- ▶ Discount value

Question No: 11 (Marks: 1) - Please choose one

A credit market instrument that pays the owner a fixed coupon payment every year until the maturity date and then repays the face value is called:

- ▶ Simple loan
- ▶ Fixed-payment loan
- ▶ Coupon bond
- ▶ Discount bond

Question No: 12 (Marks: 1) - Please choose one

Mary is planning on taking out a mortgage loan for her new house. She is given the choice of two different banks: Bank A has quoted annual rate of 8% compounded semi-annually and Bank B has a quoted annual rate of 7.5% compounded for a certain number of times a year. Which bank should Mary choose?

- ▶ Bank A
- ▶ Bank B
- ▶ Indifferent between Bank A and Bank B

▶ Insufficient information

Question No: 13 (Marks: 1) - Please choose one

For a \$1000 one year discount bond with a price of \$975, the yield to maturity is which of the following?

- ▶ $\$975/\1000
- ▶ $(\$1000 - \$975)/\$975$
- ▶ $(\$1000 - \$975)/(\$1000)$

▶ $\$1000/\975

Coupon rate/ market price

Question No: 14 (Marks: 1) - Please choose one

If YTM equals the coupon rate the price of the bond is _____.

- ▶ Greater than its face value
- ▶ Lower than its face value
- ▶ Equals to its face value
- ▶ Insufficient information is given

[Ref chapter 14 start](#)

Question No: 15 (Marks: 1) - Please choose one

If YTM is less than the coupon rate the price of the bond is _____.

- ▶ Greater than its face value
- ▶ Lower than its face value
- ▶ Equals to its face value
- ▶ Insufficient information is given

[Ref chapter 14 start](#)

Page 43

Yield to Maturity: General Relationships

♣ General Relationships

- ♣ If the yield to maturity equals the coupon rate, the price of the bond is the same as its face value.
- ♣ If the yield is greater than the coupon rate, the price is lower;
- ♣ if the yield is below the coupon rate, the price is greater
- ♣ If you buy a bond at a price less than its face value you will receive its interest and a capital gain, which is the difference between the price and the face value.

- ♣ As a result you have a higher return than the coupon rate
- ♣ When the price is above the face value, the bondholder incurs a capital loss and the bond's yield to maturity falls below its coupon rate

Question No: 16 (Marks: 1) - Please choose one

Current yield is equal to which of the following?

- ▶ Price paid / yearly coupon payment
- ▶ Price paid *yearly coupon payment
- ▶ Yearly coupon payment / face value of bond
- ▶ Yearly coupon payment / price paid

Question No: 17 (Marks: 1) - Please choose one

For a \$100 one-year zero-coupon bond, the supply will be _____ at \$95 than it will be at \$90, all other things being equal.

- ▶ Higher than before
- ▶ Lower than before
- ▶ Stable
- ▶ Insufficient information

For a \$100 one-year zero-coupon bond, the supply will be higher at \$95 than it will be at \$90, all other things being equal.

Question No: 18 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond supply to the _____

- ▶ Right
- ▶ Left
- ▶ No change
- ▶ None of the given options

An increase in expected inflation shifts bond supply to the right and bond demand to the left.

Question No: 19 (Marks: 1) - Please choose one

The default premium:

- ▶ Is positive for a U.S. Treasury bond
- ▶ Must always be less than 0 (zero)
- ▶ Is also known as the risk spread
- ▶ Is assigned by a bond rating agency

Question No: 20 (Marks: 1) - Please choose one

Calculate tax implication on Bond yields. Consider a one year bond face value Rs.100 (issued by Government) with coupon rate of 6%.What is the income of bond that is received at maturity? (Tax rate is 30%).

- ▶ Rs.6
- ▶ Rs.1.80
- ▶ Rs.4.20
- ▶ Rs.7.80

$\text{Tax-Exempt Bond Yield} = (\text{Taxable Bond Yield}) \times (1 - \text{Tax Rate}).$

Question No: 21 (Marks: 1) - Please choose one

Which of the following statement is true for the given sentence, "that tax affects the bond return"?

- ▶ Because only interest income they receive from bond is taxable
- ▶ Because principal amount and interest income they receive from bond is taxable
- ▶ Because bond holders are taxpayers
- ▶ Because all bond is sold with a condition that tax will be deducted from its return

The important factor that affects the return on a bond is taxes

Bondholders must pay income tax on the interest income they receive from privately issued

Question No: 22 (Marks: 1) - Please choose one

Expectation hypothesis focuses on which one of the following?

- ▶ Risk premium
- ▶ Risk free interest rate
- ▶ Yield to maturity
- ▶ None of the given options

Reference:

Expectations Hypothesis

The risk-free interest rate can be computed, assuming that there is no uncertainty about the future

Question No: 23 (Marks: 1) - Please choose one

According to the liquidity premium theory of the term structure, when the yield curve has its usual slope, the market expects

- ▶ Short-term interest rates to rise sharply
- ▶ Short-term interest rates to stay near their current levels
- ▶ Short-term interest rates to drop sharply
- ▶ Short-term interest rates does not change

Question No: 24 (Marks: 1) - Please choose one

The Theory of Efficient Markets:

- ▶ Allows for higher than average returns if the investor takes higher risk
- ▶ Says Insider-information makes markets less efficient
- ▶ Rules out high returns due to chance
- ▶ Assumes people have equal luck

Question No: 25 (Marks: 1) - Please choose one

If information in a financial market is asymmetric, this means:

- ▶ Borrowers and lenders have the same information
- ▶ Lenders lack any information
- ▶ Borrowers and lenders have perfect information
- ▶ Borrowers would have more information than lenders

Question No: 26 (Marks: 1) - Please choose one

Often a bank will require a loan officer to make personal visits on customers with loans outstanding. This is encouraged because:

- ▶ The bank worries about competitors trying to steal their customers
- ▶ The bank wants to make sure the business is still there
- ▶ The bank likely has excess funds available and hopes to make another loan to the business
- ▶ This is an effective monitoring technique and should reduce moral hazard

Question No: 27 (Marks: 1) - Please choose one

Financial instruments are used to transfer which of the following?

- ▶ Both Risk and Resources
- ▶ Risk
- ▶ Resources
- ▶ Mortgages

Question No: 28 (Marks: 1) - Please choose one

Which of the following has created an opportunity for small investors to participate in economic activity?

- ▶ Mutual funds
- ▶ Small corporations
- ▶ Stock brokers
- ▶ Small investors cannot take part in economic activity

Question No: 29 (Marks: 3)

Find out YTM of 1 year 12% coupon bond selling at \$130. (Face value of bond = \$100).

Question No: 30 (Marks: 3)

Why stocks are risky?

Question No: 31 (Marks: 5)

Discuss the negative consequences of information costs and also suggest their solution.

Question No: 32 (Marks: 5)

Ahmad purchases a 10 year 8% coupon bond with the face value of \$100. He wants to hold this bond for 1-year and then sells a 9-year bond after 1-year.

(i) If interest rate does not change then what will be the rate of return?

(ii) If interest rate falls to 6% then suppose price increases to \$109.16. What will be the capital gain after the price rise?

(iii) After the price rise, what will be the one year holding period return?

Question # 1 of 15 (Start time: 07:47:47 AM) Total Marks: 1

Which of the following is the main limitation of hedging strategy?

Select correct option:

Return always moves in same direction

Investments don't always move predictably in opposite directions

Investments are volatile

Diversification is not possible

Question # 2 of 15 (Start time: 07:49:17 AM) Total Marks: 1

The current yield on a \$10,000, 5% coupon bond selling for \$8,000 is:

Select correct option:

5.00%

6.25% ok

7.50%

8.00%

Question # 3 of 15 (Start time: 07:50:36 AM) Total Marks: 1

Which of the following are used to monitor and stabilize the economy?
Select correct option:

Stock exchanges
Commercial Banks
Central Banks ok
Financial institutions

Question # 4 of 15 (Start time: 07:51:22 AM) Total Marks: 1
Which of the following comes under the category of financial instruments?
Select correct option:

Gold reserves
Utility bill
Share of NBP
Real estate purchase contract

Question # 5 of 15 (Start time: 07:53:00 AM) Total Marks: 1
Investors will hold higher compensation for the _____ investment.
Select correct option:

More risky ok
Less risky
Fixed return
Less dividend

Question # 6 of 15 (Start time: 07:53:26 AM) Total Marks: 1
The risk premium for an investment:
Select correct option:

Increases with risk ok
Is a fixed amount added to the risk free return
Is negative for U.S. Treasury Securities
Is negative for risk averse investors

Question # 7 of 15 (Start time: 07:53:49 AM) Total Marks: 1

What is true relationship between return and risk?

Select correct option:

Lower the risk greater the return

Greater the risk greater the return ok

Greater the risk the return will remain constant

No relationship between them

Question # 8 of 15 (Start time: 07:54:23 AM) Total Marks: 1

We need _____ to carry out day to day transactions.

Select correct option:

Money ok

Bonds

Stocks

Loans

Question # 9 of 15 (Start time: 07:54:46 AM) Total Marks: 1

Which of the following is NOT a depository financial institution?

Select correct option:

Credit Union

Savings and Loan

Commercial bank

Life Insurance Company ok

Question # 10 of 15 (Start time: 07:55:09 AM) Total Marks: 1

The Financial Systems makes it easier to trade because it:

Select correct option:

Facilitate Payments
Channels Funds from Savers to Borrowers
Enables Risk Sharing
[All of the given options ok](#)

Question # 11 of 15 (Start time: 07:55:38 AM) Total Marks: 1
The money aggregate M2 includes each of the following EXCEPT:
Select correct option:

Small denomination time deposits.
Retail Money Market Mutual fund shares
[U.S. Treasury bills ok](#)
M1

Question # 12 of 15 (Start time: 07:56:03 AM) Total Marks: 1
What is true about the relationship between standard deviation and risk?
Select correct option:

[Greater the standard deviation greater will be the risk ok](#)
Greater the standard deviation lower will be the risk
Greater the standard deviation risk remains the same
No relation between them

Question # 13 of 15 (Start time: 07:56:30 AM) Total Marks: 1
Which of the following best describes checks?
Select correct option:

[A means of payment ok](#)
Money
Not a promise of any kind
Not acceptable by the U.S. Government for payment of taxes.

Question # 14 of 15 (Start time: 07:56:53 AM) Total Marks: 1

Probability is a measure of likelihood that an event will occur, if the probability is zero it tells us that an event

Select correct option:

Will occur

[Will not occur ok](#)

Will occur after one year

None of above

Question # 15 of 15 (Start time: 07:58:13 AM) Total Marks: 1

_____ are organized to eliminate the need of costly information gathering.

Select correct option:

Central bank

Commercial banks

[Stock exchanges ok](#)

Insurance companies

Quiz Start Time: 08:00 AM Time Left 68
sec(s)

Question # 1 of 15 (Start time: 08:00:53 AM) Total Marks: 1

Which of the following best represent the true relationships between interest rates and bond prices?

Select correct option:

Move in the same direction

[Move in opposite direction ok](#)

Sometimes move in the same direction, some times in opposite direction

Have no relationship with each other (i.e. they are independent)

Quiz Start Time: 08:00 AM Time Left 68
sec(s)

Question # 2 of 15 (Start time: 03:05:56 PM) Total Marks: 1

Government bonds called Where as corporate bonds are called

Select correct option:

Zero coupon bond, coupon bond

Risky bond. Risk free bond

[T bill, corporate bond ok](#)

Console bond, junk bonds

Quiz Start Time: 08:00 AM Time Left 78
sec(s)

Question # 3 of 15 (Start time: 03:06:29 PM) Total Marks: 1

What is primary cause of inflation?

Select correct option:

Energy crises

Gold reserve shortage

Issue excessive currency ok

Rising cost of input

Quiz Start Time: 08:00 AM Time Left 75
sec(s)

Question # 4 of 15 (Start time: 03:07:09 PM) Total Marks: 1

If a bond sells at a premium, where price exceeds face value, then we would expect to see:

Select correct option:

Market interest rate the same as the coupon rate

Market interest rates above the coupon rate

Market interest rates below the coupon rate ok

All of the given options

Quiz Start Time: 08:00 AM Time Left 76
sec(s)

Question # 5 of 15 (Start time: 03:07:37 PM) Total Marks: 1

Which of the following expresses 6.5%?

Select correct option:

0.0065

6.50

0.650

0.0650 ok

Quiz Start Time: 08:00 AM Time Left 64
sec(s)

Question # 6 of 15 (Start time: 03:08:08 PM) Total Marks: 1

Developed financial system is essential for

Select correct option:

Proper allocation of resources

Expansion of businesses and increase in production level

Increase in the growth rate of GDP

[All of above ok](#)

Quiz Start Time: 08:00 AM Time Left 7

sec(s)

Question # 7 of 15 (Start time: 03:08:50 PM) Total Marks: 1

What will be the future value of \$90 at the end of one year at 5% per annum?

Select correct option:

90.5

94.5

98.5

100

Quiz Start Time: 08:00 AM Time Left 68

sec(s)

Question # 8 of 15 (Start time: 03:10:16 PM) Total Marks: 1

Which of the following best describes the relationship between Bond prices and yields?

Select correct option:

[Move together inversely ok](#)

Bond yields do not change since the coupon is fixed

Move together directly

Are independent of each other

Quiz Start Time: 08:00 AM Time Left 55

sec(s)

Question # 9 of 15 (Start time: 03:10:51 PM) Total Marks: 1

Arbitrageurs in the stock markets and in foreign exchange markets are classified under
Select correct option:

- Risk neutral
- Risk averse
- Risk lover
- Value at risk

Quiz Start Time: 08:00 AM Time Left 25

sec(s)

Question # 10 of 15 (Start time: 03:12:07 PM) Total Marks: 1

Which of the following financial instruments used primarily as store of value?
Select correct option:

- Options
- Stocks
- Home mortgage
- Bonds ok

Quiz Start Time: 08:00 AM Time Left 29

sec(s)

Question # 11 of 15 (Start time: 03:13:24 PM) Total Marks: 1

If the bond price is more t than its face value, what will be the relationship among current
yield, coupon rate and YTM?

Select correct option:

- Current yield < coupon rate < Yield to Maturity
- Coupon Rate > Current Yield < Yield to Maturity
- Yield to maturity < current yield < coupon rate
- Coupon Rate = Current Yield = Yield to Maturity

Quiz Start Time: 08:00 AM Time Left 68
sec(s)

Question # 12 of 15 (Start time: 03:14:32 PM) Total Marks: 1
Diversification is the principle of:
Select correct option:

[Holding more than one risk at a time ok](#)

Reducing the risks we carry to just two

Creating risk to increase returns

Eliminating investments from our portfolio that have idiosyncratic risk

Quiz Start Time: 08:00 AM Time Left 63
sec(s)

Question # 13 of 15 (Start time: 03:15:05 PM) Total Marks: 1
A zero coupon bond:
Select correct option:

Does not pay any coupon payments because the issuer is in default

Pays coupons only once a year versus the usual twice a year

[Promises a single future payment ok](#)

Pays coupons only if the bond price is below face value

Quiz Start Time: 08:00 AM Time Left 75
sec(s)

Question # 14 of 15 (Start time: 03:15:59 PM) Total Marks: 1
Bonds that are issued by Government are called _____.
Select correct option:

Government bond
[Treasury bond ok](#)
Corporate bond
Callable Bonds

Quiz Start Time: 08:00 AM Time Left 29
sec(s)

Question # 15 of 15 (Start time: 03:16:25 PM) Total Marks: 1
The basic categories of financial institutions are
Select correct option:

Depository and non depository institutions
Insurance companies and finance companies
Commercial banks and investment banks
Mutual fund companies and Commercial banks

Quiz Start Time: 03:18 PM Time Left 78
sec(s)

Question # 1 of 15 (Start time: 03:18:53 PM) Total Marks: 1
Which characteristic are common both in money and securities
Select correct option:

Transfer of risk, store of value

Unit of account, mean of payment

Mean of payment, transfer of risk

Store of value, mean of payment ok

Quiz Start Time: 03:18 PM Time Left 26
sec(s)

Question # 2 of 15 (Start time: 03:19:16 PM) Total Marks: 1

What will be the investor's decision about a project if its internal rate of return is higher than the cost of capital?

Select correct option:

Rejection of project

Acceptance of project

Project is not profitable

None of above

Quiz Start Time: 03:18 PM Time Left 71
sec(s)

Question # 3 of 15 (Start time: 03:20:28 PM) Total Marks: 1

The longer the time (n) until the payment:

Select correct option:

The lower the present value ok

The higher the present value because time is valuable

The lower must be the interest rate

Time has no effect on present value

Quiz Start Time: 03:18 PM Time Left 70
sec(s)

Question # 4 of 15 (Start time: 03:21:00 PM) Total Marks: 1
Which of the following would be considered characteristic of money?
Select correct option:

[It is store of value ok](#)

It pays a higher return than most assets

It is in fixed supply

It is legal tender everywhere in the world

Quiz Start Time: 03:18 PM Time Left 76
sec(s)

Question # 5 of 15 (Start time: 03:21:30 PM) Total Marks: 1
Which of the following is the least liquid of all?
Select correct option:

Money

Bonds & stocks

[Lands & buildings ok](#)

None of the given options

Quiz Start Time: 03:18 PM Time Left 78
sec(s)

Question # 6 of 15 (Start time: 03:21:55 PM) Total Marks: 1

When the auto manufacturing industry does poorly due to a recession this is an example of:

Select correct option:

Idiosyncratic risk

[Systematic risk ok](#)

Risk premium

Unique risk

Quiz Start Time: 03:18 PM Time Left 23
sec(s)

Question # 7 of 15 (Start time: 03:22:18 PM) Total Marks: 1

If a person is earning income from his employment over a period of time, this income is a
.....

Select correct option:

Flow Variable

Stock variable

Non-liquid asset

None of above

Quiz Start Time: 03:18 PM Time Left 50
sec(s)

Question # 8 of 15 (Start time: 03:23:34 PM) Total Marks: 1

Probability is a measure of likelihood that an event will occur, if the probability is zero it tells us that an event

Select correct option:

Will occur

[Will not occur ok](#)

Will occur after one year

None of above

Quiz Start Time: 03:18 PM Time Left 62
sec(s)

Question # 9 of 15 (Start time: 03:24:27 PM) Total Marks: 1

Which of the following best represent the true relationships between interest rates and bond prices?

Select correct option:

Move in the same direction

[Move in opposite direction ok](#)

Sometimes move in the same direction, some times in opposite direction

Have no relationship with each other (i.e. they are independent)

Quiz Start Time: 03:18 PM Time Left 76
sec(s)

Question # 10 of 15 (Start time: 03:25:08 PM) Total Marks: 1

Core principles of Money and Banking include each of the following except?

Select correct option:

[People act rationally ok](#)

Time has value

Information is the basis for decisions

Risk requires compensation

Quiz Start Time: 03:18 PM Time Left 15
sec(s)

Question # 11 of 15 (Start time: 03:25:33 PM) Total Marks: 1

The concept of value at risk focuses on the
Select correct option:

- Measure of spread
- Worst possible loss
- Probability
- Risk premium

Quiz Start Time: 03:18 PM Time Left 76
sec(s)

Question # 12 of 15 (Start time: 03:26:59 PM) Total Marks: 1

What will be the result of the difference of real and nominal interest rate?
Select correct option:

- The cost of borrowing
- [The effect of inflation ok](#)
- The price of bonds
- The return of bonds

Quiz Start Time: 03:18 PM Time Left 57

sec(s)

Question # 13 of 15 (Start time: 03:27:24 PM) Total Marks: 1

If shares of Pakistan State Oil ltd are held by a financial institution for the purpose of selling in the short term, these will come under the head of
Select correct option:

- Liabilities
- Assets
- Income
- Contingent liabilities

Quiz Start Time: 03:18 PM Time Left 74
sec(s)

Question # 14 of 15 (Start time: 03:28:46 PM) Total Marks: 1

Which of the variable measured in point of time?
Select correct option:

- Flow variable
- Stock variable
- Both flow variable and stock variable ok
- None of above

Quiz Start Time: 03:18 PM Time Left 29
sec(s)

Question # 15 of 15 (Start time: 03:29:13 PM) Total Marks: 1

..... Provide the platform to complete the trading of financial instruments.
Select correct option:

- Central Banks
- Financial Companies

Financial Markets
Leasing companies

Quiz Start Time: 03:31 PM Time Left 43
sec(s)

Question # 1 of 15 (Start time: 03:31:38 PM) Total Marks: 1
What will be the future value after one year of \$50 at 5% compounded semi-annually?
Select correct option:

- \$47
- \$52.53
- \$55.12
- \$56

Quiz Start Time: 03:31 PM Time Left 74
sec(s)

Question # 2 of 15 (Start time: 03:32:51 PM) Total Marks: 1
Which one of the following is the narrowest definition of money?
Select correct option:

- C
- M1 ok
- M2
- M3

Quiz Start Time: 03:31 PM Time Left 44
sec(s)

Question # 3 of 15 (Start time: 03:33:18 PM) Total Marks: 1
Financial instruments are evolved just as _____.
Select correct option:

- Currency ok
- Stock
- Bond
- Commodity

Quiz Start Time: 03:31 PM Time Left 64
sec(s)

Question # 4 of 15 (Start time: 03:34:40 PM) Total Marks: 1
Arbitrageurs in the stock markets and in foreign exchange markets are classified under
Select correct option:

- Risk neutral
- Risk averse
- Risk lover
- Value at risk

Quiz Start Time: 03:31 PM Time Left 75
sec(s)

Question # 6 of 15 (Start time: 03:36:39 PM) Total Marks: 1
The reason for the government to get involved in the financial system is to:
Select correct option:

- Protect investors
- Ensure the stability of the financial system

Protect bank customers from monopolistic exploitation

[All of the given options ok](#)

Quiz Start Time: 03:31 PM Time Left 62
sec(s)

Question # 7 of 15 (Start time: 03:37:08 PM) Total Marks: 1
Which of the following is NOT an example of financial institutions?
Select correct option:

Banks
Securities firms
[Stock exchanges ok](#)
Insurance companies

Quiz Start Time: 03:31 PM Time Left 77
sec(s)

Question # 8 of 15 (Start time: 03:37:50 PM) Total Marks: 1
According to the rule of 72 for reasonable rates of return, the time it takes to _____
the money will be $t = 72/i\%$
Select correct option:

[Doubles ok](#)
Triples
halves
3/4

Quiz Start Time: 03:31 PM Time Left 77

sec(s)

Question # 9 of 15 (Start time: 03:38:13 PM) Total Marks: 1

Most of the people among us are _____.

Select correct option:

Risk lovers

Risk enhancers

[Risk averse ok](#)

Risk tolerating

Quiz Start Time: 03:31 PM Time Left 3

sec(s)

Question # 10 of 15 (Start time: 03:38:38 PM) Total Marks: 1

The value of probability lies between_____

Select correct option:

-1 and 1

[0 and 1](#)

-100 and 100

0 and 100

Quiz Start Time: 03:31 PM Time Left 59

sec(s)

Question # 11 of 15 (Start time: 03:40:08 PM) Total Marks: 1

You receive a check for \$100 two years from today. The discounted present value of this \$100 is:

Select correct option:

$\$100/(1+i)$

$\$100*(1+i)^2$

$\$100*(1+i)$

[\\$100/\(1+i\)² ok](#)

Quiz Start Time: 03:31 PM Time Left 74
sec(s)

Question # 12 of 15 (Start time: 03:40:50 PM) Total Marks: 1

What will be the effect on the present value if we double the future value of the payment?
Select correct option:

It will decrease the value by one-half

It will increase the value by one-half

[It will equally increase the value i.e. doubles the value ok](#)

It will have no effect on the value

Quiz Start Time: 03:31 PM Time Left 74
sec(s)

Question # 13 of 15 (Start time: 03:41:16 PM) Total Marks: 1

The GDP deflator is calculated as_____.
Select correct option:

[Nominal GDP/Real GDP *100 ok](#)

Real GDP/Nominal GDP

Nominal GDP – Real GDP

Real GDP – Nominal GDP

Quiz Start Time: 03:31 PM Time Left 75
sec(s)

Question # 14 of 15 (Start time: 03:41:42 PM) Total Marks: 1
Sum of all the probabilities should be equal to which one of the following?
Select correct option:

- Zero
- One ok
- Two
- Three

Quiz Start Time: 03:31 PM Time Left 76
sec(s)

Question # 15 of 15 (Start time: 03:42:10 PM) Total Marks: 1
A _____ is a promise to make a series of payments on specific future date.
Select correct option:

- Stock
- Bond ok
- Loan
- Cheque

ASSALAM O ALIKUM all fellows
ALL IN ONE Mgt 411 MIDTERM PAPERS MORE
THAN (10)

MIDTERM EXAMINATION
MGT411- Money & Banking

Question No: 1 (Marks: 1) - Please choose one

Which of the following are without maturity dates?

- ▶ Zero coupon bonds
- ▶ Coupon securities
- ▶ **Consols**
- ▶ Preferred Bonds

Question No: 2 (Marks: 1) - Please choose one

Which of the following institution takes direct deposit from customer and gives loan to customer directly?

- ▶ Zarai Tarkaytee Bank LTD
- ▶ Soneri Bank
- ▶ Khushali Bank
- ▶ **Credit union**

Question No: 3 (Marks: 1) - Please choose one

Mr. Ghazanfar obtains a home improvement loan from Allied Bank. This loan is:

- ▶ Mr. Ghazanfar's asset and the bank's liability
- ▶ Mr. Ghazanfar 's asset, but the liability belongs to the bank's depositors
- ▶ **Mr. Ghazanfar 's liability and an asset for the bank**
- ▶ Both Mr. Ghazanfar's and bank's liability

Question No: 4 (Marks: 1) - Please choose one

Components of M_1 ***DO NOT*** include which one of the following?

- ▶ Currency in the hands of public
- ▶ Demand deposits
- ▶ **Small denominations time deposit**
- ▶ Checkable deposits

Question No: 5 (Marks: 1) - Please choose one

Which of the following has created an opportunity for small investors to participate in economic activity?

- ▶ **Mutual funds**
- ▶ Small corporations
- ▶ Stock brokers
- ▶ Small investors cannot take part in economic activity

Question No: 6 (Marks: 1) - Please choose one

Which of the following is ***NOT*** an example of financial institutions?

- ▶ Bank
- ▶ Securities firm
- ▶ **Stock exchange**
- ▶ Insurance company

Question No: 7 (Marks: 1) - Please choose one

Requiring a large deductible on the part of an insured is one way insurers treat the problem of:

- ▶ Free-riding
- ▶ **Moral hazard**
- ▶ Adverse selection
- ▶ The Lemons market

Question No: 8 (Marks: 1) - Please choose one

In a financial market where information is symmetric:

- ▶ **The same information would be known by both parties in a transaction**
- ▶ One party to a transaction knows information the other party does not
- ▶ The ability to obtain information is available to only one party
- ▶ All of the given options

Question No: 9 (Marks: 1) - Please choose one

When stock prices reflect fundamental values:

- ▶ All investors will experience capital gains
- ▶ All companies will have an easier task of obtaining financing for investment projects
- ▶ **The allocation of resources will be more efficient**
- ▶ The overall level of the stock market should move higher continuously

Question No: 10 (Marks: 1) - Please choose one

An index number is a valuable tool because:

- ▶ The number by itself provides all of the useful information needed
- ▶ **The index provides a meaningful measurement scale to calculate percentage changes**
- ▶ The index is more stable than the data it reflects
- ▶ It does not require any calculations to compute percentage changes

Question No: 11 (Marks: 1) - Please choose one

The concept of limited liability says a **stockholder** of a corporation:

- ▶ Is liable for the corporation's liabilities, but nothing more
- ▶ Cannot receive dividends that exceed their investment
- ▶ Cannot own more than five percent of any public corporation
- ▶ **Cannot lose more than their investment**

Question No: 12 (Marks: 1) - Please choose one

Other things remaining equal, the liquidity premium theory is based upon the idea that _____.

- ▶ Investors prefer long-term bonds
- ▶ **Investors prefer short-term bonds**
- ▶ Investors are indifferent between short-term and long-term bonds
- ▶ Investors prefer intermediate-term bonds

Question No: 13 (Marks: 1) - Please choose one

Which one of the following is **NOT** true for the expectation hypothesis?

- ▶ Risk free interest rate can be computed
- ▶ There is uncertainty in the future
- ▶ Identifying yield of bond today that will be available next year
- ▶ **It focuses on risk free interest rate and the risk premium**

Question No: 14 (Marks: 1) - Please choose one

A graph of the term structure with YTM on Y-axis and time to maturity on X-axis is called:

- ▶ Demand curve
- ▶ Supply curve
- ▶ **Yield curve**
- ▶ Leffer curve

Question No: 15 (Marks: 1) - Please choose one

	Bond A	Bond B
Maturity	5 years	10 years
Default risk	5%	5%
Tax rate	30%	30%
Yield	?	?

See the above table and choose the one option which is **NOT** correct about the yield of Bond A and Bond B?

▶ **Bond tax status and default rate are not the only factors that affect the yield of the two bonds**

- ▶ Bond A has different yield from that of Bond B because of change in maturity period
- ▶ Yields of both the bonds are not disturbed by maturity period
- ▶ Yield of Bond B depends on what people expect to happen in years to come

Question No: 16 (Marks: 1) - Please choose one

The _____ are an assessment of the creditworthiness of the corporate issuer.

- ▶ Bond yield
- ▶ **Bond ratings**
- ▶ Bond risk
- ▶ Bond price

Question No: 17 (Marks: 1) - Please choose one

The bond rating of a security refers to which of the followings?

- ▶ The size of the coupon payment relative to the face value
- ▶ The return a holder is likely to receive
- ▶ **The likelihood the lender/borrower will be repaid by the borrower/issuer**
- ▶ The years until the bond matures

Question No: 18 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond demand to the _____

- ▶ **Right**
- ▶ Left
- ▶ No change
- ▶ None of the given options

Question No: 19 (Marks: 1) - Please choose one

The current yield on a \$10,000, 5% coupon bond selling for \$8,000 is:

- ▶ **6.25%**
- ▶ 7.50%
- ▶ 8.00%
- ▶ 5.00%

Question No: 20 (Marks: 1) - Please choose one

If the annual interest rate is 6% (.06); the price of a one year Treasury bill would be:

- ▶ \$94.00
- ▶ **\$94.33**
- ▶ \$95.25
- ▶ \$96.10

Question No: 21 (Marks: 1) - Please choose one

The return on holding a bond till its maturity is called:

- ▶ Coupon rate
- ▶ **Yield to maturity**
- ▶ Current yield
- ▶ Fixed return

Question No: 22 (Marks: 1) - Please choose one

Which of the following best describes the relationship between Bond prices and yields?

- ▶ Move together directly
- ▶ Independent of each other
- ▶ **Move together inversely**
- ▶ Bond yields do not change since the coupon is fixed

Question No: 23 (Marks: 1) - Please choose one

Mr. A has a Treasury bill with a maturity period of 6 months where as Mr. B has a bond with a maturity period of 1 year. Which of the following statement is **NOT** true for this situation?

- ▶ Mr. A has paid less price for his bond than Mr. B
- ▶ **Mr. A and Mr. B is a holder of zero coupon bond**
- ▶ Mr. A will receive payment at the end of the maturity period
- ▶ Mr. B will receive the payment at the end of the maturity period

Question No: 24 (Marks: 1) - Please choose one

What is true relationship between return and risk?

- ▶ Lower the risk greater the return
- ▶ **Greater the risk greater the return**
- ▶ Greater the risk no change in return
- ▶ No relationship between them

Question No: 25 (Marks: 1) - Please choose one

Sum of all the probabilities should be equal to which one of the following?

- ▶ Zero
- ▶ **One**
- ▶ Two
- ▶ Three

Question No: 26 (Marks: 1) - Please choose one

_____ measures the probability of worst outcome in any investment project.

- ▶ Variance
- ▶ Standard deviation
- ▶ **Value at risk**
- ▶ Hedging

Question No: 27 (Marks: 1) - Please choose one

The variance is generally less useful than the standard deviation on which of the following reasons?

- ▶ Variance is easier to calculate
- ▶ Variance is a measure of risk, whereas standard deviation is a measure of return
- ▶ **Variance isn't calculated in the same units as payoffs where as standard deviation is**
- ▶ Both are equally useful

Question No: 28 (Marks: 1) - Please choose one

A credit market instrument that pays the owner a fixed coupon payment every year until the maturity date and then repays the face value is called:

- ▶ Simple loan
- ▶ Fixed-payment loan
- ▶ **Coupon bond**
- ▶ Discount bond

Question No: 29 (Marks: 1) - Please choose one

Which of the following provides the greatest incentive to borrow?

- ▶ A high real interest rate
- ▶ **A low real interest rate**
- ▶ A high nominal interest rate
- ▶ A low nominal interest rate

Question No: 30 (Marks: 1) - Please choose one

An investment carrying a current cost of \$130,000 is going to generate \$70,000 of revenue for each of the next three years. To calculate the internal rate of return we need

to:

- ▶ Calculate the present value of each of the \$70,000 payments and multiply these and set this equal to \$130,000
- ▶ Take the present value of \$210,000 for three years from now and set this equal to \$130,000
- ▶ **Set the sum of the present value of \$70,000 for each of the next three years equal to \$130,000**
- ▶ Subtract \$130,000 from \$210,000 and set this difference equal to the interest rate

Question No: 31 (Marks: 1) - Please choose one

A borrower is promised a \$100 payment (including interest) one year from today. If the lender has an 8% opportunity cost of money, he should be willing to accept what amount today?

- ▶ Rs.100.00
- ▶ Rs.108.20
- ▶ **Rs.92.59**
- ▶ Rs.96.40

Question No: 32 (Marks: 1) - Please choose one

Which one of the following is NOT an example of Centralized exchange?

- ▶ New York Stock Exchange
- ▶ NASDAQ
- ▶ **Large exchanges in London**
- ▶ Large exchanges in Tokyo

Question No: 33 (Marks: 1) - Please choose one

Financial intermediaries provide small lender-savers all of the following advantages EXCEPT:

- ▶ **Greater liquidity**
- ▶ Lower transaction cost
- ▶ Lower risk
- ▶ Higher return

Question No: 34 (Marks: 1) - Please choose one

The shares of McDonald Corporation stock are examples of:

- ▶ **A standardized financial instrument**
- ▶ A standardized financial liability instrument
- ▶ A non-standardized financial instrument
- ▶ A means of payment

Question No: 35 (Marks: 1) - Please choose one

Which of the following statements is NOT correct?

- ▶ **Banks are financial intermediaries**
- ▶ Financial intermediary involves in giving loan and accepting deposit
- ▶ All financial intermediaries are insurance companies
- ▶ Financial intermediaries increase the efficiency of the economy

Question No: 36 (Marks: 1) - Please choose one

Economic research shows:

- ▶ There is a strong inverse correlation between financial market development and economic growth
- ▶ There is weak relation between financial market development and economic growth around 0.25
- ▶ **There is a relatively strong positive correlation between financial market development and economic growth**
- ▶ There isn't any correlation between financial market development and economic growth

Question No: 37 (Marks: 1) - Please choose one

Which of the following statements is correct?

- ▶ If you can buy the same goods this year as you bought last year with less money the money supply decreased.
- ▶ **To purchase the same goods today that were purchased one year ago requires more money, there must have been inflation**
- ▶ To purchase the same goods today as one year ago requires less money, the money supply must have increased
- ▶ To purchase the same goods today that were purchased one year ago requires the same amount of money, there must have been inflation

Question No: 38 (Marks: 1) - Please choose one

The one that you get from bank when you open your checking account is _____.

- ▶ **Debit card**
- ▶ Credit card
- ▶ Store value card
- ▶ Customer card

Question No: 39 (Marks: 1) - Please choose one

Wealth can be held in number of other forms but we use to hold money because of which one of the following reason?

- ▶ It is the only mode of payment
- ▶ It is an asset
- ▶ **It is most liquid**
- ▶ It is the only store of value

Question No: 40 (Marks: 1) - Please choose one

Which of the following are used to monitor and stabilize the economy?

- ▶ Stock exchanges
- ▶ Commercial Banks
- ▶ **Central Banks**
- ▶ Financial institutions

Question No: 41 (Marks: 10)

“A financial instrument is a real or virtual document representing a legal agreement involving some sort of monetary value.” Discuss further on financial instruments by giving examples. Point out some of its uses and important characteristics.

ANSWER: Financial Instrument: Financial instrument is a written obligation of one party to transfer something of value to another party at a future date under certain conditions.

- By written obligation we mean that it is enforced by the government and this obligation is an important feature of a financial instrument.
- The party here can be an individual, company or a government
- Future date can be specified or when some event occurs.

Examples: Stocks, bonds, insurance etc are examples of financial instruments.

Characteristics of Financial Instruments: There are certain characteristics of financial instruments.

3. **Standardization:** It is a standardized agreement which enables reduction in costs of complexity. So because of this most financial instruments today are similar.
4. **Communicate Information:** Provide certain important information about the issuer which otherwise would have been difficult to gather for the lenders.

Value of Financial Instruments: The value of financial instruments depends on various factors.

- **Size:** Larger the promised payment more valuable is the financial instrument.
- **Timing:** The sooner the payment is made increases the value of financial instrument.
- **Risk:** A financial instrument is more valuable if there are greater possibilities that payment will be made.
- **Circumstances:** Payments made when needed the most makes the financial instrument more valuable.

Uses of Financial Instruments:

- **Store Of Value:**

Stocks: The stock holder is a part owner of the firm and receives part of its profits.

Bonds: A form of loan which promises to make repayment in future dates.

Bank loans: Borrowers obtain resources from lenders in exchange of promised payments.

- **Transfer of Risk:**

Insurance: Takes premium to assure payment under particular conditions (accident, death etc)

Future contracts: It is an agreement to exchange fixed quantity of a commodity or an asset at a fixed price. Transfer risk of price fluctuations.

Options: Gives holder the right to purchase fixed quantity of an underlying asset at predetermined price within a specific period.

MIDTERM EXAMINATION MGT411- Money & Banking

Time: 60 min

Marks: 49

Question No: 1 (Marks: 1) - Please choose one

We need _____ to carry out day to day transactions.

- ▶ Money
- ▶ Bonds
- ▶ Stocks
- ▶ Loans

Question No: 2 (Marks: 1) - Please choose one

The reason for the government to get involved in the financial system is to:

- ▶ Protect investors
- ▶ Ensure the stability of the financial system
- ▶ Protect bank customers from monopolistic exploitation
- ▶ All of the given options

Question No: 3 (Marks: 1) - Please choose one

_____ are organized to eliminate the need of costly information gathering.

- ▶ Central banks
- ▶ Commercial banks
- ▶ Stock exchanges
- ▶ Insurance companies

Question No: 4 (Marks: 1) - Please choose one

All of the following are the components of M_2 EXCEPT?

- ▶ M_1
- ▶ Saving deposits
- ▶ Travelers cheques
- ▶ Mutual funds shares

Question No: 5 (Marks: 1) - Please choose one

A Financial Intermediary:

- ▶ Is an agency that guarantees a loan
- ▶ Is involved in direct finance
- ▶ Would be used in indirect finance
- ▶ None of the given options

Question No: 6 (Marks: 1) - Please choose one

Commissions paid to an insurance broker are an example of which of the following?

- ▶ Risk transfer
- ▶ Information asymmetry
- ▶ Transaction costs
- ▶ All of the given options

Question No: 7 (Marks: 1) - Please choose one

The financial intermediary that obtains funds largely through premium payments and uses those funds to purchase corporate bonds and mortgages is:

- ▶ Credit unions
- ▶ Mutual funds
- ▶ Life insurance companies
- ▶ Pension funds

Question No: 8 (Marks: 1) - Please choose one

Risk sharing is the characteristic of which one of the following?

- ▶ Checks
- ▶ Checking accounts
- ▶ Money
- ▶ Bonds

Question No: 9 (Marks: 1) - Please choose one

Bonds that are issued by Government are called _____.

- ▶ Government bonds
- ▶ Treasury bonds
- ▶ Corporate bonds
- ▶ Callable bonds

Question No: 10 (Marks: 1) - Please choose one

Which of the following is the difference that lies between the options and futures?

- ▶ Options is not binding whereas future is binding
- ▶ Futures carry risks but Options didn't carry risk
- ▶ Centralized clearinghouses guarantee futures but not options contracts
- ▶ There is no difference between options and futures

Question No: 11 (Marks: 1) - Please choose one

Which of the following describes the general formula for the calculation of the compound interest?

- ▶ $FV = PV/(1+i)^n$
- ▶ $FV = PV/(1-i)^n$
- ▶ $FV = PV*(1+i)^n$
- ▶ $FV = PV*(1-i)^n$

Question No: 12 (Marks: 1) - Please choose one

If you put \$1,000 per year into bank at 4% interest, how much would you have saved after 40 years?

- ▶ \$90,000
- ▶ \$98,826
- ▶ \$82,286
- ▶ \$85,880

right option could (\$95,025.52)

Question No: 13 (Marks: 1) - Please choose one

Which one of the following is the procedure of finding out the Present Value (PV)?

- ▶ Discounting
- ▶ Compounding
- ▶ Time value of money
- ▶ Bond pricing

Question No: 14 (Marks: 1) - Please choose one

What is true about the relationship between standard deviation and risk?

- ▶ Greater the standard deviation greater will be the risk
- ▶ Greater the standard deviation lower will be the risk
- ▶ Greater the standard deviation risk will be remained the same
- ▶ No relation between them

Question No: 15 (Marks: 1) - Please choose one

Most of the people among us are _____.

- ▶ Risk lovers
- ▶ Risk enhancers
- ▶ Risk averse
- ▶ Risk tolerating

Question No: 16 (Marks: 1) - Please choose one

_____ is the strategy of reducing overall risk by making two investments with opposing risks.

- ▶ Spreading the risk
- ▶ Standard deviation
- ▶ Hedging the risk
- ▶ Variance

Question No: 17 (Marks: 1) - Please choose one

If ABC Inc. and XYZ Inc. have returns that are perfectly negatively correlated:

- ▶ Adding XYZ Inc. to a portfolio that consists of only ABC Inc. will reduce risk
- ▶ Adding ABC Inc. to a portfolio that includes only XYZ Inc. will increase risk
- ▶ Adding XYZ Inc. to a portfolio that consists of only ABC Inc. will neither increase nor decrease the risk of the portfolio
- ▶ Adding XYZ Inc. to a portfolio that consists of only ABC Inc. will lower systematic risk

Question No: 18 (Marks: 1) - Please choose one

Mr. A has a Treasury bill with a maturity period of 6 months where as Mr. B has a bond with a maturity period of 1 year. Which of the following statement is **NOT** true for this situation?

- ▶ Mr. A has paid less price for his bond than Mr. B
- ▶ Mr. A and Mr. B is a holder of zero coupon bond
- ▶ Mr. A will receive payment at the end of the maturity period
- ▶ Mr. B will receive the payment at the end of the maturity period

Question No: 19 (Marks: 1) - Please choose one

Which of the following statement is true for amortized loan?

- ▶ Payment includes interest and full amount of principal
- ▶ Payment includes only the interest
- ▶ Payment includes both interest and some portion of the principal
- ▶ Principal amount is paid fully in the periodic payments

Question No: 20 (Marks: 1) - Please choose one

Which of the following best describes the relationship between Bond prices and yields?

- ▶ Move together directly
- ▶ Independent of each other
- ▶ Move together inversely
- ▶ Bond yields do not change since the coupon is fixed

Question No: 21 (Marks: 1) - Please choose one

The relationship between the price and the interest rate for a zero coupon bond is best described as _____.

- ▶ Volatile
- ▶ Stable
- ▶ Inverse
- ▶ No relationship

Question No: 22 (Marks: 1) - Please choose one

The price of a 6-month Treasury Bill is _____ the price of a 1-year Treasury Bill.

- ▶ Lower than
- ▶ Higher than
- ▶ Equal to
- ▶ None of the given options

Question No: 23 (Marks: 1) - Please choose one

If YTM is greater than the coupon rate the price of the bond is _____.

- ▶ Greater than its face value
- ▶ Lower than its face value
- ▶ Equals to its face value
- ▶ Insufficient information is given

Question No: 24 (Marks: 1) - Please choose one

Current yield is equal to which of the following?

- ▶ Price paid / yearly coupon payment
- ▶ Price paid *yearly coupon payment
- ▶ Yearly coupon payment / face value of bond
- ▶ Yearly coupon payment / price paid

Question No: 25 (Marks: 1) - Please choose one

The _____ are an assessment of the creditworthiness of the corporate issuer.

- ▶ Bond yield
- ▶ Bond ratings
- ▶ Bond risk
- ▶ Bond price

Question No: 26 (Marks: 1) - Please choose one

Which of the following statement is true for the given sentence, "that tax affects the bond return"?

- ▶ Because only interest income they receive from bond is taxable
- ▶ Because principal amount and interest income they receive from bond is taxable
- ▶ Because bond holders are taxpayers
- ▶ Because all bond is sold with a condition that tax will be deducted from its return

Question No: 27 (Marks: 1) - Please choose one

Which one of the following is true for the relationship between the yield of taxable and tax exempt bond?

- ▶ Higher the tax rate wider the gap between the yield of taxable and tax exempt bond
- ▶ Taxable bond yield is always greater than tax exempt bond
- ▶ Higher the tax rate shorter the gap between yield of taxable and tax exempt bond
- ▶ Lower the tax rate wider the gap between yield of taxable and tax exempt bond

Question No: 28 (Marks: 1) - Please choose one

If the tax rate is higher than gap between yield on taxable and tax exempt bond?

- ▶ Shorter
- ▶ Wider
- ▶ No gap
- ▶ Any thing can be possible

Question No: 29 (Marks: 1) - Please choose one

Which of the following statement is correct about the yield curve?

- ▶ Yield on short term bonds are not more volatile than yield on long term bond
- ▶ Long term yields tend to be higher than short term yield
- ▶ Interest rate of different maturities don't tend to move together
- ▶ None of the given options

Question No: 30 (Marks: 1) - Please choose one

Which one of the following is NOT true for the expectation hypothesis?

- ▶ Risk free interest rate can be computed
- ▶ There is uncertainty in the future
- ▶ Identifying yield of bond today that will be available next year
- ▶ It focuses on risk free interest rate and the risk premium

Question No: 31 (Marks: 1) - Please choose one

The slope of the yield curve seems to predict the performance of the economy with:

- ▶ Usually 3 months lag

- ▶ Usually two years lag
- ▶ Usually within few weeks
- ▶ Usually one year lag

Question No: 32 (Marks: 1) - Please choose one

The liquidity premium theory suggests that yield curves should usually be:

- ▶ Up-sloping
- ▶ Inverted
- ▶ Flat
- ▶ Up-sloping through year 1, then flat thereafter

Question No: 33 (Marks: 1) - Please choose one

If we ignore risk, the dividend discount model says the fundamental price of a stock is simply:

- ▶ The current dividend divided by the interest rate less the dividend growth rate
- ▶ The annual growth rate of the dividend minus the interest rate divided by the current dividend
- ▶ The current dividend divided by the interest rate plus the dividend growth rate
- ▶ The current dividend divided by the dividend growth rate less the interest rate

Question No: 34 (Marks: 1) - Please choose one

The theory of efficient market states that prices of financial instruments reflect:

- ▶ All available information
- ▶ Some of the information
- ▶ No information
- ▶ Imperfect information

Question No: 35 (Marks: 1) - Please choose one

Without the ability of financial intermediaries to pool the resources of small savers:

- ▶ Borrowers needing large amounts of money would find it less costly to obtain the funds
- ▶ The economy would likely grow faster
- ▶ People would likely save more
- ▶ The risk associated with lending would increase

Question No: 36 (Marks: 1) - Please choose one

If information in a financial market is asymmetric, this means:

- ▶ Borrowers and lenders have the same information
- ▶ Lenders lack any information
- ▶ Borrowers and lenders have perfect information
- ▶ Borrowers would have more information than lenders

Question No: 37 (Marks: 1) - Please choose one

Previously financial markets were located in which one of the following?

- ▶ Coffee houses or Taverns

- ▶ Stock exchanges
- ▶ Bazaar
- ▶ Both Coffee houses and Stock exchanges

Question No: 38 (Marks: 1) - Please choose one

Zero-Coupon Bonds are pure discount bonds since they sell at a price _____.

- ▶ Equal their face value
- ▶ Below their face value
- ▶ Above their face value
- ▶ None of the given options

Zero coupon bonds are bonds that do not pay interest during the life of the bonds. Instead, investors buy zero coupon bonds at a deep discount from their face value, which is the amount a bond will be worth when it "matures" or comes due. When a zero coupon bond matures, the investor will receive one lump sum equal to the initial investment plus the imputed interest, which is discussed below.

Question No: 39 (Marks: 3)

How Financial System promotes economic efficiency? List down points.ple.

1. They provide the channel for transfer of funds between saver and borrowers
2. provide risk sharing like insurance
3. provide payments like bank accounts
4. Help those people which do not have enough capital to use profitable opportunity.

Question No: 40 (Marks: 3)

Briefly discuss different types of speculative grades of Long term ratings be PACRA.
Sepulative grade means there are possibility of credit risk.
Pacra has B class rating for them

BB shows that there is a possibility of credit risk in making.

B Highly speculative in nature. 'B' it shows that that significant credit risk is there, but a limited margin of safety remains.

CCC, C,CC High default risk. Chances of default is a real possibility.

Question No: 41 (Marks: 5)

Suppose that over the past 20 years, the average annual return on investments has been 12%. For each dollar invested at the beginning of the period,How much money would investors have at the end of 20 years?

$N = 20$

$I = 12\% \text{ or } .12$

$AMT = 1 \$$

FV = ?

$FV = \text{amt} * FVIF = [(1+i)^n - 1] / i$

$FVIF = [(1.12)^{20} - 1] / .12 = 72.05$

$FV = 1 * 72.05 = 72.05$

BR>

MIDTERM EXAMINATION
Fall 2009
MGT411- Money & Banking

Question No: 1 (Marks: 1) - Please choose one

Which of the following are used to transfer resources from savers to investors and to transfer risk to those who best equipped it?

- ▶ Financial markets
- ▶ **Financial instruments**
- ▶ Financial institutions
- ▶ Banks

Reference by Stephen G Cecchetti

two ideas are emphasized: that financial instruments transfer resources from savers to investors, and that in doing so, they transfer risk to those best equipped to bear it

Question No: 2 (Marks: 1) - Please choose one

Which of the following are used to monitor and stabilize the economy?

- ▶ Stock exchanges
- ▶ Commercial Banks
- ▶ **Central Banks**
- ▶ Financial institutions

Question No: 3 (Marks: 1) - Please choose one

The reason for the government to get involved in the financial system is to:

- ▶ Protect investors
- ▶ Ensure the stability of the financial system
- ▶ Protect bank customers from monopolistic exploitation
- ▶ **All of the given options**

Question No: 4 (Marks: 1) - Please choose one

The one that you get from bank when you open your checking account is _____.

- ▶ **Debit card**
- ▶ Credit card
- ▶ Store value card
- ▶ Customer card

Question No: 5 (Marks: 1) - Please choose one

E money is really a form of which one of the following?

- ▶ Paper money
- ▶ Fiat money
- ▶ Government money
- ▶ **Private money**

Question No: 6 (Marks: 1) - Please choose one

All of the following are the components of M_2 **EXCEPT**?

- ▶ M_1

for more contents visit

<http://groups.google.com/group/vuZs>

- ▶ Saving deposits
- ▶ **Travelers cheques**
- ▶ Mutual funds shares

M2: Equals M_1 + savings deposits, time deposits less than \$100,000 and money market deposit accounts for individuals.

Travelers cheques are example of M_1

Question No: 7 (Marks: 1) - Please choose one

The Consumer Price Index (CPI):

- ▶ **Tends to overstate inflation due to substitution bias**
- ▶ Tends to understate actual inflation
- ▶ Is more accurate than the GDP deflator
- ▶ Is based on basket of goods that changes monthly with consumer expenditures

Question No: 8 (Marks: 1) - Please choose one

Considering the value of a financial instrument, the longer the time until the promised payment is made:

- ▶ **The less valuable is the promise to make it since time is valuable**
- ▶ The greater the risk, therefore the promise has greater value
- ▶ The more valuable is the promise to make it
- ▶ It has no effect on the value of instrument

Question No: 9 (Marks: 1) - Please choose one

Commissions paid to an insurance broker are an example of which of the following?

- ▶ Risk transfer
- ▶ Information asymmetry
- ▶ **Transaction costs**
- ▶ All of the given options

Question No: 10 (Marks: 1) - Please choose one

_____ are the economies central nervous system.

- ▶ Financial Instruments
- ▶ **Financial Markets**
- ▶ Financial Institutions

- ▶ Financial Companies

Financial markets are like the "central nervous system" of the economy, says Cecchetti's textbook.

Question No: 11 (Marks: 1) - Please choose one

Which one of the following is NOT an example of Centralized exchange?

- ▶ New York Stock Exchange
- ▶ NASDAQ
- ▶ **Large exchanges in London**
- ▶ Large exchanges in Tokyo

Question No: 12 (Marks: 1) - Please choose one

Which of the following market allowed networks of dealers that are connected electronically?

- ▶ New York Stock Exchange
- ▶ **NASDAQ**
- ▶ Large exchanges in London
- ▶ Large exchanges in Tokyo

Question No: 13 (Marks: 1) - Please choose one

Bonds that are issued by Government are called _____.

- ▶ Government bonds
- ▶ **Treasury bonds**
- ▶ Corporate bonds
- ▶ Callable bonds

Question No: 14 (Marks: 1) - Please choose one

What is relationship between interest rate and future value?

- ▶ Lower the interest rate higher will be the future value
- ▶ **Higher the interest rate higher will be the future value**
- ▶ Higher the interest rate lower will be the future value
- ▶ Interest rate has no effect on future value

Question No: 15 (Marks: 1) - Please choose one

The future value of \$100 left in a savings account earning 4.5% for two and a half years is best expressed by:

- ▶ $\$100(1.045)^{3/2}$
- ▶ $\$100(0.45)^{2.5}$
- ▶ **$\$100(1.045)^{2.5}$**
- ▶ $100 \times 2.5 \times (1.045)$

Question No: 16 (Marks: 1) - Please choose one

If the factor time (n) is longer then:

- ▶ **Present value will be lower**
- ▶ Present value will be higher
- ▶ Interest rate will be lower

- ▶ Time has no effect on present value

Reference: As we calculate PV through dividing the future value by the discount factor which is $(1+i)^n$ so if we increase the value of 'n' It will surely increase the discount factor which is the denominator and the greater the denominator the smaller will be the value of the fraction.

Question No: 17 (Marks: 1) - Please choose one

If at 5% interest rate, \$100 payment has a PV of \$90.70. Then what will be the PV value of \$200 payment? (Without applying formula).

- ▶ \$45.35
- ▶ \$272.1
- ▶ **\$181.4**
- ▶ \$362.8

Lets see the given is that 5% interest rate, FV= \$100, PV = \$90.70

Now calculate for 'n' that is no of years. As mentioned is that k without using formula so do not use the compounding formula. Use the simple one

$$FV = PV * i * n$$

$$n = FV / PV * i$$

$$n = 100 / 90.7 * 0.05$$

$$n = 22$$

We are asked to calculate PV if FV=200

$$PV = FV / i * n$$

$$PV = 200 / 1.1$$

$$PV = \$181.4$$

Question No: 18 (Marks: 1) - Please choose one

Which of the following provides the greatest incentive to borrow?

- ▶ A high real interest rate
- ▶ **A low real interest rate**
- ▶ A high nominal interest rate
- ▶ A low nominal interest rate

Question No: 19 (Marks: 1) - Please choose one

Which of the following represents the fisher's equation?

- ▶ **Nominal interest rate = real interest rate + inflation**
- ▶ Nominal interest rate + inflation = real interest rate
- ▶ Nominal interest rate = real interest rate - inflation
- ▶ Nominal interest rate = real interest rate / inflation

Question No: 20 (Marks: 1) - Please choose one

What will be the result of the difference of real and nominal interest rate?

- ▶ The cost of borrowing
- ▶ **The effect of inflation**
- ▶ The price of bonds
- ▶ The return of bonds

nominal interest rate is equal to the real interest rate plus the expected rate of inflation

Question No: 21 (Marks: 1) - Please choose one

Which of the following statement is true for amortized loan?

- ▶ Payment includes interest and full amount of principal
- ▶ Payment includes only the interest
- ▶ **Payment includes both interest and some portion of the principal**
- ▶ Principal amount is paid fully in the periodic payments

These loans are amortized, meaning that the borrower pays off the principal along with the interest over the life of the loan. Each payment includes both interest and some portion of the principal.

Question No: 22 (Marks: 1) - Please choose one

A zero coupon bond:

- ▶ Does not pay any coupon payments because the issuer is in default
- ▶ Pays coupons only once a year versus the usual twice a year
- ▶ **Promises a single future payment**
- ▶ Pays coupons only if the bond price is below face value

Question No: 23 (Marks: 1) - Please choose one

Which of the following best expresses the formula for determining the price of a U.S. Treasury bill per \$100 of face value?

- ▶ $\$100(1 + i)$
- ▶ **$\$100 / (1 + i)^n$**
- ▶ $\$100 / (1 + i)$
- ▶ $1 + \$100 / (1 + i)^n$

Question No: 24 (Marks: 1) - Please choose one

If YTM equals the coupon rate the price of the bond is _____.

- ▶ Greater than its face value
- ▶ Lower than its face value
- ▶ **Equals to its face value**
- ▶ Insufficient information is given

Question No: 25 (Marks: 1) - Please choose one

The return on the bond is equal to which of the following?

- ▶ Coupon rate + rate of capital gains
- ▶ **Current yield + rate of capital gains**
- ▶ Coupon rate - rate of capital gains
- ▶ Current yield - rate of capital gains

Question No: 26 (Marks: 1) - Please choose one

A business cycle downturn shifts the bond supply to the:

- ▶ Right
- ▶ **Left**
- ▶ No change
- ▶ None of the given options

A business-cycle downturn shifts the bond supply to the left and the bond demand to the

left. In this case the bond price can rise or fall, depending on which shift is greater. But interest rates tend to fall in recessions, so bond prices are likely to increase

Question No: 27 (Marks: 1) - Please choose one

In the long run, the yield curve tends to be which of the following?

▶ **Upward sloping**

- ▶ Downward sloping
- ▶ Nearly vertical
- ▶ Nearly horizontal

The yield curve's upward slope is due to long-term bonds being riskier than short-term bonds

Question No: 28 (Marks: 1) - Please choose one

Yield curves show which of the followings?

- ▶ The relationship between bond interest rates (yields) and bond prices
- ▶ The relationship between liquidity and bond interest rates (yields)
- ▶ The relationship between risk and bond interest rates (yields)

▶ **The relationship between time to maturity and bond interest rates (yields)**

Question No: 29 (Marks: 1) - Please choose one

Mr. Ghazanfar wants to invest Rs.2,000 in a bond. If this bond is expected to receive a return of Rs.100 per month and a tax of Rs.3 will be deducted on this return. Then Mr. Ghazanfar made his decision by considering which of the following fact?

- ▶ He is attracted by Rs.100 return per month

▶ **He considers Rs.100 less deduction for tax i.e.Rs.97**

- ▶ He takes into consideration only the portion of tax which is deducted
- ▶ His decision will not be affected by any of the given factors

Question No: 30 (Marks: 1) - Please choose one

Mr. Ali has a bond, which is issued by local government of Punjab which is *NOT* true for situation?

▶ **He faces tax affects on return on bond**

- ▶ His bond can also be named as municipal bond
- ▶ He receive interest on that bond throughout life period of bond
- ▶ Default risk affects its return on bond

One of the primary reasons municipal bonds are considered separately from other types of bonds is their special ability to provide tax-exempt income. Interest paid by the issuer to bond holders is often exempt from all federal taxes, as well as state or local taxes depending on the state in which the issuer is located

Question No: 31 (Marks: 1) - Please choose one

Which of the following statement is true for the given sentence, "that tax affects the bond return"?

▶ **Because only interest income they receive from bond is taxable**

- ▶ Because principal amount and interest income they receive from bond is taxable
- ▶ Because bond holders are taxpayers
- ▶ Because all bond is sold with a condition that tax will be deducted from its return

Question No: 32 (Marks: 1) - Please choose one

The expectations theory of the term structure assumes:

▶ **Buyers of bonds consider bonds of different maturities to be perfect substitutes**

- ▶ Markets for different maturity bonds are completely separate
- ▶ Buyers of bonds prefer bonds with shorter maturities
- ▶ Buyers of bonds prefer bonds with longer maturities

Question No: 33 (Marks: 1) - Please choose one

The fact that common stockholders are residual claimants means:

▶ The stockholders receive their dividends before any other residuals are paid

▶ **The stockholders receive the remains after everyone else is paid**

- ▶ The stockholders are paid any past due dividends before other claims are paid
- ▶ The common stockholders are responsible for all corporate debts

Question No: 34 (Marks: 1) - Please choose one

An index number is a valuable tool because:

▶ The number by itself provides all of the useful information needed

▶ **The index provides a meaningful measurement scale to calculate percentage changes**

- ▶ The index is more stable than the data it reflects
- ▶ It does not require any calculations to compute percentage changes

Question No: 35 (Marks: 1) - Please choose one

The Theory of Efficient Markets:

▶ **Allows for higher than average returns if the investor takes higher risk**

- ▶ Says Insider-information makes markets less efficient
- ▶ Rules out high returns due to chance
- ▶ Assumes people have equal luck

[Reference](#)

Question No: 36 (Marks: 1) - Please choose one

In a financial market where information is symmetric:

▶ **The same information would be known by both parties in a transaction**

- ▶ One party to a transaction knows information the other party does not
- ▶ The ability to obtain information is available to only one party
- ▶ All of the given options

[Reference](#)

Question No: 37 (Marks: 1) - Please choose one

Which of the following has created an opportunity for small investors to participate in economic activity?

▶ **Mutual funds**

- ▶ Small corporations
- ▶ Stock brokers
- ▶ Small investors cannot take part in economic activity

Question No: 38 (Marks: 1) - Please choose one

Money once consisted of Gold and silver coins which were eventually replaced by which of the following?

- ▶ Plastic money
- ▶ **Paper money**
- ▶ Commodity money
- ▶ E-money

Question No: 39 (Marks: 3)

Briefly discuss different types of investment grades of Long term ratings be PACRA.

Answer : PACRA is the Pakistan Credit rating agency which rates different companies in Pakistan who offer bonds or stocks to investors. They rate companies independently to protect investors from companies who might default and not pay the investors. Based on their ratings given to different companies people who want to invest will know which companies to go for investment and which to avoid.

The different types of investment grades given of long term ratings given by them are :

AAA : This is highest credit quality and has lowest expectation of risk

AA : Very high credit quality and very low expectation of risk

A: High credit quality and low expectation of risk

BB : Good credit quality and as of now there is low expectation of credit risk.

Question No: 40 (Marks: 3)

Money is accepted in economic exchange. Discuss.

Question No: 41 (Marks: 5)

“People differ in their opinions of how stocks should be valued”. Discuss it.

**MIDTERM EXAMINATION
Spring 2009**

Time: 60 min

Marks: 50

Question No: 1 (Marks: 1) - Please choose one

Which of the following statement is true about the relationship between bond ,coupon payment and interest?

- ▶ Coupon payments fall, the interest rate falls, and Bond price will rise
- ▶ **Coupon payments rise, the interest rate falls, and Bond price will rise**
- ▶ Coupon payments fall, the interest rate falls, and Bond price will fall
- ▶ Coupon payments rise, the interest rate falls, and Bond price will fall

The value of the coupon bond rises when the yearly coupon payments rise and when the interest rate falls

□ Lower interest rates mean higher bond prices and vice versa.

Question No: 2 (Marks: 1) - Please choose one

Which of the following institution takes direct deposit from customer and gives loan to customer directly?

- ▶ Zarai Tarkaytee Bank LTD
- ▶ Soneri Bank
- ▶ Khushali Bank
- ▶ **Credit union**

Question No: 3 (Marks: 1) - Please choose one

Which of the following is **NOT** true for financial institutions?

- ▶ It reduces the transaction cost
- ▶ It reduces the information cost
- ▶ It reduces the asymmetric information
- ▶ **It doesn't make long term loans**

Question No: 4 (Marks: 1) - Please choose one

Often a bank will require a loan officer to make personal visits on customers with loans outstanding. This is encouraged because:

- ▶ The bank worries about competitors trying to steal their customers
- ▶ The bank wants to make sure the business is still there
- ▶ The bank likely has excess funds available and hopes to make another loan to the business
- ▶ **This is an effective monitoring technique and should reduce moral hazard**

Question No: 5 (Marks: 1) - Please choose one

Della's Donut Shop goes out of business due to decreasing sales resulting from the dramatic increase in people on low carbohydrate diets. The decrease in business also results in Della's defaulting on the loan they have with the bank. This is an example of:

- ▶ Asymmetric information in financial markets
- ▶ **Lack of perfect information in financial markets**
- ▶ Moral hazard in financial markets
- ▶ Adverse selection

Question No: 6 (Marks: 1) - Please choose one

A bank can usually offer a saver a higher return for the same risk because:

▶ The bank can usually purchase assets at a higher cost than any one saver
▶ The bank can pool the resources of larger savers and purchase lower denominated assets

▶ Economies of scale can be applied by the bank in its purchase of assets

▶ None of the given options

Question No: 7 (Marks: 1) - Please choose one

Without the ability of financial intermediaries to pool the resources of small savers:

▶ Borrowers needing large amounts of money would find it less costly to obtain the funds

▶ The economy would likely grow faster

▶ People would likely save more

▶ The risk associated with lending would increase

Question No: 8 (Marks: 1) - Please choose one

The process of financial intermediation:

▶ Creates a net cost to an economy but is unavoidable

▶ Is used primarily in underdeveloped countries

▶ Is always used when a borrower needs to obtain funds

▶ Increases the economy's ability to produce

Question No: 9 (Marks: 1) - Please choose one

The Theory of Efficient Markets:

▶ Allows for higher than average returns if the investor takes higher risk

▶ Says Insider-information makes markets less efficient

▶ Rules out high returns due to chance

▶ Assumes people have equal luck

Question No: 10 (Marks: 1) - Please choose one

If we ignore risk, the dividend discount model says the fundamental price of a stock is simply:

▶ The current dividend divided by the interest rate less the dividend growth rate

▶ The annual growth rate of the dividend minus the interest rate divided by the current dividend

▶ The current dividend divided by the interest rate plus the dividend growth rate

▶ The current dividend divided by the dividend growth rate less the interest rate

Question No: 11 (Marks: 1) - Please choose one

Which statement shows the major difference between stocks and bonds?

▶ Bonds pay their owners dividends while stocks pay interest

▶ Bonds pay their owners interest while stocks pay dividends

▶ Interest on a bond is not guaranteed while dividends on stock are legally required

▶ Bonds represent ownership while stock represents debt

Question No: 12 (Marks: 1) - Please choose one

The concept of limited liability says a **stockholder** of a corporation:

- ▶ Is liable for the corporation's liabilities, but nothing more
- ▶ Cannot receive dividends that exceed their investment
- ▶ Cannot own more than five percent of any public corporation
- ▶ **Cannot lose more than their investment**

Question No: 13 (Marks: 1) - Please choose one

The liquidity premium theory suggests that yield curves should usually be:

- ▶ **Up-sloping**
- ▶ Inverted
- ▶ Flat
- ▶ Up-sloping through year 1, then flat thereafter

Question No: 14 (Marks: 1) - Please choose one

Which of the following statement is true about two bonds having same default rate and tax status but different maturity dates?

- ▶ It creates no effect on yield of bonds
- ▶ Both of them have different yield
- ▶ Liquidity risk factor should be taken into consideration
- ▶ It is impossible that default risk and tax status of two bonds are same

Question No: 15 (Marks: 1) - Please choose one

A business cycle downturn shifts the bond supply to the:

- ▶ Right
- ▶ **Left**
- ▶ No change
- ▶ None of the given options

A business-cycle downturn shifts the bond supply to the left and the bond demand to the left. In this case the bond price can rise or fall, depending on which shift is greater. But interest rates tend to fall in recessions, so bond prices are likely to increase.

Question No: 16 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond demand to the _____

- ▶ **Right**
- ▶ Left
- ▶ No change
- ▶ None of the given options

Question No: 17 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond supply to the _____

- ▶ **Right**
- ▶ Left
- ▶ No change
- ▶ None of the given options

Question No: 18 (Marks: 1) - Please choose one

Current yield did NOT measure which of the following?

- ▶ Return arises from coupon payment

- ▶ Capital gain and loss
- ▶ Return arises from bond holding till maturity
- ▶ All of the given options

Question No: 19 (Marks: 1) - Please choose one

Current yield is equal to which of the following?

- ▶ Price paid / yearly coupon payment
- ▶ Price paid *yearly coupon payment
- ▶ Yearly coupon payment / face value of bond
- ▶ Yearly coupon payment / price paid

Question No: 20 (Marks: 1) - Please choose one

The relationship between the price and the interest rate for a zero coupon bond is best described as _____.

- ▶ Volatile
- ▶ Stable
- ▶ Inverse
- ▶ No relationship

Question No: 21 (Marks: 1) - Please choose one

Which of the following statement is NOT true for consols?

- ▶ Consol offers only periodic interest payments
- ▶ Borrower never repays the principal
- ▶ There are Government and as well as private consols
- ▶ Price of a consol is the present value of all the future interest payments

There are no privately issued consols because only governments can credibly promise to make payments forever

Question No: 22 (Marks: 1) - Please choose one

_____ is the strategy of reducing overall risk by making two investments with opposing risks.

- ▶ Spreading the risk
- ▶ Standard deviation
- ▶ Hedging the risk
- ▶ Variance

Hedging is the strategy of reducing overall risk by making two investments with opposing risks so that when one does poorly the other does well and vice versa.

Question No: 23 (Marks: 1) - Please choose one

The variance is generally less useful than the standard deviation on which of the following reasons?

- ▶ Variance is easier to calculate
- ▶ Variance is a measure of risk, whereas standard deviation is a measure of return
- ▶ Variance isn't calculated in the same units as payoffs where as standard deviation is

- ▶ Both are equally useful

Question No: 24 (Marks: 1) - Please choose one

Suppose a \$1000 investment has a fixed return of 5% per annum, which one of the following statement is **NOT** true for this investment?

- ▶ Its return can be calculated
- ▶ **It's a risky investment**
- ▶ It will give return annually
- ▶ Its future value is known

Question No: 25 (Marks: 1) - Please choose one

If a bond sells at a premium, where price exceeds face value, then we would expect to see:

- ▶ Market interest rate the same as the coupon rate
- ▶ Market interest rates above the coupon rate
- ▶ **Market interest rates below the coupon rate**
- ▶ None of the given options

Question No: 26 (Marks: 1) - Please choose one

The rule of 72 says that at 12% interest \$100 should become \$200 in about _____.

- ▶ **72 months**
- ▶ 100 months
- ▶ 12 years
- ▶ 8.2 years

Question No: 27 (Marks: 1) - Please choose one

A borrower is promised a \$100 payment (including interest) one year from today. If the lender has an 8% opportunity cost of money, he should be willing to accept what amount today?

- ▶ Rs.100.00
- ▶ Rs.108.20
- ▶ **Rs.92.59**
- ▶ Rs.96.40

Question No: 28 (Marks: 1) - Please choose one

_____ is the today's value of a payment that is promised to be made in the future.

- ▶ None of the given options
- ▶ Future value
- ▶ **Present value**
- ▶ Agreed value

The present value is the value today of a payment that is promised to be made in the future. It is the amount that must be invested today in order to realize a specific amount on a given future date

Question No: 29 (Marks: 1) - Please choose one

The future value of \$100 left in a savings account earning 4.5% for two and a half years is best expressed by:

- ▶ $\$100(1.045)^{3/2}$
- ▶ $\$100(0.45)^{2.5}$

- ▶ $\$100(1.045)^{2.5}$
- ▶ $100 \times 2.5 \times (1.045)$

Question No: 30 (Marks: 1) - Please choose one

What is relationship between interest rate and future value?

- ▶ Lower the interest rate higher will be the future value
- ▶ Higher the interest rate higher will be the future value
- ▶ Higher the interest rate lower will be the future value
- ▶ Interest rate has no effect on future value

Question No: 31 (Marks: 1) - Please choose one

Which of the following is a financial market in which a borrower obtains funds from a lender by selling newly issued securities?

- ▶ Secondary market
- ▶ Primary market
- ▶ Over the counter market
- ▶ Centralized market

In a primary market a borrower obtains funds from a lender by selling newly issued securities. Most of the action in primary markets goes on out of public view. Most companies use an investment bank, which will determine a price and then purchase the company's securities in preparation for resale to clients; this is called underwriting. We hear more about the secondary markets where people can buy and sell existing securities.

Question No: 32 (Marks: 1) - Please choose one

Repurchase agreements are:

- ▶ The most liquid of all money market instruments
- ▶ In use for hundreds of years
- ▶ Loans of deposits at the Federal Reserve
- ▶ Short term loans with Treasury bills as collateral

Question No: 33 (Marks: 1) - Please choose one

Considering the value of a financial instrument, the longer the time until the promised payment is made:

- ▶ The less valuable is the promise to make it since time is valuable
- ▶ The greater the risk, therefore the promise has greater value
- ▶ The more valuable is the promise to make it
- ▶ It has no effect on the value of instrument

Question No: 34 (Marks: 1) - Please choose one

A Financial Intermediary:

- ▶ Is an agency that guarantees a loan
- ▶ Is involved in direct finance
- ▶ Would be used in indirect finance
- ▶ None of the given options

Question No: 35 (Marks: 1) - Please choose one

The Consumer Price Index (CPI):

- ▶ Tends to overstate inflation due to substitution bias
- ▶ Tends to understate actual inflation
- ▶ Is more accurate than the GDP deflator
- ▶ Is based on basket of goods that changes monthly with consumer expenditures

Question No: 36 (Marks: 1) - Please choose one

All of the following are the components of M_2 EXCEPT?

- ▶ M_1
- ▶ Saving deposits
- ▶ Travelers cheques
- ▶ Mutual funds shares

Question No: 37 (Marks: 1) - Please choose one

Which of the following statement truly represents the main difference between debit card and store value card?

- ▶ Debit card is operated by ATM machine while Store value card doesn't
- ▶ Debit card appearance is different from Store value card
- ▶ Debit card is not specific for user but store value card is specific
- ▶ Debit card is specific for user but store value card is not

Question No: 38 (Marks: 1) - Please choose one

In electronic transfer the most common method is to send money through a system maintained by Federal reserve called _____.

- ▶ Fedex
- ▶ Fedwire
- ▶ Fedtransfer
- ▶ Fedmoney

One wire transfer system used generally to transfer large dollar amounts instantaneously and which is provided by the US Federal Reserve System

Question No: 39 (Marks: 1) - Please choose one

The one that you get from bank when you open your checking account is _____.

- ▶ Debit card
- ▶ Credit card
- ▶ Store value card
- ▶ Customer card

Question No: 40 (Marks: 1) - Please choose one

Mr. Ghazanfar has assets which when converted to cash, yield more currency than he needs to pay his debt. Which of the following statement best suits Mr. Ghazanfar?

- ▶ Mr. Ghazanfar earns good income
- ▶ Mr. Ghazanfar is a wealthy person
- ▶ All of the given options
- ▶ Mr. Ghazanfar has a lot of money at point in time

Question No: 41 (Marks: 10)

What are five core principles of financial system? Discuss it in detail.

Answer:

Financial System:

In finance, the financial system is the system that allows the transfer of money between savers and borrowers.

Five Core Principles of the Financial System & Details:

According to Mr. Brown, five core principles of Financial System, as outlined below:

- 1) **First**, transparency means bringing the so-called 'shadow banking system' into the regulatory system, not operating parallel to it. And across the world, financial institutions need to be supervised not on what name they give themselves - be it banks, hedge funds or investment funds - but on what they do. We also need to ensure that all jurisdictions - such as offshore havens - and all important markets are covered by global supervision.
- 2) **Second** accountability means boardroom integrity, where boards of directors must understand and be held responsible for the risks they undertake. And credit rating agencies need to be free of conflicts of interest and be properly licensed.
- 3) **Third**, responsible risk taking means an end to the excesses from short-termism; instead rewarding people for long term success not short term deals. But to be most effective it has to be done internationally. A race to the bottom is in no one's interest. So we should agree a new international approach to pay and bonus structures.
- 4) **The fourth** principle of prudential regulation means taking into account the effect of a bank's capital, liquidity, solvency and conduct on the whole financial system.
- 5) **Finally**, he stated: "Lastly, international co-operation lies at the heart of all our changes - recognizing that financial institutions that work across borders need to be under cross border supervision too and regulators in one country must co-operate far more closely with regulators in other countries to create a global network of regulation that captures the risks to us all.

Other Principles of Financial are below:

- a. **Facilitate Payments**
- b. **Channel Funds from Savers to Borrowers**
- c. **Enable Risk Sharing**

MIDTERM EXAMINATION

Question No: 1 (Marks: 1) - Please choose one

Which of the following are without maturity dates?

- ▶ Zero coupon bonds
- ▶ Coupon securities
- ▶ **Consols**
- ▶ Preferred Bonds

Question No: 2 (Marks: 1) - Please choose one

Which of the following institution takes direct deposit from customer and gives loan to customer directly?

- ▶ Zarai Tarkaytee Bank LTD
- ▶ Soneri Bank
- ▶ Khushali Bank
- ▶ **Credit union**

Question No: 3 (Marks: 1) - Please choose one

Mr. Ghazanfar obtains a home improvement loan from Allied Bank. This loan is:

- ▶ Mr. Ghazanfar's asset and the bank's liability
- ▶ Mr. Ghazanfar 's asset, but the liability belongs to the bank's depositors
- ▶ **Mr. Ghazanfar 's liability and an asset for the bank**
- ▶ Both Mr. Ghazanfar's and bank's liability

Question No: 4 (Marks: 1) - Please choose one

Components of M_1 **DO NOT** include which one of the following?

- ▶ Currency in the hands of public
- ▶ Demand deposits
- ▶ **Small denominations time deposit**
- ▶ Checkable deposits

Question No: 5 (Marks: 1) - Please choose one

Which of the following has created an opportunity for small investors to participate in economic activity?

- ▶ **Mutual funds**
- ▶ Small corporations
- ▶ Stock brokers
- ▶ Small investors cannot take part in economic activity

Question No: 6 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of financial institutions?

- ▶ Bank
- ▶ Securities firm
- ▶ **Stock exchange**
- ▶ Insurance company

Question No: 7 (Marks: 1) - Please choose one

Requiring a large deductible on the part of an insured is one way insurers treat the problem of:

- ▶ Free-riding
- ▶ **Moral hazard**
- ▶ Adverse selection
- ▶ The Lemons market

Question No: 8 (Marks: 1) - Please choose one

In a financial market where information is symmetric:

- ▶ **The same information would be known by both parties in a transaction**
- ▶ One party to a transaction knows information the other party does not
- ▶ The ability to obtain information is available to only one party
- ▶ All of the given options

Question No: 9 (Marks: 1) - Please choose one

When stock prices reflect fundamental values:

- ▶ All investors will experience capital gains
- ▶ All companies will have an easier task of obtaining financing for investment projects
- ▶ **The allocation of resources will be more efficient**
- ▶ The overall level of the stock market should move higher continuously

Question No: 10 (Marks: 1) - Please choose one

An index number is a valuable tool because:

- ▶ The number by itself provides all of the useful information needed
- ▶ **The index provides a meaningful measurement scale to calculate percentage changes**
- ▶ The index is more stable than the data it reflects
- ▶ It does not require any calculations to compute percentage changes

Question No: 11 (Marks: 1) - Please choose one

The concept of limited liability says a **stockholder** of a corporation:

- ▶ Is liable for the corporation's liabilities, but nothing more
- ▶ Cannot receive dividends that exceed their investment
- ▶ Cannot own more than five percent of any public corporation
- ▶ **Cannot lose more than their investment**

Question No: 12 (Marks: 1) - Please choose one

Other things remaining equal, the liquidity premium theory is based upon the idea that _____.

- ▶ Investors prefer long-term bonds
- ▶ **Investors prefer short-term bonds**
- ▶ Investors are indifferent between short-term and long-term bonds
- ▶ Investors prefer intermediate-term bonds

Question No: 13 (Marks: 1) - Please choose one

Which one of the following is **NOT** true for the expectation hypothesis?

- ▶ Risk free interest rate can be computed
- ▶ There is uncertainty in the future
- ▶ Identifying yield of bond today that will be available next year
- ▶ **It focuses on risk free interest rate and the risk premium**

Question No: 14 (Marks: 1) - Please choose one

A graph of the term structure with YTM on Y-axis and time to maturity on X-axis is called:

- ▶ Demand curve
- ▶ Supply curve
- ▶ **Yield curve**
- ▶ Leffer curve

Question No: 15 (Marks: 1) - Please choose one

	Bond A	Bond B
Maturity	5 years	10 years
Default risk	5%	5%
Tax rate	30%	30%
Yield	?	?

See the above table and choose the one option which is **NOT** correct about the yield of Bond A and Bond B?

▶ **Bond tax status and default rate are not the only factors that affect the yield of the two bonds**

▶ Bond A has different yield from that of Bond B because of change in maturity period

▶ Yields of both the bonds are not disturbed by maturity period

▶ Yield of Bond B depends on what people expect to happen in years to come

Question No: 16 (Marks: 1) - Please choose one

The _____ are an assessment of the creditworthiness of the corporate issuer.

- ▶ Bond yield
- ▶ **Bond ratings**
- ▶ Bond risk
- ▶ Bond price

Question No: 17 (Marks: 1) - Please choose one

The bond rating of a security refers to which of the followings?

- ▶ The size of the coupon payment relative to the face value
- ▶ The return a holder is likely to receive
- ▶ **The likelihood the lender/borrower will be repaid by the borrower/issuer**
- ▶ The years until the bond matures

Question No: 18 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond demand to the _____

- ▶ **Right**
- ▶ Left
- ▶ No change
- ▶ None of the given options

Question No: 19 (Marks: 1) - Please choose one

The current yield on a \$10,000, 5% coupon bond selling for \$8,000 is:

- ▶ **6.25%**
- ▶ 7.50%
- ▶ 8.00%
- ▶ 5.00%

Question No: 20 (Marks: 1) - Please choose one

If the annual interest rate is 6% (.06); the price of a one year Treasury bill would be:

- ▶ \$94.00
- ▶ **\$94.33**
- ▶ \$95.25
- ▶ \$96.10

Question No: 21 (Marks: 1) - Please choose one

The return on holding a bond till its maturity is called:

- ▶ Coupon rate
- ▶ **Yield to maturity**
- ▶ Current yield
- ▶ Fixed return

Question No: 22 (Marks: 1) - Please choose one

Which of the following best describes the relationship between Bond prices and yields?

- ▶ Move together directly
- ▶ Independent of each other
- ▶ **Move together inversely**
- ▶ Bond yields do not change since the coupon is fixed

Question No: 23 (Marks: 1) - Please choose one

Mr. A has a Treasury bill with a maturity period of 6 months where as Mr. B has a bond with a maturity period of 1 year. Which of the following statement is **NOT** true for this situation?

- ▶ Mr. A has paid less price for his bond than Mr. B
- ▶ **Mr. A and Mr. B is a holder of zero coupon bond**
- ▶ Mr. A will receive payment at the end of the maturity period
- ▶ Mr. B will receive the payment at the end of the maturity period

Question No: 24 (Marks: 1) - Please choose one

What is true relationship between return and risk?

- ▶ Lower the risk greater the return
- ▶ **Greater the risk greater the return**
- ▶ Greater the risk no change in return
- ▶ No relationship between them

Question No: 25 (Marks: 1) - Please choose one

Sum of all the probabilities should be equal to which one of the following?

- ▶ Zero
- ▶ **One**
- ▶ Two
- ▶ Three

Question No: 26 (Marks: 1) - Please choose one

_____ measures the probability of worst outcome in any investment project.

- ▶ Variance
- ▶ Standard deviation
- ▶ **Value at risk**
- ▶ Hedging

Question No: 27 (Marks: 1) - Please choose one

The variance is generally less useful than the standard deviation on which of the following reasons?

- ▶ Variance is easier to calculate
- ▶ Variance is a measure of risk, whereas standard deviation is a measure of return
- ▶ **Variance isn't calculated in the same units as payoffs where as standard**

deviation is

- ▶ Both are equally useful

Question No: 28 (Marks: 1) - Please choose one

A credit market instrument that pays the owner a fixed coupon payment every year until the maturity date and then repays the face value is called:

- ▶ Simple loan
- ▶ Fixed-payment loan
- ▶ **Coupon bond**
- ▶ Discount bond

Question No: 29 (Marks: 1) - Please choose one

Which of the following provides the greatest incentive to borrow?

- ▶ A high real interest rate
- ▶ **A low real interest rate**
- ▶ A high nominal interest rate
- ▶ A low nominal interest rate

Question No: 30 (Marks: 1) - Please choose one

An investment carrying a current cost of \$130,000 is going to generate \$70,000 of revenue for each of the next three years. To calculate the internal rate of return we need

to:

- ▶ Calculate the present value of each of the \$70,000 payments and multiply these and set this equal to \$130,000
- ▶ Take the present value of \$210,000 for three years from now and set this equal to \$130,000
- ▶ **Set the sum of the present value of \$70,000 for each of the next three years equal to \$130,000**
- ▶ Subtract \$130,000 from \$210,000 and set this difference equal to the interest rate

Question No: 31 (Marks: 1) - Please choose one

A borrower is promised a \$100 payment (including interest) one year from today. If the lender has an 8% opportunity cost of money, he should be willing to accept what amount today?

- ▶ Rs.100.00
- ▶ Rs.108.20
- ▶ **Rs.92.59**
- ▶ Rs.96.40

Question No: 32 (Marks: 1) - Please choose one

Which one of the following is NOT an example of Centralized exchange?

- ▶ New York Stock Exchange
- ▶ NASDAQ
- ▶ **Large exchanges in London**
- ▶ Large exchanges in Tokyo

Question No: 33 (Marks: 1) - Please choose one

Financial intermediaries provide small lender-savers all of the following advantages

EXCEPT:

- ▶ **Greater liquidity**
- ▶ Lower transaction cost
- ▶ Lower risk
- ▶ Higher return

Question No: 34 (Marks: 1) - Please choose one

The shares of McDonald Corporation stock are examples of:

- ▶ **A standardized financial instrument**
- ▶ A standardized financial liability instrument
- ▶ A non-standardized financial instrument
- ▶ A means of payment

Question No: 35 (Marks: 1) - Please choose one

Which of the following statements is NOT correct?

- ▶ **Banks are financial intermediaries**
- ▶ Financial intermediary involves in giving loan and accepting deposit
- ▶ All financial intermediaries are insurance companies
- ▶ Financial intermediaries increase the efficiency of the economy

Question No: 36 (Marks: 1) - Please choose one

Economic research shows:

- ▶ There is a strong inverse correlation between financial market development and economic growth
- ▶ There is weak relation between financial market development and economic growth around 0.25
- ▶ **There is a relatively strong positive correlation between financial market development and economic growth**
- ▶ There isn't any correlation between financial market development and economic growth

Question No: 37 (Marks: 1) - Please choose one

Which of the following statements is correct?

- ▶ If you can buy the same goods this year as you bought last year with less money the money supply decreased.
- ▶ **To purchase the same goods today that were purchased one year ago requires more money, there must have been inflation**
- ▶ To purchase the same goods today as one year ago requires less money, the money supply must have increased
- ▶ To purchase the same goods today that were purchased one year ago requires the same amount of money, there must have been inflation

Question No: 38 (Marks: 1) - Please choose one

The one that you get from bank when you open your checking account is _____.

- ▶ **Debit card**
- ▶ Credit card
- ▶ Store value card
- ▶ Customer card

Question No: 39 (Marks: 1) - Please choose one

Wealth can be held in number of other forms but we use to hold money because of which one of the following reason?

- ▶ It is the only mode of payment
- ▶ It is an asset
- ▶ **It is most liquid**
- ▶ It is the only store of value

Question No: 40 (Marks: 1) - Please choose one

Which of the following are used to monitor and stabilize the economy?

- ▶ Stock exchanges
- ▶ Commercial Banks
- ▶ **Central Banks**
- ▶ Financial institutions

Question No: 41 (Marks: 10)

“A financial instrument is a real or virtual document representing a legal agreement involving some sort of monetary value.” Discuss further on financial instruments by giving examples. Point out some of its uses and important characteristics.

ANSWER: Financial Instrument: Financial instrument is a written obligation of one party to transfer something of value to another party at a future date under certain conditions.

- By written obligation we mean that it is enforced by the government and this obligation is an important feature of a financial instrument.
- The party here can be an individual, company or a government
- Future date can be specified or when some event occurs.

Examples: Stocks, bonds, insurance etc are examples of financial instruments.

Characteristics of Financial Instruments: There are certain characteristics of financial instruments.

1. **Standardization:** It is a standardized agreement which enables reduction in costs of complexity. So because of this most financial instruments today are similar.
2. **Communicate Information:** Provide certain important information about the issuer which otherwise would have been difficult to gather for the lenders.

Value of Financial Instruments: The value of financial instruments depends on various factors.

- **Size:** Larger the promised payment more valuable is the financial instrument.
- **Timing:** The sooner the payment is made increases the value of financial instrument.
- **Risk:** A financial instrument is more valuable if there are greater possibilities that payment will be made.
- **Circumstances:** Payments made when needed the most makes the financial instrument more valuable.

Uses of Financial Instruments:

- **Store Of Value:**
 - Stocks:** The stock holder is a part owner of the firm and receives part of its profits.
 - Bonds:** A form of loan which promises to make repayment in future dates.
 - Bank loans:** Borrowers obtain resources from lenders in exchange of promised payments.
- **Transfer of Risk:**
 - Insurance:** Takes premium to assure payment under particular conditions (accident, death etc)
 - Future contracts:** It is an agreement to exchange fixed quantity of a commodity or an asset at a fixed price. Transfer risk of price fluctuations.
 - Options:** Gives holder the right to purchase fixed quantity of an

underlying asset at predetermined price within a specific period.

ALL IN ONE Mgt 411 MIDTERM PAPERS MORE THAN (10)

Quiz Start Time: 07:01 PM

Time Left 88

sec(s)

Question # 1 of 15 (Start time: 07:01:13 PM) Total Marks: 1

The fact that a financial intermediary can use the same contract for many customers is an example of:

Select correct option:

Economies of Scope

The Law of Diminishing Marginal Returns

The Law of Increasing Opportunity Cost

Economies of Scale

Quiz Start Time: 07:01 PM

Time Left 88

sec(s)

Question # 2 of 15 (Start time: 07:02:36 PM) Total Marks: 1

Home loans and car loans are the example of which one of the following?

Select correct option:

Mortgage loans

Pledge

Fixed Payment Loans

Ordinary loan

Quiz Start Time: 07:01 PM

Time Left 87

sec(s)

Question # 3 of 15 (Start time: 07:04:00 PM) Total Marks: 1

Most of the people among us are _____.

Select correct option:

- Risk lovers
- Risk enhancers
- Risk averse**
- Risk tolerating

Quiz Start Time: 07:01 PM

Time Left 88

sec(s)

Question # 4 of 15 (Start time: 07:05:05 PM) Total Marks: 1

Coupon bonds make the annual payments which are called as _____.

Select correct option:

- Annual payments
- Fixed payments
- Coupon payments**
- Maturity payment

Quiz Start Time: 07:01 PM

Time Left 88

sec(s)

Question # 5 of 15 (Start time: 07:05:41 PM) Total Marks: 1

If the annual interest rate is 6%, the price of a 1-year Treasury bill with \$100 face value would be:

Select correct option:

- \$94.00
- \$94.33
- \$95.25
- \$96.10

Quiz Start Time: 07:01 PM

Time Left 71

sec(s)

Question # 6 of 15 (Start time: 07:06:10 PM) Total Marks: 1

GDP deflator is called

Select correct option:

Retailer price index

Consumer price index

Producer price index

None of above not sure

Quiz Start Time: 07:01 PM

Time Left 89

sec(s)

Question # 7 of 15 (Start time: 07:07:07 PM) Total Marks: 1

Which one of the following is the procedure of finding out the Present Value (PV)?

Select correct option:

Discounting

Compounding

Time value of money

Bond pricing

Quiz Start Time: 07:01 PM

Time Left 88

sec(s)

Question # 8 of 15 (Start time: 07:08:22 PM) Total Marks: 1

Consumer Price Index (CPI) measures the:

Select correct option:

Changes in the quantity

Changes in the prices

Changes in the cost

Changes in the profit

Quiz Start Time: 07:01 PM

Time Left 81

sec(s)

Question # 9 of 15 (Start time: 07:09:18 PM) Total Marks: 1

Yield curves show which of the followings?

Select correct option:

The relationship between bond interest rates (yields) and bond prices

The relationship between liquidity and bond interest rates (yields)

The relationship between risk and bond interest rates (yields)
The relationship between time to maturity and bond interest rates (yields)

Quiz Start Time: 07:01 PM

Time Left 88

sec(s)

Question # 10 of 15 (Start time: 07:10:40 PM) Total Marks: 1

An increase in the expected inflation shifts the bond demand to the _____.

Select correct option:

- Right
- Left
- No change
- All of the given options

Quiz Start Time: 07:01 PM

Time Left 88

sec(s)

Question # 11 of 15 (Start time: 07:11:41 PM) Total Marks: 1

Which of the following are used to monitor and stabilize the economy?

Select correct option:

- Stock exchanges
- Commercial Banks
- Central Banks
- Financial institutions

Quiz Start Time: 07:01 PM

Time Left 88

sec(s)

Question # 12 of 15 (Start time: 07:12:56 PM) Total Marks: 1

Which of the following best expresses the payment a lender receives for lending their money for four years?

Select correct option:

- $PV(1+i)^4$
- $PV/(1+i)^4$
- $4PV$
- $PV/(1-i)^4$

Quiz Start Time: 07:01 PM

Time Left 88

sec(s)

Question # 13 of 15 (Start time: 07:14:19 PM) Total Marks: 1

One argument for an independent central bank is:

Select correct option:

Without independence competent people would not take a position in a central bank

Successful monetary policy requires a long time horizon usually well beyond the next election of most public officials

Politicians have a long-run focus that is not well tuned to addressing economic problems

Central bankers have a short run focus that usually corrects problems faster

Quiz Start Time: 07:01 PM

Time Left 88

sec(s)

Question # 14 of 15 (Start time: 07:15:44 PM) Total Marks: 1

Which of the following is true of a nation's central bank?

Select correct option:

It makes important decisions about the nation's tax and public spending policies

It lends only to the nation's largest and most important business firms

It has many interactions with the nation's citizens and businesses

It is responsible for conducting the nation's monetary policy

Quiz Start Time: 07:01 PM

Time Left 88

sec(s)

Question # 15 of 15 (Start time: 07:17:08 PM) Total Marks: 1

Which of the following is NOT an example of financial institutions?

Select correct option:

Banks

Securities firms

Stock exchanges

Insurance companies

MGT-411 (Money and Banking) Quiz No: 5

30 July 2010 to 2 August 2010

Question # 1 of 15

Which of the following are used to monitor and stabilize the economy?

Select correct option:

Stock exchanges

Commercial Banks

Central Banks

Financial institutions

Question # 2 of 15

Which of the following best expresses the proceeds a lender receives from a simple loan?

Select correct option:

PV(1 + i)

FV/i

PV + i

PV/i

Question # 3 of 15

_____ is the strategy of reducing overall risk by making two investments with opposing risks.

Select correct option:

Spreading the risk

Standard deviation

Hedging the risk

Variance

Question # 4 of 15

The lowest rating for an investment grade bond assigned by Moody's is:

Select correct option:

BBB

ABB

Baa

Aaa

Question # 5 of 15

High State Bank purchases some U.S. Treasury bonds. We would view such bonds as being free of:

Select correct option:

Credit risk

Interest rate risk

Reinvestment risk

All of the given options

Question # 6 of 15

Which one of the following is NOT true for gap analysis?

Select correct option:

It is the difference between the yield on interest sensitive assets and liabilities

It is the difference in the maturity of assets and liabilities

Banks manages credit risk by using gap analysis

It is a formal study of what a business is doing currently and where it wants to go in the future (Not Sure)

Question # 7 of 15

A financial instrument in which a borrower obtains resources from a lender immediately

in exchange for a promised set of payments in the future is called as _____.

Select correct option:

Bond

Bank Loan

Home Mortgage

Futures Contract

Question # 8 of 15

Which one of the following agencies assesses the default risk of different issuers?

Select correct option:

Insurance companies

Bond issuing

[Credit rating](#)

Recruitment agencies

Question # 9 of 15

A typical bank will offer _____ type/s of checking accounts.

Select correct option:

Only one type

Two types

Four types

[Six or more types](#)

Question # 10 of 15

Which of the following would probably NOT earn an A rating from Standard & Poor's:

Select correct option:

30 years bond issued by the U.S. Treasury

New vegetarian fast-food chain

90 days T-Bills issued by the U.S. Treasury

[Both 30 years bond and 90 days T-Bills issued by U.S. Treasury](#)

Question # 11 of 15

When the auto manufacturing industry does poorly due to a recession this is an example of:

Select correct option:

Idiosyncratic risk

Risk premium

[Systematic risk](#)

Unique risk

Question # 12 of 15

Which of the following represents the fisher's equation?

Select correct option:

[Nominal interest rate = real interest rate + inflation](#)

Nominal interest rate + inflation = real interest rate

Nominal interest rate = real interest rate - inflation

Nominal interest rate = real interest rate / inflation

Question # 13 of 15

Which of the following is NOT a depository institution?

Select correct option:

Commercial banks

Credit unions

Savings institutions

[Brokerage house](#)

Question # 14 of 15

Which of the following is the least liquid of all?

Select correct option:

Money

[Lands & buildings](#)

Bonds & stocks

None of the given options

Question # 15 of 15

Which one of the following is the procedure of finding out the Present Value (PV)?

Select correct option:

[Discounting](#)

Compounding

Time value of money

Bond pricing

Question No: 1 (Marks: 1) - Please choose one

Wealth can be held in number of other forms but we use to hold money because of which one of the following reason?

- ▶ It is the only mode of payment
- ▶ It is an asset
- ▶ It is most liquid
- ▶ It is the only store of value

Question No: 2 (Marks: 1) - Please choose one

Which of the following is the final mode of payment?

- ▶ Money
- ▶ ATM
- ▶ Cheque
- ▶ Yet to discover

Question No: 3 (Marks: 1) - Please choose one

Tom uses a credit card to purchase a new pair of jeans, Tom is:

- ▶ Using money to buy his jeans since credit cards are money
- ▶ Using a form of money included in M3
- ▶ Using an electronic payment form of money that is in the category of checking deposits
- ▶ Creating a liability that he will ultimately have to pay with money

Question No: 4 (Marks: 1) - Please choose one

The loans made between borrowers and lenders:

- ▶ Are liabilities to the lenders and assets to the borrowers since the borrower obtains the funds
- ▶ Are assets to the lenders and liabilities of the borrowers since the promises are made to the lenders
- ▶ Are assets to the borrowers as he obtains funds and also the liability to the borrowers as he has to pay it
- ▶ Are not part of either's assets or liabilities until the loans are repaid

Question No: 5 (Marks: 1) - Please choose one

A derivative instrument:

- ▶ Gets its value and payoff from the performance of the underlying instrument
- ▶ Is a high risk financial instrument used by highly risk averse savers
- ▶ Comes into existence after the underlying instrument is in default
- ▶ Should be purchased prior to purchasing the underlying security

Question No: 6 (Marks: 1) - Please choose one

Risk sharing is the characteristic of which one of the following?

- ▶ Checks

- ▶ Checking accounts
- ▶ Money
- ▶ Bonds

Question No: 7 (Marks: 1) - Please choose one

Which of the following is the difference that lies between the options and futures?

- ▶ Options is not binding whereas future is binding
- ▶ Futures carry risks but Options didn't carry risk
- ▶ Centralized clearinghouses guarantee futures but not options contracts
- ▶ There is no difference between options and futures

Question No: 8 (Marks: 1) - Please choose one

If you put \$1,000 per year into bank at 4% interest, how much would you have saved after 40 years?

- ▶ \$90,000
- ▶ \$98,826
- ▶ \$82,286
- ▶ \$85,880

Question No: 9 (Marks: 1) - Please choose one

You receive a check for \$100 two years from today. The discounted present value of this \$100 is:

- ▶ $\$100/(1+i)$
- ▶ $\$100*(1+i)^2$
- ▶ $\$100*(1+i)$
- ▶ $\$100/(1+i)^2$

Question No: 10 (Marks: 1) - Please choose one

The rule of 72 says that at 12% interest \$100 should become \$200 in about _____.

- ▶ 72 months
- ▶ 100 months
- ▶ 12 years
- ▶ 8.2 years

Question No: 11 (Marks: 1) - Please choose one

The interest rate that is involved in _____ calculation is referred to as discount rate

- ▶ Present value
- ▶ Future value
- ▶ Intrinsic value
- ▶ Discount value

Question No: 12 (Marks: 1) - Please choose one

If the internal rate of return from an investment is less than the opportunity cost of funds:

- ▶ Firm should make the investment

- ▶ Firm should not make the investment
- ▶ Firm should only make the investment using retained earnings
- ▶ None of the given options

Question No: 13 (Marks: 1) - Please choose one

Risk premium which the investors hold is equal to which one of the following?

- ▶ Expected return on the risky investment + Risk-free return
- ▶ Expected return on the risky investment / Risk-free return
- ▶ Expected return on the risky investment - Risk-free return
- ▶ Expected return on the risky investment * Risk-free return

Question No: 14 (Marks: 1) - Please choose one

Which of the following statement is true for amortized loan?

- ▶ Payment includes interest and full amount of principal
- ▶ Payment includes only the interest
- ▶ Payment includes both interest and some portion of the principal
- ▶ Principal amount is paid fully in the periodic payments

Question No: 15 (Marks: 1) - Please choose one

A business cycle downturn shifts the bond supply to the:

- ▶ Right
- ▶ Left
- ▶ No change
- ▶ None of the given options

Question No: 16 (Marks: 1) - Please choose one

What is the true relationship that exists between default risk and yield?

- ▶ Higher the default risk, higher the yield
- ▶ Lower the default risk, higher the yield
- ▶ Higher the default risk yield will remain constant
- ▶ Lower the default risk yield will remain constant

Question No: 17 (Marks: 1) - Please choose one

The shape of the yield curve is usually:

- ▶ Upward sloping
- ▶ Downward sloping
- ▶ Upward sloping for shorter maturities and downward sloping for longer maturities
- ▶ Flat

Question No: 18 (Marks: 1) - Please choose one

Which statement shows the major difference between stocks and bonds?

- ▶ Bonds pay their owners dividends while stocks pay interest
- ▶ Bonds pay their owners interest while stocks pay dividends
- ▶ Interest on a bond is not guaranteed while dividends on stock are legally required
- ▶ Bonds represent ownership while stock represents debt

Question No: 19 (Marks: 1) - Please choose one

If we ignore risk, the dividend discount model says the fundamental price of a stock is simply:

- ▶ The current dividend divided by the interest rate less the dividend growth rate
- ▶ The annual growth rate of the dividend minus the interest rate divided by the current dividend
- ▶ The current dividend divided by the interest rate plus the dividend growth rate
- ▶ The current dividend divided by the dividend growth rate less the interest rate

Question No: 20 (Marks: 1) - Please choose one

The process of financial intermediation:

- ▶ Creates a net cost to an economy but is unavoidable
- ▶ Is used primarily in underdeveloped countries
- ▶ Is always used when a borrower needs to obtain funds
- ▶ Increases the economy's ability to produce

Question No: 21 (Marks: 1) - Please choose one

If information in a financial market is asymmetric, this means:

- ▶ Borrowers and lenders have the same information
- ▶ Lenders lack any information
- ▶ Borrowers and lenders have perfect information
- ▶ Borrowers would have more information than lenders

Question No: 22 (Marks: 1) - Please choose one

Requiring a large deductible on the part of an insured is one way insurers treat the problem of:

- ▶ Free-riding
- ▶ Moral hazard
- ▶ Adverse selection
- ▶ The Lemons market

Question No: 23 (Marks: 1) - Please choose one

Deflation compounds information problems because:

- ▶ It increases a company's net worth
- ▶ It reduces the dollar value of assets while the dollar value of liabilities stays constant
- ▶ It tends to understate a company's assets and overstate their liabilities
- ▶ It always harms lenders

Question No: 24 (Marks: 1) - Please choose one

Which of the following has created an opportunity for small investors to participate in economic activity?

- ▶ Mutual funds
- ▶ Small corporations
- ▶ Stock brokers
- ▶ Small investors cannot take part in economic activity

Question No: 25 (Marks: 1) - Please choose one

_____ evolved from coffee houses to trading places to electronic networks.

- ▶ Financial companies
- ▶ Financial markets
- ▶ Financial institutions
- ▶ **Financial intermediaries**

Question No: 26 (Marks: 1) - Please choose one

A risk seeking investor versus a risk-neutral investor:

- ▶ **Will always take a risk, while the risk neutral investor will not**
- ▶ Will need less compensation for the same risk versus the risk neutral investor
- ▶ Will not take the same risks as the risk neutral investor if the expected returns are equal
- ▶ None of the given option

Question No: 27 (Marks: 1) - Please choose one

What will be the effect on yield to maturity when bond prices increase?

- ▶ Yield to maturity does not change
- ▶ **Yield to maturity decreases**
- ▶ Yield to maturity increases
- ▶ None of the given options

Question No: 28 (Marks: 1) - Please choose one

If there is a decrease in the expected future interest rate, what will be its affect on bond?

- ▶ **Bond will be less attractive**
- ▶ Bond will be more attractive
- ▶ Bond will be less expensive
- ▶ Bond will be more expensive

Question No: 29 (Marks: 3)

Briefly discuss different types of speculative grades of Long term ratings be PACRA.

PACRA Long Term Ratings

Following are the ratings by PACRA

Investment Grades

AAA (Highest Credit Quality)
AA (Very High Credit Quality)
A (High Credit Quality)
BBB (Good Credit Quality)

Speculative Grades

BB
B

CCC, CC, C

Question No: 30 (Marks: 3)

Discuss briefly the facts about term Structure.

The monetary-policy and the aggregate-supply shocks are important determinants of the nominal term structure. Moreover, the monetary-policy innovations have a large but transitory effect on the nominal bond yields, primarily by changing the slope of the yield curve, and the aggregate-supply shocks from private sector have a more persistent effect on the level of the yield curve, but have little effect on the slope of the yield curve.

Question No: 31 (Marks: 5)

Assume that a corporation issues 1 year bond at 5% rate with the face value of Rs.100.If there is no risk of default then find out the price of this bond.

Answer:

$$\begin{aligned}\text{Price of bond} &= p(1+r)^*1 \\ &= 100(1+0.05)^*1 \\ &= 100(1.05)^*1 \\ &= 100(1.05)\end{aligned}$$

Price of bond = 105 **Answer**

Question No: 32 (Marks: 5)

a) Mr. A has a bond of ABC Corporation. Will his return from this bond be affected by tax? Support your answer with reason.

b) Mr. B has a bond of that is issued by Government. Will his return from this bond be affected by tax? Support your answer with reason.

Answer:

A) Mr. A has a bond of ABC Corporation its rate of return will be affected by the tax because the reason is that it's include in its income that government will charge the tax from the income of the person and deducted tax as income tax.

B) Mr. B will in other case the income of the person will not be affected because the government will deduct the tax from the dividend that has to pay to its bond holder where that person do not have to pay further tax as a part .

A part of income tax where this situation is not faced by the first case.